



Annual Report
2025

Better our world with biology





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Strategy 2030

GROW

Our strategy focuses on driving sustainable growth today while reinvesting for the future. It guides how we prioritize and invest to create value for shareholders and society.

[Read more](#)



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The big picture





At a glance

Solutions rooted in biology are transforming how we produce and consume, offering new answers that the world urgently needs.

Our purpose

Better our world
with biology

Our biosolutions



Enzymes



Proteins



Cultures



Probiotics



Yeast



Human milk
oligosaccharides (HMOs)

Our societal impact

Reducing food waste by extending the shelf life of milk, baked goods and dairy products.

Securing more food for a growing population by improving crop yields, by making biomass and crops more robust, and by enabling more sustainable proteins.

Supporting energy resilience and security by turning waste and plants into a range of end products, including low-carbon fuels.

Lowering energy consumption by making processes more efficient, faster, cleaner and less resource-intensive.

Helping people live healthier for longer with scientifically researched and clinically tested biosolutions for a stronger body and mind.

Making clothes look new and last longer, while reducing the environmental footprint of detergents.

Building resilient and prosperous societies by creating millions of jobs and driving sustainable economic growth across industries and regions.



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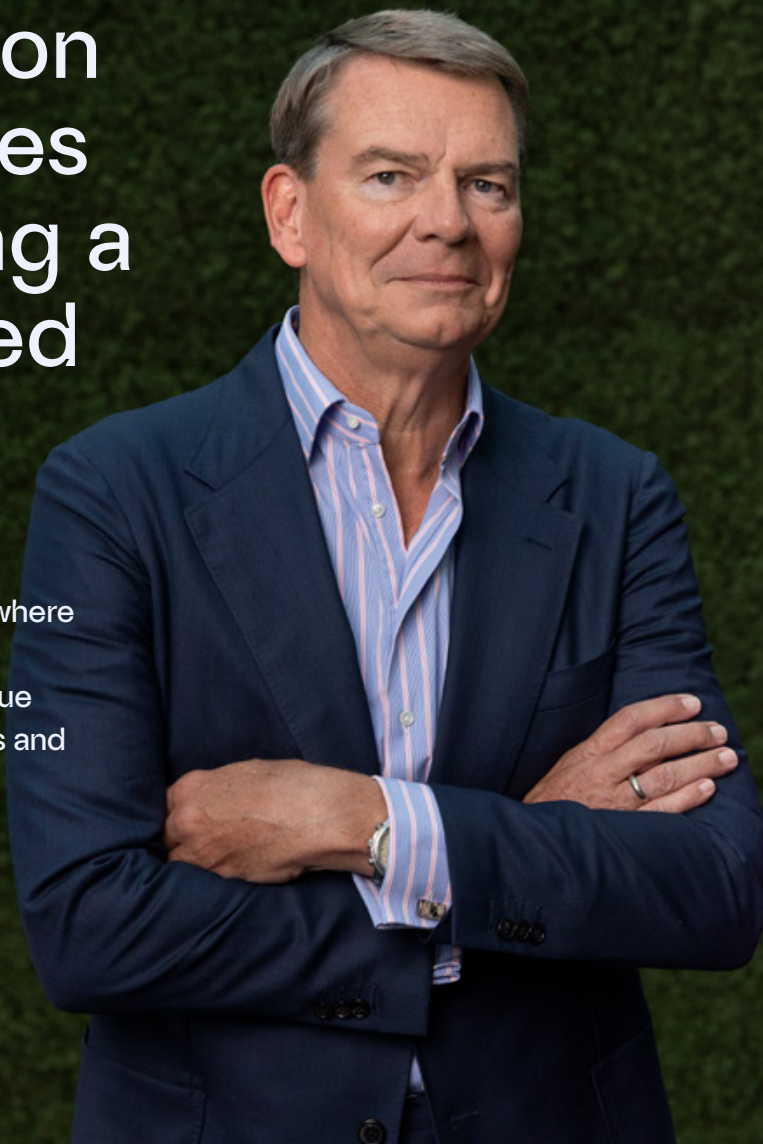
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Message from the Chair and the CEO:

Delivering on our promises and building a future based on biology

2025 was another strong year where we delivered on our promises – driving growth and creating value for our customers, shareholders and society at large.





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The results we delivered in 2025 underline the strength and resilience of our business model. We are a pure biology player with deep scientific expertise in microbiology and industrial fermentation. Our biosolutions are used in a broad range of industries from food and nutrition to agriculture, household care and energy. Our diverse portfolio of innovative products, coupled with flexible, global production and regional co-creation capabilities, uniquely positions us to meet the needs of our customers. Our resilient business model enables us to navigate macroeconomic volatility and provide compounded, value-added growth, also in times of uncertainty.

Robust, broad growth

In 2025, we placed yet another dot on our growth trajectory, achieving the targets we set at the start of the year. We delivered 7% organic sales growth and solid profitability, with an adjusted EBITDA margin of 37.1%. Our performance was strong across industries and markets, with particularly good traction in emerging geographies. Growth was fueled mainly by volume, supported by pricing. Our increased local presence and innovative, tailored solutions for our customers helped drive growth and sales synergies. Since 2018, we have grown revenue by more than 33%, while also reducing our emissions (scope 1 and 2) by 67%.

Building on a robust innovation pipeline, we launched 33 new products in 2025. Additionally, 25% of revenue came from solutions developed within the last five years.

United as one Novonesis, we achieved a 100% run rate of our cost synergies one year ahead of time. Our people are the key enablers of our success, and we were proud to achieve an employee engagement score of 8.6, placing us among the top 10% of companies using the same measurement framework.

In 2025, we acquired dsm-firmenich's sales and distribution activities in the Feed Enzyme Alliance. This acquisition marks a significant milestone in our ongoing efforts to unlock the full potential of Novonesis' animal biosolutions and to strengthen our leading position in a growing and attractive global market.

AI continues to be an important enabler for Novonesis, increasing our impact. By combining data, algorithms and deep biological expertise, AI allows us to move faster from discovery to impact and empowers us to scale solutions with greater precision and efficiency. Today, we apply AI across our value chain and organization, and we are already seeing tangible outcomes. One important outcome is an increase in speed in R&D; not long ago, it took us up to a year to predict a protein shape, whereas today we can do it in under a minute.

With all components in place, we remain steadfast in executing our strategic priorities, strongly positioning us to deliver on our 2030 targets.

GROW Strategy

In August, we shared our GROW strategy. It focuses on driving sustainable growth today while investing for the future. A continuation of our strategic direction, GROW guides how we prioritize and invest to increase value for shareholders and society.

With GROW, we have set ambitious 2030 targets. We aim to deliver 6–9% organic sales growth year-on-year, ~39% adjusted EBITDA margin, and to double adjusted ROIC to ~16% (excluding goodwill) from a pro forma 2024 baseline. We also reaffirmed our long-term sustainability commitments.

The GROW strategy is built on three core pillars: 'Grow the core', 'Enhance our distinct position', and 'Accelerate the biosolutions market'. With the foundational pillar of 'Grow the Core', we will continue to secure strong, profitable growth in our core business areas. This continued growth enables us to continue to invest in our distinct position: deep understanding of our customers, innovation leadership, and world-class scale capabilities. We also plant the seeds of the future by exploring new areas, as we drive advocacy leadership to overcome unnecessary regulatory barriers and further accelerate the potential of biosolutions.

The era of biosolutions

The answers to many of the world's challenges already exist – and biosolutions are part of those answers. With them, we are transforming how the world produces and consumes. Through innovative, homegrown solutions, biosolutions create local jobs, boost economic value, and enable resilience for customers and societies. Biosolutions enable higher yields, more efficient use of raw materials, reduced energy consumption, differentiated claims, and healthier and tastier food, enabling value growth for our customers and making a profound positive impact on the planet.

We are stepping into a new era, inspired and powered by biology and science – the era of biosolutions. At Novonesis, our purpose is clear: to 'better our world with biology'. The potential of biosolutions is immense, and we are just getting started.

Cees de Jong, Chair

Ester Baiget, CEO



Highlights

Financials

7%

Organic sales growth

37.1%

Adjusted EBITDA margin

1.9x

NIBD/EBITDA

770.4 EUR million

Free cash flow before acquisitions

Sustainability

67%

Reduction of greenhouse gas emissions from scope 1 and 2 since 2018

100%

Electricity from renewable sources

36%

Women in senior management

1.4

Lost Time Injury Frequency (LTIF) with absence

Outlook	Initial 2025 outlook*	Latest 2025 outlook (Q3)	2025 realized
Organic sales growth	5–8%	7–8%	7%
Adjusted EBITDA margin	37–38%	37–38%	37.1%

* The initial 2025 outlook was based on exchange rates as of February 21, 2025.

Targets	2025 target	2030 target	2025 realized
Reduce absolute greenhouse gas emissions from scope 1 and 2 from 2018 baseline	65%	75%	67%
Gender distribution in senior management (women/men)	-	40%/60%	36%/64%
Source renewable electricity	100%	100%	100%
Maintain Lost Time Injury Frequency (LTIF) with absence, per million working hours	≤ 1.5	-	1.4

See more details in the [Performance](#) section and the [Financial statements](#).

See more details in the [Sustainability ambition](#) section and the [Sustainability statement](#).



Food & Health Biosolutions

Our food ingredient and processing biosolutions improve the taste, texture, appearance and nutritional profile of food and beverages, while helping our customers lower costs, increase yields, and enhance nutritional quality. Our broad portfolio of science-backed biosolutions supports evolving health needs with targeted solutions for every stage of life – from infancy to adulthood – including mental wellness, gut health, immunity, and women’s health.

8%

Organic sales growth

35.8%

Adjusted EBITDA margin

45%

of total sales



Planetary Health Biosolutions

Our biosolutions help customers and consumers reduce costs and use of fossil-based resources, chemicals and energy. Biosolutions help keep clothes clean with lower energy and water use, and they enable the production of homegrown and more sustainable fuels that make societies more resilient. Additionally, our biosolutions support higher yields and reduced waste across fields and factories.

6%

Organic sales growth

38.2%

Adjusted EBITDA margin

55%

of total sales

Sales areas:

Food & Beverages

8%

Organic sales growth

74%

of divisional sales

Human Health

10%

Organic sales growth

26%

of divisional sales

Sales areas:

Household Care

7%

Organic sales growth

35%

of divisional sales

Agriculture, Energy & Tech

6%

Organic sales growth

65%

of divisional sales



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Our business model

We build on

Customers

We engage with customers to create value for their business and to help them meet consumer needs through existing and new biosolutions.

Employees

Our team of +11,000 employees is united by a shared purpose – to 'better our world with biology'. Their expertise, passion and commitment drive innovation and enable us to continue to deliver value to our customers.

Suppliers and partners

We collaborate with suppliers, partners and authorities to expand the reach of biosolutions and to explore joint opportunities. Together, we also create mutual value, while addressing the environmental and social impacts of our supply chain.

Raw materials

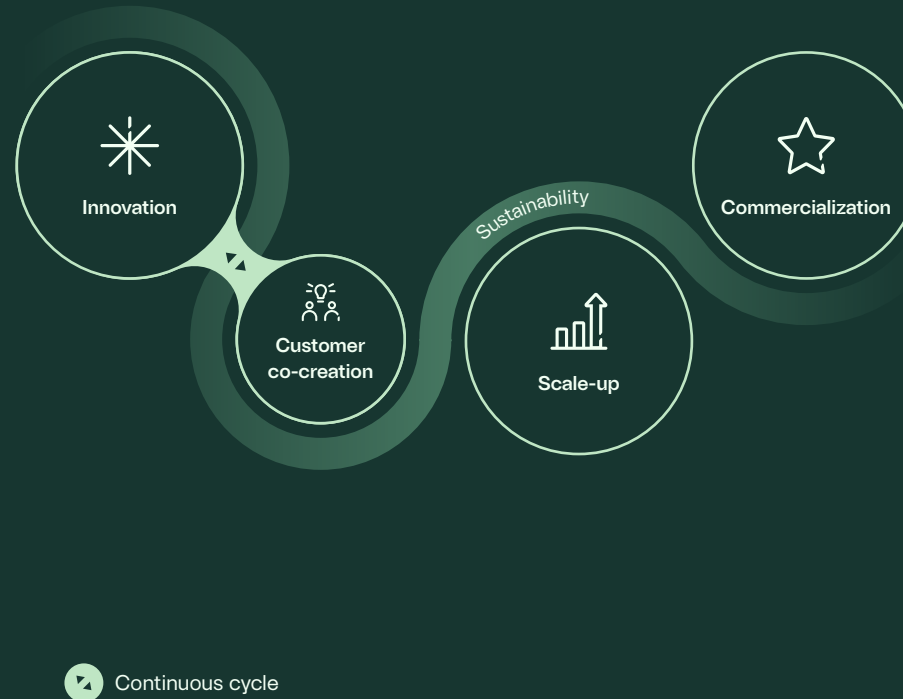
Our production depends on natural resources, including agricultural raw materials, water and energy, which we use responsibly and efficiently.

Financial capital

We ensure a strong balance sheet and are committed to investing capital and resources where they matter the most and where they create long-term value for all stakeholders.

We exist to

Better our world with biology



We create value for

Customers

We enable customers to innovate, enhance profitability, minimize their environmental impact, and deliver products that consumers trust. Our cutting-edge biosolutions strengthen customer performance, increase product quality, and support healthier living – all while caring for people and the planet.

Employees

We foster an inclusive culture where employees are valued, respected, and empowered to realize their potential, because when we thrive as individuals, we succeed together.

Society

Our biosolutions enable healthier lives by meeting the nutritional needs of a growing population, while also driving economic growth, creating jobs, and helping build resilient and prosperous societies.

Planet

Our biosolutions enable a healthier planet by transforming production and consumption. They reduce the dependency on fossil-based resources, chemicals, energy and water.

Shareholders

We create long-term value for shareholders through consistent financial performance and sustainable growth, ensuring attractive returns.

Input

Novones

Output



Our GROW strategy

Our 2030 strategy focuses on growing our core business while reinvesting for the future. Anchored in three strategic pillars, it defines our path to profitable growth, as we expand the biosolutions market and carve our way into the approximately EUR 1 trillion specialty chemicals market.

Novonesis is a pure biology player, with deep scientific specialization in microbiology and industrial fermentation. We are present in a broad range of industries, from food and nutrition to agriculture, household care, and energy. Our biosolutions reach more than two billion people every day.

Demand for our solutions continues to grow across industries and regions. This is driven by a convergence of performance, health attributes and efficiencies, and environmental benefits. Our biosolutions help customers reduce chemical usage, increase yields, and save energy. In doing so, they improve food security, support healthy living, and boost local economies. The benefits are clear, and advances in biotechnology are accelerating this convergence, allowing us to develop solutions faster and more effectively. Advanced data, AI, and quantum computing further strengthen discovery, design, and performance prediction across our innovation pipeline.

Uniquely positioned to drive an expanding biosolutions market

Today, the biosolutions market encompasses products like amino acids, vitamins, peptides, enzymes, cultures, yeast, probiotics, and fermented proteins. With our innovative solutions,

we are steadily expanding the boundaries of the biosolutions market while carving our way into the EUR 1 trillion addressable specialty chemicals market.

Leveraging our close customer relationships, we provide cutting-edge innovation through co-creation and world-class operational capabilities on a global scale. With these capabilities and powered by our talented employees, we are uniquely positioned to continue expanding the market and deliver sustainable, profitable growth today and in the future.

Long-term financial and sustainability targets

In August 2025, we announced our ambitious 2030 targets and strategic priorities, which set the path for delivering on those long-term ambitions. Our strategy is called GROW, and it is a continuation of our strategic direction.

Three pillars anchor our 2030 strategy. With these, we continue to deliver profitable growth:



Grow
the core



Enhance
our distinctive
position



Accelerate
the biosolutions
market



Our 2030 targets:

6–9%

Organic sales CAGR

~ 39%

Adjusted EBITDA margin

~ 16%

Adjusted ROIC
(excluding goodwill)

75%

Reduction in scope 1 and 2
emissions (from 2018 baseline)

>= 40%

Of the underrepresented gender
in senior management

Our targets are underpinned by continued investments to secure profitable growth, also beyond 2030.

For the strategy period, we are reconfirming our **sustainability ambition** of People.Planet.Positive., and our sustainability targets. We also maintain our long-term ambitions on gender parity and climate.

Three strategic pillars

GROW focuses on growing our core business and making investments to secure long-term growth. It is anchored in three strategic pillars: 'Grow the core', 'Enhance our distinctive position', and 'Accelerate the biosolutions market'. Together, they define our path to profitable growth.



Grow the core

Continuing to deliver strong, profitable growth from our core segments is the foundational pillar of our strategy. We operate in a broad range of markets, and we consistently outperform underlying end-market volume growth of 1–2% per year.

Our solutions usually represent a small share of our customers' cost of goods sold, yet they deliver significant value for end users. This creates room for continuous growth through value-based pricing, increased penetration, upselling, and expanding into adjacent sales areas and geographies. It also allows us to realize synergy potential by leveraging our expanded biological toolbox.

Creating value for customers

Across our divisions, we continued to meet customer needs and deepen our market presence. In Household Care, we have continued to increase our penetration. For example, our tailored enzyme solutions helped a partner become a leading player in the auto-dishwashing sector in the Middle East and Africa region. Our innovation in Household Care is also enabling the reduction of non-biodegradable synthetic polymers and the replacement of synthetic optical brighteners.

In Agriculture, Energy & Tech, we enabled a customer to become the largest ethanol producer in Latin America by ensuring supply reliability and by offering innovative new biosolutions, such as yeast solutions, to enhance yield and efficiency. Following this progress, we are now co-developing biosolutions for next-generation biofuels, further strengthening our relationships and creating long-term value.

In Food & Beverages, we help customers meet rising consumer demand for natural, high-protein and cleaner-label foods. For example, our taste and texture solutions for dairy support producers in enhancing the quality of their products, while reducing the use of less desirable ingredients, like texturizers, artificial sweeteners, sugar and salt. At the same time, our starter cultures enable production to become simpler, more consistent and more cost-effective.

Meanwhile, in Human Health, we see attractive market growth opportunities in newer, fast-growing areas such as mental wellness, infants', children's and women's health, and healthy aging. With our researched biosolutions, we enable our customers to provide consumers with dietary supplements from early life to later years.



Looking across geographies, we expect emerging markets to have grown relatively faster than developed markets by 2030, supported by increased commercial presence and tailored homegrown solutions.



Enhance our distinctive position

We are leading the era of biosolutions with a unique position built on three distinct capabilities: a deep understanding of our customers, innovation leadership, and world-class scale capabilities. To support growth towards 2030 and beyond, we continue to invest in each of them.

Building on our biological expertise, we work closely with our customers – globally and regionally – to deeply understand their needs and translate them into specialized solutions based on biology. Through more than 40 local R&D, application and co-creation centers, we adapt and optimize solutions quickly. Being a pure biology player gives us a clear focus and the right to play in the fastest-growing segments of the markets where we are present, like protein, cleaner label, and solutions that allow decoupling from fossil-based inputs. With our solutions, we enable customers to reduce expenses, increase efficiency, and improve yields.

We innovate pure biological solutions using state-of-the-art science. Our solutions are based on a library of more than 100,000 strains and supported by more than a century's worth of expertise in microbiology and industrial fermentation, protected by more than 10,000 patents, and further improved with AI and advanced technology.

AI strengthens how we move from insight to impact, enabling faster experimentation, higher hit rates, and earlier advancement of strong candidates. Our science is agnostic of

application, allowing us to leverage our innovation across more than 30 markets. This highly specialized capability makes us experts in translating specific market and customer needs into innovative biosolutions, while navigating highly regulated markets and ensuring strong protection of our intellectual property. In 2025, we invested 11% of sales in R&D and launched 33 new products, contributing significantly to future sales growth. Moreover, 85% of products launched in 2025 are covered by intellectual property through 89 new patent filings, further underscoring our innovation leadership.

As a pure biology player, our production is solely rooted in fermentation. Our global production footprint allows us to commercialize and scale across markets and regions, and provides flexibility, size and built-in resilience in supply chains – our own, customers' and societal. With this unique capability, we offer affordable, value-adding local solutions with the stability of a global company, serving as a natural hedge for market volatility. AI-enabled monitoring and forecasting increasingly improve yields, reduce variability, and strengthen operational resilience.

Our talented employees are the key enablers of our strategy. We continue to focus on attracting and retaining highly engaged people and building the capabilities needed to deliver on our growth ambitions. This includes building AI literacy and embedding digital capabilities across the organization to support faster, better decision-making.



Accelerate the biosolutions market

Our growth allows us to plant future seeds for new areas of biosolutions. This includes selective investment in adjacent and emerging opportunities. These exploratory areas come with significant potential, but also higher risk. Applying a venture-model approach to these explorative opportunities, we

continue to invest only when and if we reach milestones on both technology and market-readiness, and when we see a viable path forward.

We see positive traction across our portfolio of exploratory efforts, including commercial sales in processing aids for the biopharma industry, a segment we have been developing for several years. We are also advancing promising exploration areas, such as enzymatic plastic recycling, carbon capture, future fuels, and chemicals, as well as specialized nutritional proteins. One example is our work in sustainable plastics. Together with Carbios, we are advancing enzymatic recycling technologies. In 2025, Carbios secured its first third-party license agreement.

In parallel, we continue to drive transformation and advocacy leadership. We engage actively to remove unnecessary regulatory barriers and accelerate the biosolutions market. We collaborate with the World Economic Forum, including the Alliance of CEO Climate Leaders, and the UN Global Compact. In the U.S., we are founding members of the American Alliance of Biomanufacturing, and in Brazil we actively support policy-makers in shaping regulation. These efforts aim to protect our core business and ensure a fit-for-purpose regulatory environment for our biosolutions, while enabling faster market access, better products for consumers, and sustainable economic growth in local economies.

The time for biosolutions is now

Biology provides strong solutions to some of the world's greatest challenges. With our biosolutions, we are transforming the way our customers produce and how people consume. The potential is vast. With our GROW strategy, we are expanding our impact for our customers, for our shareholders, and for the planet.



Amplifying our impact with AI

Artificial Intelligence (AI) strengthens how we deliver on our purpose. By combining data, algorithms, and deep biological expertise, AI helps us move faster from discovery to impact and enables us to scale solutions with greater precision and efficiency.

AI is accelerating how we discover, design and refine biosolutions. Advanced models support enzyme and strain screening, protein design, and performance prediction, and they have fundamentally changed some of our development cycles. For example, we have used Google DeepMind's AlphaFold for years, and by combining it with our proprietary sequence database and strain collection, we get a unique dataset on the connection between the three-dimensional structure of an enzyme and its function. What used to take up to six months can now be done in less than a minute and applied to entire families of enzymes.

Many other R&D processes are also being accelerated significantly. This allows our teams to test more ideas, faster, and with higher odds of success. We have succeeded in improving yields of some bacterial strains by up to 300% by leveraging AI in combination with our internal data and diversity banks. Shorter development cycles improve hit rates and allow stronger candidates to advance earlier. Faster learning also means faster impact for customers, without compromising the scientific rigor or safety that is at the core of our business.

We work closely with global partners to continue to strengthen our innovation leadership. For years, we have invested in machine learning and a top-tier data infrastructure, and today we routinely adopt, embed and use biological AI models on top of our unique collection of biosolutions performance data. More recently, we partnered with Cradle to embed their advanced AI models directly into our innovation processes – improving development cycles and accelerating time to market.

We are also deeply focused on integrating other cutting-edge technologies, including quantum computing. In collaboration with Kvantify, we completed the world's first calculation of an enzymatic reaction using a hybrid of classical and quantum computing, demonstrating how we can leverage this technology now and in the future.

Scaling biology more efficiently

In manufacturing, predictive models optimize fermentation conditions, increase yields, and reduce variability across

Improving yields of some bacterial strains by up to:

300%





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We aim to train more than

600

ambassadors on AI tools,
policy and integrity.

production runs. AI-enabled monitoring allows earlier detection of deviations, thus cutting downtime and waste.

This delivers higher output from existing assets, lower resource use per unit produced, and more resilient operations, strengthening both margins and environmental performance. AI also enables us to enhance the precision of our sales forecasting, making sure our production is geared to current demands. To support further use of AI-driven analytics in the long term, we are upgrading our ERP system and underlying data infrastructure over the coming years.

Faster impact with customers

AI tools support quicker application development, more precise formulations, and faster troubleshooting in our customer co-creation process. This enables our customers to achieve performance improvements sooner, while using fewer inputs. We have already implemented AI tools that enable us to validate claims against regulatory frameworks, conduct internal risk assessments, and create product communication in line with regulation and in our own tone of voice.

AI also supports stronger feedback loops. For instance, we implemented 'Customer Voice' agents in selected teams, which improved quality and reduced the time spent on reporting from two days to two hours. By implementing new tools, we could potentially also reduce our customer response time by up to 80%.

A more effective and efficient organization

AI is reshaping how we work. Data and insights that previously required manual consolidation can now be available in real time, which helps improve decision quality and speed. To support the adoption, our ambition is to train more than 600 ambassadors on AI tools, policy and integrity over the next couple of years. Their role is to help build AI literacy across our more than 11,000 employees. The ambassador network is one element of a broader approach to embedding the technology across the organization. It supports teams in adopting technology at different paces and allows capabilities to scale as the needs evolve.

For us, efficiency gains translate into capacity. By freeing up time, our employees can focus more on innovation, customer collaboration, and continuous improvement.

Responsible, human-led deployment

Our use of AI is guided by clear principles and guardrails. Data integrity, transparency, and accountability are foundational. Human expertise remains decisive, particularly where scientific judgment, safety, and ethical considerations matter most.

AI enables us to deliver more impact with the same – or fewer – resources, accelerate innovation timelines, and scale responsibly. At Novonesis, AI is embedded across the business to amplify impact – for customers, for society, and for the world we aim to better with biology.





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Our sustainability ambition:

People. Planet. Positive.

Our purpose is clear: We are here to ‘better our world with biology’. Our ambition is to leave a positive impact on people and on the planet in everything we do. We call it ‘People. Planet. Positive.’

Sustainability is embedded in every aspect of our business. It guides the way we invest, innovate, partner with customers and suppliers, and how we develop our organization to deliver biosolutions that address the evolving needs of the world and our stakeholders.

To deliver on our People. Planet. Positive. ambition, we anchor **sustainability governance** within the Board of Directors and the Executive Leadership Team, and we integrate it into our overall strategy and key functions.

We focus on four key societal themes where our biosolutions, and the way we operate, can create meaningful change, by helping customers improve their business while evolving our own. Our societal themes are outlined in the visual to the right.

We catalyze positive change by continuously enhancing our handprint while reducing our footprint





Our handprint

Our biosolutions help address some of the world's biggest challenges by reducing food waste, meeting nutritional needs, replacing chemicals, lowering energy consumption and much more, thus enabling healthier lives and a healthier planet.

We refer to this positive impact as our handprint. Our aim is for customers, partners, investors and other stakeholders to recognize the full value of our biosolutions – for businesses, for people, and for the planet.

To expand our positive impact across more than 30 industries, we leverage nature's own microbes, enzymes and proteins, together with decades of expertise. We document our contribution by assessing how our biosolutions align with the six UN Sustainable Development Goals (SDGs) most relevant to us.

>80%

of our sales and biosolutions in our innovation pipeline are aligned* with at least one of the six selected SDGs



* Each product and innovation project is evaluated annually for its documented impact towards SDGs 2, 3, 6, 7, 12 and 13. Sales assessment uses mapped benefits and supporting evidence of SDG alignment. Innovation assessment is based on expected outcomes of projects.

In the spotlight

Transform food systems

Biology is an inherent part of agriculture, animal production, and food systems, and today biosolutions are improving every step from farm to table.

Biosolutions help bakers increase yields and produce a greater variety of higher-quality baked goods with cleaner labeling, as well as bread that is healthier, higher in protein, tastes better, and lasts longer, thereby reducing food waste. Biosolutions also help dairies produce a broader variety of uniform, fresh yogurt and cheese products, with a pleasant and consistent flavor and texture, higher protein content, reduced sugar and fat content, and an extended freshness period.

Our solutions are also shaping the future of food at the highest levels of gastronomy. With Noma, one of the world's most innovative restaurants, we are exploring how biology can help create foods that are healthier, tastier, and better for the planet. The collaboration between Noma and Novonesis brings together global leaders in fermentation and exemplifies how biosolutions are not only transforming industrial food production: They are also redefining what is possible in culinary innovation.

In 2025, our biosolutions were in:



>50% of all bread, yogurt and cheese produced globally*

Each day, our biosolutions reach*:



~350 million loaves of bread



~1 billion cheese servings



~450 million yogurt servings

* Assumes a loaf of bread weighs 500 g, a serving of cheese is 35 g, and a serving of yogurt is 140 g.



Our footprint

Our footprint reflects the resources we use, the environmental impacts of our operations, and the social responsibilities we uphold across our value chain. It encompasses how we manage energy, water, emissions and waste – and how we foster a safe, inclusive workplace while promoting human rights and fair labor practices.

We have prioritized social and environmental topics based on the outcome of our **Double Materiality Assessment**. They are described in more detail in our **Sustainability statement**. We are pleased to report that we have achieved all our 2025 targets.

6/6

sustainability targets achieved

Reaching these milestones demonstrates our ongoing commitment to developing a stronger, safer, more resilient and resource-efficient business prepared for the future. It reflects the collective efforts across our organization, and it provides a strong foundation for delivering on our long-term targets, supporting value creation for our stakeholders, and contributing positively to the communities and societies in which we operate.

Our footprint targets

Driving our People. Planet. Positive. ambition

Societal agenda	Milestone targets (2025)	Long-term targets and ambitions
 Mitigate climate impact	✓ Reduce absolute GHG emissions from scope 1 and 2 by 65% ✓ Source 100% renewable electricity	- Reduce absolute GHG emissions from scope 1 and 2 by 75% and from scope 3 by 35% by 2030 - Maintain 100% renewable electricity through 2030 - Reach net-zero by 2050
 Protect nature and biodiversity	✓ Restore 10 billion liters of water ✓ Improve freshwater withdrawal by saving and recycling 8% more water ✓ Maintain 100% circular biomass	- Restore 30 billion liters of water by 2030 - Improve freshwater withdrawal by saving and recycling 15% more water by 2030 and 20% more by 2035 - Achieve zero waste to landfill by 2030 - Implement three key circular packaging projects by 2030
 Enable healthier living	✓ Maintain our Lost Time Injury Frequency (LTIF) with absence, per million working hours, at less than or equal to 1.5	- Maintain our Lost Time Injury Frequency (LTIF) with absence, per million working hours, at less than or equal to 1.5 by 2026 - Achieve a minimum of 40% of the underrepresented gender in senior management by 2030

The baseline year for GHG emissions targets is 2018. Our net-zero climate targets are SBTi-validated.
The baseline year for water targets is 2021.
Learn more about the targets and our progress in the [Sustainability statement](#).



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EUR million	2021	2022	2023	2024	2025
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Net sales	2,010.3	2,359.4	2,402.2	3,833.5	4,157.6
Gross profit	1,159.5	1,287.3	1,304.8	1,809.5	2,241.5
Operating profit (EBIT) before special items	538.8	622.2	610.9	659.0	882.6
Special items	-	(9.1)	(77.3)	(158.0)	(65.9)
Operating profit (EBIT)	538.8	613.1	533.6	501.0	816.7
Financial items, net	(10.6)	0.3	(6.5)	(80.4)	(66.8)
Net profit	422.9	495.5	407.9	305.8	583.6
Adjusted gross profit	1,159.5	1,287.3	1,304.8	2,175.7	2,458.7
Adjusted EBITDA	729.2	821.8	797.3	1,387.0	1,543.3
Adjusted EBIT	538.8	622.2	610.9	842.9	946.4
Adjusted net profit	423.0	503.3	477.5	582.9	694.4
Adjusted net profit excluding PPA	423.0	503.3	477.5	791.8	929.4
Balance sheet					
Total assets	3,330.5	3,762.9	3,809.4	15,195.6	16,349.1
Additions to property, plant and equipment	159.8	376.8	266.3	358.9	439.2
Equity	1,641.4	1,913.3	1,925.6	11,176.0	10,855.2
Invested capital	2,436.4	2,784.0	2,883.4	12,647.3	13,569.4
Net interest-bearing debt	702.6	780.9	887.8	1,490.0	2,727.8
Cash flows and investments					
Cash flow from operating activities	546.2	538.7	557.1	1,019.9	1,221.5
Cash flow from net investments excluding acquisitions	(150.1)	(384.9)	(275.3)	(359.0)	(451.1)
Free cash flow before acquisitions	396.2	153.8	281.8	660.9	770.4

		2021	2022	2023	2024	2025
Key ratios						
Organic sales growth	%	6	9	5	8	7
Gross margin	%	57.7	54.6	54.3	47.2	53.9
R&D expenses (% of sales)	%	13.4	11.4	11.3	10.8	11.2
EBIT margin before special items	%	26.8	26.4	25.4	17.2	21.2
EBIT margin	%	26.8	26.0	22.2	13.1	19.6
Effective tax rate	%	19.9	19.1	22.3	26.7	21.5
Equity ratio	%	49.3	50.8	50.5	73.5	66.4
NIBD/EBITDA	x	1.0	1.0	1.2	1.4	1.9
Capex ratio (% of sales)	%	8.3	16.5	11.5	9.4	11.3
Earnings per share (EPS), diluted	EUR	1.51	1.77	1.46	0.67	1.25
Adjusted gross margin	%	57.7	54.6	54.3	56.8	59.1
Adjusted EBITDA margin	%	36.3	34.8	33.2	36.2	37.1
Adjusted EBIT margin	%	26.8	26.4	25.4	22.0	22.8
Adjusted ROIC (including goodwill)	%	19.3	17.9	16.5	7.8	5.6
Adjusted ROIC (excluding goodwill)	%	21.3	19.9	18.2	12.5	10.1
Adjusted earnings per share (EPS), diluted	EUR	1.51	1.81	1.72	1.27	1.49
Adjusted earnings per share (EPS) excluding PPA, diluted	EUR	1.51	1.81	1.72	1.72	1.99
Dividend per share	EUR	0.74	0.81	0.83	0.83	0.87
Dividend per share	DKK	5.50	6.00	6.20	6.20	6.50

For the definition of financial key figures and ratios, please refer to [Financial definitions and ratios](#). Please refer to [Non-IFRS financial measures](#) for reconciliation of non-IFRS financial measures to the nearest IFRS measures applied in the Annual Report.

In accordance with the acquisition method under IFRS 3, Chr. Hansen is included in the consolidated financial statements as of the merger date January 29, 2024. As the comparative figures for 2021-2023 reflect the historical financial information as reported by Novozymes A/S, this significantly impacts the comparability of the reported financial information in this summary.



Group performance

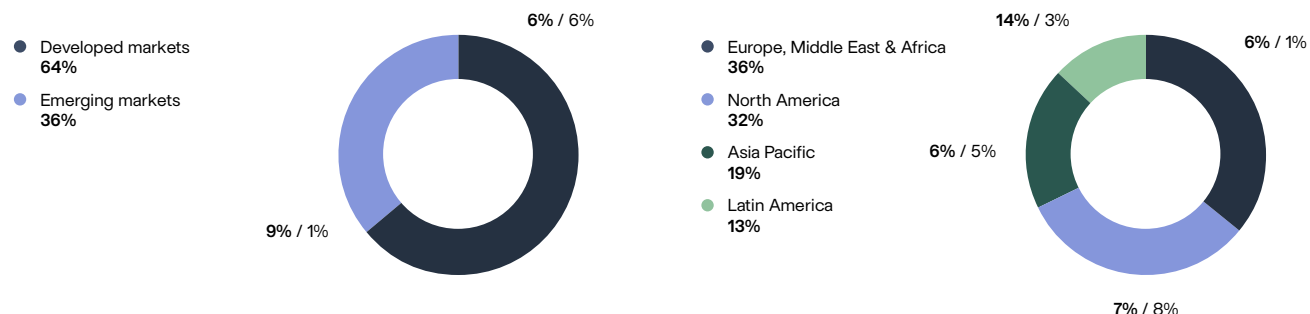
Income statement

Net sales

Novonesis realized 7% organic sales growth in 2025. Sales amounted to EUR 4,157.6 million, equivalent to an increase of 5% in pro forma EUR (IFRS: 8%), including negative currency impact of 3% and positive M&A impact of close to 1.5%

relating to the Feed Enzyme Alliance acquisition. Sales synergies contributed around 1 percentage point to the group organic sales growth across both divisions. Emerging markets grew organically by 9%, including the exit from certain countries, and developed markets grew 6%. Organic sales growth was negatively impacted by around 1 percentage point from exiting certain countries (Russia and Belarus).

Geographical distribution of net sales (organic sales growth 2025/Q4)



		2025			Pro forma 2025		
Sales growth		Food & Health Biosolutions	Planetary Health Biosolutions	Group	Food & Health Biosolutions	Planetary Health Biosolutions	Group
Organic sales growth	%	8	6	7	8	6	7
Currency	%	(2)	(3)	(3)	(3)	(3)	(3)
M&A	%	6	3	4	0	2	1
Sales growth, EUR	%	12	6	8	5	5	5



Readers guide

The Annual Report includes information that is presented on a pro forma basis (pro forma figures) and information that is presented according to IFRS Accounting Standards (IFRS), as adopted by the EU (reported basis). Furthermore, the Annual Report includes other alternative performance measures (APMs). Please refer to [Non-IFRS financial measures](#).

In the Performance section, Novonesis compares selected reported year-on-year key figures for 2025 with pro forma figures for 2024 for better comparability, relevance and transparency, following the combination with Chr. Hansen on January 29, 2024. Please refer to the [Pro forma financial information](#) section for the definition and reconciliation of pro forma figures.

The Performance section compares and comments on year-on-year 2025 development relative to pro forma 2024 performance. IFRS comparisons are included in parentheses after the pro forma figures where relevant. In addition, the performance review includes commentary on the IFRS-based performance for Q4 2025 compared with Q4 2024 (both unaudited).

Rounding discrepancies may occur because totals have been rounded off and the underlying decimals are not presented.



In Q4 2025, organic sales growth was 4%. Sales amounted to EUR 996.6 million, equivalent to an increase of 2%, including negative currency impact of 4% and positive M&A impact of 2% relating to the Feed Enzyme Alliance acquisition. Sales synergies contributed around 1 percentage point to the group organic sales growth across both divisions, whereas timing of sales in Agriculture impacted growth slightly negatively in the quarter. Emerging markets grew 1% organically, including the exit from certain countries, and developed markets grew 6%. In Q4 2025, organic sales growth was negatively impacted by around 2 percentage points from exiting certain countries.

Gross margin

The gross margin was 53.9% in 2025, and the adjusted gross margin was 59.1%, an increase of 240 bps (IFRS: 230 bps) compared to the 12M 2024 adjusted gross margin. The improvement was driven by sales leverage, lower input cost, and pricing, as well as productivity improvements. These positive factors were partly offset by currency headwinds, mainly the USD.

In Q4 2025, the gross margin was 56.1%, and the adjusted gross margin was 59.9%. This was an increase of 250 bps compared to the adjusted gross margin in Q4 2024 and driven by the same factors as those for the full year.

The reported gross margin for the full year 2025 was impacted by an inventory step-up relating to the purchase price allocation (PPA), as well as a temporary one-off drag from the inventory buyback related to the Feed Enzyme Alliance acquisition. Non-cash PPA inventory adjustments of EUR 63.8 million (2024: EUR 183.9 million) are excluded from the adjusted gross margin for the full year 2025, with no impact in Q4.

Sales growth

		Q4 2025		
		Food & Health Biosolutions	Planetary Health Biosolutions	Group
Organic sales growth	%	7	2	4
Currency	%	(4)	(6)	(4)
M&A	%	0	4	2
Sales growth, EUR	%	3	0	2

Selected key figures and ratios

EUR million		2025	2024	Pro forma 2024	Q4 2025	Q4 2024
Net sales		4,157.6	3,833.5	3,945.5	996.6	981.4
Organic sales growth	%	7	8	8	4	7
Adjusted gross margin	%	59.1	56.8	56.7	59.9	57.4
Adjusted EBITDA		1,543.3	1,387.0	1,423.4	364.6	355.5
Adjusted EBITDA margin	%	37.1	36.2	36.1	36.6	36.2
Free cash flow before acquisitions		770.4	660.9	667.5	102.0	91.2
NIBD/EBITDA	x	1.9	1.4	1.4		

Operating expenses

Operating expenses totaled EUR 1,375.6 million in 2025, compared to EUR 1,213.3 million (IFRS: EUR 1,178.7 million) in 2024, equal to a 13% increase (IFRS: 17%), mainly related to PPA-related depreciation and amortization, and the planned ramp-up of commercial resources during 2025 from both organic expansion and the Feed Enzyme Alliance acquisition. Operating expenses equaled 33.1% of sales, 230 bps higher compared to last year, which were at 30.8% (IFRS: 30.7%). Adjusting for PPA-related depreciation and amortization of approximately EUR 149 million in 2025, the operating expenses to sales ratio was 29.5%, compared to 28.5% (IFRS: 28.4%) in

2024, when adjusting for PPA-related depreciation and amortization of approximately EUR 90 million. The increased ratio was due to higher activity level, particularly in sales and distribution.

In Q4 2025, operating expenses were EUR 378.0 million, compared to EUR 320.8 million in Q4 2024, equivalent to an 18% increase. This increase was mainly related to PPA-related depreciation and amortization, and the planned ramp-up of commercial resources, both organic and inorganic. Additionally, operating expenses were impacted by one-offs related to the impairment of an R&D project and expenses related to re-alignment of activities, as well as a write-down of



assets in conjunction with the closure of a small site. In Q4 2025, operating expenses equaled 37.9% of sales, compared to 32.7% in Q4 2024. Adjusting for PPA-related depreciation and amortization, the operating expenses to sales ratio was 32.4%, compared to 30.1% in Q4 2024.

Sales and distribution expenses (adjusted for PPA-related depreciation and amortization) increased by 17% in 2025 (IFRS: 21%), driven by the ramp-up of commercial resources during 2025, both organic and inorganic, as well as increased customer-facing initiatives and increased emerging market presence. Sales and distribution expenses equaled 14.4% of sales, compared to 13.0% (IFRS 12.9%) last year. In Q4 2025, sales and distribution expenses were 16.7% of sales, compared to 14.2% in Q4 2024. The increase was driven by the ramp-up of commercial resources, as well as one-off expenses related to re-alignment of activities, and a write-down of assets in conjunction with the closure of a small site.

Research and development expenses (adjusted for PPA-related depreciation and amortization) increased by 5% in 2025 (IFRS: 7%), equal to 9.8% of sales, compared to 9.8% (IFRS: 9.9%) in 2024. In Q4 2025, this was 10.2% of sales, compared to 10.2% in Q4 2024. Novonesis continued to reinvest significantly in research and development in both the 12-month period and Q4 to cater for future growth opportunities.

Administrative expenses were flat in 2025 (IFRS: 4%), equal to 5.4% of sales, compared to 5.7% (IFRS: 5.6%) last year. In Q4 2025, this was 5.5% of sales, compared to 5.8% in Q4 2024. The improved ratio for both the 12-month period and Q4 is the result of economies of scale.

Other net operating income amounted to EUR 16.7 million in 2025, compared to EUR 28.2 million (IFRS: EUR 28.2 million) in 2024.

Adjusted EBITDA

Adjusted EBITDA was EUR 1,543.3 million in 2025, with an adjusted EBITDA margin of 37.1%. This compares to EUR 1,423.4 million (IFRS: EUR 1,387.0 million) at a margin of 36.1% (IFRS: 36.2%) for 2024, an increase of EUR 119.9 million (IFRS: EUR 156.3 million) or 8% (IFRS: 11%). The adjusted EBITDA margin benefited from strong sales performance, improved gross margin, related economies of scale, and cost synergies. This was partly offset by lower other operating income and currency headwinds.

In Q4 2025, adjusted EBITDA was EUR 364.6 million, representing an adjusted EBITDA margin of 36.6%. This compares to EUR 355.5 million at a margin of 36.2% in Q4 2024, representing an increase of EUR 9.1 million or 3%. The underlying performance was solid, explained by the same factors as those for the full year. However, the Q4 margin was impacted by the above-mentioned one-off expenses.

The Feed Enzyme Alliance acquisition had a positive impact on the adjusted EBITDA margin of around 25 bps, in line with expectations for 2025. In Q4 2025, this impact was around half a percentage point.

Operating profit (EBIT) and adjusted EBIT

EBIT was EUR 816.7 million in 2025, compared to EUR 486.4 million (IFRS: EUR 501.0 million) in 2024. In Q4 2025, EBIT was EUR 172.6 million, compared to EUR 126.2 million in Q4 2024. The EBIT margin in 2025 was 19.6%, compared to 12.3% (IFRS: 13.1%) in 2024.

Adjusted EBIT, which includes the PPA depreciation and amortization, was EUR 946.4 million for 2025, representing an adjusted EBIT margin of 22.8%, compared to EUR 869.3 million (IFRS: EUR 842.9 million) and a margin of 22.0% (IFRS: 22.0%) in 2024. This marks an increase of EUR 77.1 million (IFRS: 103.5



million) or 9% (IFRS: 12%). The year-on-year rise is mainly due to increased sales and resulting economies of scale, as well as synergies, whereas currencies had a negative impact.

In Q4 2025, adjusted EBIT was EUR 187.9 million, representing an adjusted EBIT margin of 18.9%. This compares to EUR 189.1 million and a margin of 19.3% in Q4 2024, a decrease of 1%, impacted by the above-mentioned one-off expenses and currency headwinds.

Net profit

Depreciation and amortization amounted to EUR 596.9 million for 2025, including impairment losses of EUR 22.1 million in Q4, mainly related to a discontinued R&D project and write-down of assets in conjunction with the closure of a small site. This compares to EUR 607.4 million (IFRS: EUR 597.4 million) in 2024, which included impairment losses of EUR 53.3 million, mainly related to the exit from certain countries and discontinued R&D projects. The increase, adjusted for impairments, was mainly due to additional depreciation and amortization from the PPA of the Feed Enzyme Alliance acquisition.

In Q4 2025, depreciation and amortization amounted to EUR 176.7 million, including impairment losses of EUR 22.1 million as detailed in the full year comments, compared to EUR 188.7 million in Q4 2024, which included impairment losses of EUR 22.3 million.

Special items totaled EUR 65.9 million, compared to EUR 199.0 million (IFRS: EUR 158.0 million) in 2024 and were comprised of transaction and integration expenses from the Feed Enzyme Alliance acquisition, integration expenses from the Chr. Hansen combination, and expenses related to the implementation of a new global ERP system for the combined business.

In Q4 2025, special items were EUR 15.3 million, compared to EUR 62.9 million (IFRS: 62.9 million) in Q4 2024.

Net financial expenses totaled EUR 66.8 million, representing a decrease of EUR 17.4 million (IFRS: EUR 13.6 million) compared to last year. The decrease is mainly explained by lower interest net expenses.

Profit before tax reached EUR 743.4 million in 2025, up from EUR 396.0 million (IFRS: EUR 417.1 million) last year, reflecting improved performance and the impact of the combination in 2024.

The effective tax rate (ETR) was 21.5% for 2025 and was positively impacted by prior-year adjustments, compared to 30.2% (IFRS: 26.7%) in the same period of 2024, which was extraordinarily high, since merger-related expenses were non-deductible.

Net profit totaled EUR 583.6 million for 2025, compared to EUR 276.6 million in 2024 (IFRS: EUR 305.8 million). The adjusted net profit was EUR 694.4 million, compared to EUR 594.7 million (IFRS: EUR 582.9 million) in 2024, an increase of 17% (IFRS: 19%). In Q4 2025, net profit was EUR 122.8 million, while adjusted net profit was EUR 136.4 million, compared to EUR 136.3 million in Q4 2024.

Adjusted net profit excluding effects from the PPA increased by 16% to EUR 929.4 million in 2025, up from EUR 803.6 million (IFRS: EUR 791.8 million) in 2024. In Q4 2025, adjusted net profit was EUR 208.7 million, compared to EUR 208.0 million in Q4 2024.

Adjusted earnings per share (EPS), diluted, was EUR 1.49 in 2025, an increase of 16% (IFRS: 17%) compared to EUR 1.28 per share in 2024 (IFRS: EUR 1.27 per share).

Adjusted EPS excluding PPA, diluted, was EUR 1.99 per share, an increase of 15% (IFRS: 16%) compared to EUR 1.73 per share in 2024 (IFRS: 1.72). In Q4 2025, adjusted EPS excluding PPA, diluted, was EUR 0.45 per share, an increase of 2% compared to EUR 0.44 per share in Q4 2024.

Cash flows and investments

Cash flow from operating activities was EUR 1,221.5 million in 2025. This was an increase of EUR 189.0 million (IFRS: EUR 201.6 million) compared to 2024. The development was mainly driven by the improvement in net profit and lower paid taxes, as well as a lower positive development in working capital compared to last year. In Q4 2025, cash flow from operating activities totaled EUR 328.2 million, compared to EUR 229.2 million in Q4 2024. This improvement was mainly driven by higher net profit and lower working capital.

Cash flow from net investments excluding acquisitions totaled EUR 451.1 million in 2025. Capital expenditures (CAPEX) totaled EUR 470.8 million, equal to 11.3% of sales for the year, compared to EUR 365.8 million (IFRS: EUR 359.8 million), equal to 9.3% (IFRS: 9.4%) of sales in 2024. In Q4 2025, CAPEX totaled EUR 226.7 million, equivalent to 22.7% of sales, compared to EUR 133.2 million in Q4 2024, at 13.6% of sales.

Despite the increase in CAPEX in 2025, free cash flow before acquisitions was EUR 770.4 million, at 19% of sales, corresponding to an increase of EUR 102.9 million (IFRS: EUR 109.5 million) compared to 2024. For Q4 2025, free cash flow before acquisitions totaled EUR 102.0 million, compared to EUR 91.2 million in Q4 2024.



The Feed Enzyme Alliance acquisition impacted net cash flow negatively by EUR 1,519.8 million in 2025. Cash flow from financing activities was EUR 753.3 million, impacted by the bridge loan obtained in relation to the acquisition of the Feed Enzyme Alliance, dividend payments and share buybacks.

Balance sheet and equity

Total assets were EUR 16,349.1 million on December 31, 2025, an increase of EUR 1,153.5 million compared to December 31, 2024. The development was mainly driven by the acquisition of the Feed Enzyme Alliance.

Net interest-bearing debt was EUR 2,727.8 million on December 31, 2025, compared to EUR 1,490.0 million on December 31, 2024. The increase is related to the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance, where a bridge loan of EUR 1,470 million was obtained, which will be refinanced in 2026. The NIBD/EBITDA ratio was 1.9x on December 31, 2025, compared to 1.4x at the end of 2024 and 2.1x at the end of the second quarter of 2025.

Total equity was EUR 10,855.2 million on December 31, 2025, compared to EUR 11,176.0 million on December 31, 2024, resulting in an equity ratio of 66.4%, compared to 73.5% on December 31, 2024. Net profit impacted the development positively, offset by paid dividends of EUR 402.7 million, share buybacks of EUR 99.9 million, and negative currency translation adjustments. Novonesis held 2,384,632 treasury shares, or 0.5% of the total outstanding share capital, as of December 31, 2025.

Adjusted ROIC including goodwill was 5.6%, compared to 7.8% in 2024. The adjusted ROIC excluding goodwill was 10.1% in 2025, compared to pro forma 8.3% in 2024 (IFRS: 12.5%), driven by higher profitability and an increase in amortization of PPA.





Food & Health Biosolutions

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Distribution of sales 2025



Food & Beverages

Organic sales growth: 8%

Human Health

Organic sales growth: 10%

Net sales

Food & Health Biosolutions organic sales growth was 8% in 2025, driven by strong 10% growth in Human Health and 8% growth in Food & Beverages. The divisional organic sales growth includes a negative impact of around 3 percentage points from exiting certain countries. Pricing contributed around 1 percentage point, and sales synergies also contributed positively to growth.

In Q4 2025, Food & Health Biosolutions organic sales growth was 7%, driven by 10% growth in Human Health and 7% growth in Food & Beverages. The divisional organic sales growth includes a negative impact of around 5 percentage points from exiting certain countries. Pricing contributed around 1 percentage point, and sales synergies also contributed positively to growth.

Adjusted EBITDA margin

Adjusted EBITDA margin for Food & Health in 2025 was 35.8%, an increase of 60 bps (IFRS: 60 bps) compared to 2024, mainly driven by stronger sales and resulting economies of scale, partly offset by currency headwinds.

In Q4 2025, the adjusted EBITDA margin was 36.8%, an increase of 190 bps compared to Q4 2024. This development is mainly the result of economies of scale, somewhat offset by increased investments in the commercial area, and currency headwinds.

2025

Pro forma 2025

		Food & Beverages	Human Health	Food & Health Biosolutions	Food & Beverages	Human Health	Food & Health Biosolutions
Sales growth							
Organic sales growth	%	8	10	8	8	10	8
Currency	%	(3)	(2)	(2)	(3)	(3)	(3)
M&A	%	6	7	6	0	0	0
Sales growth, EUR	%	11	15	12	5	7	5

Q4 2025

		Food & Beverages	Human Health	Food & Health Biosolutions
Sales growth				
Organic sales growth	%	7	10	7
Currency	%	(4)	(6)	(4)
M&A	%	0	0	0
Sales growth, EUR	%	2	4	3

EUR million	2025	2024	Pro forma 2024	Q4 2025	Q4 2024
Food & Beverages	1,372.5	1,238.2	1,310.2	326.4	318.7
Human Health	494.8	429.9	460.7	119.9	115.1
Net sales	1,867.3	1,668.1	1,770.9	446.3	433.8
Adjusted EBITDA	669.4	586.7	622.9	164.2	151.4
Adjusted EBITDA margin	%	35.8	35.2	36.8	34.9



Food & Beverages

74%

of total sales in Food
& Health Biosolutions

8%

Organic
sales growth

Net sales

Food & Beverages delivered organic sales growth of 8% in 2025, and pro forma sales in EUR increased by 5% (IFRS: 11%). Organic sales growth was negatively impacted by around 3 percentage points from exiting certain countries. Growth was continuously driven by strong momentum in Dairy from penetration, conversion in cheese, adoption of innovation, and increasing demand for high-protein dairy products. Baking, Meat and Plant-based solutions also saw strong growth, mainly driven by innovation and penetration, while Beverages declined, impacted by lower end-market volumes.

In Q4 2025, Food & Beverages grew 7% organically, and sales in EUR were up 2%. Organic sales growth was negatively impacted by around 6 percentage points from exiting certain countries. The performance in the quarter was largely driven by the same factors as for the full year, including a positive impact from growth in Beverages.

Selected product launches

Vertera® Velvet – a game-changing solution for plant-based foods and drinks that functionalizes protein for improved mouthfeel, higher protein nutrition, greater affordability, and reduced need for additives.

High-protein drinking yogurt combination – Galaya® Smooth and YoFlex® cultures unlock up to 12% protein, cost-optimized recipes, and a better drinking experience.

Highlights

Our Food & Beverage biosolutions unlock the tastes, textures, appearances and nutritional value consumers want – all with cleaner labels. At the same time, they help our customers improve product quality while preserving the authenticity consumers expect.

An example of the value our biosolutions provide is our Vertera® Velvet solution for plant-based beverages and foods. Consumers increasingly seek better texture and stability in their plant-based drinks, including when used in coffee.

Vertera® Velvet delivers exceptional barista-quality foam and smooth stability, all while eliminating undesired additives. Additionally, the solution enhances the functionality of more affordable plant proteins, lowering the barrier for consumers to try these new products.

Our biosolutions can also help customers boost productivity. A clear example of this is our Direct Vat Set (DVS®) starter cultures for dairy. Traditional bulk starter bacterial cultures are prepared on-site in dairies through a multi-step process, which can lead to process variation, inconsistent end products, and higher costs.

With Novonesis DVS® starter cultures being added directly to the milk in the vat, dairy product production becomes simpler, more consistent, and more cost-effective. In addition to improving productivity, DVS® cultures help reduce the carbon footprint of dairy by increasing yields, especially when combined with our enzymes in unique customer solutions.



Human Health

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26%

of total sales in Food & Health Biosolutions

10%

Organic sales growth

Net sales

Human Health organic sales growth was 10% in 2025, and pro forma sales in EUR were up 7% (IFRS: 15%). Organic growth was negatively impacted by around 1 percentage point from exiting certain countries. Recognition of deferred revenue related to Advanced Protein Solutions (APS) benefited organic sales growth by around 1 percentage point. Growth was driven by a strong development across regions and subcategories in Dietary Supplements, led by North America. Growth in Advanced Health & Nutrition was driven by APS and Human Milk Oligosaccharides (HMO).

In Q4 2025, Human Health organic sales increased 10%, and sales in EUR were up 4%. Organic sales growth was negatively impacted by around 2 percentage points from exiting certain countries. The performance in the quarter was led by strong growth in Dietary Supplements, supported by all regions. Growth in Advanced Health & Nutrition was driven by APS. Recognition of deferred revenue related to APS benefited organic sales growth by around 1 percentage point.

Selected product launches

IBme™ – Launched in China, where gut discomforts are increasing. IBme™ supports a healthy gut balance and improves quality of life for children, adolescents and adults.

HU58™ and SC208™ – Launched in the U.S. These spore-forming probiotics support gut wellness and enable expansion into gummies, one of the market's most popular and convenient delivery formats.

Highlights

Our clinically documented biosolutions enable our customers to create dietary supplements that serve consumers from early life to later years. We deliver a broad range of clinically documented health benefits – from gut wellness, immune support and women's health to mental wellness and cardio-metabolic health – helping people to live healthier lives across all stages of life.

Mental wellness remains a global health concern, and we see strong growth potential in this space. With innovations such as ProbioBrain™, a psychobiotic that supports stress resilience, sleep quality, and emotional balance, we help customers unlock that potential through science-backed health benefits that consumers can trust.

This year, ProbioBrain™ was recognized as 'Ingredient of the Year – Mind and Mood' at both the EU and APAC NutraIngredients Awards. This third-party recognition strengthens customer trust, supports broader market adoption, and drives growth.

In Early Life Nutrition, we continue to lead the market in probiotics and HMOs for infant formula. We have increased our market penetration within HMOs, and, following the approval of our first HMO in late 2024, we are progressing well towards approval of our five-HMO mix in China. Additionally, we are leveraging synergies by advancing the combination of HMO and probiotic solutions, with a growing focus on bringing synbiotics, such as our μBIOM™ product, to market.

We also grew our precision fermentation business, supplying our anchor customer from our Blair facility, while advancing our pipeline of precision proteins for specialized nutrition. This includes collaborations with partners such as Arla Food Ingredients, targeting medical nutrition solutions.



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Distribution of sales 2025

35%

65%

Household Care

Organic sales growth: 7%

Agriculture, Energy & Tech

Organic sales growth: 6%

Net sales

Planetary Health Biosolutions organic sales growth was 6% in 2025, driven by 7% growth in Household Care and 6% growth in Agriculture, Energy & Tech. Pricing contributed around 1 percentage point, and sales synergies also contributed positively to growth. The Feed Enzyme Alliance acquisition contributed to EUR growth by a good 2%.

In Q4 2025, Planetary Health Biosolutions grew 2% organically. Household Care grew 5%, and Agriculture, Energy & Tech was flat. Pricing contributed around 1 percentage point, and sales synergies also contributed positively to growth. The Feed Enzyme Alliance acquisition contributed a good 4% to EUR growth, whereas timing in Agriculture impacted growth slightly negatively in the quarter.

Adjusted EBITDA margin

Adjusted EBITDA margin for Planetary Health Biosolutions in 2025 was 38.2%, an increase of 140 bps (IFRS: 120 bps) compared to 2024, mainly driven by stronger sales and resulting economies of scale, as well as the expected contribution from the acquisition of the Feed Enzyme Alliance, partly offset by currency headwinds.

In Q4 2025, the adjusted EBITDA margin was 36.4%, a decrease of 90 bps compared to Q4 2024. This development was driven by one-off expenses related to re-alignment of activities in the Plant business, increased investments in the commercial area, and currency headwinds. As expected, the impact of the Feed Enzyme Alliance acquisition contributed positively.

		2025			Pro forma 2025		
		Household Care	Agriculture, Energy & Tech	Planetary Health Biosolutions	Household Care	Agriculture, Energy & Tech	Planetary Health Biosolutions
Sales growth							
Organic sales growth	%	7	6	6	7	6	6
Currency	%	(3)	(4)	(3)	(3)	(4)	(3)
M&A	%	0	5	3	0	4	2
Sales growth, EUR	%	4	7	6	4	6	5

		Q4 2025		
		Household Care	Agriculture, Energy & Tech	Planetary Health Biosolutions
Sales growth				
Organic sales growth	%	5	0	2
Currency	%	(4)	(6)	(6)
M&A	%	0	6	4
Sales growth, EUR	%	1	0	0

EUR million		2025	2024	Pro forma 2024	Q4 2025	Q4 2024
Household Care		801.2	767.7	767.7	192.4	190.4
Agriculture, Energy & Tech		1,489.1	1,397.7	1,406.9	357.9	357.2
Net sales		2,290.3	2,165.4	2,174.6	550.3	547.6
Adjusted EBITDA		873.9	800.3	800.5	200.4	204.1
Adjusted EBITDA margin	%	38.2	37.0	36.8	36.4	37.3



Household Care

35%

of total sales in Planetary
Health Biosolutions

7%

Organic
sales growth

Net sales

Household Care organic sales growth was 7% in 2025, and pro forma sales in EUR increased by 4% (IFRS: 4%). The strong performance was led by increased market penetration and innovation, with a strong contribution from emerging markets across Laundry and Dishwash. Growth in developed markets was driven mainly by innovation, supported by increased penetration of local and regional players.

In Q4 2025, Household Care organic sales growth was 5%, and sales in EUR were up 1%. The effects from end-market normalization in developed markets were compensated for by the same factors as those contributing to the full-year performance.

Selected product launches

Pristine® Advance – A next-generation freshness enzyme that removes sticky body grime and malodor, preventing yellow underarms, and cleaning cuffs and collars. This natural solution enhances performance and extends the life of clothing.

Progress® Go – A new protease developed for challenging washing conditions and formulations, particularly relevant in emerging markets.

Highlights

Our biosolutions in Household Care for laundry, dishwashing, and industrial and medical cleaning reach billions of people around the world. High-performing, biodegradable enzymes enable detergent formulations that clean effectively, protect fabrics, and extend the life of clothes, while reducing the use of energy and chemicals.

One example among many is our partnership with a mid-sized European detergent producer, where we supported a major reformulation initiative to improve sustainability and cost efficiency without compromising cleaning performance. The project achieved close to a 30% reduction in surfactant content across multiple detergent formats by replacing traditional petrochemical ingredients with a tailored multi-enzyme solution.

Like many of our collaborations, this co-creation strengthened the customer's market differentiation by addressing unmet consumer needs – and reduced cost and carbon footprint. The solution and reformulation enabled claims that resonate with consumers, such as deep cleaning, malodor removal, and prolonging the longevity of clothes. This collaboration exemplifies how our biosolutions can unlock both environmental and economic value for customers.

We also help customers replace synthetic optical brighteners with enzymatic biosolutions that maintain fabric whiteness by smoothing fibers and reducing dirt build-up. This lowers the chemical load in wastewater and improves detergent biodegradability.



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65%

of total sales in Planetary Health Biosolutions

6%

Organic sales growth

Net sales

Agriculture, Energy & Tech organic sales growth was 6% in 2025, and pro forma sales in EUR were up by 6% (IFRS: 7%), including the positive impact of 4% from the Feed Enzyme Alliance acquisition. Growth was driven by Energy and supported by Agriculture and Tech. Performance in Energy was driven by strong growth in Latin America and Asia Pacific, predominantly India, reflecting increased capacity for ethanol production. Solid growth in North America was driven by adoption of innovation and growing ethanol production volumes, supported by continued expansion of ethanol exports. Performance also benefited from customers ramping up second-generation ethanol production, as well as increased penetration of biosolutions for more efficient biodiesel production. Growth in Agriculture was driven mainly by Plant across most regions. Performance in Tech was driven by bioprocessing, including solutions for biopharma production.

In Q4 2025, organic sales growth in Agriculture, Energy & Tech was flat, and while sales in EUR were positively impacted by 6% from the Feed Enzyme Alliance acquisition, the development in EUR was flat due to currency headwinds. The organic

sales performance in the quarter was driven by double-digit growth in Energy, explained by the same factors as those for the full year, while Agriculture and Tech declined due to high comparables and timing, particularly in Agriculture.

Selected product launches

Hiphorious™ – A next generation phytase enzyme, approved for the European market, that enhances phosphorus digestibility in animal feed. By enhancing nutrition and digestion, it improves animal performance, lowers feed expenses, and reduces environmental impact in poultry and swine production.

Innova® Eclipse-L – Our most advanced yeast biosolution for long-fermentation ethanol production. It delivers significant yield increases, setting a new benchmark for bioenergy efficiency.

Highlights

Across the energy, agriculture and technical industries, our biosolutions deliver financial and environmental value for customers and society. They strengthen energy security, improve resource efficiency in industrial processes and livestock production, and support job creation through the production of homegrown fuels, food and feed.

By increasing ethanol yields and side streams, we are also helping accelerate the transition to low-carbon transportation fuels. In agriculture, we empower farmers to boost crop yields and strengthen climate resilience, while in livestock production our biosolutions improve feed efficiency and reduce reliance on antibiotics.

An example of how we drive growth with customers comes from a biofuel producer in the U.S. By combining field expertise, operator training, and our Innova Eclipse-L yeast, we improved starch breakdown, stabilized fermentation, and boosted reliability – resulting in a 3% higher ethanol yield.

Another example is from Australia, where we collaborated with a partner in animal health, which led to a Bovacillus™ calculator, giving producers clearer insights into the value of our probiotic in daily operations. With up to 5.7% better feed efficiency, the solution supports healthier cattle and lower CO₂ emissions, helping customers strengthen productivity and climate performance.



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The 2026 outlook is based on the current level of global trade tariffs and economic outlook. Our strong global setup, including flexible regional production capabilities and business portfolio, creates a diversified and resilient business.

In the current macroeconomic environment, demand for our biosolutions continues to be solid, driven by customer and consumer requirements for higher yield and higher efficiency, healthier nutrients, cleaner and more sustainable foods and products, as well as higher demand for biofuels.

Organic sales growth

The full-year outlook for organic sales growth is expected to be between 5-7%, and includes some uncertainty of a potential lower consumer sentiment for the year. The first quarter is expected to be good against a strong 2025 comparable. The full-year outlook includes around 1 percentage point contribution from sales synergies as well as a positive contribution from price of around 1 percentage point. The full-year organic sales growth outlook also includes close to 1 percentage point negative annualization impact from exiting certain countries, impacting the first half of 2026.

Organic sales growth for the first half year is also expected to benefit from an expected timing impact relating to an inventory build-up at a customer in the Animal business in the Agriculture, Energy & Tech sales area. For the full-year this effect will be neutral.

Food & Health Biosolutions

Food & Health Biosolutions is indicated to deliver organic sales growth within the full-year range for the Group and supported by both sales areas. The exit from certain countries will have a negative impact of close to 2 percentage points for the full-year. Growth in Food & Beverages is expected to be driven by broad performance across industries, supported by a positive impact from revenue synergies. The exit of business in certain countries will impact the first half of 2026 and is expected to have a negative impact on full-year organic sales growth in Food & Beverages of around 2 percentage points. Growth in Human Health is expected to be driven mainly by Dietary Supplements, supported by HMO. Growth will also be supported by a positive impact from revenue synergies, whereas the exit from certain countries will have a negative impact of close to 1 percentage point for the sales area on the full-year, affecting the first half of 2026. Additionally, the benefit from deferred revenue on organic sales growth is expected to be around 1 percentage point in Human Health.

Planetary Health Biosolutions

Planetary Health Biosolutions is indicated to deliver organic sales growth within the full-year range for the Group supported by both sales areas and with relatively stronger growth in Agriculture, Energy and Tech. Household Care growth will be driven by increased penetration of solutions in both developed and emerging markets. Agriculture, Energy & Tech growth is expected to be broad-based, led by Energy, and with a positive timing impact in the first half of the year, following an inventory build-up at a customer in the Animal business that is expected to be reduced in the subsequent quarters.

Adjusted EBITDA margin

The outlook for the adjusted EBITDA margin is between 37-38% with an expected margin expansion, including currency headwinds of around half a percentage point, particularly relating to the USD. The margin continues to benefit from sales leverage and a positive gross margin development, as well as the annualization of the announced cost synergies reaching 100% mid last year. The expected impact from the Feed Enzyme Alliance acquisition on the full-year adjusted EBITDA margin is expected at around 0.25 percentage points, similar to that of 2025.

In 2026, we continue significant reinvestments, particularly in CAPEX.

The following is provided for modelling purposes for 2026:

- Sales in reported EUR are expected to be ~1 percentage point lower than the organic sales growth outlook as currencies at current rates are impacting negatively by around 2 percentage points and the positive contribution to sales growth from the Feed Enzyme Alliance is expected at a good 1 percentage points for the year.
- Net financial expenses are indicated to be in the range of EUR 80-90 million.
- CAPEX is expected to be between 12-14% of sales, which relates to significant production-capacity expansion projects as also announced in relation to the 2030 GROW strategy launch in August 2025.



- Special items are indicated to be ~EUR 40 million, relating to the combination with Chr. Hansen, expenses for the implementation of a new ERP system for the combined business, and integration costs related to the Feed Enzyme Alliance acquisition.
- NIBD/EBITDA is expected at ~1.7x at year end.

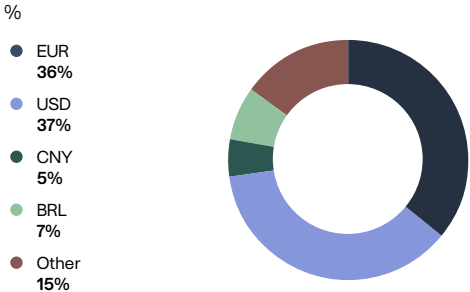
Currency sensitivity and hedging of net currencies

Assuming constant conditions, a 5% move in USD to the EUR impacts adjusted EBITDA around EUR 40-45 million on a full-year basis. The currency exposure for 2026 is 72% hedged at an average EUR/USD rate of 1.15. When applying the most recent currency spot rates for key currencies, they have a net negative impact on the adjusted EBITDA margin outlook. Currency hedging gains or losses are recognized in net financials.

Currency exchange rates

The 2026 outlook is based on exchange rates as of February 24, 2026.

Net sales by currency (2025)



Currency exchange rates		EUR/USD	EUR/BRL	EUR/CNY
Average exchange rate 2024		1.08	5.8	7.8
Average exchange rate 2025		1.13	6.3	8.1
Average exchange rate for 2025 compared to 2024	%	4.3	8.1	4.2
Average Q4 2024 exchange rate		1.07	6.2	7.7
Average Q4 2025 exchange rate		1.16	6.3	8.2
Average exchange rate for Q4 2025 compared to Q4 2024	%	8.7	0.8	7.3
Estimated exchange rate for 2026 as of February 24, 2026		1.18	6.1	8.1
Estimated exchange rate for 2026 compared to 2025	%	4.3	(2.9)	-

Estimated average exchange rates for 2026 is based on the spot currency exchange rates as of February 24, 2026.



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EUR million	2025				2024			
	Q4	Q3	Q2	Q1	Q4	Q3	Pro forma Q2	Q1
Income statement								
Net sales	996.6	1,064.9	1,018.5	1,077.6	981.4	1,020.4	978.2	965.5
Gross profit	558.8	543.9	544.5	594.3	494.9	547.6	401.3	426.7
Sales and distribution exp.	(194.4)	(175.6)	(164.6)	(154.0)	(153.2)	(137.5)	(138.1)	(138.1)
Research and development exp.	(128.3)	(118.6)	(109.6)	(107.3)	(110.8)	(107.9)	(102.9)	(101.3)
Administrative exp.	(55.3)	(54.0)	(55.6)	(58.3)	(56.8)	(58.5)	(53.9)	(54.3)
Other operating income	7.1	3.5	5.1	1.0	15.0	2.7	2.8	7.7
Operating profit (EBIT) before special items	187.9	199.2	219.8	275.7	189.1	246.4	109.2	140.7
Special items	(15.3)	(13.1)	(27.3)	(10.2)	(62.9)	(6.6)	(40.9)	(88.6)
Operating profit (EBIT)	172.6	186.1	192.5	265.5	126.2	239.8	68.3	52.1
Financial items, net	(16.8)	(15.0)	(15.7)	(19.3)	(18.1)	(18.9)	(24.5)	(22.7)
Net profit	122.8	138.0	136.8	186.0	86.2	155.7	30.6	4.1
Adjusted gross profit	596.6	631.3	596.6	634.2	563.5	590.8	545.1	537.3
Adjusted EBITDA	364.6	395.3	370.6	412.8	355.5	382.1	346.1	339.7
Adjusted EBIT	187.9	248.8	234.0	275.7	189.1	246.4	210.5	223.3
Adjusted net profit	136.4	192.1	169.9	196.0	136.3	161.3	142.6	154.5
Adjusted net profit excluding PPA	208.7	252.7	222.1	245.9	208.0	215.3	196.6	183.7
Balance sheet								
Total assets	16,349.1	16,302.6	16,401.1	15,057.4	15,195.6	15,159.8	15,252.2	15,478.8
Equity	10,855.2	10,744.1	10,742.9	11,230.7	11,176.0	10,997.1	11,005.0	11,078.6
Invested capital	13,569.4	13,553.7	13,714.8	12,654.2	12,647.3	12,585.6	12,695.3	12,972.7
Net interest-bearing debt	2,727.8	2,822.1	2,987.8	1,441.9	1,490.0	1,608.0	1,719.0	1,844.0
Cash flows and investments								
Cash flow from operating activities	328.2	466.8	320.1	106.4	229.2	262.6	351.6	189.1
Cash flow from net investments excl. acq.	(226.2)	(105.5)	(81.1)	(38.3)	(137.9)	(73.3)	(97.0)	(56.8)
Free cash flow before acquisitions	102.0	361.3	239.0	68.1	91.2	189.3	254.6	132.4

2025

2024

EUR million						Pro forma			
		Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1
Key ratios									
Organic sales growth	%	4	6	8	11	7	11	10	4
Gross margin	%	56.1	51.1	53.5	55.2	50.4	53.7	41.0	44.2
R&D expenses (% of sales)	%	12.9	11.1	10.8	10.0	11.3	10.6	10.5	10.5
EBIT margin before special items	%	18.9	18.7	21.6	25.6	19.3	24.1	11.2	14.6
EBIT margin	%	17.3	17.5	18.9	24.6	12.9	23.5	7.0	5.4
Effective tax rate	%	19.6	19.5	21.6	24.0	20.0	29.0	28.8	84.2
Equity ratio	%	66.4	65.9	65.5	74.6	73.5	72.5	72.2	71.6
NIBD/EBITDA	x	1.9	2.0	2.1	1.1	1.4	1.7	2.2	1.8
Earnings per share (EPS), diluted	EUR	0.26	0.30	0.29	0.40	0.19	0.34	0.06	0.01
Capex ratio (% of sales)	%	22.7	10.0	8.1	5.1	13.6	7.7	9.9	5.9
Adjusted gross margin	%	59.9	59.3	58.6	58.9	57.4	57.9	55.7	55.6
Adjusted EBITDA margin	%	36.6	37.1	36.4	38.3	36.2	37.4	35.4	35.2
Adjusted EBIT margin	%	18.9	23.4	23.0	25.6	19.3	24.1	21.5	23.1
Adjusted EPS, diluted	EUR	0.30	0.41	0.36	0.42	0.29	0.34	0.30	0.33
Adjusted EPS excluding PPA, diluted	EUR	0.45	0.54	0.47	0.53	0.44	0.46	0.43	0.39
Food & Health Biosolutions									
Net sales		446.3	470.9	473.7	476.4	433.8	461.6	450.7	424.8
Organic sales growth	%	7	6	9	12	7	11	9	3
Adjusted EBITDA		164.2	162.3	166.9	176.0	151.4	173.9	156.6	141.0
Adjusted EBITDA margin	%	36.8	34.5	35.2	37.0	34.9	37.7	34.7	33.2
Planetary Health Biosolutions									
Net sales		550.3	594.0	544.8	601.2	547.6	558.8	527.5	540.7
Organic sales growth	%	2	6	7	11	7	12	11	5
Adjusted EBITDA		200.4	233.0	203.7	236.8	204.1	208.2	189.5	198.7
Adjusted EBITDA margin	%	36.4	39.2	37.4	39.4	37.3	37.3	35.9	36.7

For the definition of financial key figures and ratios, please refer to **Financial definitions and ratios** and **Non-IFRS financial measures**. Please refer to **Pro forma financial information** for definitions and reconciliations.



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Corporate governance

We have a transparent corporate governance structure in place to ensure responsible business conduct and long-term value creation.

Our two-tier management structure consists of the Board of Directors and the Executive Management, with no individual being a member of both.

The governance structure is further described below, and in the Articles of Association and our annual statutory report on Corporate Governance, both available on our website:

[Read more](#)

Governance structure



Shareholders

Key responsibilities

Our shareholders hold the ultimate authority over the company and can exercise their right to make decisions, including the appointment of members to the Board of Directors, by passing resolutions at general meetings. At annual general meetings, shareholders approve the annual reports and any amendments to the Articles of Association, and elect board members and the independent auditor.

Resolutions can generally be passed by a simple majority.

However, resolutions to amend the Articles of Association require the affirmative votes of two-thirds of the votes cast and the capital represented at general meetings, unless the Danish Companies Act stipulates other adoption requirements.

2025 key events

At the Annual General Meeting in April 2025, Heine Dalsgaard was re-elected as a board member and elected as new Vice Chair, replacing Jesper Brandgaard, who did not seek re-election. Further, Monila Kothari was elected as a new member of the Board of Directors. For information about Heine Dalsgaard and Monila Kothari, and their special competencies, please refer to the section on the **Board of Directors**.



Board of Directors

Key responsibilities

The Board of Directors is responsible for the overall strategic direction and supervision of the performance of the company.

The Board of Directors has a Chairmanship consisting of two members, the Chair and the Vice Chair. The Chairmanship is responsible for planning and preparing board meetings.

Composition, diversity and independence

On December 31, 2025, the Board of Directors comprised 12 non-executive members, with eight elected by shareholders, with a gender distribution of three women (38%) and five men (62%), and four elected by employees in Denmark, with a gender distribution of one woman (25%) and three men (75%). Six (75%) of the eight non-executive members elected by the shareholders are independent*.

Shareholder-elected board members serve one-year terms and may stand for re-election at each annual general meeting. Nominations for shareholder-elected board members are based on the evaluation of competencies, diversity, independence and performance. Employees in Denmark may elect a number of board members equal to half of the number of shareholder-elected members. Employee-elected board members serve for a statutory four-year term and are not considered independent. An election was recently held in 2025.

The Board of Directors is composed in a way that ensures that its collective expertise inspires, guides and oversees Novonesis' development, and diligently addresses and resolves the issues and challenges facing Novonesis at any given time.

Executive Management

Key responsibilities and authority

The Executive Management is responsible for the day-to-day management of the company, the development and implementation of strategies and policies, the company's operations and organization, and timely reporting to the Board of Directors.

The division of responsibilities between the Board of Directors and the Executive Management is clearly outlined and described in the Rules of Procedure for the Board of Directors and the Rules of Procedure for the Executive Management.

Both rules are available on our website:

[Read more](#)

Composition and diversity

On December 31, 2025, the Executive Management consisted of two members, the CEO and the CFO, with a gender distribution of one woman (50%) and one man (50%).

To assist in the day-to-day management of the company, the CEO has established the Executive Leadership Team, which meets on a regular basis.

The Executive Management is part of the Executive Leadership Team, which currently consists of six additional members, each responsible for one of the following areas: Food & Beverage Biosolutions; Planetary Health Biosolutions; Human Health Biosolutions and Strategy; Research & Development; Operations; and People & Stakeholder Relations.

On December 31, 2025, the Executive Leadership Team consisted of two women (25%) and six men (75%).

* As defined in Section 3.2.1 in the Danish Recommendations on Corporate Governance of December 2, 2020.

This page contains CSRD disclosure requirement: GOV-1.



Board Committees

The Board of Directors has three permanent committees: the Nomination and Remuneration Committee, the Audit Committee, and the Innovation Committee. The interim Integration Committee was dissolved in April 2025. The committees assist the Board of Directors in ways outlined below:

Board Committees

	Key responsibilities		Composition	2025 key topics
Nomination and Remuneration Committee	- The competency profile and composition of the Board - Nomination of candidates for the Board, Board Committees and Executive Management - Annual evaluation of the Board - Board and corporate diversity	- Remuneration of members of the Board, Board Committees and Executive Management - Remuneration Policy - Remuneration Report	- Cees de Jong (chair) - Kasim Kutay - Lars Bo Køppler - Kim Stratton	Key topics covered in 2025 were executive succession planning, conducting an internal Board evaluation, review of incentive KPIs and targets, and update of Board and Executive remuneration by benchmarking peer groups.
Audit Committee*	- Financial and sustainability reporting - Tax and treasury compliance - Audits, assurance engagements and auditors	- Internal control and risk management systems - Reports from the global whistleblower system - IT security and compliance	- Lise Kaae (chair) - Heine Dalsgaard - Cees de Jong	Key topics covered in 2025, apart from those included in the Audit Committee Charter, were matters related to the acquisition of dsm-firmenich's part of the Feed Enzyme Alliance, implementation of NIS 2 Directive from the EU (Network and Information Security Directive), and further discussion and review of the <u>Double Materiality Assessment</u> for the CSRD reporting.
Innovation Committee	- Review Novonesis' overall capabilities and strategic direction in matters of technology, science and innovation - Support R&D investments and other tech and scientific initiatives	- Identify technology, science and innovation risks impacting company operations - Align pipeline with short-, mid- and long-term strategic goals	- Morten Sommer (chair) - Monila Kothari - Kevin Lane - Preben Nielsen	In 2025, the Committee focused on the strategy and R&D pipeline, and performance metrics/targets, as well as adhering to the company strategy. Specific sessions were held for all business areas on technology and innovation needs, as well as sessions focusing on specific R&D-related topics.

* All members possess the qualifications within accounting and auditing required under part 8 of the Danish Act on Approved Auditors and Auditor Firms.



Sustainability governance

Sustainability is embedded in every aspect of our business. It guides the way we invest, innovate, partner with customers and suppliers, and how we develop our organization to deliver bio-solutions that address the evolving needs of the world and our stakeholders.

The Board of Directors and the Executive Leadership Team regularly review our progress, with regular updates at board meetings. We link corporate performance on key sustainability topics to executive compensation through sustainability targets.

For more information, please refer to [Sustainability governance and due diligence](#).

Diversity on the Board of Directors

Our policy on diversity, equity and inclusion covers the workforce and the Board of Directors. We have set ambitious

diversity targets for the Board of Directors to ensure the right mix of competencies to address the challenges of a large global company.

The Board Competency Profile reflects the targets that have been defined for all competencies required on the Board of Directors.

For more information, please see our policy on diversity, equity and inclusion, our diversity statement prepared in accordance with Section 107d of the Danish Financial Statements Act, and the Board Competency Profile, which can be found on our website:

[Read more](#)

The Board of Directors has set a target of achieving gender balance in the Board of Directors as outlined in the Danish Gender Balance Act*, i.e., a distribution where the underrepresented gender comprises at least 40% and no more than 49%. As of December 31, 2025, following the methodology of the Danish Gender Balance Act, this target was met for both shareholder-elected board members and employee-elected board members, with three female and five male shareholder-elected board members, and one female and three male employee-elected board members.

Recommendations on corporate governance

The Board of Directors has followed the Danish Recommendations on Corporate Governance when establishing the management principles for the company, which are part of the disclosure requirements applicable to companies listed on Nasdaq Copenhagen.

A detailed review of the corporate position on each of the recommendations, and a description of the internal control and risk management system relating to financial reporting, is available in the corporate governance report prepared in accordance with section 107b of the Danish Financial Statements Act:

[Read more](#)

These recommendations require companies to comply with them or to provide explanations for any deviations. As of December 31, 2025, Novonesis followed 38 of the 40 recommendations, with the two exceptions being:

- Following the Novo Nordisk Foundation's Articles of Association and Novonesis' ownership structure, the Board of Directors reserves the right in certain circumstances to reject takeover bids without consulting the shareholders (Recommendation 1.3.1).
- To allow for representation by an employee-elected Board member and a Board member representing the controlling shareholder, while maintaining an operational structure comprising relatively few members, half of the members of the Nomination and Remuneration Committee are considered independent, as opposed to the majority as recommended (Recommendation 3.4.2).

Data ethics

A data ethics policy is in place, which governs the overall principles for the ethical management of data by the company and supplements our commitment to integrity and compliance.

The statutory report on Novonesis' policy for, and work with, data ethics, pursuant to section 99d of the Danish Financial Statements Act, can be found on our website:

[Read more](#)

The statutory reports required by the Danish Financial Statements Act are published on our website:

- Corporate Governance (section 107b)
- Diversity (section 107d)
- Data ethics (section 99d)

<https://www.novonesis.com/en/about-us/corporate-governance/articles-association-and-statutory-reports>

[Read more](#)

* The full reporting in accordance with the Danish Gender Balance Act can be found in the Financial statements for Novozymes A/S on [page 176](#).

**Other governance-related information**

Novonesis is party to several partnership contracts that can be terminated by the other party in the event of significant changes to the ownership or control of Novonesis. A few of these contracts contain provisions that restrict Novonesis' licenses from using specific forms of technology in such situations.

Evaluation of the Board of Directors

The Board of Directors conducts an annual Board evaluation facilitated by the Chair. Every three years, the evaluation is led by an external third party, the last one being externally supported in 2024. In 2025, the evaluation was conducted internally. The evaluation included all members of the Board and the Executive Leadership Team*, and it addressed topics such as the dynamics and engagement of the Board; the effectiveness of the Board in fulfilling its key duties; the roles and responsibilities of the Chair, the CEO and directors; the Board's functioning and its organization; the Board's size and its composition; the performance of the Board committees; and the contribution of individual members.

The evaluation consisted of a two-step process. In the first step, each participant completed a questionnaire. In the second step, the Chair conducted interviews with each participant, guided by a set of framework questions and taking outset in the results of the questionnaire. The outcome was presented at a Board meeting in November 2025 and discussed with the Board. The evaluation showed a well-functioning Board and good collaboration between the Board and the Executive Leadership Team. Key focus areas for the Board in the 2025 evaluation include strengthening AI and digital competences, continued focus on structured management succession planning, and increasing the Board's exposure to customer perspectives and customer interaction.

Board and Board committee attendance and shareholding

Board members as of December 31, 2025	Board and Board Committee attendance in 2025*					Shareholdings	
	Board of Directors	Nomination and Remuneration Committee	Audit Committee	Innovation Committee	*** Integration Committee	Changes in 2025	Number of shares end of 2025
Cees de Jong	9/9	4/4	4/4			1,000	6,000
Heine Dalsgaard	9/9		4/4		2/2	5,500	8,500
Robert N. Jensen**	5/5						-
Lise Kaae	9/9		4/4				2,009
Monila Kothari**	5/5			3/3			-
Kasim Kutay	9/9	4/4					1,046
Lars Bo Køppler**	5/5	3/3				631	631
Kevin Lane	9/9			4/4	2/2		1,532
Preben Nielsen	9/9			4/4			636
Morten Sommer	9/9			4/4		1,000	2,000
Frederikke Rose Spenner**	5/5					30 (30)	-
Kim Stratton	9/9	4/4			2/2		-

* Number of board meetings attended by each board member out of the total number of meetings during the member's term.

** Joined the Board on April 3, 2025. Changes in 2025 reflect shareholding when joining the Board and sales, if any.

*** The Integration Committee was dissolved on April 2, 2025.

* Excluding the EVP of Food & Beverage Biosolutions, who joined the company in August 2025, due to limited participation in Board meetings during the evaluation period.



Board of Directors

On December 31, 2025, our Board of Directors had eight non-executive members elected by the shareholders, and four employee-elected board members. The Board embodies many years of international management experience, comprehensive biotechnology expertise, and strong sustainability leadership competencies. Combined, these competencies ensure the professional management of the company.

Cees
de Jong



Chair of the Board

Born 1961. Dutch. Chair of the Nomination and Remuneration Committee and member of the Audit Committee. Independent. Member of the Board since 2020, Vice Chair from 2020-2023 and Chair since 2023. Term 2026.

Positions and management duties

Vice Chair: Novo Nordisk A/S.

Member: Spring TopCo DK ApS and four affiliates (Oterra Denmark).

Venture Partner, Forbion Bioeconomy Fund I.

Special competencies

Extensive experience in the food, food ingredient, and industrial biotech industries, including operations and supply chain management. Expertise encompassing financial and accounting practices, risk management, M&A, and post-merger integration. Pioneered the integration of sustainability into corporate strategy, operating models and reporting, to ensure a meaningful and positive impact.

Heine
Dalsgaard



Vice Chair of the Board

Born 1971. Danish. Member of the Audit Committee. Not independent. Member of the Board since 2020. Term 2026.

Positions and management duties

Group CFO of IVC Evidensia Ltd.

Special competencies

Versatile experience across diverse industries, including leadership, finance, operations and supply chain management, supported by expertise in financial and accounting practices, risk management, M&A, and post-merger integration. Experience in sustainability reporting, including proficiency in assurance requirements.

Lise
Kaae



Board member

Born 1969. Danish. Chair of the Audit Committee. Independent. Member of the Board since 2024. Term 2026.

Positions and management duties

CEO of Heartland A/S.

Member: VKR Holding A/S and various Heartland A/S portfolio companies.

Special competencies

Global business management experience, including operations and supply chain management. Expertise in financial and accounting practices, sustainability (primarily within consumer goods), risk management, M&A, and post-merger integration.

Monila
Kothari



Board member

Born 1964. Singaporean. Member of the Innovation Committee. Independent. Member of the Board since 2025. Term 2026.

Positions and management duties

Member: CPL Aromas Ltd.

Member of advisory board in IMA Asia.

Special competencies

Global business management experience in marketing, sales, operations, innovation, and pipeline management within specialty chemicals, consumer products and pharma, as well as experience in sustainability and digital development. Hands-on experience in emerging markets, especially APAC.



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Kasim
Kutay

Board member

Born 1965. British. Member of the Nomination and Remuneration Committee. Not independent. Member of the Board since 2017. Term 2026.

Positions and management duties

CEO of Novo Holdings A/S.

Member: Novo Nordisk A/S, two subsidiaries of Novo Holdings A/S, and CW+ Charity.

Special competencies

Broad experience in biotechnology strategy and business development. Expertise in financial and accounting practices, sustainability, M&A, and post-merger integration.



Kevin
Lane

Board member

Born 1965. Irish. Member of the Innovation Committee. Independent. Member of the Board since 2024. Term 2026.

Positions and management duties

Member: The Estate Dairy Ltd.

Senior advisor at PAI Partners and Cinven.

Positions and management duties

Extensive global business management experience in marketing and sales, innovation, and pipeline management within the food, beverage, nutritional and agricultural industries. Hands-on experience in emerging markets and expertise in sustainability, M&A, and post-merger integration.



Morten
Otto Alexander
Sommer

Board member

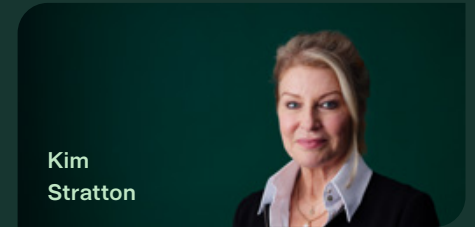
Born 1981. Danish. Chair of the Innovation Committee. Independent. Member of the Board since 2022. Term 2026.

Positions and management duties

Professor, Microbiology, at the Technical University of Denmark (DTU), and Chief Scientific Officer of UNION therapeutics A/S. *Member:* Clinical-Microbiomics A/S, SNIPR Holdings ApS, SNIPR Biome ApS, and UNION therapeutics A/S.

Special competencies

Extensive experience in biotechnology research and development, with special focus on bacterial synthetic biology, microbiome research and industrial biotechnology, as well as broad experience in biotechnology entrepreneurship.



Kim
Stratton

Board member

Born 1962. Australian. Member of the Nomination and Remuneration Committee. Independent. Member of the Board since 2017. Vice Chair from 2023-2024. Term 2026.

Positions and management duties

Member: Recordati S.p.A.

Special competencies

Broad global biopharmaceutical commercial experience, including emerging markets, innovation pipeline management and external affairs. Hands-on experience in emerging markets and expertise within sustainability.



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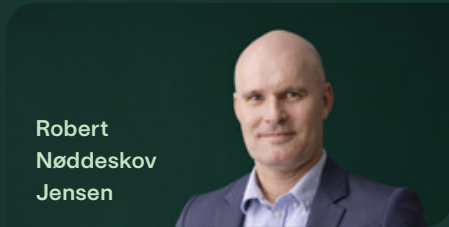
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Board member, employee-elected

Born 1975. Danish. Senior Operator. Not independent. Member of the Board since 2025. Term 2029.



Board member, employee-elected

Born 1962. Danish. Technician. Member of the Nomination and Remuneration Committee. Not independent. Member of the Board since 2025. Term 2029.



Board member, employee-elected

Born 1966. Danish. Science manager. Member of the Innovation Committee. Not independent. Member of the Board since 2021. Term 2029.



Board member, employee-elected

Born 1994. Danish. Production Engineer. Not independent. Member of the Board since 2025. Term 2029.



Executive Management

Our Executive Management comprises broad, international management experience, comprehensive biotechnology expertise, sustainability leadership, and in-depth knowledge of our business.



President and CEO

Born 1971. Spanish. Joined in 2020.

Education

Holds a chemical engineering degree and an MBA from the University of Tarragona (Spain).

Positions and management duties

Member: AkzoNobel N.V. Supervisory Board, the Board of the United Nations Global Compact, Co-Chair of the World Economic Forum Alliance of CEO Climate Leaders.

Special competencies

Ester Baiget is an experienced international leader with a strong business and technical background. With more than 25 years of global experience as a technical and commercial business leader, Ester has driven transformational change, enhanced profitability, and set a strong foundation for sustainable growth across many industries. Through her leadership, she develops and nurtures a culture of inclusion, engagement, and commitment to delivering strong results. Ester works with sustainability as an integrated part of the company's commitments and strategy. Recognized by Forbes and Time Magazine as a climate leader globally.



Executive Vice President and CFO

Born 1975. German and American. Joined in 2023.

Education

Holds a Master of Business Administration from the Private University of Applied Sciences in Goettingen, Germany.

Special competencies

Rainer Lehmann is an accomplished leader with a strong international background and over 20 years' experience in the biotechnology industry. He has a successful track record in scaling businesses and building high-performing teams. In recent years, Rainer has gained valuable experience in M&A transactions and business integrations. He utilizes his strong financial expertise and business acumen to drive value creation, and he ensures transparent disclosure of sustainability performance and adherence to company policies and standards. Rainer is responsible for Finance, Investor Relations, IT, M&A and Legal.



Risk management

Our risk management framework enables us to identify, assess and mitigate potential business risks, thereby ensuring sustainable growth and reliability as a partner to our stakeholders and the communities in which we operate.

Our approach is to identify long-term and strategic risks by considering both financial and sustainability risks in an integrated and holistic manner, treating all risks equally.

To support a holistic and value-driven Enterprise Risk Management approach, a standardized process for risk identification, assessment and management has been further refined in close collaboration with internal and external stakeholders, ensuring alignment with best-in-class practices. We have identified two key business risks, including strategies for mitigating them. These risks are consistent with those we have reported in previous years.

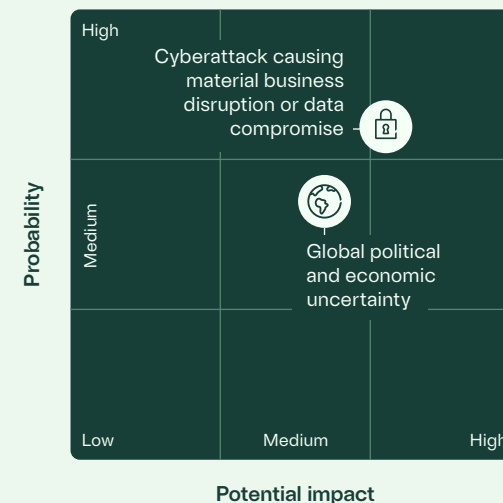
Operational risk management process

Twice a year, the Novonesis Audit Committee, and subsequently the Board of Directors, conducts a review of our risk grid, outlining our most significant business risks. This grid is based on insights from senior and top management across the organization and encompasses all types of risks that could lead to a significant impact over a three-year period for the group.

Our Risk Management & Controls department plays a crucial role in fostering risk awareness, engagement, and ownership across the organization. Risks are evaluated using a two-dimensional risk grid, which estimates the potential impact of a given risk on financials and reputation, as well as the likelihood of its materialization.

Additionally, a review of the **Double Materiality Assessment** (DMA) has been performed in accordance with the requirements in the Corporate Sustainability Reporting Directive (CSRD).

Risk map





Key business risks for 2026

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Cyberattack causing material business disruption or data compromise

Risk description

There is an increased risk of significant cyberthreats, including targeted attacks by cybercriminals and the wider ramifications of global cyberwarfare. These evolving risks pose a serious challenge, with the potential to disrupt critical business operations, compromise sensitive proprietary data, and damage organizational reputation.

Key mitigations:

To enhance our cyber resilience, we have implemented a range of measures designed to mitigate risks, protect critical assets, and respond effectively to incidents. These include:

- **Dedicated Cyber Defense Center:** We operate a specialized Cyber Defense Center in collaboration with an external partner, providing 24/7 security monitoring and rapid response capabilities

- **Employee Awareness and Training:** Our employees are consistently trained to identify and report phishing attempts and similar cyberthreats, helping to reduce human error as a factor in cyber incidents
- **Robust Recovery Capabilities:** We have developed strong recovery mechanisms to ensure swift restoration of operations and data integrity in the event of an incident. These include reliable data backup systems and ongoing refinement of recovery protocols to minimize downtime and business disruption

By implementing these comprehensive measures, we are committed to minimizing risks, maintaining trust, and ensuring the continued security and resilience of our operations amidst an increasingly complex cybersecurity landscape.



Global political and economic uncertainty

Risk description

There is a risk of significant disruptions in global trade, driven by trade tensions, geopolitical events, and the imposition of sanctions and tariffs, along with supply-demand disruptions. These uncertain events impact trade relationships, supply chains, operational expenses, and strategic planning, which may adversely affect our business operations, our decision-making and our long-term investments.

Key mitigations:

- We continuously strive to diversify our business portfolio and production footprint to reduce exposure to economic downturns in specific sectors or countries
- We continuously monitor political and economic developments, and prepare for substitution of alternative suppliers and raw materials

- We actively work with public authorities to prepare for and mitigate potential escalation
- We incorporate global and local considerations into short- and long-term capacity planning, and reduce dependencies on critical and single-sourced raw materials
- We have a dedicated team in place to continuously monitor global supply networks



Summary of the Remuneration Report

In 2025, we delivered strong growth across industries and solid profitability. With an organic sales growth of 7% and an adjusted EBITDA margin of 37.1%, we achieved the targets set for the year. Furthermore, we continued to reduce the environmental footprint of our operations.

These outcomes have shaped our approach to remuneration for 2025.

Each year, Novonesis issues the Remuneration Report as a separate report. The Remuneration Report has been prepared to meet the requirements of Section 139b of the Danish Companies Act, and holds information and details on the remuneration of the Board of Directors and the Executive Management. The Remuneration Report will be presented for an advisory vote at the Annual General Meeting to be held in 2026.

At the Annual General Meeting in April 2025, Novonesis' Remuneration Report for 2024 was approved in an advisory vote with a high majority.

The Remuneration Policy remains unchanged from 2024.

General Remuneration Policy

Novonesis' Remuneration Policy for managers and other employees is designed both to encourage strong individual performance and to support Novonesis' overall value creation. Remuneration consists of a base salary, pension contributions, a cash bonus, and share-based incentive programs.

These components are linked to employees' individual performance and to the level of achievement of Novonesis' financial and sustainability targets. The Remuneration Policy aims to provide managers and other employees with a competitive financial package, which we review regularly against external benchmarks.





Remuneration of the Board of Directors

The remuneration of the Board of Directors comprises a fixed fee and is not incentive-based. This ensures that the Board of Directors safeguards the company's long-term interests without taking into consideration what this may mean in terms of the value of incentive-based remuneration. The Board of Directors' fees are set at a market-competitive level that reflects the competencies and efforts required of the role, given the complexity of the Group, the scope of the work, and the number of Board meetings held.

At the Annual General Meeting held in April 2025, the shareholders approved a 3.5% increase in the base fee for Board members to EUR 75,700 (DKK 564,800). The Chair receives a fee that is three times the base fee, and the Vice Chair receives a fee that is twice the base fee. For committee work, the committee Chair and other committee members receive a further base fee and half a base fee, respectively. The Board of Directors currently comprises 12 members, with eight being shareholder-elected and four being employee-elected.

Following the successful integration of the two legacy companies into Novonesis, the interim Integration Committee was dissolved in 2025.

The total remuneration paid to the Board of Directors in 2025 amounted to EUR 1,694,700, compared with EUR 1,807,300 in 2024. The decrease was a result of the reduction of Board members from nine to eight, and the closing of the interim Integration Committee. This was partly offset by the increase in the base fee.

The individual Board members' fees and their shareholdings can be found in the Remuneration Report 2025:

[Read more](#)

Remuneration of the Executive Management

As of 31 December, 2025, the Executive Management of Novonesis consisted of:

- Ester Baiget, President & Chief Executive Officer (CEO)
- Rainer Lehmann, Executive Vice President & Chief Financial Officer (CFO)

The total remuneration of members of the Executive Management comprises:

- A base salary plus pension, a company car, and certain other typical benefits
- A short-term incentive program (cash bonus) – STI
- A long-term incentive program (share-based program) – LTI

The remuneration of the Executive Management in 2025 was in line with the scope of the Remuneration Policy that was unchanged from 2024.

In April 2025, the members of the Executive Management received a 3.5% increase in their base salary. This increase was in line with the average for other Danish-based employees.

Short-term incentive program (STI)

The targets for the STI are typically set by the Board of Directors in connection with the review of the business plan for the year. Good performance will result in target payout, while maximum payout is only achieved for delivering extraordinary performance. Target payout and maximum payout equal 100% and 150%, respectively, of the annual base salary for CEO Ester Baiget, and 65% and 97.5%, respectively, of the annual base salary for CFO Rainer Lehmann.

In 2025, the targets for the STI were split as follows: financial performance of the company at 60% weight (sales at 30%, adjusted EBITDA margin at 20%, and cash conversion at 10%) and culture implementation at 10%. Individual performance targets are set for each executive and account for the remaining 30%.

The sales performance of Novonesis in 2025 met the maximum target and resulted in a payout of 150% compared with target performance (100%). The adjusted EBITDA margin achieved in 2025 exceeded the target and resulted in a payout of 131%. The cash conversion met the target and resulted in a payout of 123%.

The level of culture implementation as measured in global surveys for all employees was 8.3 out of 10. This is an improvement of 0.3 compared to the baseline, which exceeded the maximum target and resulted in a payout of 150%.

The level of achievement of individual performance targets, and thus the size of remuneration payment to each individual executive, is in each case determined by the Board of Directors, based on recommendations from the Nomination and Remuneration Committee. Based on its assessment, the Board determined that the payout based on individual targets



was 145% for CEO Ester Baiget and 145% for CFO Rainer Lehmann. The payout reflects strong performance above target (100%) for both executives.

The total payout ratio of the STI 2025 is shown in the table to the right.

In 2025, CEO Ester Baiget was awarded an extraordinary bonus of EUR 160,400 related to the merger.

Further details on the Executive Management's individual targets and the Board's assessment of performance achievement can be found in the Remuneration Report 2025:

[Read more](#)

KPI	Weight	Achievement		
		Actual	% of target	
Net sales, mEUR	30%	4,157.6	150%	
Adjusted EBITDA margin	20%	37.1%	131%	
Cash conversion ratio	10%	95.4%	123%	
Culture Implementation improvement	10%	+0.3	150%	
Individual targets (see table to the right)	30%	As per evaluation by Board of Directors	CEO 145%	CFO 145%
		Total, % of target	142%	142%
		Total, EUR '000	2,204.1	928.9

Remuneration for the individual members of the Executive Management

EUR '000	Fixed				Variable			2025	2024	
	Salary	Contribution-based pension	Other benefits	Total fixed (% of total remuneration)	Cash bonus (STI)	Granted incentive program (LTI)	Total variable (% of total remuneration)	Total remuneration	Total remuneration	Compensation for lost incentives/ sign-on fee
Ester Baiget, CEO	1,539.0	169.3	57.5	1,765.8 30%	2,364.5	1,802.0	4,166.5 70%	5,932.3	6,814.8	-
Rainer Lehmann, CFO	997.9	109.8	115.8	1,223.5 40%	928.9	876.3	1,805.2 60%	3,028.7	2,918.5	419.2
Remuneration	2,536.9	279.1	173.3	2,989.3	3,293.4	2,678.3	5,971.7	8,961.0	9,733.3	419.2

The difference in the total remuneration for the Executive Management in the above table compared to Note 5.1 – Management Remuneration in the Annual Report – is related to long-term incentives. The disclosure in Note 5.1 is based on IFRS recognition principles, according to which the long-term incentive programs are expensed over the three-year vesting period. The long-term incentive included in the above table is the cost of the 2025 program measured at market value at the grant date.



Long-term incentive program (LTI)

The Board of Directors annually issues LTI grants with overlapping three-year performance periods. This allows the Board of Directors to reassess targets for each annual grant cycle to ensure that the targets are sufficiently demanding, incentivizing, and aligned with the strategy. The new LTI for the Executive Management, covering the performance period 2025–2027, took effect in 2025.

The LTI for 2025–2027 consists of 100% performance shares, similar to the LTI program for 2024–2026. The LTI 2025–2027 targets reflect 50% weight on organic sales growth, 20% weight on adjusted EBITDA margin, 10% weight on adjusted ROIC, and 20% weight on sustainability targets. The targets are aligned with the strategy and the measures of business success for the period 2025–2027. The sustainability targets are set on three parameters, covering the environmental perspective with a focus on reduction of scope 1 and 2 emissions, reduction of scope 3 emissions, as well as gender ratio within senior management.

The target value of the annual LTI for CEO Ester Baiget is 120% of the annual base salary (value at conditional grant), while the maximum is 180% of the annual base salary. For CFO Rainer Lehmann, the target value is 90% of the annual base salary (value at conditional grant), while the maximum is 135% of the annual base salary.

At the grant date in 2025, the target value of the LTI 2025–2027 amounted to EUR 1,802,000 for CEO Ester Baiget, and EUR 876,300 for CFO Rainer Lehmann.

The program contains a maximum-value clause, allowing the Board of Directors the option to reduce the number of performance shares if the value at the end of the program exceeds twice the maximum value at the date of the conditional grant.

The LTI program covering the performance period 2023–2025 was finally allocated in 2025. The targets of the LTI have been changed due to the combination, as the targets in the program were reflecting legacy Novozymes' financial and sustainability strategy. The original targets set for 2024 and 2025 no longer reflected the new combined business. As a consequence of this, the Board of Directors decided to conclude the 2023 part of the program, and set new targets for 2024 and 2025, reflecting the performance ambitions for Novonesis.

The performance for 2023 has been settled at a performance at 71% of maximum, measured on organic sales growth for the period (weight 40%), EBIT margin (weight 20%), ROIC (weight 20%), and performance on four sustainability targets (weight 20%). The updated targets for 2024 and 2025 cover organic sales growth (weight 50%), adjusted EBITDA margin (weight 30%), and performance on three sustainability targets (weight 20%), and have been settled at a performance at 95% of maximum. This means that the actual performance over the full period exceeds the targets, and in total the performance against the set targets has resulted in 87% of the maximum allocation being awarded.

For the members of the Executive Management, this means that a total of 20,605 shares will be released in February 2026. The number of share options granted for the three-year period is 74,701, reflecting the realized target achievement.

At the time of the grant in 2023, the target value of the LTI was EUR 1,304,600 for CEO Ester Baiget and EUR 161,000 for CFO Rainer Lehmann. Based on the actual allocation and the

current share price (end of 2025), the value is EUR 1,475,600 and EUR 182,500 for CEO Ester Baiget and CFO Rainer Lehmann, respectively.

The members of the Executive Management have contracts of employment containing standard conditions for executives of Danish listed companies, including non-competition clauses and the periods of notice that both parties are required to give. If an executive's contract of employment is terminated by the company without any misconduct on the part of the executive, the executive has a notice period of 12 months. In addition to the notice period, the executive has the right to termination compensation of 12 months' base salary and pension contributions.

Further details on the Executive Management's remuneration and their shareholdings, etc., can be found in the Remuneration Report 2025:

[Read more](#)

Remuneration of senior management

The remuneration of Novonesis' senior management (344 executive vice presidents, vice presidents and directors in total) is consistent with the general Remuneration Policy. Incentive programs for senior management have been established for the 2025–2027 period. The programs follow the same mechanisms as the program for the Executive Management. The realized target achievement for the LTI covering the period 2023–2025 is the same as for the Executive Management.

Further information on the incentive programs for these employee groups can be found in the Note 5.2 on **Share-based payment** to the consolidated financial statements.



Shareholder information

Novonesis' total market cap was DKK 191.0 billion (EUR ~25.6 billion) at the end of 2025. The average daily trading volume of the stock (NSIS B) was 557,871 shares or DKK 231.9 million (EUR ~31.1 million). An interim dividend of DKK 2.25 (EUR ~0.3) was disbursed on August 27, 2025, while a year-end/final dividend of DKK 4.25 (EUR ~0.57) per share has been proposed.

Stock performance

Novonesis' total market cap was DKK 191.0 billion (EUR ~25.6 billion) at the end of 2025, as the share price (NSIS B) was stable from the closing price of DKK 407.7 (EUR ~54.6) at the end of 2024 to DKK 407.8 (EUR ~54.6) at the end of 2025, while the special ingredient peer group was down around 25.4% in the same period. The share price performance, together with the dividend payment of DKK 3.0 billion (EUR ~403 million), resulted in a total shareholder return of 1.6% for the year.

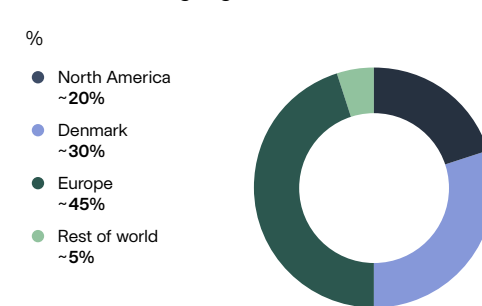
Share buyback

In 2025, Novonesis completed a share buyback program of EUR 99.9 million or 1,729,099 shares. The repurchased shares will be used to meet obligations arising from employee share-based incentive programs. Novonesis held 2,384,632 treasury shares, or 0.5% of the total stock capital, at the end of 2025.

Share price development 2025



Ownership by geography (B shares)





Dividends

Novonesis paid out DKK 2.25 (EUR ~0.3) per share in interim dividend on August 27, 2025. The Board of Directors proposes that the Annual General Meeting approve a dividend of DKK 4.25 (EUR ~0.57) per share for the remainder of 2025, for a total payout of DKK 6.5 (EUR ~0.87) per share, or approximately DKK 3,028 (EUR ~405) million for the 2025 financial year. If approved, the 2025 dividend will be disbursed on March 26, 2026, with March 23, 2026, as the last trading day with dividend for 2025.

Share and ownership structure

The common stock consists of 468,298,646 shares, each with a nominal value of DKK 2 (EUR ~0.27) per share. The common stock is divided into 53,743,600 A shares that carry 20 votes each, and 414,555,046 B shares that carry 2 votes each.

Novonesis had more than 100,000 shareholders at the end of 2025, and ~70% of the B shares were held outside Denmark, mainly by institutional investors. Fifty institutional investors, including Novo Holdings A/S, held approximately 65% of the B shares. Novo Holdings A/S held 25.5% of the total common stock in Novonesis and controlled 63.4% of the votes. Novo Holdings A/S is wholly owned by the Novo Nordisk Foundation, an independent Danish foundation with corporate interests. The objective of the Novo Nordisk Foundation is to provide a stable basis for the commercial and research activities of the companies in the Novo Group, and to support scientific, humanitarian and social causes. Novonesis held 2,384,632 treasury shares, or 0.5% of the total stock capital, at the end of 2025.

Financing and capital structure management

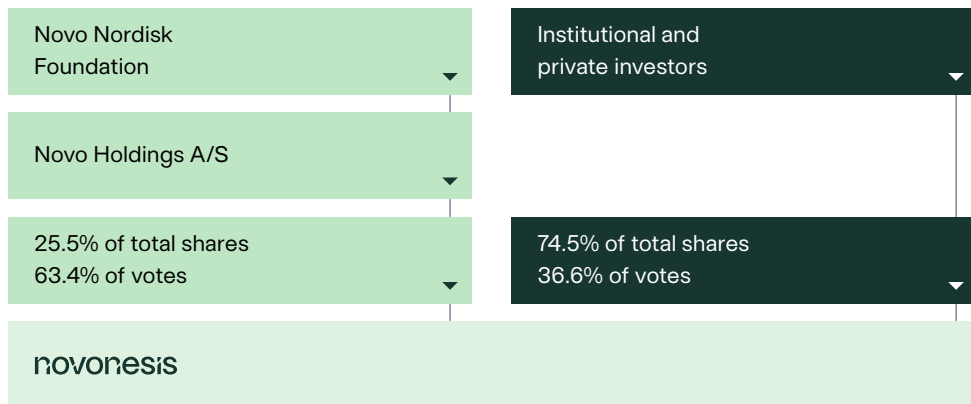
Each year, the Board of Directors assesses whether the capital and share structure of Novonesis is optimal. In 2025, the Board of Directors assessed that the share structure with A and B common stock continues to be the best way to safeguard the

company's long-term strategy and development for the benefit of the company's shareholders and other stakeholders. Regarding its capital structure, the company favored a rather modestly leveraged balance sheet, as reflected by a target for net interest-bearing debt of around 1.5x EBITDA.

The Board of Directors has been authorized by the shareholders to allow the company to acquire treasury stock on an ongoing basis, provided the nominal value of the company's total holding of treasury stock does not exceed 10% of its share capital at any time, see section 198 of the Danish Companies Act. The purchase price must not deviate by more than 10% from the price quoted on Nasdaq Copenhagen at the date of acquisition. This authorization applies until April 30, 2026. In addition, the Board of Directors is authorized to increase the share capital as outlined in the company's Articles of Association:

[Read more](#)

Ownership structure



		A stock	B stock	Total
Share capital	DKK	107,487,200	829,110,092	936,597,292
Number of shares		53,743,600	414,555,046	468,298,646
Held by Novo Holdings A/S	%	100.0	15.8	25.5
Number of votes		1,074,872,000	829,110,092	1,903,982,092
Voting rights	%	56.5	43.5	100.0
Held by Novo Holdings A/S	%	56.5	6.9	63.4



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Sustainability at the core

Sustainability is at the core of Novonesis and is embedded in our GROW strategy.

Our efforts are driven by our sustainability ambition **People. Planet. Positive.**, illustrating our aim to leverage our cutting-edge innovation capabilities to deliver biosolutions that enable a healthier planet and healthier people – our handprint – while reducing the impact of our production and supply chain – our footprint.

We have demonstrated sustainability leadership for decades and remain committed to creating measurable positive impact and transparent disclosure across environmental, social and governance (ESG) matters, alongside strong financial performance.

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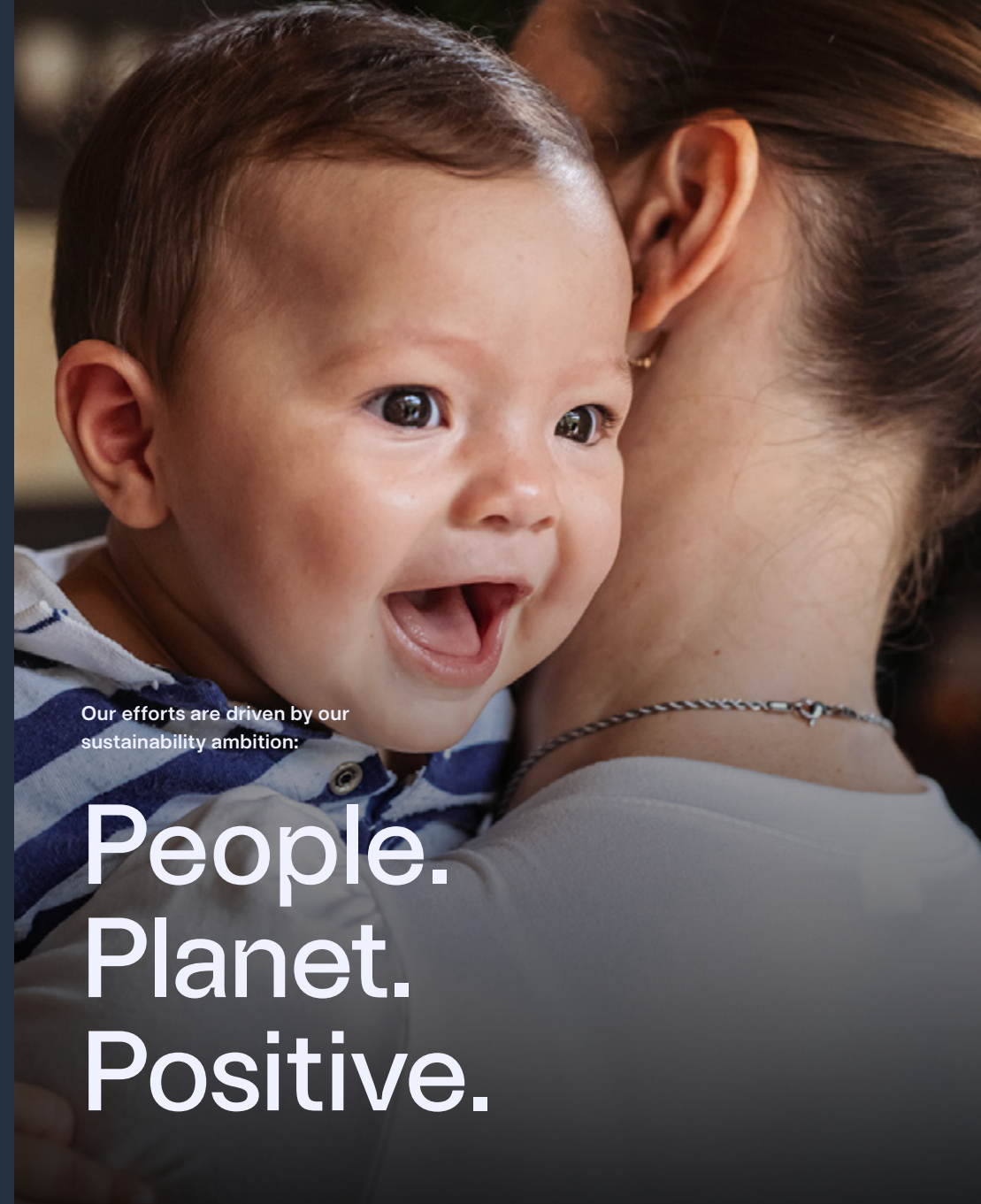
Governance

Appendix

Our purpose is clear: We are here to ‘better our world with biology’. Our sustainability ambition is to leave a positive impact on people and on the planet in everything we do. We call it ‘People. Planet. Positive.’ Our ambition is grounded in a deep understanding of our material impacts, risks and opportunities, supported by a strong governance framework that drives accountability and progress.

Our efforts are driven by our
sustainability ambition:

People.
Planet.
Positive.





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Sustainability governance and due diligence

Sustainability is embedded across all decision-making levels in our organization. The Board of Directors oversees our sustainability strategy, targets and risk management, and approves our sustainability policy and the **Double Materiality Assessment (DMA)**. Material **impacts, risks and opportunities**, targets and actions are regularly discussed in working sessions with the Board of Directors and the Executive Leadership Team, which are held monthly, quarterly or annually, depending on the topic.

The Board of Directors is responsible for overseeing risks and ensuring a robust risk management process through our **Enterprise Risk Management (ERM)** framework, which also incorporates the risks identified in the DMA.

The Executive Leadership Team assesses long-term sustainability trends, integrates them into business strategy and our

innovation pipeline, and appoints leaders to oversee our sustainability ambition, set our sustainability targets, and drive roadmaps for target implementation. All targets are approved by the Executive Leadership Team and the Board of Directors, who also track their progress.

The Audit Committee oversees the accuracy and compliance of sustainability reporting, evaluates internal controls, and reviews assurance outcomes. The Audit Committee reports its findings to the Board of Directors.

The Board of Directors and the Executive Leadership Team actively build upon their sustainability expertise by leading and engaging in sessions on Novonesis' approach to broader sustainability topics. They draw on specialized insights from internal and external experts when needed. Their growing

expertise strengthens sustainability governance, mitigates risks, and drives our growth ambitions.

Read more about our sustainability-related incentive schemes in the **Summary of the Remuneration Report**.

We foster a broad range of partnerships across both public and private sectors. Through collaboration, we strive to meet our shared responsibility to leave a healthy, viable planet for generations to come. As a result of our strong governance and actions, we are recognized for our commitment to sustainability by some of the world's most respected ESG rating agencies, platforms and initiatives. These acknowledgements confirm our ambition to lead with integrity and impact, driven by science, transparency, and a deep sense of responsibility.

We actively engage for impact



We are proud to be recognized for our sustainability efforts



Score: **Climate A**
Scale: A – D



Score: **Water A-**
Scale: A – D



Score: **AA**
Scale: AAA – CCC



Score: **Low risk**
Scale: Negligible – Severe risk



Gold medal
98th percentile



Constituent

Details on ratings, performance, and logo use disclaimers on our website: [Read more](#)



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Our sustainability due diligence

To ensure sustainable growth and to remain a reliable partner to our customers, suppliers, shareholders, and the communities where we operate, we apply a due diligence process to identify, assess and mitigate potential impacts, risks and opportunities. This process is anchored in internationally recognized standards, specifically the UN Guiding Principles on Business and Human Rights, the International Bill of Human Rights, the core conventions of the International Labor Organization (ILO), and the OECD Guidelines for Multinational Enterprises.

We detail our approach to human rights due diligence, grievance mechanisms and remedies in [Our workforce](#) and our [Responsible Purchasing Position](#).

As a member of the UN Global Compact, we submit our annual report to the Communication on Progress (CoP):

[Read more](#)

We have a robust environmental management system across our production sites. The ISO 14001 standard guides our due diligence process, ensuring that local environmental impact assessments are reviewed at least annually and that key identified risks are incorporated into our Enterprise Risk Management process.

We strive to ensure that all our production sites are ISO 14001-certified. The list of our sites and their certificates is available in [Standards and certificates](#).

The environmental assessments inform our standard operating procedures and emergency response plans. We consider the views of neighbors and local municipalities during the permit issuance process, and we engage with local communities

when relevant. By adhering to these standards and practices, we aim to foster safe and responsible ways of working when considering our evolving obligations to local stakeholders and the environment.

The core elements of our due diligence process are described across our Sustainability statement and Management review, and summarized below.

Core elements of our due diligence process

1 Embedding due diligence in governance, strategy and business model

Read more:
[Corporate governance, Sustainability ambition: People. Planet. Positive.](#)

2 Engaging with affected stakeholders in all key steps of the due diligence

Read more:
[Stakeholder engagement](#)

3 Identifying and assessing adverse impacts

Read more:
[Double Materiality Assessment](#)

4 Taking actions, tracking effectiveness, and communicating efforts

Read more:
[Environment, Social, and Governance](#)



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Scope and consolidation

Our Sustainability statement has been prepared in accordance with the EU Corporate Sustainability Reporting Directive (CSRD) and the disclosure requirements outlined in the European Sustainability Reporting Standards (ESRS). It fulfills our statutory reporting obligations under section 99a of the Danish Financial Statements Act. The scope of our Sustainability statement is defined by our Double Materiality Assessment (DMA), which evaluates impacts, risks and opportunities across our value chain. We report on topics deemed material by the DMA, covering both mandatory and selected voluntary disclosures.

We prepared our Sustainability statement on a consolidated basis, comprising data and information from Novozymes A/S (the parent company) and subsidiaries controlled by Novozymes A/S. The Group is referred to as Novonesis. The consolidation of sustainability data follows the same principles as our financial reporting. When estimates or assumptions are used, these are outlined in the corresponding accounting policies.

Our environmental reporting includes data from all manufacturing sites, regardless of size, and non-manufacturing sites with a headcount of more than 100. Sites such as sales offices and research and development (R&D) labs, which do not have a significant environmental impact, are excluded, as they do not meet our materiality threshold. Over 98% of our environmental footprint is included in the reported numbers. For our scope 1, 2 and 3 emissions we follow emissions boundaries in accordance with the Greenhouse Gas Protocol and the Science Based Targets initiative (SBTi).

Selected CSRD disclosure requirements are **incorporated by reference** in the first part of the Management review. These include our business model (SBM-1), sustainability-related incentive schemes (GOV-3), and the composition and diversity of the Board of Directors and Executive Management (GOV-1).

According to ESRS E2-5, we are required to report on enzymes that are generated, used during production and procured, and those that leave our facilities as emissions, products or parts of products. Since enzymes are part of our product portfolio, we consider this information sensitive for competitive reasons, and therefore we do not disclose these amounts.

ESRS MDR-A requires us to report on the current CAPEX and OPEX allocations for our sustainability-related action plans. As sustainability is embedded throughout our operations, distinguishing specific allocations does not provide meaningful insight, and we have therefore chosen not to disclose these figures.

Changes affecting sustainability data in 2025

For **Emissions to water**, only pollutants in wastewater discharged directly to recipients or used for irrigation are included. We have adjusted our methodology in line with the CSRD requirements and now exclude pollutants in wastewater sent to municipal or third-party treatment facilities, which was previously accounted for in 2024.

For **Greenhouse gas emissions (GHG)**, for 2024 scope 3 inventory, we improved the calculation basis for categories 1, 3 and 4. For scope 3 category 1, we implemented a unified accounting

system to ensure consistency, such as application of exclusion criteria, concentration of materials, and currency exchange and inflation rates. For category 3, we streamlined the accounting of emissions related to feedstock and grid losses for renewable electricity consumption. For category 4, we improved Incoterms, shipment types, and transport modes, ensuring accurate allocation between upstream and downstream transportation and distribution. We applied the same calculation basis to our 2018 baseline emissions, and the effect was immaterial. As a result, our 2018 baseline remains unchanged, and the boundary of our SBTi-validated net-zero target stays the same.

Risk management and internal controls for sustainability reporting

Our sustainability reporting is supported by a risk management framework and internal controls designed to ensure that we measure, monitor and evaluate our performance, while complying with the CSRD and the ESRS, and safeguarding against material misstatements. Clear reporting procedures assign separate responsibilities for data preparation, review and approval throughout the data collection and reporting process.

In 2025, we enhanced these controls by rolling out a global operational environmental data collection system and by strengthening data quality and traceability. We will continue to improve data collection processes and internal controls to ensure our data remains reliable, consistent, and fit for stakeholder use.



Stakeholder engagement

We actively engage, co-create and partner with our stakeholders to understand their perspectives and needs. This guides our **Double Materiality Assessment** and shapes our activities to advance our purpose to better our world with biology.

Stakeholder engagement on sustainability matters is governed in accordance with our **Sustainability governance and due diligence**.

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Incorporating stakeholder perspectives

Stakeholder	Purpose of engagement	Engagement methods		Outcome
 Employees	Monitor and improve employee development and well-being, focusing on training and skills development, fair treatment, remuneration, health and safety, and diversity, equity and inclusion	- Engagement surveys - Individual development plans, business targets and relevant training	- Grievance mechanisms - Internal corporate communication with senior management	<u>Our workforce</u> <u>Health and safety</u>
 Customers	Deliver biosolutions that meet customer needs, while enabling a healthier planet and healthier lives. Focus on workers in the value chain and ethical business practices	- Business meetings - Partnerships and alliances	- Customer questionnaires and satisfaction surveys - Sustainability rating agencies	<u>Business model</u> <u>Strategy</u> <u>Innovation</u> <u>Workers in our downstream value chain</u> <u>Sustainability ambition: People. Planet. Positive.</u>
 Suppliers	Collaborate on strategic sustainability initiatives, and ensure ethical business practices	- Regular dialogue - Supplier engagement program - Strategic partnerships and alliances	- Participation in industry associations and industry alliances - Contractual obligations	<u>Workers in our upstream value chain</u> <u>Climate change</u> <u>Business conduct</u>
 Investors	Communicate sustainability performance in a transparent manner	- Investor engagements - Sustainability-focused investor meetings - Investor surveys and questionnaires	- Reporting and disclosures - Sustainability rating agencies	<u>Message from the Chair and the CEO</u> <u>Double Materiality Assessment</u> <u>Innovation</u>
 Regulatory authorities	Ensure compliance with regulations	Engagement with local and national regulatory bodies to ensure compliance	Engagement with industry associations	<u>Sustainability governance and due diligence</u> <u>Innovation</u>
 Business organizations and policymakers	Advocate for biosolutions, and promote sustainability	- Memberships of industry associations, alliances, and chambers of commerce - Public policy consultations and face-to-face meetings with public authorities	Bilateral engagements and strategic partnerships	<u>Business conduct</u> <u>Innovation</u> <u>Climate change</u> <u>Pollution</u>
 Local communities	Engage to learn and develop sustainability initiatives	Local corporate social responsibility activities	Dialogue with local communities	<u>Water</u> <u>Sustainability governance and due diligence</u>



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Double Materiality Assessment

We conduct a Double Materiality Assessment (DMA) to gain insights and guide sustainability decisions that benefit stakeholders, people and the planet.

Our approach

In our DMA process, we map our value chain, including both upstream and downstream activities, while considering our global business operations and our relationships. In this process, we consider all the geographical areas where we operate, our facilities and other assets, and distribution channels to cover various inputs and outputs. Additionally, we identify stakeholders who are directly involved in or affected by our activities, as well as those interested in our development and reporting.

We interview both external and internal stakeholders. Our external stakeholders include investors, customers, suppliers and NGOs. Internally, we engage with a broad representation of stakeholders across various departments, functional areas and regions. During the interviews, subject matter experts identify the positive and negative impacts, risks and opportunities (IROs) across sustainability topics. They assess and evaluate the materiality of any applicable data points for Novonesis, based on the thresholds defined. The results from these interviews are calibrated in numerous workshops, involving senior management and internal experts, to help us determine materiality.

Every four years, we conduct a comprehensive reassessment of the DMA, while each year we review our DMA as a dynamic

process, building on learnings from previous years and considering changes throughout the reporting year.

Our DMA is approved annually by the Executive Leadership Team and the Board of Directors.

Impact materiality

We assess actual or potential impacts, whether negative or positive, based on the following criteria:

- **Scale:** The magnitude of the impacts on people and/or the environment
- **Scope:** The extent and geographical reach of the impacts, such as the extent of environmental impact or how far-reaching the effects would be on people and the planet (e.g., local or global reach)
- **Irremediability:** The extent to which impacts can be remediated, i.e., restoring the environment or affected people to their prior state
- **Time horizon and likelihood:** The expected duration of the potential impact and the likelihood of its occurrence. We use a 1–4 scale, defined as follows:

Score 1: Short-term – within a reporting period

Score 2: Medium-term – 1–3 years

Score 3: Long-term – 3–5 years

Score 4: Very long-term – more than 5 years





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For potential negative human rights impacts, we prioritize the severity of the impact over its likelihood.

Financial materiality

We assess inherent risks and opportunities based on their potential to impact our development or financial status. The scoring criteria includes:

- **Financial impact:** The magnitude of the financial effects, where thresholds for financial materiality are aligned with our risk management framework
- **Time horizon and likelihood:** Assessed using the same methodology applied to impact materiality

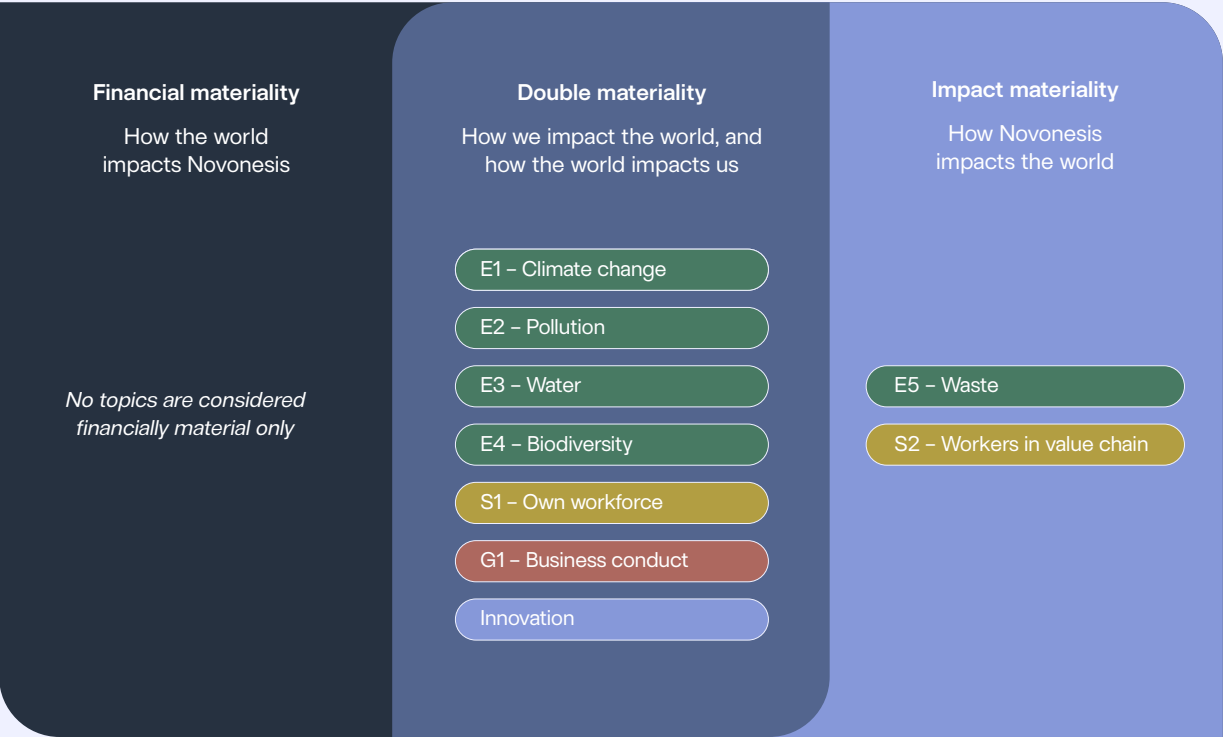
DMA results

In 2025, we carried out a review of our DMA. We engaged with subject matter experts and functional owners to evaluate the material and non-material topics, as well as the IROs identified. We considered the trends in sustainability-related customer and investor inquiries and the acquisition of dsm-firmenich's sales and distribution activities in the Feed Enzyme Alliance, where we took over its sales and distribution activities.

As a result, we updated our IROs; however, this did not result in any changes to our nine material topics, which consist of five environmental, two social, one governance, and one Novonesis-specific topic. The topics, including their respective IROs, are summarized on the [next page](#), and further described in their respective sections of this Sustainability statement.

Based on our DMA, we have not identified any IROs that indicate a significant risk of material adjustments to assets or liabilities in the 2026 reporting period.

Double Materiality overview



● Environment ● Social ● Governance ● Innovation



Overview of material topics

Environment

Climate change

E1.1	Delivering biosolutions for a healthier planet, including alternative fuels	O	P
E1.2	Carbon taxation presenting both opportunities and risks	O	R
E1.3	Increasing volatility in energy and raw material prices linked to climate change	R	
E1.4	Our greenhouse gas emissions	N	

Pollution

E2.1	Reducing pollution for our customers through their use of biosolutions	O	P
E2.2	Enzyme technology classification in the EU	O	R

E2.3	Increasing environmental regulation could impact both expenses and production capabilities	R	
E2.4	Potential spills at production sites	N	
E2.5	Using agricultural raw materials may contribute to soil and water pollution	N	

Water

E3.1	Reducing water consumption and pollution through biosolutions for our customers	O	P
E3.2	Water scarcity may impact our production and our customers' manufacturing	R	
E3.3	Water for our production processes may alter local conditions	N	
E3.4	Water consumption in agriculture	N	

Biodiversity

E4.1	Reducing the need for conventional pesticides in agriculture, and added nutrients and antibiotics in animal feed	O	P
E4.2	Potential spills at production sites	N	
E4.3	Sourcing raw materials potentially associated with deforestation	N	

Waste

E5.1	Promoting circular economy through our biosolutions, packaging and waste management	P	
E5.2	Generating substantial amounts of biomass as a by-product	N	

Social

Own workforce

S1.1	Creating an attractive workplace for our employees	P	
S1.2	Health and safety of our employees	N	R

Workers in the value chain

S2.1	Suppliers potentially not adhering to human rights principles	N	
S2.2	Health and safety of workers handling our products	N	

Governance

Business conduct

G1.1	Enabling our future success through a thriving corporate culture	P	
G1.2	Advocating for biosolutions as a lever for economic growth, including green jobs and in support of the green transition	P	
G1.3	Unethical practices by our business partners	R	

Innovation

Innovation

I1.1	Developing new transformative biosolutions to enable a healthier planet and healthier lives	O	P
I1.2	Failing to introduce new biosolutions	R	
I1.3	Regulatory frameworks for biosolutions	O	R

O Opportunity P Positive impact R Risk N Negative impact



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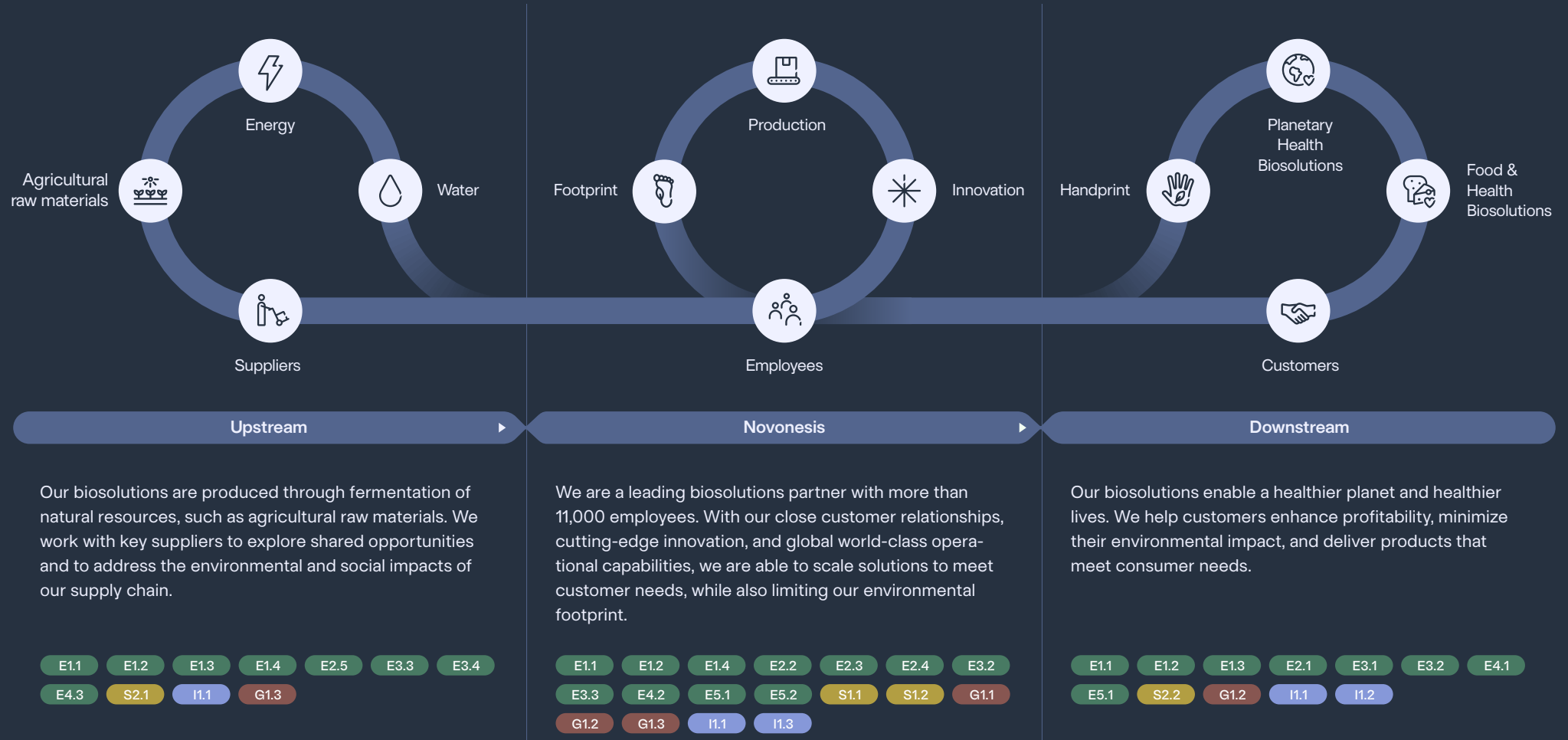
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● Environment ● Social ● Governance ● Innovation



Innovation

Our innovation leadership turns biology into biosolutions that help solve the world's most urgent challenges.

2025 highlights

85%

of products launched in 2025 are protected by intellectual property (IP)

>80%

of the innovation portfolio value expected to support at least one of the six selected UN Sustainable Development Goals

>40

local R&D, application, and co-creation centers





Innovation

Our biosolutions toolbox and innovation capabilities are key to realizing our growth ambitions.



Handprint

Through our biosolutions, we help customers increase performance, mitigate climate impact, transform food systems, enable healthier living, and protect nature and biodiversity.



Footprint

Producing biosolutions requires energy and resources, yet we are committed to minimizing our footprint. Leveraging our expertise and advanced production technologies, we scale with speed and efficiency, bringing tailored biosolutions to market while decoupling cost and growth.

Impacts, risks and opportunities

Developing new transformative biosolutions to enable a healthier planet and healthier lives

I 1.1

Opportunity

Positive impact

Demand for our biosolutions continues to rise, driven by a convergence of performance, financial, health and environmental priorities. Through cutting-edge innovations, we deliver biosolutions to optimize resources across industries, reduce reliance on fossil fuels, improve nutrition and health, and unlock alternative protein sources.

Failing to introduce new biosolutions

I 1.2

Risk

Innovation is important for maintaining our competitive advantage. This includes both access to microbial diversity and genetic information, and the ability to discover, engineer, develop and produce biosolutions cost-effectively and at scale. The potential failure to consistently introduce new biosolutions could lead to a loss of market share and would hinder opportunities to enable a healthier planet and healthier lives.

Regulatory frameworks for biosolutions

I 1.3

Opportunity

Risk

We see an opportunity to unlock even greater customer and societal value by addressing unnecessary regulatory barriers. Given their positive impact, biosolutions have the potential to be recognized as a stand-alone industry. Today, we are classified as a chemical company under the EU regulation, which does not fully reflect the nature of biosolutions and may impact

the development and reach of our biosolutions. Through advocacy, we support fit-for-purpose regulations to help accelerate the biosolutions market to the benefit of businesses, people, and the planet, as described in [Business conduct](#).

Our approach

As a pure biology player, with a deep specialization in microbiology and industrial fermentation, we are at the forefront of the biosolutions era. For more than a century, we have been copying, engineering and improving the power of biology. Our innovations are underpinned by an extensive and unique biological library, spanning hundreds of thousands of microbial strains and millions of protein and enzyme structures. We apply advanced engineering tools, high-throughput screening, automation and AI to shorten development cycles and tailor solutions to specific customer needs.

Today, we leverage and scale our biosolutions across more than 30 markets and in high-value segments. We work side-by-side with customers to turn insights into innovation, offering them speed, scale, flexibility and resilience, while boosting jobs, competitiveness and growth in local economies. And through 40 application centers worldwide, we adapt and optimize solutions quickly, based on a deep understanding of customer needs and consumer preferences.

Our innovation efforts also include multiple partnerships and innovation programs, some supported by external funding and enabled by new technologies.

Our innovation efforts are overseen by the Board's Innovation Committee, as described in [Corporate governance](#).

Learn more: [Sustainability Policy](#).



2025 key actions

In 2025, 25% of our sales came from products launched within the past five years. By year end, our innovation pipeline comprised more than 250 projects aimed at meeting demand across industries in both emerging and developed markets. The flow of new biosolutions keeps us relevant to customers, improves our productivity, and strengthens our competitive edge. At the same time, these investments lay the foundation for our future growth.

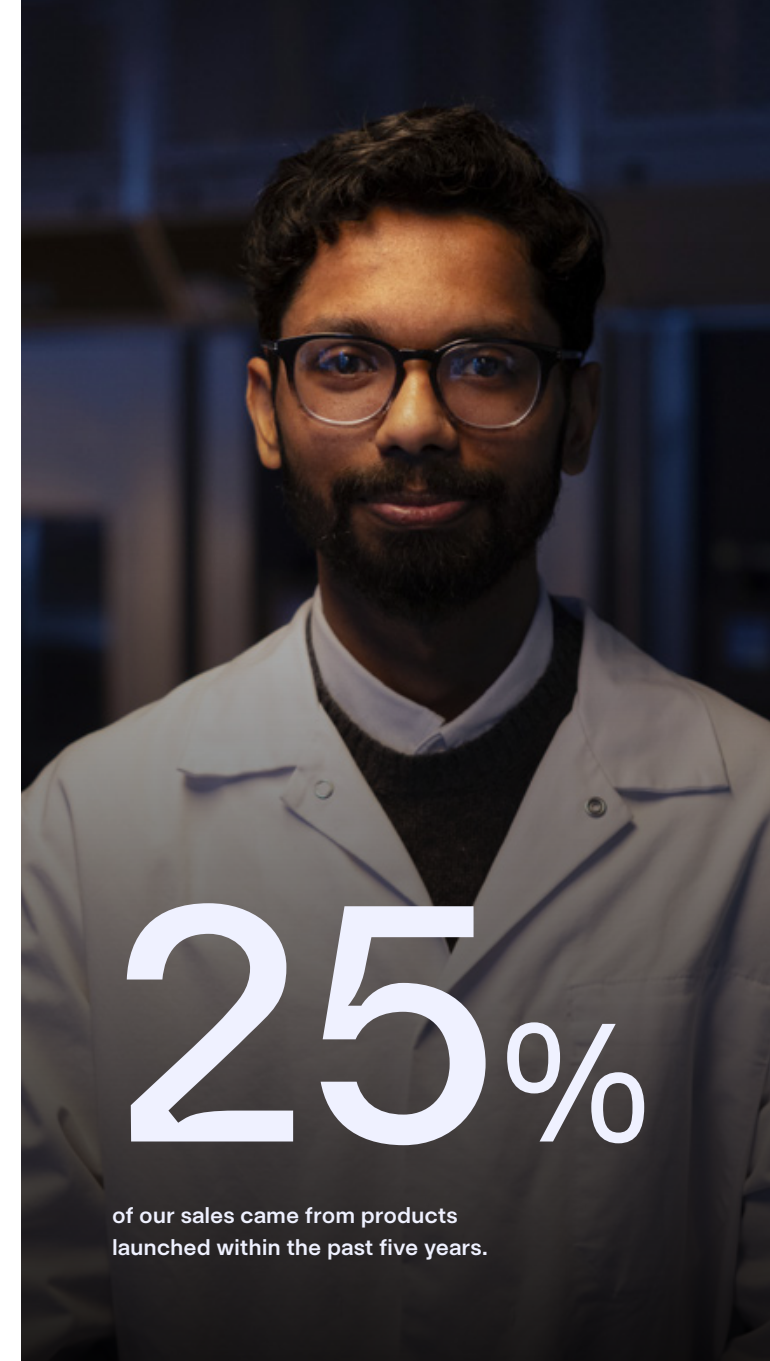
To support our innovation leadership, we advanced several technology investments throughout the year, focusing primarily on end-to-end data capture, digital infrastructure, machine learning, and AI tools. Together, they enable us to identify the most promising solutions, scale them more efficiently, and improve product formulation. In parallel, we advanced new production technologies and digital twins to enable productivity gains.

Last year, the results of our annual customer survey highlighted strong appreciation for our high-quality products and exceptional customer support, while identifying opportunities to deepen partnerships and collaborations.

In 2025, we invested 11% of sales in R&D and launched 33 new products, contributing significantly to future sales growth. 85% of products launched in 2025 were protected by intellectual property (IP), through 89 new patent filings, underpinning our innovation leadership.

We opened two Application Technology Centers: Dairy in Denmark, and Baking & Beverage in South Africa. In these state-of-the-art facilities, we mirror real production and enable close customer collaboration from design to scale-up, strengthening our innovation leadership.

Our innovation pipeline is also aligned with our **People. Planet. Positive.** ambition. At the end of the year, >80% of portfolio value was expected to be aligned with at least one of the six selected UN Sustainable Development Goals: 2, 3, 6, 7, 12 and 13.



25%

of our sales came from products
launched within the past five years.



Environment

Our biosolutions enable healthier lives and a healthier planet. We also know that our actions leave a footprint, and we work to mitigate climate impact – and to protect nature and biodiversity.

We reached all 2025 milestone targets

2025 highlights

60x

more greenhouse gases (GHG)
saved than emitted

100%

renewable electricity sourced

8.4%

water saved or recycled,
compared with a 2021 baseline

100%

of biomass waste
managed circularly





E1

Climate change

Our **People. Planet. Positive.** ambition has four strategic agendas, one of which is to 'Mitigate climate impact'.



Handprint

We pioneer biosolutions that enable greenhouse gas (GHG) emission reductions across multiple industries, supporting the transition to a low-carbon society.



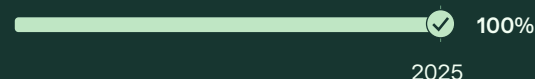
Footprint

Change starts with addressing our own impacts, thus we are prioritizing reducing our GHG emissions to reach net-zero GHG emissions by 2050.

Reduce absolute GHG emissions from scope 1 and 2



Source 100% renewable electricity



Impacts, risks and opportunities

Delivering biosolutions for a healthier planet, including alternative fuels

E1.1

Opportunity

Positive impact

We discover, develop and produce biosolutions that drive positive change for our customers, enabling savings of greenhouse gas emissions exceeding those generated in the production of our biosolutions. We are a leading producer of biosolutions for the biofuels industry and play an important role in advancing low-emission biofuels. We help enable energy independence from fossil fuels, enhancing energy security and increasing economic output from arable land, biomass, and waste residues.

Carbon taxation presenting both opportunities and risks

E1.2

Opportunity

Risk

Carbon taxation incentivizes the shift to low-carbon practices and materials through imposing a price on the emission of carbon dioxide and other GHGs. This can create a significant market and growth opportunity for resource-efficient biosolutions, which enable the saving of GHG emissions. While carbon taxation may lead to higher expenses for Novonesis, we believe the opportunities more than outweigh the risks.

Increasing volatility in energy and raw material prices linked to climate change

E1.3

Risk

Geopolitical events or crises linked to climate change may result in potential increase in expenses due to fluctuations in

energy, water and raw material prices. We mitigate this risk by monitoring the market dynamics of key raw materials and by taking proactive measures to strengthen supply resiliency, such as reducing dependencies on critical and single-sourced raw materials. Furthermore, our biosolutions can help customers manage fluctuations in raw material pricing and availability, as described in IRO E1.1.

Our greenhouse gas emissions

E1.4

Negative impact

As a production company, we emit greenhouse gases. If we did not take action to decarbonize, our emissions would increase as our business grows. However, we are committed to delivering on our decarbonization strategy for our own operations and value chain to improve the resilience of our company.

Our approach

We reduce climate impact by addressing customer needs and societal demand for more efficient use of resources. Our biosolutions help customers lower energy use, reduce emissions, and improve productivity across their value chains. We measure our contribution through two lenses: our handprint – the greenhouse gas emission reductions our biosolutions enable for our customers – and our footprint – the emissions of our operations and value chain. To drive progress, we also actively engage stakeholders and build partnerships to advance climate action.



Our handprint

Our climate transition plan builds on the strength of our biosolutions. We continuously enable customers and partners to reach their climate targets, and we shape industry standards that reduce reliance on fossil fuels and accelerate the transition to a low-carbon society – as highlighted in our ambition, **People. Planet. Positive.**

For nearly 20 years, we have applied rigorous, science-based methodologies to document the climate impact of our biosolutions. Through peer-reviewed life cycle assessments (LCAs), we quantify how our solutions enable lower emission processes and consumer products. By sharing these data-driven insights and providing product carbon footprints, we empower customers to accelerate their business progress and contribute to a healthier planet.

Sustainability library: [Read more](#)

We lead climate action by engaging in global partnerships that accelerate the transition to low-carbon solutions. Our approach to stakeholder engagement shapes how we work with non-governmental and multilateral organizations, customers, peers and investors – bringing technical expertise, sector insights, and leadership to every collaboration. These partnerships strengthen understanding of how biosolutions can

transform production and consumption systems and address some of the world's most pressing challenges, in alignment with our **GROW strategy**.

Our footprint

We are committed to upholding high standards and taking ambitious action to reduce our climate footprint across scope 1, 2 and 3. We are decarbonizing our operations and supply chain in line with a science-based pathway to reach net-zero greenhouse gas (GHG) emissions by 2050*. We are committed to reducing GHG emissions from our operations (scope 1 and 2) by 75% and our supply chain (scope 3) by 35% before 2030, compared with a 2018 baseline.

Our climate targets are validated by the Science Based Targets Initiative (SBTi). That means that they are developed based on climate science and aligned with the Intergovernmental Panel on Climate Change (IPCC) scenarios. Our 2030 scope 1 and 2 GHG emissions target aims to limit global warming to 1.5°C above pre-industrial levels. Our 2030 scope 3 target is aligned with the goal of limiting temperature rise to well below 2°C. Our net-zero by 2050 target is aligned with a 1.5°C scenario under the Paris Agreement. Our climate targets do not include GHG removals, carbon credits, or avoided emissions as a means of achieving the GHG emissions reduction targets.

* Novoneis commits to reaching net-zero GHG emissions across the value chain by 2050 from a 2018 base year. Near-Term Targets: Novoneis commits to reducing absolute scope 1 and 2 GHG emissions by 75% by 2030 from a 2018 base year; to increasing annual sourcing of renewable electricity from 37% in 2018 to 100% by 2025 and maintain 100% sourcing of renewable electricity through 2030; and to reducing absolute scope 3 GHG emissions from purchased goods and services, fuel and energy-related activities, upstream transportation and distribution, waste generated in operations, and business travel by 35% by 2030 from a 2018 base year. Long-Term Targets: Novoneis commits to reducing absolute scope 1 and 2 GHG emissions by 90% by 2050 from a 2018 base year, and to reducing absolute scope 3 GHG emissions from purchased goods and services, fuel and energy-related activities, upstream transportation and distribution, waste generated in operations, and business travel by 90% within the same time frame. The target boundary includes biogenic emissions and removals associated with the use of bioenergy.

100%

renewable electricity sourced

In 2025, for the first time, our operations were powered by 100% renewable electricity (RE). This milestone was externally validated by RE100, a global initiative led by the Climate Group to accelerate the green transition.

Building on this success, we now commit to maintaining 100% renewable electricity through 2030, a target already validated by the Science Based Targets initiative (SBTi).





Our climate transition plan is built on key levers of how we produce, what we buy, how we ship, and how we drive change. It considers future developments that can impact our targets and emissions. It has been approved by the Executive Leadership Team. A visual summary of the climate transition plan is available on the [next page](#).

We use an implicit carbon price to understand the carbon reduction potential and the cost of activities. It is calculated retroactively after we have made financial investments to reduce scope 1, 2 and 3 emissions. We follow a differentiated approach to account for both green premiums and a longer payback time for investments with a decarbonization benefit.

Climate change mitigation and adaptation is a component of our **Enterprise Risk Management** (ERM), and corresponding investments are integrated into our financial planning. To ensure the resilience of our business and our operations, short- and long-term risks are identified, assessed, reported and mitigated at different levels of the organization, including the Board of Directors and the Executive Leadership Team. Through our ERM and DMA, we identify and address climate-related transition risks and physical risks in our operations, supply chain and markets.

We are committed to transparency, and our disclosures are guided by the Task Force on Climate-related Financial Disclosures (TCFD), the SBTi and the GHG Protocol, as well as the most frequent questions from customers and investors.

Learn more: [Climate Action Position](#), [Sustainability Policy](#).



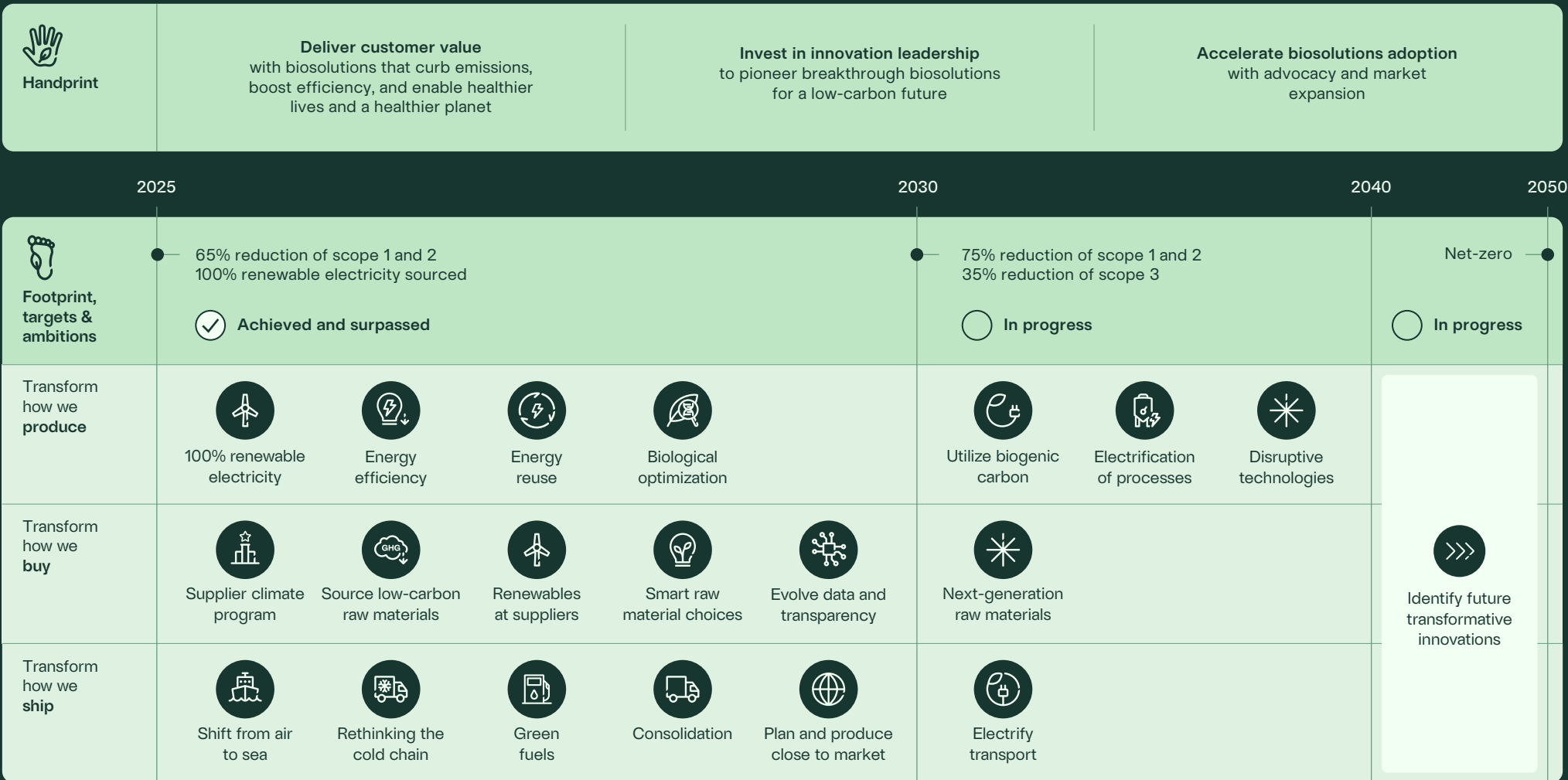
In 2025, we reduced our
scope 1 and 2 GHG emissions by

67%

from a 2018 baseline, while
delivering solid growth.



How we drive change towards net-zero



Our net-zero targets are validated by the Science Based Targets initiative (see page 69).



2025 key actions

Our handprint

In 2025, around 40% of our sales were aligned with a climate-related Sustainable Development Goal – ‘Affordable and clean energy’ (SDG 7), ‘Climate action’ (SDG 13) – or both. For example, our biosolutions create real impact by equipping bio-fuel producers to bring low-carbon alternatives to transportation. In 2025, their use in biofuel production enabled GHG savings of around 80 million tCO₂e – equivalent to removing approximately 30 million gasoline cars from the road.

During the year, we collaborated with global leaders to advance climate mitigation, adaptation and resilience, bringing the unique perspective of a leading biosolutions company. Our engagement spans from expert forums to the highest executive level, including our CEO’s active role on the United Nations Global Compact (UNGC) Board and in the World Economic Forum Alliance of CEO Climate Leaders. We also supported the UN Climate Summit during the General Assembly and reinforced our commitment to UNGC’s Caring for Climate Initiative at the 30th meeting of the Conference of the Parties (COP30), driving transformation towards a climate-neutral society.

Our footprint

In 2025, we accelerated the implementation and refinement of our climate transition strategy towards a climate-neutral society. Our GHG emissions across scope 1, 2 and 3 decreased by 25% since 2018 and 2% since 2024.

Scope 1 and 2

Since 2018, we have reduced absolute GHG emissions in scope 1 and 2 by 67%, achieving our milestone target of a 65% reduction by 2025. In the same period, our sales revenue grew by over 33%.

We achieved our renewable electricity (RE) target by increasing RE sourcing from 93% in 2024 to 100% in 2025. We prioritized wind and solar projects based on credibility and proximity to our sites, in line with RE100 criteria. Our diversified renewable energy portfolio includes onsite solar and new projects such as a group captive solar project in India, operational since 2024.

We have set an SBTi-validated target to maintain 100% renewable electricity through 2030. We will continue to support the transition to greener power grids by further backing high-impact projects that add renewable capacity to the grid.

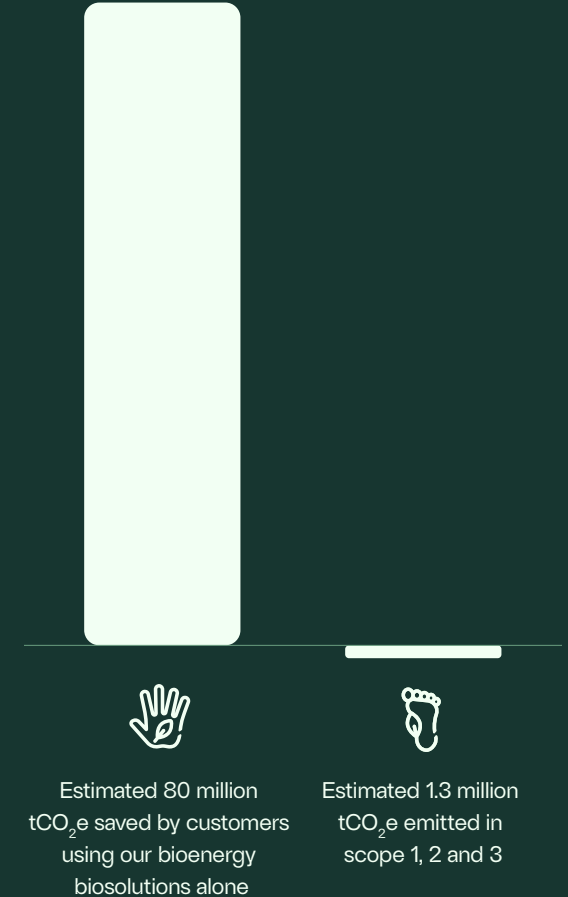
Our operations benefit from the many energy efficiency and electrification projects implemented over the years. For example, in 2025, a large hot-water heat pump became operational in China, cutting fossil-based steam demand and saving 16,561 MWh, or 1.4% of our 2018 baseline emissions. Next year, we will expand its application and install additional heat pumps at other sites.

At two sites in China, biogas captured from our own biomass waste is replacing part of our fossil-based energy, delivering savings of 1,042 tCO₂e. Today, 11 out of 32 production sites generate green steam and/or electricity by transforming our wastewater and fermentation output to biogas, either directly or via partners.

At one of our largest wastewater treatment plants, we introduced an advanced online gas analyzer to enhance our real-time process monitoring and control, enabling a reduction in our scope 1 nitrous oxide (N₂O) emissions. We plan to roll out this technology to two additional major sites in 2026, broadening the benefits across our operations.

60x

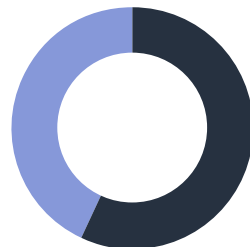
more GHG emissions saved than emitted





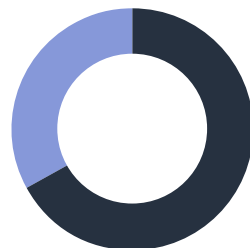
100% renewable electricity by source

- Project-specific contract with suppliers 57%
- Unbundled Energy Attribute Certificates 43%



Total energy consumption

- Renewable energy 67%
- Fossil energy 33%



Scope 3

Our scope 3 emissions accounted for 73% of our 2018 baseline emissions. Compared with 2018, our scope 3 emissions have decreased by 9%. The majority of this decrease can be attributed to new and more accurate data, such as the incorporation of more activity-based accounting and supplier-specific emission factors. In addition, the change has been supported by climate actions, such as through procuring 100% renewable electricity and sustainable maritime fuels.

Growth in emissions from 'Purchased goods and services' was offset by targeted climate initiatives and data improvements, resulting in total Scope 3 emissions in 2025 remaining in line with 2024.

Within 'Purchased goods and services' (category 1), our procurement initiatives led to a partial shift in sourcing of ammonia and liquid nitrogen to lower-carbon alternatives, resulting in a 4,870 tCO₂e reduction.

Within 'Fuel- and energy-related emissions' (category 3), achieving 100% renewable electricity delivered a reduction of approximately 4,360 tCO₂e, compared with 2024.

Within 'Upstream transportation and distribution' (category 4), we continued our efforts to shift the distribution of biosolutions from air to sea. To further accelerate decarbonization of transportation, we procured sustainable maritime fuels for the first time, leading to a 5,460 tCO₂e reduction in 2025, relative to 2024. In addition, we collected new and more accurate emission factors from transportation suppliers, leading to a 17,250 tCO₂e downward adjustment in 2025, compared with 2024.

We launched 'PAVE to Zero', our supplier climate engagement program, setting expectations for suppliers in three key areas: take climate action; disclose emissions and other sustainability data; and collaborate on reduction initiatives. The launch included a toolkit and training. We had climate-centered engagements with over 200 suppliers, tailored to their maturity and potential impact on our scope 3 emissions. We also hosted supplier innovation summits in Brazil and Denmark, with a focus on climate solutions.

To strengthen partnerships, we joined Together for Sustainability (TfS), an initiative with more than 58 industry-leading companies committed to building sustainable value chains. TfS offers an academy for supplier capability building on sustainability, which we use as a resource in our climate engagement program.

In 2025, we invested in data capabilities and implemented a global digital module for spend and emissions to strengthen accounting and transparency. To further integrate climate considerations into everyday decisions, we increased transparency on our emission sources through digital tools. For example, our product development team now sees how raw material choices affect our climate targets, and our purchasing organization can view GHG emissions per material and vendor for 'Purchased goods and services'.

In August, we presented our **GROW strategy** and reconfirmed our 2030 scope 3 target to reduce GHG emissions by 35%. This is ambitious, given our expected growth trajectory. We continue to identify the reduction levers needed across the value chain, including in hard-to-abate sectors such as agriculture.

Climate adaptation

In 2025, we conducted a water risk assessment of our production sites to further understand our resilience to climate change and the potential impact of water-related climate hazards: water stress, drought, heavy precipitation, and flooding. We assessed current and future risk exposure based on climate scenarios that include business-as-usual and more pessimistic pathways for 2030 and 2050 (SSP2-4.5/6.0, SSP3-7.0, SSP3-6.0/8.5, and SSP5-8.5). Our findings reaffirm our dependency on freshwater and inform our mitigation actions and targets, as outlined in **Water**.

Looking ahead, we will finalize site-specific decarbonization plans, focusing on reducing natural gas and fossil-based steam use through efficiency, reuse, and alternative sourcing. We will expand our climate resilience and scenario analysis to ensure resiliency of operations. We will continue advancing decarbonization efforts and update our climate transition plan annually to reflect new insights, technologies, and business opportunities.



Energy consumption and mix

	Unit	2025	2024
Total fossil energy consumption	MWh	509,715	582,148
Fuel consumption from fossil sources	MWh	337,783	339,133
Coal and coal products	MWh	-	-
Crude oil and petroleum products	MWh	7,721	5,852
Natural gas	MWh	328,464	332,205
Other fossil fuels	MWh	1,598	1,076
Consumption of purchased or acquired energy from fossil sources	MWh	171,932	243,015
Electricity	MWh	-	29,837
Heat	MWh	5,834	6,332
Steam	MWh	166,035	206,660
Instrument air*	MWh	63	186
Total renewable energy consumption	MWh	1,035,272	980,667
Fuel consumption from renewable sources (including biomass)	MWh	4,838	8,458
Consumption of purchased or acquired energy from renewable sources	MWh	1,029,895	971,875
Electricity	MWh	868,272	820,246
Heat	MWh	58,826	53,169
Steam	MWh	102,158	98,078
Instrument air*	MWh	639	382
Self-generated energy from renewable sources (non-fuel)	MWh	539	334
Electricity (solar)	MWh	539	334
Energy consumption from nuclear sources (only electricity)	MWh	-	14,309
Total energy consumption		1,544,987	1,577,124
Energy intensity	MWh/mEUR	372	400

* Instrument air is compressed air used to move mechanical parts in production, and its energy source is electricity.

§ Accounting policies

Energy consumption and mix metrics include both internally generated and externally purchased or acquired energy from fossil, renewable and nuclear sources.

Fossil energy comprises fuel consumption from coal and coal products, crude oil and petroleum products, natural gas, and other fossil fuels such as propane and liquefied petroleum gas (LPG). It also includes purchased or acquired electricity, heat, steam and instrument air generated from fossil sources.

Renewable energy includes biomass and other renewable fuels, as well as purchased or acquired renewable electricity, heat, steam and instrument air. Self-generated non-fuel renewable energy, such as electricity from solar installations, is also included. Energy classification as renewable or non-renewable is based on the type of contractual instruments, such as Power Purchase Agreements (PPAs), Energy Attribute Certificates (EACs), and Guarantees of Origin (GOs). The renewable energy share is calculated using a market-based approach, as the ratio of total renewable energy consumption, including PPAs and EACs, to the total energy consumption.

Nuclear energy covers purchased or acquired electricity derived from nuclear sources.

Energy consumption is based on invoices, with meter readings as a fallback. Fuel consumption reported in mass or volume is converted to energy (MWh) using a hierarchy of conversion factors that prioritizes supplier-specific data and otherwise applies lower heating value (LHV)-based factors from recognized sources such as the U.K. Government's Department for Energy Security and Net Zero (U.K. DESNZ). Purchased electricity, heat, steam and instrument air are categorized by source based on contractual instruments or, where unavailable, country-level generation statistics from the International Energy Agency (IEA).

Energy intensity is calculated as the total energy consumption divided by the revenue figure stated in million EUR. Read more about our financial performance [here](#).

Novonesis is categorized as a company operating in the high climate impact sector, under Regulation (EC) No 1893/2006 of the European Parliament and of the Council, as 100% of our energy consumption is related to these activities.



Greenhouse gas emissions (GHG)

	Unit	2025	2024	2018 baseline	Δ 2025/2024	Δ 2025/2018	2025 target	2030 target	2050 target
Scope 1 GHG emissions									
Total scope 1	tCO ₂ e	106,896	93,549	88,936	14%	20%			
Covered by the regulated emission trading schemes (ETS)	%	7	8	7	(13)	0			
Scope 2 GHG emissions									
Location-based	tCO ₂ e	334,747	351,812	440,774	(5%)	(24%)			
Market-based	tCO ₂ e	52,389	88,605	400,179	(41%)	(87%)			
Total scope 1 and 2 GHG emissions									
Location-based	tCO ₂ e	441,643	445,361	529,710	(1%)	(17%)			
Market-based	tCO ₂ e	159,285	182,154	489,115	(13%)	(67%)	(65%)	(75%)	(100%)
Significant scope 3 GHG emissions									
Total scope 3	tCO ₂ e	1,188,383	1,196,204	1,303,237	(1%)	(9%)		(35%)	(100%)
1. Purchased goods and services	tCO ₂ e	1,001,973	986,195	1,002,293	2%	0%			
3. Fuel- and energy-related activities (not included in scope 1 or scope 2)	tCO ₂ e	39,372	43,730	108,171	(10%)	(64%)			
4. Upstream transportation and distribution	tCO ₂ e	113,862	134,915	155,795	(16%)	(27%)			
5. Waste generated in operations	tCO ₂ e	13,727	10,547	17,567	30%	(22%)			
6. Business travel	tCO ₂ e	19,449	20,817	19,411	(7%)	0%			
Total scope 1, 2 and 3 GHG emissions									
Location-based	tCO ₂ e	1,630,026	1,641,565	1,832,947	(1%)	(11%)			
Market-based	tCO ₂ e	1,347,668	1,378,358	1,792,352	(2%)	(25%)			
GHG intensity									
Location-based	tCO ₂ e/mEUR	392	416	N/A	(6%)	N/A			
Market-based	tCO ₂ e/mEUR	324	349	N/A	(7%)	N/A			
Biogenic CO₂ emissions									
Scope 1	tCO ₂	170,696	171,250	178,418	0%	(4%)			
Scope 2, location-based	tCO ₂	91,551	85,708	41,955	7%	118%			
Scope 2, market-based	tCO ₂	54,099	81,102	21,807	(33%)	148%			
Scope 3	tCO ₂	149,648	N/A	N/A	N/A	N/A			

* Emissions for scope 3 categories 1, 3 and 4 for 2024 were recalculated based on improved calculation basis. Percentages show the decrease between previously reported and recalculated values. For 2024: scope 3.1 was 1,139,146 tCO₂e | (13%); scope 3.3 was 92,135 tCO₂e | (53%); and scope 3.4 was 143,299 tCO₂e | (6%). These recalculations resulted in updates of 'Total scope 3', 'Total scope 1, 2 and 3 GHG emissions' and 'GHG intensity' for 2024. Read more in [Reporting on sustainability](#).



§ Accounting policies

Greenhouse gas emissions (GHG)

All GHG emissions are reported in accordance with the Greenhouse Gas Protocol. GHG emissions are calculated by multiplying consumption or activity data by the relevant emission factors. When data is unavailable, extrapolations are applied, such as company cars in scope 1 and 2, and undefined spend in scope 3 and scope 3 biogenic CO₂, categories 1 and 4.

Scope 1 emissions include direct GHG emissions from fuel combustion, company vehicles, refrigerant losses, and process-related emissions. Vehicle emissions are based on fuel and distance data, while refrigerant emissions reflect recorded use and leakages. Process-related emissions arise from wastewater treatment and include CH₄ and N₂O, in line with the United Nations Framework Convention on Climate Change (UNFCCC) and IPCC guidelines. Emission factors are sourced from the U.K. DESNZ, the U.S. Environmental Protection Agency (U.S. EPA), the European Commission, and the Danish Energy Agency (DEA).

The percentage of scope 1 GHG emissions from installations covered by regulated emission trading schemes (ETS) is calculated as the emissions from ETS-regulated sources divided by scope 1 emissions.

Scope 1 biogenic CO₂ emissions cover fermentation and wastewater treatment. Fermentation emissions are calculated from aerobic fermentation volumes, estimated based on sales data, with internally developed emission factors. Wastewater-related emissions follow the UNFCCC methodology, using wastewater volumes and chemical oxygen demand (COD) content.

Scope 2 emissions include GHG emissions from purchased and acquired energy. Location-based emissions follow the national grid mix, while market-based emissions reflect renewable or low-carbon electricity secured via contractual instruments (e.g., Power Purchasing Agreements) and the residual mix for non-renewable electricity. Emission factors are sourced from the U.K. DESNZ, the International Energy Agency (IEA), the Association of Issuing Bodies (AIB), the U.S. EPA eGRID, the DEA, and our energy providers.

Scope 2 biogenic CO₂ emissions cover the combustion of bio-fuels used by energy providers, with emission factors sourced from ecoinvent and the IEA.

Scope 3 emissions include GHG emissions across the value chain and focus on the five material categories for our total scope 3 footprint, in alignment with the Science Based Targets initiative (SBTi).

Category 1: Purchased goods and services includes all upstream, cradle-to-gate emissions from direct and indirect spend. Direct spend includes agricultural materials, chemicals and packaging, while indirect spend covers goods and services supporting the business, such as facility management, IT and consulting. A hierarchy for selecting the most accurate emission factor is applied: supplier-specific, quantity-based (ecoinvent cut-off, Agri-footprint, and other literature sources), and spend-based (EXIOBASE).

Category 3: Fuel- and energy-related activities covers upstream emissions from the production of fuels and energy consumed by Novonesis, including grid loss. Emission factors are sourced from the U.K. DESNZ and the IEA.

Category 4: Upstream transportation and distribution includes GHG emissions from all intercompany and customer deliveries paid by Novonesis. Emissions are calculated using

the distance-based method and are validated and adjusted with route- and material-specific uplifts. Well-to-wheel emission factors are sourced from the U.K. DESNZ. To accelerate the decarbonization of our maritime-related emissions, we purchased sustainable maritime fuels (SMF) for specific sea lanes in 2025, via certified book-and-claim instruments.

Category 5: Waste generated in operations is calculated based on waste data reflecting both the treatment and waste type, using emission factors sourced from the U.K. DESNZ and ecoinvent.

Category 6: Business travel is calculated by the travel agencies used by Novonesis and is based on distance traveled and U.K. DESNZ emission factors.

Scope 3 biogenic CO₂ emissions include CO₂ from the combustion or biodegradation of biomass in our value chain. Emissions stem from raw materials (category 1), bio-energy used in operations (category 3), SMF in upstream transportation (category 4), and waste and wastewater treatment (category 5). Business travel (category 6) includes no biogenic CO₂, as we do not procure Sustainable Aviation Fuels (SAF) for air travel. Emission factors are sourced primarily from ecoinvent, Exiobase, IEA and DEA, supplemented with supplier data when available.

The percentage of scope 3 GHG calculated using primary data represents the share of total scope 3 emissions based on supplier-specific data. In 2025, this share was 1%, with primary data applied to selected materials in category 1 and selected sea lanes in category 4.

The **GHG intensity** is calculated as all GHG emissions across scope 1, 2 and 3, excluding biogenic CO₂ emissions, divided by the revenue figures, stated in EUR million. Read more about our financial performance [here](#).



E2

Pollution

Our **People. Planet. Positive.** ambition has four strategic agendas, one of which is to 'Protect nature and biodiversity', a commitment closely linked to how we manage and reduce pollution in our operations and our value chain.



Handprint

Our biosolutions support pollution prevention by reducing reliance on fossil fuels and hazardous chemicals, thereby helping our customers to protect the environment.



Footprint

We have high standards for environmental management across our operations, including pollution prevention measures to prevent harmful emissions and discharges.

Impacts, risks and opportunities

Reducing pollution for our customers through their use of biosolutions

E2.1

Opportunity

Positive impact

Our biosolutions positively impact the operations and end products of our customers across more than 30 industries. We see a business opportunity to deliver effective pollution-reducing biosolutions for our customers.

Enzyme technology classification in the EU

E2.2

Opportunity

Risk

Enzymes are biodegradable catalysts that accelerate specific reactions and processes. They enable our customers to produce more effectively by using less energy and fewer raw materials, and by reducing waste. Enzymes are considered respiratory sensitizers, and these are classified as 'substances of concern' in the EU Chemical Strategy for Sustainability. This creates a potential risk of increasing regulation, which may impact our business. Concurrently, Novonesis is actively advocating for regulations that accelerate the market for biosolutions to reap the societal benefits of this technology in a safe manner proven by our strong empirical safety record. Read more in **Business conduct**.

Increasing environmental regulation could impact both expenses and production capabilities

E2.3

Risk

Increased environmental regulation can affect our operational expenses, particularly related to water treatment and waste

management. Therefore, we continuously invest in improving our waste disposal and wastewater treatment facilities, such as reusing internally treated wastewater through reverse osmosis for cooling in production.

Potential spills at production sites

E2.4

Negative impact

Any release of untreated wastewater from production could negatively impact bodies of water and soil around our sites. Therefore, we take the necessary preventative steps and ensure that our wastewater is treated in accordance with regulatory requirements, at a minimum.

Using agricultural raw materials may contribute to soil and water pollution

E2.5

Negative impact

The use of fertilizers and pesticides in the agricultural value chain can result in nutrient and pesticide pollution of soil and water. This is a consideration we actively address through our innovative biosolutions for agriculture. We rely on agricultural raw materials to produce our biosolutions and acknowledge that our procurement of agricultural raw materials can potentially contribute to soil and water pollution in our upstream value chain.

Our approach

Our handprint

Our biosolutions make processes more efficient and reduce energy and chemical inputs, helping to lower environmental impacts for our customers and end consumers across



industries. For example, in agriculture, they limit the need for chemical pesticides; in raw material processing, they reduce energy consumption and waste; and in household care, they enable up to 30% less surfactant use in standard laundry detergents, while maintaining cleaning performance.

In some applications and industries, our biosolutions are recognized as ‘Best Available Technology’ under the EU Industrial Emissions Directive. Yet today’s regulation is often based on old technologies, and that can create unnecessary barriers to accelerating the biosolutions market.

While enzymes, which are central to our biosolutions portfolio, are biodegradable and safe for consumers, they are classified as ‘substances of concern’ under the EU Chemical Strategy for Sustainability, due to potential respiratory sensitization risks for manufacturing workers who, in rare cases, may be exposed to very high enzyme concentrations. We continuously work to improve the safety standards for workers handling enzymes across our operations and value chain, as described in [Workers in our downstream value chain](#) and [Health and safety](#).

Our footprint

The potential impact of our operations on pollution is mainly derived from wastewater discharge and the generation of nutrient-rich biomass residue, which is returned to the environment as compost and fertilizer. Learn more in [Waste](#).

We strictly adhere to all requirements for the release of wastewater and biomass into the environment. We have the relevant

environmental permits in place for all our production sites. Our environmental management system is fundamental in our work to manage the potential impacts across water and soil pollution. If an environmental incident occurs, we manage the situation promptly, report it to authorities as required, and take adequate action to prevent potential incidents in the future. For more details, please see [Sustainability governance and due diligence](#).

We require our business partners and suppliers to operate responsibly and in compliance with all legal requirements. Our biosolutions are produced with natural resources, and we source agricultural raw materials, which can contribute to the use and intensification of land and other environmental impacts through cultivation and agricultural practices. To mitigate these impacts, our suppliers are required to adhere to our [Business Partner Code of Conduct](#), which includes requirements related to air, noise, water, land and odor pollution.

Learn more: [Water Stewardship Position](#) and [Sustainability Policy](#).

2025 key actions

Our handprint

Our commitment to sustainability includes continuous evaluation and the substitution of regulated substances in our products. Due to our continuous efforts, close to 0% of our total revenue comes from products containing substances classified as substances of very high concern (SVHCs)*. We have

reduced it to two remaining substances: one in a discontinued product being phased out, and another that is currently undergoing active exploration for substitution options.

Enzymes are key ingredients in laundry detergents, enabling effective stain removal while keeping garments fresh, smooth and soft. Each year, we estimate that in Europe our enzymes help save 170,000 tonnes of detergent chemicals – equivalent to 400 grams per person, both in the wash and in the drain. This means fewer chemicals entering water systems and a smaller environmental footprint.

Our footprint

In 2025, we made significant progress in tracking and monitoring the global use of substances of concern. Our reporting scope expanded beyond Denmark to include Canada, China, the U.S., and several smaller sites globally. Therefore, the share of recorded and reviewed raw materials increased from 34% to 97%. As a result, we now rely on site data rather than extrapolations, leading to a more accurate and representative overview than in 2024.

We continuously monitor the use of substances of concern and seek opportunities to phase them out, not only in the final product but also those used throughout the production processes. SVHCs remain immaterial to our operations due to their limited use, yet we are committed to eliminating them wherever possible. In 2025, we successfully substituted more than 90% of these substances used in our production facilities in Denmark. This year, SVHCs accounted for less than 0.2% of all substances of concern in Denmark.

* Substances of very high concern (SVHCs), which meet the criteria laid down in Article 57 of Regulation (EC) No 1907/2006 (REACH) and were identified in accordance with Article 59(1) of that Regulation.



Emissions to soil

	Unit	2025	2024
Nitrogen	tonnes	3,382	2,267
Phosphorus	tonnes	1,002	1,062

Emissions to water

	Unit	2025	2024*
Nitrogen	tonnes	7	7
Phosphorus	tonnes	4	0

Substances of concern procured, used in operations, and final products

Hazard statement code	Unit	Procured		Used during production		Left facilities as emissions		Left facilities as part of products	
		2025	2024	2025	2024	2025	2024	2025	2024
H317	tonnes	977	781	126	297	618	-	233	484
H334	tonnes	141	297	126	297	11	-	4	-
H340	tonnes	71	-	-	-	62	-	9	-
H350	tonnes	89	-	-	-	75	-	14	-
H351	tonnes	41	-	-	-	41	-	-	-
H360	tonnes	16	-	-	-	11	-	5	-
H361	tonnes	-	1	-	-	-	1	-	-
H370	tonnes	1,060	-	1	-	1,059	-	-	-
H371	tonnes	1,932	-	-	-	1,932	-	-	-
H372	tonnes	2,517	1	1	-	2,512	1	4	-
H373	tonnes	595	483	-	-	387	483	208	-
H410	tonnes	282	160	4	-	233	160	45	-
H411	tonnes	2,234	6,424	2,121	6,395	78	1	35	28
H412	tonnes	7,838	7,014	5,455	3,618	2,375	3,383	8	13
H413	tonnes	1	-	1	-	-	-	-	-
Total	tonnes	17,794	15,161	7,835	10,607	9,394	4,029	565	525

§ Accounting policies

Emissions to soil and water

Calculated from pollutant measurements in wastewater (water) and agricultural biomass (soil). For water, only wastewater discharged directly to recipients or used for irrigation is included; wastewater sent to municipal or third-party treatment is excluded. Extrapolations have been made for some sites to estimate full-year data. Air pollutants are not material.

Substances of concern

Substances of concern (SoCs) are reported according to their hazard statement code. Corresponding hazard class and category code(s) can be found in Regulation (EC) No 1272/2008 of the European Parliament and of the Council.

The quantities of SoCs are assessed based on data from raw materials used at our primary production sites. We apply a conservative approach by accounting for the entire volume of any substance that contains the SoCs, even if it includes components such as water. If a substance containing SoCs falls under multiple hazard statement codes, its weight is counted in each applicable category. Therefore, the total includes intentional multiple counting and may exceed the actual physical tonnage of substances used.

SoCs in products are calculated based on amounts used in production. All substances that do not end up in the final products or are not transformed through chemical or biological processes are assumed to leave our facilities as emissions. We neither generate SoCs or sell them as standalone products. Enzymes that are procured, generated, used in production, or leave our facilities are excluded from reporting.

* In 2024, we reported nitrogen emissions to water of 636 tonnes (a 98.9% difference to the 2025 figure) and phosphorus emissions of 127 tonnes (a 100% difference). The reduction is due to the exclusion of pollutants in wastewater sent to municipal or third-party treatment facilities from the 2025 scope.



E3

Water

Our **People. Planet. Positive.** ambition has four strategic agendas, including 'Protect nature and biodiversity', which is linked to how we manage water.



Handprint

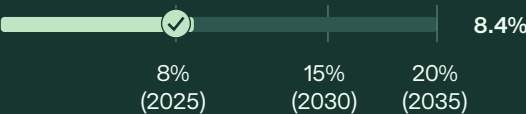
Our biosolutions help prevent water pollution by reducing the need for chemicals and enabling our customers to reduce their water consumption.



Footprint

Freshwater availability is essential for our ability to produce and procure agricultural raw materials, making water stewardship a strategic priority.

Improve freshwater withdrawal by saving or recycling more water



Restore water where water sanitation and hygiene (WASH) are significantly challenged



Impacts, risks and opportunities

Reducing water consumption and pollution through biosolutions for our customers

E3.1

Opportunity

Positive impact

Many of our biosolutions help prevent water consumption and pollution by reducing the reliance on chemicals at our customers' sites or in end products for consumers, preventing their release into water and thereby reducing pollution and protecting ecosystems and human health.

Water scarcity may impact our production and our customers' manufacturing

E3.2

Risk

With climate change, the water resources near some of our sites may become scarce. We may face limitations on withdrawing sufficient water with the right quality for production, or may be required to invest in new water technologies, like desalination. We have targets to reduce dependence on freshwater withdrawal and restore water in areas where water, sanitation and hygiene are a challenge.

In addition, water stress could also affect our customers, triggering them to reevaluate their production, and therefore impact our sales roadmap. However, our solutions enable our customers to reduce water consumption, as described in IRO E3.1 above.

Water for our production processes may alter local conditions

E3.3

Negative impact

We depend on the availability of freshwater to produce. We use it in core production processes, including fermentation, cooling and cleaning, as well as using it as a solvent and as a component in some of our final products. Our usage may affect local water resources and aquatic ecosystems. Additionally, the transportation and treatment of water and wastewater can increase our energy consumption and greenhouse gas emissions. We have targets to improve freshwater withdrawal and restore water in areas where water, sanitation and hygiene are a challenge.

Water consumption in agriculture

E3.4

Negative impact

Our use of agricultural raw materials contributes to water consumption in the upstream value chain, both in the field and during the processing of these materials. Water usage may affect local water resources. To address these challenges, we engage with suppliers and collaborate with customers in agriculture to spur innovation. Certain biosolutions are designed to help make crops more resilient to climate change, increase crop yields, and reduce the use of fertilizers and pesticides.



Our approach

We are committed to contributing to global water security through our biosolutions, and through actions in our operations and nearby communities.

Our handprint

We deliver many biosolutions that help replace harmful chemicals in product formulations and production processes, preventing their release into water and thereby reducing pollution. By improving process efficiency, they also lower water consumption during both production and use. For example, some of our biosolutions reduce pollution by limiting the need for chemical pesticides and fertilizers in agriculture.

During the innovation phase, all new biosolutions are assessed for alignment with the UN Sustainable Development Goals (SDGs), including 'Clean water and sanitation' (SDG 6).

Our footprint

In our operations, we have targets to improve freshwater withdrawal by saving or recycling 8% more water by 2025, 15% more by 2030, and 20% more by 2035, compared with a 2021 baseline. Through these targets, we aim to reduce our dependence on freshwater withdrawal through projects that minimize water use, such as upgrading equipment to save water, and by ensuring that water is recycled within our operations at least once before discharge.

In addition, we drive collective action with local communities and organizations to address potential challenges in and around the water bodies we source from. In areas near our operations where water, sanitation and hygiene (WASH) are significantly challenged, we aim to restore 10 billion liters of water by 2025 and 30 billion liters of water by 2030, from a 2021 baseline.

Our water targets were shaped by a comprehensive site-level risk assessment carried out in partnership with the World Wide Fund for Nature (WWF) in 2021, which guides our long-term strategy to manage water in balance with local conditions. These targets are contextual, prioritizing water availability and WASH challenges in the most relevant sites.

Learn more: [Water Stewardship Position](#), and [Sustainability Policy](#).

2025 key actions

Our handprint

In 2025, around one-third of our sales were aligned with the UN Sustainable Development Goal 'Clean water and sanitation' (SDG 6).

In addition, we conducted a life cycle assessment of one of our enzymatic biosolutions that maintains the whiteness of clothes when used in laundry detergents, replacing the synthetic fossil-based chemistry of optical brighteners. The biosolution works by smoothening textile fibers, thereby reducing dirt accumulation and fabric graying. The study concluded that the enzyme significantly lowers the chemical load in wastewater and improves detergent biodegradability, resulting in an impact on life below water that is 200 times lower than conventional alternatives. Additionally, it showed that the use of our enzymes leads to five times less greenhouse gas emissions compared to its conventional alternative.

Sustainability library: [Read more](#)

Our footprint

We achieved both our freshwater withdrawal and water restoration milestone targets for 2025. We improved freshwater withdrawal by saving or recycling 856,391 m³ of water – an increase of 8.4% since 2021, thereby achieving our 8% target. This improvement was driven by water efficiency initiatives that led to 185,070 m³ of water saved in 2025. Furthermore, two new nanofiltration and reverse osmosis projects were launched in the U.S. and China, contributing to an additional 230,612 m³ of recycled water.

We have restored 20,050,000 m³ of water (equivalent to 20.05 billion liters) since 2021, reaching our second 2025 target to restore 10 billion liters of water. Since 2020, we have engaged in the Novonesis Water Opulence (NOWO) Project near our Patalganga site in India, which aims to enhance water availability and to mitigate WASH challenges within the local basin, benefiting thousands of people. In 2025, we did maintenance of infrastructure such as gabion bunds and recharge trenches, and the total amount of water restored in the year was 5.49 billion liters.

We take collective action on water. For example, in Denmark, we are a member of the Kalundborg Symbiosis, and with our partners we focus on resource exchange and environmental impact reduction. This collaboration helped drive regulatory changes allowing seawater use for drinking water production in industrial contexts, which previously was restricted to ships and remote islands. To further enhance regional water resilience, our group recently opened the first of four new water treatment plants, improving water-use efficiency and reducing pressure on freshwater sources.



In 2025, we updated our water risk assessment across all production sites and large facilities, using the WWF's Water Risk Filter and the World Resources Institute (WRI) Aqueduct Water Risk Atlas. Our assessment focused on water stress-related issues, including availability, quality and accessibility, as well as physical risks such as droughts and flooding, and reputational risks. We projected future risks for 2030 and 2050 under both business-as-usual and pessimistic climate scenarios. We also expanded the scope to include site-level operational risks, enabling a deeper understanding of local contexts.

As a result, we confirmed that our key water stewardship efforts remain focused on those sites with the greatest risk exposures based on water withdrawal volumes, both current and previously identified. Each of these sites has a robust action plan to mitigate water risks at its respective location.

When assessing risks related to water availability alone, as required under the CSRD, the WRI Aqueduct Water Risk Atlas now classifies two of our major sites in China, previously considered high risk, as medium risk for 2025. As a result of this reclassification, the reported volume of water withdrawal and consumption in water-stressed areas has decreased substantially. For 2025, each of the six sites identified as operating in water-stressed areas accounted for less than 1% of our total annual water withdrawal.

To identify a pathway towards our 2030 and 2035 water recycling goals, we are working with key sites to build a catalog of projects focused on water reuse, recycling and savings. This catalog will continue to grow as we shape our roadmap toward these targets. We are also working on installing additional water meters at priority sites to gain granular insights into consumption and to identify reduction opportunities.

Water withdrawal, discharge and consumption

	Unit	2025	2024
Water withdrawal	m ³	10,272,168	10,469,560
Municipal drinking water	m ³	9,295,244	9,505,457
Municipal industrial water	m ³	373,077	459,172
Surface water	m ³	-	-
Groundwater	m ³	249,999	99,938
Process water	m ³	353,848	404,994
Water discharge	m ³	8,433,986	8,539,937
Internal treatment to external treatment	m ³	3,932,011	3,886,914
Internal treatment to surface water/irrigation	m ³	1,231,402	1,400,249
To external treatment	m ³	3,177,935	3,189,539
To surface water	m ³	92,638	63,236
Water consumption	m ³	1,838,182	1,929,623
Water consumption in areas at water risk, including areas of high water stress	m ³ %	14,890 1	562,422 29
Water withdrawal in areas at water risk, including areas of high water stress	m ³ %	103,721 1	2,350,914 22
Water recycled and reused	m ³	671,321	229,419*
Water saved	m ³	185,070	101,308*
Water intensity	m ³ /mEUR	442	489

* In 2024, the reported volume of water recycled and reused (229,419 m³) was disclosed together with water saved (101,308 m³), resulting in a total disclosed volume of 330,727 m³.



§ Accounting policies

Improve freshwater withdrawal target

Freshwater refers to naturally occurring, non-saline water. To count toward our target, projects must either recycle, reuse or save water. The projects must be implemented post-2021. Progress is measured as the percentage of annual water recycled and saved from all qualifying projects during the fiscal year, compared to the base year water withdrawal. Our base year (2021) water withdrawal was equal to 10,202,080 m³.

Water recycled and reused

Water and wastewater (treated or untreated) that has been used more than once before being discharged from the Novonesis boundary, reducing freshwater demand. Water reused within the same process is classified as **recycled**, while water used in a different process is classified as **reused**.

Water saved

Water saved through projects that improved water efficiency, thereby reducing the need for freshwater withdrawal.

Water, Sanitation and Hygiene (WASH) target

Water restoration aims to improve water availability and address local water basin risks through activities such as building loose boulder structures and gabion bunds, checking dams, and digging recharge trenches. We assess our progress toward the target with a tool developed by external water experts, which calculates the total amount of water restored since our base year in 2021.

Areas at water risk, including areas of high water stress

A production site is classified as being at water risk if the World Resources Institute Aqueduct Water Risk Atlas indicates a high (40–80%) or extremely high (>80%) risk to baseline water stress.

Water withdrawal

Volume of water drawn into Novonesis from all sources. Reported figures are based on the metered water intake.

Water withdrawal by source

- **Municipal water:** Includes both drinking water (potable quality) and industrial water (non-potable but suitable for specific industrial uses, such as cooling towers).
- **Surface water:** Drawn from freshwater sources like lakes and rivers.
- **Groundwater:** Extracted from an on-site well.
- **Process water:** Water used in externally purchased steam. Steam quantities are converted into equivalent volumes of running water and calculated accordingly.

Water discharge

Volume of water discharged by Novonesis. Where direct measurements are not available, calculations are made based on water withdrawal data.

Water discharge by destination

- **Internal wastewater treatment plant (WWTP) to external WWTP:** Wastewater treated to the highest standard at our internal WWTP and then discharged to external treatment plants.
- **Internal WWTP to water bodies/irrigation:** Wastewater treated to the highest standard at our internal WWTP and then discharged to surface water or reused for irrigation.
- **To external treatment:** Wastewater sent directly for third-party treatment without undergoing internal processing.
- **To surface water:** Water from cooling towers that is discharged directly into surface water bodies.

Water consumption

The volume of water that is drawn into the boundaries of Novonesis and not discharged back to the water environment or a third party. Formula: Total water withdrawal minus total water discharge.

Water intensity ratio

Water consumption divided by revenue, stated in million EUR. Read more about our financial performance [here](#).



E4

Biodiversity

Our **People. Planet. Positive.** ambition has four strategic agendas, one of which is to 'Protect nature and biodiversity'.



Handprint

Our biosolutions help reduce pressures on nature – including climate impact, resource use and pollution – benefiting customers, people and planet.



Footprint

We depend on thriving ecosystems and the valuable resources they provide. We safeguard biodiversity by upholding robust environmental emissions control and responsible procurement practices.

Impacts, risks and opportunities

Reducing the need for conventional pesticides in agriculture, and added nutrients and antibiotics in animal feed

E4.1

Opportunity

Positive impact

Many of our biosolutions help reduce the need for nutrient addition, pesticides and antibiotics in the cultivation of crops and animal husbandry. We see opportunities to expand our business in agriculture, to improve the productivity of the food systems, and to enhance planetary health.

Potential spills at production sites

E4.2

Negative impact

Untreated wastewater and biomass released could potentially impact local biodiversity. We ensure that the biomass generated is reused appropriately and that our wastewater is treated in accordance with regulatory requirements.

Sourcing raw materials potentially associated with deforestation

E4.3

Negative impact

We source materials derived from agriculture and mining for our production, which may be linked to deforestation and may impact biodiversity. Therefore, we have set strong requirements for our suppliers on environmental protection, including deforestation, such as certification for palm-derived products.

Our approach

Our handprint

Several of our biosolutions contribute positively to biodiversity through more environmentally-friendly use of land and healthier aquatic systems. Our biosolutions enable higher yields from fewer resources across fields and factories, reducing pressures on nature. Some biosolutions enable household cleaning with fewer chemicals, while improving wastewater quality; others help farmers build healthier soils, while keeping yields high on existing farmland. For example, our biocontrol biosolutions in crop farming also enable reduced reliance on conventional fertilizers and pesticides, thereby offering farmers a way to grow more with less, while strengthening long-term resilience.

Our footprint

We are committed to upholding the globally recognized principles of the UN Convention on Biological Diversity and the Global Biodiversity Framework. We ensure that our actions align with the principles of Access and Benefit Sharing (ABS) to prevent biopiracy and promote fair and equitable sharing of benefits, in alignment with the Nagoya Protocol Agreement.

We respect local biodiversity by ensuring no negative impact on biodiversity-sensitive areas near our sites. As part of our environmental management system, we have internal procedures for wastewater disposal, monitoring and control of pollution levels and biomass distribution. These efforts help address any potential impacts from waste streams or potential environmental incidents. Learn more in **Pollution**, **Water** and **Waste**.

We have a screening process to identify activities and sites that may pose a high risk to biodiversity. All relevant sites are evaluated based on their activities and environmental context,



such as proximity to sensitive ecosystems. Given our high environmental standards, we only classify a site's activity as high risk when it has direct exposure to the local environment. This includes biomass being distributed for local agricultural use, treated wastewater being discharged directly into natural systems, and waste not being integrated into circular management processes. Activities such as air, sound and light pollution are classified as low risk due to the nature of our operations.

Beyond activity-related risks, we assess each site's geographical setting and its potential to impact nearby biodiversity-sensitive areas. First, we focus on sites located within 50 metres of a water source, such as a river or lake. Second, those with legal requirements to protect and preserve an area of land or species inside our fence. And last, our 26 sites within five kilometers of at least one protected area (PA) or key biodiversity-sensitive area (BSA). Combining activity and location criteria allows us to identify high-priority sites for conducting local biodiversity assessments.

We closely follow the developments in biodiversity at international and regional forums. We also regularly assess how to incorporate best practices into our operations. We engage with external stakeholders on innovation and biological resources at forums such as the annual Conference of Parties (COP) of the UN Convention on Biological Diversity.

Through our **Business Partner Code of Conduct**, we require our suppliers not to contribute to deforestation or pollution. Our **Responsible Purchasing Position** outlines actions to integrate sustainability across purchasing practices. Risks associated with the sourcing of agricultural raw materials for our operations are important to address, as they may be linked with deforestation, soil pollution and other environmental impacts.

We acknowledge the importance of fighting deforestation and biodiversity loss across the value chain. We are a member of the Roundtable on Sustainable Palm Oil (RSPO) and we are working to ensure that all palm oil-derived products sourced are RSPO-certified. This certification ensures sustainable palm oil production that helps halt deforestation and ensures no harm to endangered species. We will continue to evaluate the need for further certifications across our procurement landscape to mitigate the risk of contributing to deforestation and biodiversity loss. Furthermore, three of our production sites have RSPO Supply Chain Mass Balance (MB) certification. For more information please see our table of **Standards and certificates**.

Learn more: **Sustainability Policy**, **Climate Action Position** and **Water Stewardship Position**.

2025 key actions

Our handprint

Our biosolutions are biodegradable and help reduce key human-driven pressure on biodiversity, including climate change and pollution of natural ecosystems. In 2025, they allowed customers to avoid greenhouse gas emissions equivalent to removing 30 million gasoline cars from the roads. Certain biosolutions for laundry detergents enable an impact on life below water that is up to 200 times smaller than chemical-based detergents. Combined, our biosolutions for household care enable an annual saving of 170,000 tonnes of detergent chemicals in the EU alone. Read more in **Climate Change**, **Pollution** and **Water**.

Our footprint

In 2025, we advanced our preparations for the next phase of our biodiversity program, building on the methodology and risk assessment framework developed in 2024. We recognize that biodiversity impacts are local, and confirming that none of our operations affect nearby biodiversity-sensitive areas (BSAs) would require site-level assessments.

In 2025, the vast majority of our sourced palm oil-derived products were RSPO-certified, and we continued working to ensure 100% certification. Moving forward, we will continue to address deforestation across our value chain and in line with evolving regulatory requirements such as the EU Deforestation Regulation (EUDR).

§ Accounting policies

Key biodiversity-sensitive areas (BSAs) near our sites

Key biodiversity areas were identified in the 2024 assessment using the Integrated Biodiversity Assessment Tool (IBAT). An area is considered 'near' if it lies within a five-kilometer radius of a Novonesis site. This includes BSAs that may be inside the site area.

The IBAT methodology is available here:

[Read more](#)



E5

Waste

Our **People. Planet. Positive.** ambition has four strategic pillars, including 'Protect nature and biodiversity', which is linked to managing and reducing waste in our operations and value chain.



Handprint

Our biosolutions help reduce waste – from minimizing production losses in customer operations to extending the shelf life of foods we all consume.



Footprint

We work to ease our pressure on nature by fostering circularity through finding secondary uses for our waste streams, reducing the use of virgin materials in packaging, and enhancing its recyclability.

Impacts, risks and opportunities

Promoting circular economy through our biosolutions, packaging and waste management

E5.1

Positive impact

Biosolutions allow for the efficient use of resources for our customers, thereby reducing waste during the manufacturing process and during product handling by customers. We recognize plastic as a challenging material for achieving a circular economy, and we are addressing this by developing enzymatic plastic-recycling biosolutions and adopting more efficient packaging solutions.

In our own operations, we are working to reach zero waste to landfill or incineration without energy recovery. We are also implementing packaging projects to reduce plastic waste in our operations and across the downstream value chain.

Generating substantial amounts of biomass as a by-product

E5.2

Negative impact

We generate substantial amounts of biomass as a by-product of our production. We distribute our biomass to third-party facilities, where it is either used for biogas production or administered as nutrients on agricultural land. If any biomass is not disposed of in accordance with regulatory requirements, either by us or by a third party, there could be a negative impact.

Our approach

Our handprint

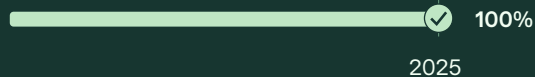
Biosolutions are making food production more efficient, reducing waste, and using fewer resources, while also meeting consumer needs. In baking, our enzymes modify starch molecules to keep bread soft and moist, ensuring it stays fresh for an extended period. In dairy, our cultures reduce spoilage by providing biological protection against unwanted microorganisms such as mold, helping yogurt stay fresh longer, preserving its taste, and reducing food waste.

Our footprint

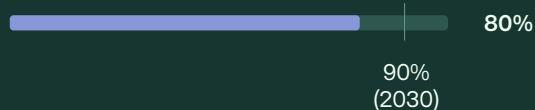
Responsible packaging and waste management are key for us to reduce the environmental impact of our operations. We achieved our 2025 target of maintaining the 100% circular management of our biomass, our largest waste stream. By 2030, our targets include sending zero non-biomass waste from our operations to landfill and implementing three key circular packaging projects.

Biomass accounts for the vast majority of our waste, making it the most dominant waste stream in our operations. It originates from the fermentation process, which relies on

Biomass: Maintain circular management

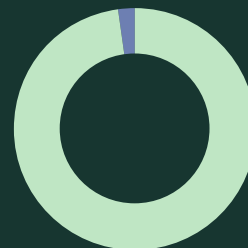


Non-biomass: Achieve zero waste to landfill



Waste composition

- Biomass 98%
- Non-biomass 2%





agricultural raw materials and microorganisms, reflecting the biological nature of our production. The resulting biomass includes eluate, filter cake, and surplus sludge from internal wastewater treatment facilities. This nutrient-rich material contains nitrogen and phosphorus, making it highly suitable for nutrient recycling. We ensure that all biomass waste is reused for other applications, such as biogas production or as compost or fertilizer in agriculture.

Our non-biomass waste is either subject to recycling, reuse, and other recovery or incineration, or it is sent to a landfill, depending on its nature and the local infrastructure. We actively work with relevant partners across our regions to explore opportunities to manage waste locally. Our operations have site-specific zero-waste plans, as well as dedicated resources to ensure the implementation of our zero waste to landfill target.

To improve the circularity of our packaging material across its lifecycle, our team of specialists identifies initiatives that reduce packaging and/or virgin plastic use, as well as enhancing recyclability and reusability. All new materials are assessed against specific criteria before approval for biosolutions packaging.

Learn more: [Sustainability Policy](#).

2025 key actions

Our handprint

We estimated that over 50% of all industrially produced bread, yogurt and cheese worldwide used our biosolutions, which help maintain freshness and reduce food waste. Read more in **[People. Planet. Positive.](#)**

Our footprint

We met our target to manage 100% of our biomass in a circular manner. It was reused as fertilizer in agriculture (58%) or for biogas production (42%). Biomass represented 98% of our total waste.

Our total non-biomass waste generated was 19,231 tonnes, a 9% decrease from last year. We circularly managed 81% of this waste, a slight decline from 83% in 2024. These changes were mainly driven by our continued efforts on waste handling and our focus on strengthening documentation on waste classification and treatment.

99.6%

of our total waste (including both biomass and non-biomass) is circularly managed

Waste generated

	Unit	2025		2024	
Total waste	tonnes %	951,159	100	831,563	100
Recycled waste (circularly managed)	tonnes %	6,982	0.7	10,399	1.3
Non-recycled waste*	tonnes %	944,177	99.3	821,164	98.7
biomass waste (circularly managed)	tonnes %	931,928	98.7	810,458	98.7
biomass waste (non-circularly managed)	tonnes %	-	-	-	-
non-biomass waste (circularly managed)	tonnes %	8,508	0.9	7,204	0.9
non-biomass waste (non-circularly managed)	tonnes %	3,741	0.4	3,502	0.4

* According to the CSRD classification.

Today, two-thirds of our sites no longer send waste to landfill. At the remaining sites, in 2025, we focused on identifying new opportunities together with external partners to reduce, reuse and recycle waste. We also collaborated to advance energy recovery and reuse options for filter pads and manifested liquid waste. The impact of these initiatives is expected to start materializing in 2026–2027.

Since 2020, we have worked to improve packaging circularity. This year, we advanced our three key circular packaging projects: optimizing cold-chain packaging to increase reusability and recyclability, while reducing virgin plastic; improving the recyclability of freeze-dried culture packaging; and reducing virgin plastic use in liquid enzyme packaging. These projects contribute to our 2030 circular packaging target.

In 2025, we strengthened our packaging team and began working closely with suppliers to comply with the upcoming EU Packaging and Packaging Waste Regulation (PPWR).



Total waste by type and disposal method

	Unit	2025	2024
Hazardous waste			
Total hazardous waste diverted from disposal	tonnes	2,520	2,716
Due to preparation for reuse	tonnes	1	-
Due to recycling	tonnes	125	96
Due to other recovery operations	tonnes	2,394	2,620
Total hazardous waste directed to disposal	tonnes	317	114
Directed to disposal by incineration	tonnes	121	83
Directed to disposal by landfilling	tonnes	27	28
Directed to disposal by other disposal operations	tonnes	169	3
Total amount of hazardous waste generated	tonnes	2,837	2,830
Non-hazardous waste			
Total non-hazardous waste diverted from disposal	tonnes	944,898	825,345
Due to preparation for reuse	tonnes	541,458	489,247
Due to recycling	tonnes	6,857	10,303
Due to other recovery operations	tonnes	396,583	325,795
Total non-hazardous waste directed to disposal	tonnes	3,424	3,388
Directed to disposal by incineration	tonnes	8	11
Directed to disposal by landfilling	tonnes	3,411	3,141
Directed to disposal by other disposal operations	tonnes	5	236
Total amount of non-hazardous waste generated	tonnes	948,322	828,733

§ Accounting policies

Total waste

Our waste constitutes of biomass and non-biomass waste. Biomass weight is either measured or calculated based on weight produced. All other waste generated from our operations is classified as non-biomass.

Hazardous and non-hazardous waste

Waste is classified into hazardous and non-hazardous based on country-specific regulations. All waste treatment types are reported based on the information provided by suppliers' waste reports. If suppliers are unable to provide the actual treatment details of the collected waste, the waste is reported according to country-specific waste-sorting regulations.

Circularly managed waste and non-circularly managed waste

Circularly managed waste refers to the total quantity of waste directed toward recycling, reuse, or other recovery processes. Non-circularly managed waste refers to the total quantity of waste sent to landfill, incineration without energy recovery, or other disposal methods.

Non-recycled waste

Includes waste not managed circularly, as well as the substantial portion of circularly managed waste sent for reuse or other recovery treatment.

Recycled waste

Includes waste collected and reprocessed into new products, materials or substances, whether for their original purpose or for other uses. It includes the reprocessing of organic material but excludes waste used for energy recovery, fuel production, or backfilling.

Achieve zero waste to landfill target

The target is measured as the share of non-biomass waste sent to landfill or incinerated without energy recovery, compared to the total non-biomass waste. The target is achieved when 90% of the non-biomass waste is diverted from these disposal routes. The target includes our hazardous and non-hazardous non-biomass waste.

Maintain circular management of biomass target

The target is measured as the percentage of circularly managed biomass waste relative to total biomass waste. The target is considered achieved when at least 99.5% of biomass waste is kept within circular management routes and is diverted from disposal.



Summary of the EU Taxonomy

As of 2025, we have applied the updated EU Taxonomy disclosure requirements. The reported information has been prepared in accordance with the latest legislation and uses the revised reporting tables. For more details on the EU Taxonomy, see the [Appendix](#).

Financial year	2025														
Breakdown by environmental objectives of Taxonomy-aligned activities															
KPI (1)	Total (2)	Proportion of Taxonomy-eligible activities (3)	Taxonomy-aligned activities (4)	Proportion of Taxonomy-aligned activities (5)	Climate Change Mitigation (6)	Climate Change Adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Biodiversity (11)	Proportion of enabling activities (12)	Proportion of transitional activities (13)	Not assessed activities considered non-material (14)	Taxonomy-aligned activities in previous financial year (15)	Proportion of Taxonomy-aligned activities in previous financial year (16)
	EUR m	%	EUR m	%	%	%	%	%	%	%	%	%	%	EUR m	%
Net sales	4,157.6	0.0%	-	-	-	-	-	-	-	-	-	-	-	-	-
CAPEX	1,309.0	0.7%	-	-	-	-	-	-	-	-	-	-	-	-	-
OPEX	449.8	0.0%	-	-	-	-	-	-	-	-	-	-	-	-	-



Social

Our people fuel our distinct capabilities and are key to our continued success. We create inclusive, safe workplaces where diverse talent can thrive and contribute to our shared purpose. Across our organization and value chain, we uphold fair labor practices and a firm commitment to human rights.

2025 highlights

2 billion

people reached daily
through our biosolutions
for food

1.4

Lost Time Injury Frequency
(LTIF), improvement from 1.5 in
2024

36%

women in senior management,
on a par with 2024





S1

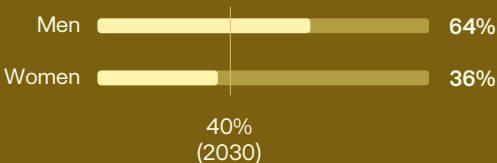
Our workforce

Our **People. Planet. Positive.** ambition includes a strong focus on ‘Enabling healthier living’, a commitment that also ensures that the people behind our biosolutions are treated with dignity, fairness and respect.



Our employment practices affect our workforce across regions and functions. We are committed to building a workplace that is inclusive and equitable in practice, and globally attractive to talent.

Achieve a minimum of 40% of the underrepresented gender in senior management



Impacts, risks and opportunities

Creating an attractive workplace for our employees

S1.1 Positive impact

As an innovation company, diversity and inclusion are vital to our success. We aim to create a workplace that attracts and retains global talent through fair remuneration, an engaging culture, and growth opportunities – empowering employees to realize their potential and succeed together.

Our approach

Our culture is shaped by four interconnected commitments – Explore, Impact, Ownership and Care – which we create together every day through our mindset and behaviors. These commitments guide how we work inside and beyond Novonesis, creating a shared framework for building a workplace where we respect human rights, ensure fair working conditions, and foster an inclusive culture in which everyone feels valued, respected, and able to thrive.

Human and labor rights

We are committed to respecting human and labor rights, as defined in the UN Guiding Principles on Business and Human Rights, the International Bill of Human Rights, the International Labour Organization Declaration on Fundamental Principles and Rights at Work, and the OECD Guidelines for Multinational Enterprises. These principles are embedded in our governance and operational framework and are part of our **People Policy**.

We publish an annual Modern Slavery Statement in accordance with the UK Modern Slavery Act, the Canadian Supply

Chain Act and the California Transparency in Supply Chains Act. These disclosures reflect our commitment to transparency and accountability.

We conduct human rights due diligence and impact assessments across all countries where we operate. This annual process is risk-based and designed to identify, prevent and address potential human rights risks in our operations. We focus on identifying and mitigating risks such as unsafe working conditions, excessive working hours, discrimination, low wages, and forced labor.

Our key production sites complete annual self-assessment questionnaires on the Supplier Ethical Data Exchange (Sedex) platform, while selected sites also undergo third-party Sedex Members Ethical Trade Audits (SMETA). These assessments help us to better understand and prevent potential negative effects among our workforce.

We have not identified any cases of adverse impacts such as child labor, forced labor, or human trafficking since we began conducting annual Human Rights Impact Assessments of our operations. Nevertheless, we remain vigilant. If we identify that we have caused or contributed to such impacts, we will take responsibility by supporting or providing appropriate remediation through relevant judicial and non-judicial mechanisms. We are committed to ensuring that affected individuals, workers and communities receive fair and effective redress.

Our externally hosted grievance mechanism consists of a secure and confidential Whistleblower Hotline that is accessible across our operations and value chain. All concerns raised are investigated in accordance with clear policies and procedures, ensuring professional management, follow-up and mitigation. Reports are logged, monitored and analyzed to identify trends and areas of concern. Summaries are presented to the



Audit Committee quarterly to ensure oversight. We promote the Whistleblower Hotline through business integrity training, the employee code of conduct, and awareness campaigns. We will continue to explore options to assess employee awareness and trust in the mechanism.

Whistleblower Hotline: [Read more](#)

We recognize and respect our employees' rights to fair compensation, freedom of association, and collective bargaining. We uphold the rights of all employees to join – or to not join – labor unions or workers' councils. These rights are protected in accordance with national legislation, and we ensure that no one faces discrimination, intimidation, retaliation or violence for exercising them. We are committed to ensuring that every employee receives a living wage. Each year, we assess the compensation of our employees to confirm that wages meet or exceed locally defined living wage standards.

Inclusive culture

Diversity, Equity and Inclusion (DE&I) are embedded in our culture commitments and strategy. We foster a community built on care, respect and trust, where everyone's unique perspectives and contributions are valued.

We believe in the talent of our people and are committed to ensuring equal opportunities and preventing discrimination across our global organization. This commitment spans all dimensions of identity, including age, sex, gender identity, race, national and social origin, ethnicity, disability, education, sexual orientation, and political or religious beliefs.

As part of our commitment to equitable leadership, we have a target to achieve a minimum of 40% of the underrepresented gender in senior management by 2030. We know that

focusing solely on gender is not enough: to grow a strong sense of belonging, we prioritize inclusion as a fundamental element in our employee engagement. Our regional approach allows us to tailor initiatives to local demographics, addressing diversity dimensions beyond gender. Several of our regions have Employee Resource Groups that take ownership of driving the DE&I agenda locally.

To create a fair and inclusive workplace, we focus on identifying barriers faced by employees who may be at greater risk of marginalization due to individual identity characteristics. We use structured reviews, proactive monitoring, and targeted actions to uncover and eliminate unconscious bias and to correct disparities.

We support talent growth through annual performance reviews, training, mentorship, and educational support for both personal and professional development.

We also listen to feedback from our employees, such as through our quarterly employee engagement survey. The results and qualitative insights are shared with the Executive Leadership Team and other leaders, who then share and discuss the results with their teams and take meaningful action. To ensure this process is upheld, the Head of People and Organization provides support.

Creating an inclusive culture is a shared responsibility, championed by our leaders. They play a key role in promoting diversity in recruitment, retention, fair compensation, and employee engagement. We are committed to transparency in our DE&I efforts by annually reporting diversity data and sharing our initiatives with the Board of Directors. These efforts align with the international standards we adhere to, as described in our [DE&I Policy](#).

Learn more: [Sustainability Policy](#), [People Policy](#), [DE&I Policy](#), [Modern Slavery Statement](#), [Employee Code of Conduct](#).

2025 key actions

Human and labor rights

In 2025, as part of our Human Rights Impact Assessment, we assessed our policies pertaining to human rights and the Whistleblower Hotline, as well as conducting SMETA audits and social site self-assessments. Based on our review, we did not find any severe human rights violations in our own workforce. Looking ahead, we will remain vigilant in respecting human rights for all employees and expand our focus to our value chain.

This year, we broadened our assessment of employees covered by collective bargaining and social dialogue. The expanded scope now includes the European countries that account for the largest share of our workforce, bringing our coverage to 79% of employees in Europe. We continuously work to strengthen the employment conditions we offer. For example, in Denmark, our benefits such as maternity leave and vacation days exceed the requirements set out in the collective agreements.

In 2025, our assessment confirmed that every employee across our organization is paid a living wage.

Our employee turnover this year was 11.7%, of which 7.9% was voluntary, on a par with 2024.

In 2025, employees reported 26 cases which concerned potential discrimination, including harassment – down from 29 cases in 2024. Additionally, through our Whistleblower Hotline,



we received 18 complaints and concerns relating to other human resources matters, employee health and safety, and data privacy – an increase from eight in 2024. This rise reflects greater awareness of the Whistleblower Hotline, as well as a broader scope of cases now included in our reporting.

Where concerns were substantiated, appropriate actions were taken matching the severity of the wrongdoings, including coaching, corrective dialogues, disciplinary measures, improvements to relevant policy processes, oral or written warnings, and dismissals.

Inclusive culture

As of 2025, the gender split across senior management positions was 36% women and 64% men. We continue progressing towards our long-term ambition of gender parity of 45% and our milestone target of 40% of the underrepresented gender by 2030.

This year, we achieved an employee engagement rate of over 8.6 (compared to 8.2 in 2024), placing us in the top 10% of companies using the same measurement framework. The scores on our culture commitments survey remained consistently high, with an average score of 8.3, and we will continue to reinforce them through our leaders.

We launched a global leadership training program to build leaders' self-awareness of their leadership strengths and development areas, while equipping them to support team well-being, engagement, performance, and talent growth. Grounded in our culture commitments, the training prepares leaders to operate effectively in a volatile, uncertain, complex and ambiguous world. At year end, half of our leaders (53%) had started the six-month-long program.

artificial intelligence (AI) is reshaping how we work. To support the adoption of AI, we are training more than 600 ambassadors on AI tools, policy and integrity. The ambassador network is one element of a broader approach to embedding the technology across the organization. It supports teams in adopting technology at different paces and allows capabilities to scale, as business needs evolve.

In 2025, our employee resource groups were active. For example, Womenesis and Novonesis Equity & Inclusion Alliance, in the Middle East, India and Africa region, worked on various initiatives such as workshops, networking opportunities, cultural celebration weeks, and a mentoring program. The focus was to create caring safe spaces, and to spot historical and structural gaps to unleash our collective strength.

This year we enhanced our efforts to create a more inclusive physical environment for employees, especially those with hidden challenges. At some sites, we are now providing access to sanitary pad boxes in restrooms, quiet zones in busy canteens, well-being rooms for reflection, prayer or lactation, and gender-inclusive changing facilities, where locally relevant. These initiatives reflect our commitment to fostering care and respect through actions that make a difference in the everyday working life. This work will continue in 2026.





Employees giving back to our local communities

Our employees live our cultural commitments through local community initiatives.

In a village near the Patalganga site (India), we supported the Women's Water Committee to strengthen women's participation in community water management. In addition, 45 farmers were trained in sustainable agriculture practices that enhance productivity, soil health, and food security.

In another village, we enabled a Preventive Health Check-up Camp for women, covering 81 households. A local partner provided health screenings, consultations, and awareness sessions

on cancer, thyroid, nutrition, and family well-being, emphasizing preventive care.

Our employees worldwide engaged with students from high school to university, sharing insights into the captivating aspects of biosolutions, and inspiring future talent through career talks. In the U.S., three sites welcomed hundreds of students, educators and community leaders to explore our production and R&D labs. In Denmark, 8th graders took part in hands-on workshops exploring biosolutions in cheesemaking and plant-based food. In Japan, we visited college food departments to showcase how biosolutions are creating more efficient, sustainable ways to feed our world.

Incidents, complaints and severe human rights impacts

	Unit	2025	2024
Reported incidents of discrimination, including harassment	No.	26	29
Reported complaints, excluding discrimination	No.	18	8
Complaints reported to the National Contact Points for OECD Multinational Enterprises	No.	-	-
Severe human rights issues and incidents	No.	-	-
Fines, penalties and compensation for incidents, complaints and severe human rights issues and incidents	EUR	-	-

Employees covered by collective bargaining and social dialogue

Country*	Unit	Collective bargaining		Social dialogue	
European Economic Area (EEA)		2025	2024	2025	2024
Denmark	%	41	38	72	66
Germany	%	59	N/A	100	N/A
France	%	100	N/A	100	N/A

* Germany and France are voluntarily included in the reporting, as they are among the countries with the largest employment in the EEA, together with Denmark.



Number of employees by contract type and gender

	Male		Female		Other		Not disclosed		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Permanent employees	6,390	5,942	4,498	4,075	2	3	43	10	10,933	10,030
Temporary employees	187	220	166	220	-	-	25	1	378	441
Non-guaranteed-hours employees	147	43	179	68	-	-	4	-	330	111
Total number of employees	6,724	6,205	4,843	4,363	2	3	72	11	11,641	10,582

Number of employees per country

Country*	2025	2024
Denmark	5,104	4,645
U.S.	1,985	1,881
China	1,102	1,056
India	961	825
Brazil	549	411

* Table includes data only from countries where Novonesis employees account for at least 5% of our total workforce.

Employee age distribution

Age	Unit	2025	2024
Under 30 years old	%	15	13
30–50 years old	%	59	60
Over 50 years old	%	26	27

Employee turnover

	Unit	2025	2024
Rate of voluntary employee turnover	%	7.9	8
Rate of employee turnover	%	11.7	12.4
Total number of employees who have left Novonesis	No.	1,314	1,301

Gender distribution at senior management*

Gender	Unit	2025	2024
Male	No. %	222 64	198 64
Female	No. %	123 36	112 36
Other	No. %	1 -	- -

* Director level and above.

Gender pay gap and remuneration ratio

	Unit	2025	2024
Gender pay gap	%	(2)	(2)
Annual total remuneration ratio	Ratio	59	66



§ Accounting policies

Reported incidents of discrimination, including harassment, encompass all cases submitted through the Whistleblower Hotline or via People & Organization (P&O) managers.

Reported complaints include all cases submitted through the Whistleblower Hotline that relate to human resources, employee health and safety, and data privacy matters. These complaints exclude discrimination and harassment cases, which are reported separately. They also exclude cases reported through other internal channels or functions that are designated to address specific topics.

All reported incidents and complaints received are registered and processed. Cases are included in the reported numbers regardless of whether they have been substantiated or not.

Severe human rights issues and incidents include substantiated cases where the facts are not disputed by Novonesis.

Fines, penalties and compensation resulting from reported incidents and complaints, as well as severe human rights issues and incidents, are recognized as expenses in EUR in the financial year in which they are incurred, provided the amounts can be reliably estimated.

Collective bargaining and social dialogue

The values show the share of employees covered by collective bargaining and the share represented by a worker representative, each as a percentage of total employees in the country.

Living wage

Living wage, or adequate wage, is defined by benchmarking our wages both to ensure compliance with statutory minimum wages, and to guarantee that our employees and their families can meet basic needs, taking economic and social conditions into account. Our benchmarking is aligned with International Labour Organization (ILO) principles for estimating living wages and applies a double decency threshold – which means no minimum wage should be set below 60% of a country’s median wage and 50% of the gross average wage. All active employees, except students and those in learning schemes, are included in the analysis.

Number of employees by contract type, gender and country

Workforce data includes all active employees on our payroll at the end of the reporting period, excluding external and contingent workers. Employees are classified as permanent, temporary, or non-guaranteed hours, based on contract type. Gender is reported as disclosed by employees, including male, female, other (self-identified), and not disclosed. Employee numbers are calculated as the monthly average across all contract types and reported at the end of the reporting period. Employees are reported based on headcount. Employee numbers are also disclosed in the [Financial statements](#).

Employee age distribution

Employee age distribution is based on contractual headcount at the end of the reporting period.

Employee turnover

The rate of employee turnover is calculated as the number of permanent employees that left Novonesis during the

preceding year, compared to the average number of permanent employees. Employees transferred as part of divestments are excluded from the calculation.

Gender distribution at senior management

Our definition of senior management includes all employees at the director level and above, including vice presidents, senior vice presidents, and executive vice presidents. The gender distribution within senior management is based on headcount at the end of the reporting period, and gender is reported as self-disclosed by employees.

We also set gender representation targets for other management levels, as described in [Corporate governance](#) and in the [Financial statements](#).

Gender pay gap

The gender pay gap is calculated as the difference in annual average pay between female and male employees, expressed as a percentage of the male average, in accordance with the CSRD. A negative value indicates that, on average, female employees earn more than male employees. The calculation includes all employees and is based on annual base salary and other fixed and variable remuneration components.

Annual total remuneration ratio

The annual total remuneration ratio compares the total remuneration of the highest-paid individual with the average total remuneration of all employees. Total employee remuneration includes base salary, pension, bonus, long-term incentives, allowances, and major benefits. All amounts are converted to EUR using standard exchange rates. Part-time employees are adjusted to 100% Full-Time Equivalent (FTE) for comparability.



S1

Health and safety

Our **People. Planet. Positive.** ambition includes a strong focus on ‘Enabling healthier living’, both through our biosolutions and at the workplace.



Handprint

Our biosolutions enable healthier lives by meeting the nutritional needs of a growing population, while also driving economic growth, creating jobs, and helping build resilient and prosperous societies.



Footprint

Our corporate culture affects both mental and physical well-being. We cultivate a safe and caring environment, helping employees thrive at work and beyond.

Maintain our Lost Time Injury Frequency (LTIF) with absence



Impacts, risks and opportunities

Health and safety of our employees

S1.2

Negative impact

Risk

We drive and promote a safety-first culture throughout our organization. Health and safety incidents can lead to negative impacts for those affected. Accordingly, we have a global safety target. For certain employees with potential direct exposure to enzymes, we also operate a comprehensive enzyme safety program designed to ensure a low risk of sensitization or respiratory allergies.

Our approach

Our handprint

Our biosolutions improve every step from farm to table – making agriculture, animal production, and food systems more sustainable and resilient. Beyond the field, they are helping people live more healthily, with scientifically researched and clinically tested biosolutions for a stronger body and mind.

Our footprint

We promote a strong safety culture across Novonesis and comply with all applicable occupational health and safety laws and regulations. To minimize work-related injuries, we have set a target to maintain our Lost Time Injury Frequency (LTIF) with absence at less than or equal to 1.5, in both 2025 and 2026.

Our **Occupational Health and Safety Policy** is implemented by our Corporate Safety and Environment function. To ensure compliance and a safe work environment, we have strict procedures and a robust health and safety management system that integrates reporting, equipment, standards, tools and

training into daily operations. Our Environmental, Health and Safety performance is assessed through compliance with our Global Minimum Requirements, which define the baseline standards for all production sites on personal safety, specific processes, equipment and infrastructure. Each site undergoes at least one assessment each year to verify adherence to these standards. We also conduct health and safety risk assessments for our processes, reviewing them whenever there are changes to the process or the equipment.

We foster a preventive safety mindset by prioritizing awareness, anticipation and early action. Relevant health and safety training across our global operations ensures that employees are informed, confident, and prepared to respond effectively to potential risks and emergencies. To strengthen emergency preparedness, all our sites have tailored response procedures aligned with local risks and regulations. These include clear protocols for evacuation, fire safety, and incident response.

Our global incident-handling system enables us to track our performance and monitor trends to drive continuous improvement. By analyzing data of incidents – including lost time injuries, injuries without absence, near misses, and observations – we develop targeted, data-driven safety initiatives that help prevent future incidents and reinforce our safety culture. Through our Safety & Environment Collaboration for Unified Risk Elimination (SECURE) initiative, we raise awareness about identified issues, their root causes, and the corrective and preventive actions across our global sites and offices.

Certain employees working in production or laboratory environments may be directly exposed to enzymes, which places them at a low risk of developing sensitization or respiratory allergies. We maintain a strong focus on safe enzyme-handling processes. Our comprehensive enzyme safety program provides clear guidelines and goes beyond legal compliance by



setting continuous improvement goals and implementing proactive measures. It includes training on the safe handling of enzymes, regular inspections, annual self-evaluations, air monitoring, and medical surveillance of enzyme sensitization or allergy cases. To further minimize exposure, the program also outlines best practices for the design of production plants and laboratories.

We offer voluntary medical screenings for production and laboratory employees to identify and eliminate enzyme exposures and reduce the risk of allergy development. The data collected further supports our efforts to assess and continuously improve workplace safety.

When relevant, new employees are informed about the potential sensitization and allergy risks during the hiring process. In the rare cases where allergies occur, we provide the necessary remediation measures, such as vocational rehabilitation and assistance in finding alternative positions within the company.

Learn more: [Occupational Health and Safety Policy](#).

2025 key actions

Our handprint

In 2025, our food biosolutions for bread, cheese and fresh dairy were part of the daily diets of an estimated 2 billion people worldwide.

Furthermore, our probiotic strains LGG® and BB-12® were present in an estimated 35 billion dietary supplements, reaching approximately 100 million individuals daily. They were also included in around 450 million daily servings of yogurt and other fermented fresh dairy products worldwide, supporting

digestive balance across populations. These strains are among the most clinically documented probiotics, with evidence of benefits for gut health and reduced flu-like symptoms across age groups. Recent research indicates that premature infants receiving LGG® and BB-12® regained birth weight faster and achieved a higher average weight by day 30.

Our footprint

This year, our Lost Time Injury Frequency (LTIF) with absence was 1.4, meaning we met our 2025 target of maintaining LTIF at or below 1.5.

In 2025, we advanced the integration of enzyme safety programs and databases. By harmonizing processes and migrating data, we laid the groundwork for a stronger, unified safety framework in 2026.

Within our enzyme safety program, we launched a tracking tool to monitor air quality in our production plants, or in areas where airborne exposure may occur. This tool enhances transparency, democratizes data access, and supports our ambition to proactively manage health risks and foster a healthier working environment.

We also updated our health and safety training programs to reflect changes in our reporting systems and to ensure consistent definitions and terminology across the organization, bringing clarity to how we manage and report safety matters.

Looking ahead, we remain committed to a strong safety culture, embedding safe behaviors across our organization and proactively preventing injuries.





Health and safety

	Unit	2025	2024
Employees covered by Novonesis' health and safety management system	%	100	100
Lost Time Injuries (LTI)	No.	26	28
Lost Time Injury Frequency (LTIF) with absence per million working hours	Rate	1.4	1.5
Fatalities	No.	-	-

§ Accounting policies

Health and safety management system

100% of our workforce is covered by our health and safety management system, based on headcount. This includes contract workers present at our sites.

Lost Time Injuries (LTI)

LTI refers to injuries that occur while an employee is performing work-related activities at our sites, preventing the employee from resuming work on their next scheduled working day. An injury is classified as an LTI only if, after investigation, the confirmed root cause falls within Novonesis' responsibility and control as an employer. This includes injuries sustained by substitutes and/or temporary workers operating under Novonesis' management.

In 2024, we reported the number and rate of recordable work-related accidents. The metrics included LTIs and high-severity injuries without absence. This year, the metrics

in the report have been changed and now include only LTIs and the Lost Time Injury Frequency (LTIF), in alignment with current market practice, peer-comparability objectives, and our target.

Lost Time Injury Frequency (LTIF)

LTIF is calculated as the sum of LTIs divided by the cumulated monthly work hours in the reporting year. Work hours are determined by multiplying the number of FTEs by 147.25 (as defined by the OECD). The result is multiplied by one million to express the frequency of LTIs per million working hours.

Fatalities

Fatalities are recorded in our health and safety reporting system as part of work-related injuries and illnesses that result in death within our own workforce and among other workers on our sites.





Workers in our upstream value chain

Our **People. Planet. Positive.** ambition includes a strong focus on ‘Enabling healthier living’, a commitment that also ensures that the people in our value chain are treated with dignity, fairness and respect.



Footprint

We are committed to upholding high ethical standards while doing business in a global environment, minimizing negative impact, and driving positive change that goes beyond compliance.

Impacts, risks and opportunities

Suppliers potentially not adhering to human rights principles

S2.1

Negative impact

As part of our responsible sourcing program, we set strict requirements for suppliers to uphold and protect workers’ human rights. The program is risk-based, ensuring enhanced oversight of high-risk suppliers – including those providing materials from agriculture and mining in high-risk countries, where labor rights violations are inherently more likely.

Our approach

We uphold high ethical standards in our global business practices and are committed to sourcing responsibly across our value chain. Our procurement approach integrates environmental, social and governance considerations by engaging suppliers to minimize impact, while also considering quality and commercial aspects. By sourcing a wide variety of goods and services globally, we aim to build a more sustainable and resilient supply chain – working closely with suppliers and embedding sustainability into every step of our procurement processes.

We are committed to upholding the principles of the UN Global Compact and respecting internationally recognized human and labor rights throughout our supply chain.

Our **Business Partner Code of Conduct** requires our suppliers to respect human and labor rights within their workforce, to implement responsible sourcing practices, and to maintain ethical business conduct. Our suppliers should also offer secure and confidential grievance redressal mechanisms for workers across their operations and value chain, ensuring concerns can be raised without fear of retaliation.

Oversight of our approach to workers in the value chain lies with our Global Procurement organization and is implemented through our Responsible Sourcing Program, founded on the OECD Guidelines for Multinational Enterprises. The program focuses on evaluating suppliers’ sustainability performance through a risk-based due diligence approach and identifying areas for improvement. It is built on four pillars:

1. Business Partner Code of Conduct
2. Risk screening
3. Desktop assessments (via questionnaires) and onsite audits
4. Ongoing monitoring

This framework, combined with supplier dialogues, helps us identify, assess and monitor sustainability risks, including potential human rights violations, as well as driving improvement across our supply chain.

While we strive to maintain effective risk management, we acknowledge that violations may still occur within our supply chain. Suppliers are encouraged to report issues when they arise. We provide a publicly available Whistleblower Hotline that enables suppliers and their workforce to raise concerns through a secure and anonymous channel.

Whistleblower Hotline: [Read more](#)



If an incident occurs that violates relevant laws, regulations or international conventions, we engage directly with the supplier and conduct an assessment and/or audit to ensure compliance and to effectively mitigate risk. Corrective actions are defined in line with our expectations for the supplier and our **Business Partner Code of Conduct**, and they are developed collaboratively to improve sustainability performance. If a supplier is unwilling to make necessary improvements, we reserve the right to terminate the collaboration.

Learn more: **Sustainability Policy**, **Responsible Purchasing Position**, **Business Partner Code of Conduct**, **Modern Slavery Statement**.

2025 key actions

In 2025, we updated our supplier sustainability risk analysis. We screened suppliers by location, industry and spend, categorizing them as low, medium or high risk. Selected medium- and high-risk suppliers are required to complete a detailed self-assessment, and high-risk suppliers may be subject to onsite audits.

This year, no new cases of human rights incidents were reported. We continue to work on deepening our understanding of the risks associated with the key materials and geographies in our supply chain.

To further accelerate our sustainable procurement journey, we joined Together for Sustainability (TfS), providing access to shared EcoVadis supplier assessments and audits that improve efficiency and reduce duplication. We also leverage TfS supplier capability building resources, accelerating impact by using established tools rather than creating new ones.

We are preparing for compliance with the EU legislations, including the EU Deforestation Regulation and the Corporate Sustainability Due Diligence Directive, recognizing their impact on our supply chain operations and due diligence responsibilities.

In 2025, we had 100% attendance at our annual training for the procurement team on human rights and modern slavery risks in the supply chain. This training focused on strengthening our ability to identify potential issues, report concerns, collaborate with suppliers on remediation, and recognize common sustainability themes. We also trained employees to use systems and tools to identify and respond to supply chain sustainability risks. This year, we introduced the TfS Academy – an e-learning platform – to further build knowledge on human rights, labor rights, and responsible procurement.

We recognize the risk of human and labor rights violations across our value chain, including in the agricultural and mining sectors where many of our raw materials originate. As a member of the Roundtable on Sustainable Palm Oil (RSPO), we have strengthened our efforts to ensure that all palm oil-derived products we procure are RSPO-certified, supporting better conditions for plantation workers and their families.





Workers in our downstream value chain

Our **People. Planet. Positive.** ambition has four strategic agendas, one of which is to 'Enable healthier living', a commitment that includes our downstream value chain.



Footprint

The handling of some of our biosolutions may pose health and safety risks to our customers and their employees, which we address through responsible product design, clear guidance, and safety measures.

Impacts, risks and opportunities

Health and safety of workers handling our products

S2.2

Negative impact

We are committed to fostering a safety-first culture across our value chain. While there is a low risk of workers at our customer sites experiencing sensitization and respiratory allergies due to exposure to high concentrations of enzyme dust from granulated enzymes, in such cases this would likely be caused by a lack of knowledge about enzyme safety or non-adherence to standard practice. We have implemented extensive product stewardship practices to reduce sensitization cases, including continuous support, guidance and training to promote the safe and effective use of our products.

Our approach

To ensure product safety, we systematically assess and address potential risks across both existing and pipeline products. Dedicated Safety Assessment Committees (SAC) for enzymes and microorganisms evaluate risks associated with customer inquiries on new materials or novel applications. These protocols are standardized and implemented across our company. All safety assessments and related guidelines are recorded in our internal safety catalog, ensuring consistency and transparency for all downstream users of our products.

Drawing on our deep expertise, our trained employees also support customers directly through consultations, site visits, and confidential discussions to assess product suitability and safe use beyond intended applications.

We believe in shared responsibility and close customer collaboration to ensure the safe handling of enzymes and microorganisms. Customer inquiries or concerns can be raised directly to our customer support function and are managed by our Corporate Quality function through a robust process. This includes thorough investigations and clear communication of outcomes and recommendations. When necessary, we take corrective measures – with the strictest action being discontinuation of sales.

We also are proactively involved in mitigating and remedying potential negative impacts on worker health and safety. Customer complaints or incidents related to safety are very rare, reflecting the strength of our precautionary approach. Many customers, familiar with enzyme safety, often proactively consult us when exploring new applications for our products.

To ensure the safe use of enzymes and microbes across different industries, we work closely with our customers, collaborate with industry peers, and actively participate in relevant trade associations. For example, through our engagement with the Association of Manufacturers and Formulators of Enzyme Products (AMFEP), we help strengthen the industry's collective voice and secure safety commitments from its members.

Our commitment to product stewardship remains unwavering, and we are dedicated to ensuring that all our stakeholders understand the importance of adhering to our product safety standards.

Learn more: [Quality and Product Safety Policy](#).



2025 key actions

In 2025, we continued our collaboration with trade associations. For example, we contributed to the development and publication of a new edition of the 'Guidance for the Risk Assessment of Enzyme-Containing Consumer Products', issued by the American Cleaning Institute (ACI) and the European cleaning & maintenance products industry association (A.I.S.E.). The guideline provides a comprehensive framework for conducting risk assessments, with a specific focus on the respiratory assessment of consumer products containing enzymes, prior to their market introduction.

Together with AMFEP and the Federation of European Manufacturers and Suppliers of Ingredients to the Bakery, Confectionery and Patisseries Industries (Fedima), we hosted two webinars for enzyme manufacturers and downstream users. The sessions emphasized the importance of controlling and reducing dustiness in enzyme-containing products to safeguard worker health and safety.

As a leading player in feed enzymes, we are also developing tailored enzyme safety guidelines for the feed industry. This initiative is being carried out in collaboration with our partners and the relevant trade associations, including the European Feed Manufacturers' Federation (FEFAC) and the EU Association of Specialty Feed Ingredients and their Mixtures (FEFANA).

Throughout the year, our enzymes and microbial products were used without any customers reporting impacts on worker safety.





Governance

We are a company with high ethical standards and deep integrity. Through responsible business conduct and active advocacy for biosolutions, we create long-term value for stakeholders while advancing biosolutions for people and the planet.

2025 highlights

94%

participation in business integrity training, in line with 95% in 2024





G1

Business conduct

Our **People. Planet. Positive.** ambition is built on our belief that doing business the right way is the only way.



Handprint

We embrace our sustainability leadership and advocate for unlocking biology to build resilient and prosperous societies by creating millions of jobs and driving sustainable economic growth across industries and regions.



Footprint

Our global operations require high standards of ethical and transparent conduct, which we uphold to manage business-integrity risks and meet stakeholder expectations.

Impacts, risks and opportunities

Enabling our future success through a thriving corporate culture

G1.1

Positive impact

Our people power our success. Their talent, combined with a culture of inclusion, innovation, and strong sustainability commitments, is a cornerstone of our strategy. Across factories, labs and offices, diverse perspectives drive customer success and spark ideas that lead to breakthrough innovations.

Advocating for biosolutions as a lever for economic growth, including green jobs and in support of the green transition

G1.2

Positive impact

Our advocacy and other forms of stakeholder engagement with authorities, policymakers and business organizations promote the value of biosolutions, showing how they can drive job growth, competitiveness and economic resilience for countries across the globe – and enable healthier lives and a healthier planet.

Unethical practices by our business partners

G1.3

Risk

We are committed to conducting business responsibly, with ethical practices across our supply chain. We do not tolerate corrupt or unethical business behavior from our business partners, as such violations pose a risk of financial penalties, regulatory sanctions, and reputational damage. We mitigate this supply chain risk through maintaining clear policies and positions, internal standards, procedures, due diligence programs,

and contractual measures to ensure that we work with trustworthy and compliant partners.

Our approach

Our handprint

We embrace our sustainability leadership and actively advocate for further unlocking biology to create a prosperous future for people and the planet. We support the development of regulations and policies that drive innovation, economic resilience, job creation, and climate change mitigation, enabling healthier lives and a healthier planet.

We work directly and indirectly with interest groups, governments, policymakers, NGOs and other stakeholders on topics of relevance to our business and to the field of biosolutions, which are key to delivering on the UN Sustainable Development Goals and can help create jobs and support growth globally. We focus on the following topics: biosolutions, bioeconomy, bioenergy, and transformation of food systems and agriculture. Our Executive Leadership Team oversees our advocacy efforts.

In the relevant public debate, we are active through different channels and forums, including our memberships in industry associations, alliances and chambers of commerce; our responses to public policy consultations; face-to-face meetings with public authorities; and participation in public events.

We collaborate with various organizations such as the Alliance for Biosolutions in Denmark, Crop-Life Brasil, the American Alliance for Biomanufacturing, and the European Biosolutions Coalition. Our aim is to raise awareness about biosolutions and their potential, and to drive optimal framework conditions for the sector.



Guided by our **Business Integrity Policy**, we uphold strong ethical standards in all external engagements. We do not provide any direct or indirect political contributions to any parties or political candidates. We are members of industry organizations where we collaborate with peers and advocate for our positions.

Novonesis is registered in the EU transparency register with the registration number 780717547356-52.

Our footprint

Corporate culture

Our corporate culture is brought to life through four culture commitments: Explore, Impact, Ownership and Care. They guide how we think, behave and collaborate across the organization. The commitments are the essence and core of who we are, and they translate our purpose into behavior that delivers the impact and potential of our biosolutions for healthier people and a healthier planet. Embedded in leadership, performance and training, they ensure our culture is not just aspirational but operational, enabling a thriving, value-driven workplace that supports long-term success.

Taking Ownership of our actions ensures that we can move further faster. Whatever our role, we combine accountability and determination to reach shared goals and keep delivering. We never lose sight of being a company with high ethical standards and deep integrity.

Business ethics

We have a holistic approach to preventing and detecting corruption and bribery by embedding ethical business practices into our daily activities. We have a structure of internal policies, procedures, training programs and controls that promote a clear understanding of our business integrity standards and their practical application in decision-making.

Our approach to anti-corruption and anti-bribery is guided by our **Business Integrity Policy** and our new Employee Code of Conduct. These are communicated internally to all employees through our intranet and relevant training, and are publicly available to external stakeholders on our website. Our **Business Partner Code of Conduct** is shared with our partners and is formally integrated into our contracts.

It is important to us that our employees feel safe and empowered to speak up. Through our cultural commitments, we encourage open and honest feedback and dialogue. We also provide a secure Whistleblower Hotline, where every report is handled with seriousness and care, ensuring confidentiality and protection from retaliation.

We have a governance framework to guide how we investigate potential fraud and other illegal behavior. A dedicated group leads these efforts, consisting of senior leaders from our People & Organization, Finance and Legal functions. Investigations are conducted by employees with special expertise and capabilities within the area.

To ensure impartiality, anyone directly involved in an allegation is excluded from these investigations. If the case involves a management chain, those managers are not allowed to influence the process or its outcomes. We also follow strict procedures for notifying relevant management and reporting to the Audit Committee.

Whistleblower Hotline:

[Read more](#)

Learn more: **People Policy**, **Business Integrity Policy**, **Anti-Corruption Position**, **Modern Slavery Statement**, **Business Partner Code of Conduct**, **Employee Code of Conduct**.

2025 key actions

Our handprint

In 2025, we continued advocating for biosolutions at global, regional and national levels. We participated in major global forums, including the World Economic Forum Annual Meeting, the UN General Assembly, and COP30, where members of our Executive Leadership Team joined multiple panels and engaged with public and private sector representatives.

With Denmark holding the EU Presidency in late 2025, we built a strong partnership with the Danish government. We engaged the EU Commission and Member States in discussions on accelerating the EU transition to boost growth and competitiveness while advancing the Green Deal. We also hosted EU delegations at our sites, giving Commissioners and Ministers a first-hand view of how biosolutions are transforming the way we live and consume.

We also commissioned the 'Value of Biosolutions: Growth and Prosperity to 2035' reports from Amsterdam Data Collective. They map the economic footprint and job-creation potential of biosolutions globally, in the EU, and in individual countries, and project their value through 2035. The first reports were published this year, covering global, the EU, seven European markets, and Brazil. More country reports will follow in 2026.

[Read more](#)

In 2025, we released The Biosolutions Bulletin Book – a curated collection of articles from the previous year, designed to deepen understanding on the value of biosolutions and inspire the transition towards a more sustainable future powered by biology. To reach an even broader audience, we also released a podcast edition.

[Read more](#)



Our footprint

Corporate culture

In 2025, we launched a global Employee Code of Conduct to communicate unified expectations around integrity, transparency and responsible decision-making across all functions and geographies. The Code supports our culture commitments – Explore, Impact, Ownership and Care – and reinforces that ethical behavior underpins how we innovate, deliver impact, take responsibility, and care for one another.

Culture commitments are also embedded in our leadership training program, launched in 2025. This program is our largest investment and the primary lever for driving our culture, as described in [Our workforce](#).

Business ethics

This year, our annual business integrity e-learning focused on key topics like conflicts of interest, gifts and hospitality – building on our foundation of anti-bribery and anti-corruption policies and standards. We ensure that 100% of relevant roles are covered by the business integrity training. In 2025, 94% of Novonesis employees in scope completed the training and confirmed their understanding of the business integrity principles by submitting a compliance statement.

During the year, we received and investigated 43 whistleblower reports. Approximately half of the reports concerned potential human resources matters, with the remaining reports being related to business integrity and environment, health and safety issues. If substantiated, relevant actions were taken to address misconduct, to mitigate consequences, and to strengthen processes and controls.

Finally, we recorded no convictions or fines for violation of anti-corruption and anti-bribery laws.

§ Accounting policies

Whistleblower cases include all reports submitted through the Whistleblower Hotline, whether substantiated or not. Categories of Whistleblower cases include business integrity (e.g., bribery, corruption, theft, fraud, anti-competitive practices, data privacy), human resources matters (e.g., complaints related to leadership style, collegial behavior, compensation, alleged discrimination, harassment), and other types of concerns. For the full list of categories, see our Whistleblower Policy.

Whistleblower Policy:

[Read more](#)

Convictions and incidents of corruption or bribery

The tracking of convictions and fines for corruption and bribery is mapped through our internal litigation/case reporting system.

Employees who completed the business integrity training

Business integrity training is mandatory for employees in roles with higher exposure to corruption risks, such as those involved in regular interactions with third parties or those managing company funds. This includes administrative, professional and managerial/executive staff. We track coverage as the percentage of relevant functions trained, and measure completion rate by how many employees completed the training within the reporting period.





Appendix

Policies and positions

We take a clear stance on the issues that matter to us. Our policies are central to how we conduct business, and they define our commitments and guiding principles.

All our policies, positions and codes of conduct are available on our website and periodically reviewed. Below, we provide an overview of those documents covering our material sustainability topics, along with the most senior person responsible for their implementation.

[Read more](#)

All policies are approved by our Board of Directors and communicated internally to relevant employees through multiple channels, such as our intranet, annual e-learning, employment contract appendices, and other training and communication materials.

Our positions outline our Executive Leadership Team's commitments on the material sustainability topics that are not already covered by our policies.

Find our Whistleblower Hotline on our website:

[Read more](#)

Policies, Positions and Codes of Conduct

Sustainability Policy
People Policy
Diversity, Equity and Inclusion Policy
Occupational Health and Safety Policy
Quality and Product Safety Policy
Business Integrity Policy
Whistleblower Policy
Climate Action Position
Water Stewardship Position
Responsible Purchasing Position
Anti-Corruption Position
Business Partner Code of Conduct
Employee Code of Conduct
Modern Slavery Statement

Most senior person responsible for implementation

EVP of People & Stakeholder Relations
EVP of People & Stakeholder Relations
EVP of People & Stakeholder Relations
COO
COO
Executive Leadership Team
Executive Leadership Team
COO, CSO and EVP of People & Stakeholder Relations
COO and EVP of People & Stakeholder Relations
COO and EVP of People & Stakeholder Relations
Chief Legal Compliance Officer
COO
EVP of People & Stakeholder Relations
CEO



Standards and certificates

We work to maintain our customers' trust by providing high-performing, safe products and competitive services. To achieve this, we maintain and continuously develop documented management systems that ensure compliance and drive ongoing improvements in quality and safety across our sites. All manufacturing sites have at least one management system certification, which is audited by a third party. The table summarizes the certifications per production site.

Site	Country	Quality	Food and feed safety		ESG			
		ISO 9001	FSSC 22000	FAMI-QS	ISO 14001	ISO 50001	SMETA audit*	RSPO
Pilar	Argentina	●			●			
Araucária	Brazil	●		●	●		●	
Valinhos	Brazil		●		●			
Quatro Barras	Brazil	●			●			
Saskatoon	Canada	●			●			
Ottawa	Canada	●			●			
Tianjin	China	●	●	●	●		●	
Taicang	China	●	●		●			
Shenyang	China	●			●			
Hustopece	Czech Republic			●	●			
Bagsvaerd	Denmark	●	●	●	●	●	●	●
Kalundborg	Denmark	●	●	●	●	●	●	●
Avedoere	Denmark		●		●		●	
Fuglebakken	Denmark	●	●	●	●	●	●	
Roskilde	Denmark		●		●		●	
Graasten	Denmark		●		●			
Arpajon	France		●		●		●	
Nienburg	Germany		●		●	●		
Pohlheim	Germany		●		●	●		
Rheinbreitbach	Germany		●					
Patalganga	India		●		●			
Wada	India		●					
Vadodara	India		●					
Franklinton	U.S.	●	●	●	●			●
West Allis	U.S.		●		●		●	
Blair	U.S.	●	●	●	●			
Wausau	U.S.		●		●			
Salem	U.S.	●		●	●			
Madison	U.S.				●			
New Berlin	U.S.		●	●	●			
Milwaukee	U.S.	●	●		●			
East Windsor	U.S.		●		●			
Total certified:		47%	72%	31%	91%	16%	28%	9%

* SMETA is not a certification. We consider SMETA audits valid for 3 years.

Disclaimer: This list covers manufacturing sites and not legal entities, as some legal entities have more than one production site.



EU Taxonomy

The Taxonomy Regulation 2020/852/EU is a classification system that encompasses a standard set of definitions for sustainable activities. The aim of the Regulation is to help the EU guide sustainable investments by requiring companies to report on the parts of net sales*, capital expenditures (CAPEX) and operational expenditures (OPEX) that are associated with environmentally sustainable economic activities.

The defined activities are centered around six environmental objectives: climate change mitigation; climate change adaptation; sustainable use and protection of water and marine resources; transition to a circular economy; pollution prevention and control; and protection and restoration of biodiversity and ecosystems.

For 2025, all six objectives are in scope for reporting eligibility, which means that companies must assess whether they have economic activities that are included in the different annexes of the Delegated Acts, and report the eligible proportion of net sales, CAPEX and OPEX. Furthermore, eligible activities within all six objectives must be assessed for alignment with the Regulation. Alignment is determined by assessing compliance with the technical screening criteria, the 'Do No Significant Harm' requirements, and the minimum social safeguards.

Despite the positive environmental impact of our biosolutions and our focus on minimizing our environmental footprint, our core activities do not fall within the current scope of reportable activities as defined in the EU Taxonomy. However, we have screened our non-core activities against the six objectives to identify the proportion of any eligible and potentially aligned activities.

We screened the activities listed in the technical annexes under the Delegated Regulations 2021/2139 and 2024/3215, including amendments to Delegated Regulations 2021/2139, as set forth in the Delegated Regulations 2024/3215. This screening included interviews with relevant project managers to identify any ongoing activities for which Novonesis might be eligible to report. Once eligible activities were identified, a deep dive was performed to assess whether the activities could be considered aligned according to the EU Taxonomy standards.

Our internal procedures are set up to ensure that no activity is double counted, which means that none of the identified activities contribute to multiple environmental objectives. Therefore, disaggregation of KPIs is not required.

Taxonomy eligibility

Based on our eligibility screening, Novonesis' eligible activities are as follows:

- CCM/CCA 5.4 – Renewal of wastewater collection and treatment: Recycling treated wastewater for use in production. Eligible for CAPEX.
- CCM/CCA 5.9 – Material recovery from non-hazardous waste: Production of biomass. Eligible for CAPEX.
- CCM/CCA 7.7 – Acquisition and ownership of buildings. Eligible for CAPEX.
- CCM 9.1 – Close to market research, development and innovation: Carbon capture projects. Eligible for OPEX.

Net sales

We identified no relevant eligible net sales. Net sales are defined as net sales included in the consolidated financial statements for the year 2025. Please see Note 2.2 on Net sales.

Capital expenditures (CAPEX)

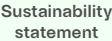
We identified eligible CAPEX of EUR 9.0 million, corresponding to 0.7% of total CAPEX. CAPEX is defined as additions to tangible and intangible assets for the relevant financial year, measured before depreciation, amortization and any remeasurements, including those resulting from revaluations and impairments, and excluding fair value changes. The denominator also includes additions to tangible and intangible assets resulting from business combinations. Goodwill and leasing are not considered. Please see Note 3.1 on Goodwill and other intangible assets, and Note 3.2 on Property, plant and equipment.

Operational expenditures (OPEX)

We identified eligible OPEX of EUR 0.1 million, corresponding to 0.0% of total OPEX.

OPEX is defined as direct non-capitalized expenses relating to research and development, building renovation measures, short-term leases, maintenance and repair, and any other direct expenditures for the day-to-day servicing of property, plant and equipment assets by the undertaking or by a third party to whom activities are outsourced. These expenses are necessary to ensure the continued and effective functioning of such assets.

* The EU Taxonomy Regulation applies the term 'turnover'. To reflect the terminology used in our financial reporting, we use the term 'net sales'.



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Datapoints that derive from other EU legislation

2025	Net sales	CAPEX	OPEX
Taxonomy-aligned activities	-	-	-
Taxonomy-eligible, but not Taxonomy-aligned activities	-	0.7%	0.0%
Total Taxonomy-eligible activities	-	0.7%	0.0%
Taxonomy-non-eligible activities	100.0%	99.3%	100.0%

Net sales

Financial year	2025				Environmental objective of Taxonomy-aligned activities								
Economic Activities (1)	Code (2)	Taxonomy-eligible KPI (Proportion of Taxonomy-eligible Net sales) (3)	Taxonomy-aligned KPI (Monetary value of Net sales) (4)	Taxonomy-aligned KPI (Proportion of Taxonomy-aligned Net sales) (5)	Climate Change Mitigation (6)	Climate Change Adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Biodiversity (11)	Enabling activity (12)	Transitional activity (13)	Proportion of Taxonomy-aligned in Taxonomy-eligible (14)
		%	EUR m	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Total Net sales		0.0%	-	0.0%	-	-	-	-	-	-	-	-	-

CAPEX

[illegible]

OPEX

[illegible]



Disclosure requirements and incorporation by reference

The table below lists the European Sustainability Reporting Standards (ESRS) disclosure requirements and indicate where the corresponding information can be found in the Annual Report.

Disclosure requirement		Page number
ESRS 2 General disclosures		
BP-1	General basis for preparation of the Sustainability statement	58
BP-2	Disclosures in relation to specific circumstances	58
GOV-1	The role of the administrative, management and supervisory bodies	36–40, 56
GOV-2	Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies	56
GOV-3	Integration of sustainability-related performance in incentive schemes	50
GOV-4	Statement on sustainability due diligence	57
GOV-5	Risk management and internal controls over sustainability reporting	58
SBM-1	Strategy, business model and value chain	10–18, 63
SBM-2	Interests and views of stakeholders	59
SBM-3	Material impacts, risks and opportunities (IROs) and their interaction with strategy and business model	62–63
IRO-1	Description of the process to identify and assess material IROs	60–61
IRO-2	Disclosure requirements in ESRS covered by the undertaking's Sustainability statement	60–61, 113–115

Disclosure requirement		Page number
E1 Climate change		
GOV-3	Integration of sustainability-related performance in incentive schemes	50
E1-1	Transition plan for climate change mitigation	68–71
SBM-3	Material IROs, and their interaction with strategy and business model	62–63, 68
IRO-1	Description of the processes to identify and assess material climate-related IROs	57, 60–61
E1-2	Policies related to climate change mitigation and adaptation	70, 108
E1-3	Actions and resources in relation to climate change policies	72–73
E1-4	Targets related to climate change mitigation and adaptation	18, 68–71
E1-5	Energy consumption and mix	74
E1-6	Gross scope 1, 2, and 3 and total GHG emissions	75
E1-7	GHG removals and GHG mitigation projects financed through carbon credits	Not material
E1-8	Internal carbon pricing	Not relevant



Disclosure requirement		Page number
E2 Pollution		
IRO-1	Description of the processes to identify and assess material pollution-related IROs	57, 60–61
E2-1	Policies related to pollution	78, 108
E2-2	Actions and resources related to pollution	78
E2-3	Targets related to pollution	77
E2-4	Pollution of air, water and soil	79
E2-5	Substances of concern and substances of very high concern	79
E3 Water		
IRO-1	Description of the processes to identify and assess material water and marine resources-related IROs	57, 60–61
E3-1	Policies related to water and marine resources	81, 108
E3-2	Actions and resources related to water and marine resources	81–82
E3-3	Targets related to water and marine resources	18, 80–81
E3-4	Water consumption	82
E4 Biodiversity		
E4-1	Transition plan and consideration of biodiversity and ecosystems in strategy and business model	84–85
SBM-3	Material IROs and their interaction with strategy and business model	62–63, 84–85
IRO-1	Description of processes to identify and assess material biodiversity- and ecosystem-related IROs	57, 60–61
E4-2	Policies related to biodiversity and ecosystems	85, 108
E4-3	Actions and resources related to biodiversity and ecosystems	85
E4-4	Targets related to biodiversity and ecosystems	84
E4-5	Impact metrics related to biodiversity and ecosystems change	85

Disclosure requirement		Page number
E5 Resource use and circular economy		
IRO-1	Description of the processes to identify and assess material resource use and circular economy-related IROs	57, 60–61
E5-1	Policies related to resource use and circular economy	87, 108
E5-2	Actions and resources related to resource use and circular economy	87
E5-3	Targets related to resource use and circular economy	18, 87
E5-4	Resource inflows	Not material
E5-5	Resource outflows	87–88
S1 Own workforce		
SBM-2	Interests and views of stakeholders	59
SBM-3	Material IROs and their interaction with strategy and business model	57, 62–63, 91–93, 97–98
S1-1	Policies related to own workforce	92, 98, 108
S1-2	Processes for engaging with own workers and workers' representatives about impacts	91–93, 97–98
S1-3	Processes to remediate negative impacts and channels for own workers to raise concerns	91–92, 97–98, 107
S1-4	Taking action on material impacts on own workforce; approaches to mitigating material risks and pursuing material opportunities related to own workforce; and effectiveness of those actions	92–93, 98
S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	18, 91–93, 97–98
S1-6	Characteristics of the undertaking's employees	95
S1-8	Collective bargaining coverage and social dialogue	94
S1-9	Diversity metrics	95
S1-10	Adequate wages	92
S1-13	Training and skills development metrics	93
S1-14	Health and safety metrics	99
S1-16	Compensation metrics (pay gap and total compensation)	95
S1-17	Incidents, complaints and severe human rights impacts	94



Disclosure requirement		Page number
S2 Workers in the value chain		
SBM-2	Interests and views of stakeholders	59
SBM-3	Material IROs and their interaction with strategy and business model	57, 62–63, 100, 102
S2-1	Policies related to value chain workers	100, 102, 108
S2-2	Processes for engaging with value chain workers about impacts	100–102
S2-3	Processes to remediate negative impacts, and channels for value chain workers to raise concerns	100–103
S2-4	Taking action on material impacts on value chain workers; approaches to managing material risks and pursuing material opportunities related to value chain workers; and effectiveness of those actions	100–103
S2-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	100, 102
G1 Business conduct		
GOV-1	The role of the administrative, supervisory and management bodies	56
IRO-1	Description of the processes to identify and assess material IROs	60–61
G1-1	Business conduct policies and corporate culture	106, 108
G1-2	Management of relationships with suppliers	Not material
G1-3	Prevention and detection of corruption and bribery	105–107
G1-4	Incidents of corruption or bribery	107
G1-5	Political influence and lobbying activities	105–107
G1-6	Payment practices	Not material
Innovation Entity-specific topic		
MDR-P	Novonesis Sustainability Policy	65, 108
MDR-A	Actions and resources in relation to material sustainability matters	66
MDR-M	Metrics in relation to material sustainability matters	66
MDR-T	Tracking effectiveness of policies and actions through targets	65



Datapoints that derive from other EU legislation

The table below includes all of the datapoints that derive from other EU legislation as listed in ESRS 2 appendix B, indicating where the datapoints can be found.

Datapoints that derive from other EU legislation

ESRS 2 General disclosures		Page number
21 (d)	Board's gender diversity	37
21 (e)	Percentage of independent Board members	37
30	Statement on due diligence	57
40 (d) i	Involvement in activities related to fossil fuel activities	Not material
40 (d) ii	Involvement in activities related to chemical production	Not material
40 (d) iii	Involvement in activities related to controversial weapons	Not material
40 (d) iv	Involvement in activities related to cultivation and production of tobacco	Not material
E1 Climate change		
14	Transition plan to reach climate neutrality by 2050	68–71
16 (g)	Exclusion from EU Paris-aligned Benchmarks	Not relevant
34	GHG emission reduction targets	18, 68–71
38	Energy consumption from fossil sources disaggregated by sources	74
37	Energy consumption and mix	74
40–43	Energy intensity associated with activities in high climate impact sectors	74
44	Gross scope 1, 2, and 3 and total GHG emissions	75
53–55	Gross GHG emissions intensity	75
56	GHG removals and carbon credits	Not material
66	Exposure of the benchmark portfolio to climate-related physical risks	Phased-in

Datapoints that derive from other EU legislation

66 (a),(c)	Disaggregation of monetary amounts by acute and chronic physical risk; Location of significant assets at material physical risk	Phased-in
67 (c)	Breakdown of the carrying value of undertaking's real estate assets by energy-efficiency classes	Phased-in
69	Degree of exposure of the portfolio to climate-related opportunities	Phased-in

E2 Pollution

28	Amount of each pollutant listed in Annex II of the E-PRTR Regulation emitted to air, water and soil	79
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E3 Water

9	Water and marine resources	81, 108
13	Dedicated policy	Not relevant
14	Sustainable oceans and seas	Not material
28 (c)	Total water recycled and reused	82
29	Total water consumption in m³ per net revenue on own operations	82



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Datapoints that derive from other EU legislation		Page number
E4	Biodiversity	
16 (a) i	Activities negatively affecting biodiversity-sensitive areas	84–85
16 (b)	Impacts related to land degradation, desertification or soil sealing	84–85
16 (c)	Operations affecting threatened species	84–85
24 (b)	Sustainable land/agriculture practices or policies	85, 108
24 (c)	Sustainable oceans/seas practices or policies	Not material
24 (d)	Policies to address deforestation	85, 108
E5	Resource use and circular economy	
37 (d)	Non-recycled waste	87–88
39	Hazardous waste and radioactive waste*	88
S1	Own workforce	
14 (f)	Risk of incidents of forced labor	Not material
14 (g)	Risk of incidents of child labor	Not material
20	Human rights policy commitments	92, 108
21	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8	57, 91–92
22	Processes and measures for preventing trafficking in human beings	Not material
23	Workplace accident prevention policy or management system	97–99, 108
32 (c)	Grievance/complaints handling mechanisms	91–92, 107
88 (b), (c)	Number of fatalities, and number and rate of work-related accidents	99
88 (e)	Number of days lost to injuries, accidents, fatalities or illness	99
97 (a)	Unadjusted gender pay gap	95
97 (b)	Excessive CEO pay ratio	95
103 (a)	Incidents of discrimination	94
104 (a)	Non-respect of UNGPs on Business and Human Rights and OECD guidelines	Not relevant

Datapoints that derive from other EU legislation		Page number
S2	Workers in the value chain	
11 (b)	Significant risk of child labor or forced labor in the value chain	100
17	Human rights policy commitments	100, 108
18	Policies related to value chain workers	100, 108
19	Non-respect of UNGPs on Business and Human Rights and OECD guidelines	100–101
19	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8	100, 108
36	Human rights issues and incidents connected to its upstream and downstream value chain	100–101
S3	Affected communities	
16	Human rights policy commitments	Not material
17	Non-respect of UNGPs on Business and Human Rights, ILO principles or OECD guidelines	Not material
36	Human rights issues and incidents	Not material
S4	Consumers and end users	
16	Policies related to consumers and end users	Not material
17	Non-respect of UNGPs on Business and Human Rights and OECD guidelines	Not material
35	Human rights issues and incidents	Not material
G1	Business conduct	
10 (b)	United Nations Convention against Corruption	Not relevant
10 (d)	Protection of whistleblowers	Not relevant
24 (a)	Fines for violation of anti-corruption and anti-bribery laws	107
24 (b)	Anti-corruption and anti-bribery standards	107

* Radioactive waste is not material.



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Financial statements for Novozymes A/S

Income statement

EUR million	Note	2025	2024
Net sales	2.1, 2.2	4,157.6	3,833.5
Cost of goods sold	2.3, 3.1, 3.2, 3.4	(1,916.1)	(2,024.0)
Gross profit	2.1	2,241.5	1,809.5
Sales and distribution expenses	2.3, 3.1, 3.2	(688.6)	(550.9)
Research and development expenses	2.3, 3.1, 3.2	(463.8)	(413.2)
Administrative expenses	2.3, 3.1, 3.2	(223.2)	(214.6)
Other operating income		16.7	28.2
Operating profit (EBIT) before special items		882.6	659.0
Special items	2.4	(65.9)	(158.0)
Operating profit (EBIT)		816.7	501.0
Share of result in associates		(6.5)	(3.5)
Financial income	4.2	35.4	26.9
Financial expenses	4.2	(102.2)	(107.3)
Profit before tax		743.4	417.1
Tax	2.5	(159.8)	(111.3)
Net profit		583.6	305.8
Attributable to			
Shareholders of Novozymes A/S		583.6	305.8
Non-controlling interests		-	-
		583.6	305.8
Proposed dividend per share, DKK		4.25	4.20
Proposed dividend per share, EUR		0.57	0.56
Earnings per share, EUR	2.6	1.25	0.67
Earnings per share, diluted, EUR	2.6	1.25	0.67

Statement of comprehensive income

EUR million	Note	2025	2024
Net profit		583.6	305.8
Items that may subsequently be reclassified to the income statement:			
Currency translation adjustments		(488.9)	89.2
Tax on currency translation adjustments		(0.1)	(0.7)
Cash flow hedges:			
Fair value adjustments		51.8	(50.0)
Tax on fair value adjustments		(11.4)	10.8
Cash flow hedges reclassified to cost of goods sold		-	4.6
Cash flow hedges reclassified to (financial income)/financial expenses		(14.4)	7.5
Tax on reclassified cash flow hedges		3.2	(2.7)
Other comprehensive income		(459.8)	58.7
Comprehensive income		123.8	364.5
Attributable to			
Shareholders of Novozymes A/S		123.8	364.4
Non-controlling interests		-	0.1
		123.8	364.5



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EUR million	Note	2025	2024
Net profit		583.6	305.8
Reversal of non-cash items	5.6	813.2	794.2
Income tax paid		(185.4)	(300.2)
Interest received		20.5	25.1
Interest paid		(66.4)	(76.0)
Change in working capital	5.6	56.0	271.0
Cash flow from operating activities		1,221.5	1,019.9
Investments			
Purchase of intangible assets	5.6	(61.0)	(21.5)
Purchase of property, plant and equipment	5.6	(409.8)	(338.3)
Sale of property, plant and equipment		19.7	0.8
Business acquisitions, etc.	3.6, 5.6	(1,519.8)	14.8
Divestments	3.7, 5.6	-	144.5
Cash flow from investing activities		(1,970.9)	(199.7)
Free cash flow		(749.4)	820.2

EUR million	Note	2025	2024
Financing			
Borrowings	4.3	1,716.5	134.5
Repayment of borrowings	4.3	(504.6)	(539.8)
Shareholders:			
Purchase of treasury shares		(99.9)	-
Sale of treasury shares		44.0	37.8
Dividend paid		(402.7)	(249.8)
Purchase of non-controlling interests	5.6	-	(85.9)
Cash flow from financing activities		753.3	(703.2)
Net cash flow		3.9	117.0
Unrealized gain/(loss) on currencies and financial assets included in cash and cash equivalents		(8.6)	13.3
Net change in cash and cash equivalents		(4.7)	130.3
Cash and cash equivalents at January 1		280.0	149.7
Cash and cash equivalents at December 31		275.3	280.0



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Assets

EUR million	Note	Dec. 31, 2025	Dec. 31, 2024
Goodwill	3.1	6,192.9	5,605.0
Other intangible assets	3.1	4,895.5	4,419.2
Property, plant and equipment	3.2, 3.3	2,998.3	2,968.3
Deferred tax assets	2.5	242.2	275.0
Other financial assets		13.6	18.7
Investments in associates		17.5	24.0
Other receivables		5.9	6.0
Non-current assets		14,365.9	13,316.2
Inventories	3.4	772.2	720.6
Trade receivables	3.5	716.5	665.6
Contract assets		35.9	23.6
Tax receivables		46.0	58.6
Other receivables		117.0	115.4
Other financial assets		20.3	4.0
Cash and cash equivalents		275.3	280.0
		1,983.2	1,867.8
Assets held for sale	5.4	-	11.6
Current assets		1,983.2	1,879.4
Assets		16,349.1	15,195.6

Liabilities and equity

EUR million	Note	Dec. 31, 2025	Dec. 31, 2024
Common shares	4.5	125.5	125.6
Reserves and retained earnings		10,729.7	11,050.4
Total equity		10,855.2	11,176.0
Deferred tax liabilities	2.5	1,316.1	1,255.9
Provisions		23.5	39.7
Contract liabilities	2.2	79.9	105.3
Borrowings	4.3	1,303.9	1,530.4
Other liabilities		29.2	-
Non-current liabilities		2,752.6	2,931.3
Borrowings	4.3	1,701.5	266.4
Trade payables		420.8	423.1
Contract liabilities	2.2	26.0	22.8
Tax payables		116.7	60.9
Other liabilities		476.3	315.1
Current liabilities		2,741.3	1,088.3
Liabilities		5,493.9	4,019.6
Liabilities and equity		16,349.1	15,195.6



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EUR million	Note	Attributable to shareholders of Novozymes A/S					Non- controlling interests	Total equity
		Common shares	Currency translation adjustments	Cash flow hedges	Retained earnings	Total		
Equity at January 1, 2025		125.6	39.0	(21.0)	11,032.4	11,176.0	-	11,176.0
Net profit for the year					583.6	583.6	-	583.6
Other comprehensive income for the year		(0.1)	(476.0)	29.2	(12.9)	(459.8)	-	(459.8)
Total comprehensive income for the year		(0.1)	(476.0)	29.2	570.7	123.8	-	123.8
Purchase of treasury shares	4.5				(99.9)	(99.9)		(99.9)
Sale of treasury shares	4.5				44.0	44.0		44.0
Dividends paid during the year					(402.7)	(402.7)		(402.7)
Share-based payment	5.2				20.3	20.3		20.3
Tax related to equity items					(6.3)	(6.3)		(6.3)
Changes in equity		(0.1)	(476.0)	29.2	126.1	(320.8)	-	(320.8)
Equity at December 31, 2025		125.5	(437.0)	8.2	11,158.5	10,855.2	-	10,855.2
Equity at January 1, 2024		75.4	(54.2)	8.8	1,845.6	1,875.6	50.0	1,925.6
Net profit for the year					305.8	305.8	-	305.8
Other comprehensive income for the year		(0.1)	93.2	(29.8)	(4.7)	58.6	0.1	58.7
Total comprehensive income for the year		(0.1)	93.2	(29.8)	301.1	364.4	0.1	364.5
Capital increase	4.5	50.3			9,026.5	9,076.8		9,076.8
Expenses related to capital increase					(5.0)	(5.0)		(5.0)
Sale of treasury shares	4.5				37.8	37.8		37.8
Dividends paid during the year					(249.7)	(249.7)	(0.1)	(249.8)
Share-based payment	5.2				28.4	28.4		28.4
Transactions with non-controlling interests					47.1	47.1	(50.0)	(2.9)
Share purchase liability					(4.7)	(4.7)		(4.7)
Tax related to equity items					5.3	5.3		5.3
Changes in equity		50.2	93.2	(29.8)	9,186.8	9,300.4	(50.0)	9,250.4
Equity at December 31, 2024		125.6	39.0	(21.0)	11,032.4	11,176.0	-	11,176.0

The proposed dividends totaling approximately EUR 266.4 million are included in Retained earnings for the 2025 financial year.



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1 Basis of reporting

This section provides an overview of Novonosis' principal accounting policies, the critical accounting estimates and judgments applied, and the impact of new or amended IFRS standards and interpretations.

The accounting policies described below apply to the consolidated financial statements as a whole. Accounting policies and critical accounting estimates and judgments are described in the notes to which they relate, in order to enhance understanding. The descriptions of accounting policies in the notes form part of the overall description of accounting policies.

Basis of reporting

The consolidated financial statements of the Group have been prepared in accordance with IFRS Accounting Standards, as adopted by the EU, and additional requirements of the Danish Financial Statements Act (reporting class D). The financial year for the Group is January 1 – December 31.

The consolidated financial statements have been prepared on a going concern basis and under the historical cost convention, with the

exception of derivatives, securities and contingent consideration, which are measured at fair value.

The presentation currency for the consolidated financial statements is Euro (EUR).

The accounting policies are unchanged from last year.

ACCOUNTING POLICIES

Consolidation

The consolidated financial statements comprise the financial statements of Novozymes A/S (the parent company) and subsidiaries controlled by Novozymes A/S, prepared in accordance with Group accounting policies. The Group is referred to as Novonosis.

The statutory merger between Novozymes A/S and Chr. Hansen Holding A/S in 2024 was accounted for as a business combination using the acquisition method under IFRS 3, where Novozymes A/S was identified as the acquirer and Chr. Hansen Holding A/S was identified as the acquiree. The Chr. Hansen results were included in the consolidated

financial statements as of the merger date January 29, 2024

The consolidated financial statements are prepared by combining items of a uniform nature and subsequently eliminating intercompany transactions, internal shareholdings and balances, and unrealized intercompany profits and losses.

Translation of foreign currencies

The functional currency of the parent company is Danish Kroner (DKK).

Exchange rate differences arising between the transaction date and the reporting date are recognized as Financial income or Financial expenses.

Foreign currency transactions are translated into the functional currency defined for each company using the exchange rates prevailing at the transaction date.

Monetary items denominated in foreign currencies are translated into the functional currency at the exchange rates prevailing at the reporting date.

Financial statements of foreign subsidiaries are translated at the exchange rates prevailing at the reporting date for assets and liabilities, and at average exchange rates for income statement items.

The following exchange rate differences, arising from translation using the exchange rate prevailing at the reporting date, are recognized in Other comprehensive income:

- Translation of foreign subsidiaries' net assets at the beginning of the year
- Translation of foreign subsidiaries' income statements from average exchange rates

iXBRL reporting

Novozymes A/S is required to file its annual report in the European Single Electronic Format (ESEF), and the Annual Report is therefore prepared in the XHTML format, which can be displayed in a standard browser.

The primary statements, the notes in the consolidated financial statements, and the sustainability statements are tagged using inline eXtensible Business Reporting Language (iXBRL).



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The iXBRL tags comply with the ESEF taxonomy, which is included in the ESEF Regulation and developed based on the IFRS taxonomy published by the IFRS Foundation. Where a financial statement line item is not defined in the ESEF taxonomy, an extension to the taxonomy has been created. Extensions are anchored to elements in the ESEF taxonomy, except for extensions that are subtotals.

The Annual Report submitted to the Danish Financial Supervisory Authority consists of the XHTML document together with certain technical files, all included in a file named Novonesis-2025-12-31-en.zip.

Critical accounting estimates and judgments

The preparation of the consolidated financial statements requires Management to make estimates and assumptions that can have a significant effect on the application of policies and the reported amounts of assets, liabilities, income, expenses and related disclosures.

The table shows critical accounting estimates and judgments, and their level of potential impact on the consolidated financial statements. The level of impact is rated from low to high, based on an assessment of materiality, complexity, subjectivity and estimation uncertainty. The nature of the accounting

impact of critical accounting estimates and judgments is described in the notes to which they relate.

The application of the Group's accounting policies may require Management to make judgments that can have a significant effect on the amounts recognized in the consolidated financial statements.

Management judgment is required in particular when assessing the substance of transactions that have a complicated structure or legal form.

These critical accounting estimates and judgments could potentially have a significant impact on the consolidated financial statements.

The estimates and underlying assumptions are reviewed on an ongoing basis. Changes in estimates may be necessary if there are changes in the circumstances on which the estimate was based, or if more detailed information becomes available. Such changes are recognized in the period in which the estimate in question is revised.

Sustainability-related risks

Novonesis continuously monitors sustainability-related risks – including climate-related

risks – and evaluates whether these risks could materially affect the amounts reported in the consolidated financial statements, most significantly considered in the forecast applied as basis for impairment testing of goodwill (note 3.1) and the assessment of the useful lives of property, plant and equipment (note 3.2).

In 2025, we conducted a Double Materiality Assessment (DMA) in accordance with the requirements of the Corporate Sustainability Reporting Directive (CSRD). As part of the DMA, we assessed the potential financial effects of significant sustainability-related risks and opportunities. The assessment did not identify any significant impacts on the Group's financial position, including the carrying amounts of assets and liabilities.

For further details on the process, please refer to the Double Materiality Assessment section in the Sustainability statement.

Other significant risks

The potential impact of significant risks identified as part of our risk management framework (Global political and economic uncertainty, see page 46), is also considered when preparing the consolidated financial statements, most significantly considered in the forecast applied as basis for impairment testing of goodwill (note 3.1). Our current assessment is that our business model, with a diversified business portfolio, flexible, global production, and regional co-creation capabilities, enables us to navigate macroeconomic volatility effectively, also in times of uncertainty.

Note	Critical accounting estimates and judgments	Estimate/Judgment	Potential impact from estimates and judgments
2.2 Net sales	Revenue recognition	Estimate	Low
2.4 Special items	Classification of special items	Judgment	Low
3.1 Goodwill and other intangible assets	Valuation of goodwill and intangible assets	Estimate	High
3.6 Business acquisitions	Fair value measurement	Estimate	Medium



1 Basis of reporting (continued)

Impact of new accounting standards

Novonesis has adopted the following new or amended standards and interpretations from January 1, 2025:

- Amendments to IAS 21 – The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability, which requires an entity to apply a consistent approach to assessing whether a currency is exchangeable into another currency and, when it is not, determining the exchange rate to use and the disclosures to provide.

The adoption of the new and amended standards and interpretations has not had a significant impact on recognition, measurement or disclosures in the consolidated financial statements for 2025, and is not anticipated to have a significant impact on future periods.

New standards and interpretations not yet adopted

The International Accounting Standards Board (IASB) has issued new or amended IFRS Accounting Standards and Interpretations that have not yet become effective and have consequently not been implemented in the consolidated financial statements for 2025.

Novonesis expects to adopt these accounting standards and interpretations as they become mandatory. Except for IFRS 18 – Presentation and Disclosure in Financial Statements, none of these are expected to have a significant impact on the consolidated financial statements.

IFRS 18 – Presentation and Disclosure in Financial Statements, with effective date on or after January 1, 2027, sets out requirements for presentation and disclosure of financial statements to give investors more transparent and comparable information about financial performance. Novonesis' initial assessment indicates that IFRS 18 will not impact recognition, measurement or net profit. The most significant change identified is that Novonesis' operating profit will be impacted, as certain items, such as some foreign exchange adjustments and hedging currently presented as financial items, will be presented in operating activities under IFRS 18. IFRS 18 impacts the cash flow statement by changing the starting point 'net profit' to 'operating profit', and by presenting interest income as investing activities, and interest expense as financing activities. Furthermore, new disclosures will be added in respect of management-defined performance measures.



2.1 Segments

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Operating segments

Novonesis operates in two segments: Food & Health Biosolutions and Planetary Health Biosolutions, representing the entirety of the Group's operations.

Segment profitability is measured on the basis of adjusted EBITDA. Management does not receive reporting on assets and liabilities by reporting segments.

The activities in the two segments include manufacturing, sales, distribution, and research and development. There are no internal sales between the two segments.

Food & Health Biosolutions

Food & Health Biosolutions consists of two sales areas: Food & Beverages and Human Health.

Food and Beverages biosolutions include sustainable enzymes and microbes for dairy, baking, beverages, meat, plant-based and functional foods, with the aim to improve the taste, texture, appearance and nutritional profile, while helping customers lower expenses and enhance quality.

Human Health biosolutions include probiotics, enzymes, HMOs and specialized proteins to support evolving health and nutritional needs, addressing areas like gut wellness, immune support, women's health, infant health, and mental wellness through clinically documented ingredients and solutions.

Planetary Health Biosolutions

Planetary Health Biosolutions consists of two sales areas: Household Care and Agriculture, Energy & Tech.

Household Care biosolutions utilizes sustainable enzymes in detergents and cleaning products to enhance efficacy, allowing for superior washing and cleaning results with fewer harsh chemicals and lower wash temperatures.

In Agriculture, Energy & Tech, sustainable biosolutions help improve resource efficiency in industrial processes and livestock production, driving higher yields from fewer resources. Biosolutions also allow farmers to boost crop yields and strengthen climate resilience.

EUR million	2025			2024		
	Food & Health Biosolutions	Planetary Health Biosolutions	Total	Food & Health Biosolutions	Planetary Health Biosolutions	Total
Net sales	1,867.3	2,290.3	4,157.6	1,668.1	2,165.4	3,833.5
Cost of goods sold	(878.4)	(1,037.7)	(1,916.1)	(1,008.9)	(1,015.1)	(2,024.0)
Gross profit	988.9	1,252.6	2,241.5	659.2	1,150.3	1,809.5
Gross margin %	53.0	54.7	53.9	39.5	53.1	47.2
Adjusted EBITDA	669.4	873.9	1,543.3	586.7	800.3	1,387.0
Adjusted EBITDA margin %	35.8	38.2	37.1	35.2	37.0	36.2
Depreciation, amortization and impairment losses			(596.9)			(597.4)
Special items, excluding impairment losses			(65.9)			(104.7)
PPA inventory adjustments			(63.8)			(183.9)
Operating profit (EBIT)			816.7			501.0
Share of result in associates			(6.5)			(3.5)
Financial items, net			(66.8)			(80.4)
Profit before tax			743.4			417.1



2.1 Segments (continued)

Worldwide operations

The Group operates in four geographical regions: Europe, Middle East & Africa (EMEA), North America, Asia Pacific and Latin America. From a net sales perspective, the U.S. is the largest single country, contributing ~29% of the Group's net sales (2024: ~30%).

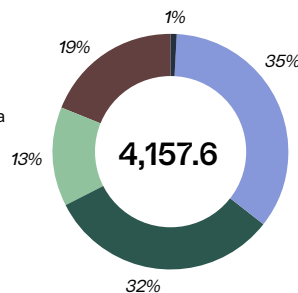
The geographical distribution of net sales is based on the country in which the goods are delivered. For a number of customers, central deliveries are made to specified locations, and the final destination is unknown. The stated geographical distribution of net sales may therefore vary from one year to the next if delivery destinations for these customers change.

The geographical distribution of intangible assets and property, plant and equipment is based on the country in which the individual entities are based, and to which assets are allocated.

Net sales 2025 (2024)

EUR million

● Denmark	44.6 (30.1)
● Rest of Europe, Middle East & Africa	1,440.2 (1,336.7)
● North America	1,328.8 (1,261.8)
● Latin America	564.5 (480.8)
● Asia Pacific	779.5 (724.1)
Total	4,157.6 (3,833.5)

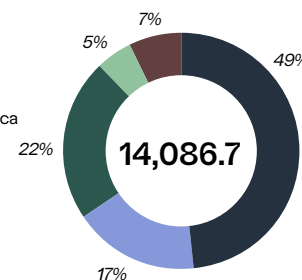


Most of the Group's intangible assets and property, plant and equipment are located in Denmark and the U.S.

Intangible assets and property, plant and equipment 2025 (2024)

EUR million

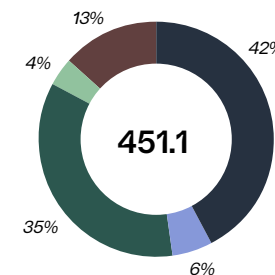
● Denmark	6,837.3 (6,435.0)
● Rest of Europe, Middle East & Africa	2,414.2 (2,104.2)
● North America	3,135.5 (3,296.5)
● Latin America	713.0 (332.3)
● Asia Pacific	986.7 (824.5)
Total	14,086.7 (12,992.5)



Net investments 2025 (2024)

EUR million

● Denmark	191.3 (163.5)
● Rest of Europe, Middle East & Africa	25.2 (25.6)
● North America	157.6 (125.8)
● Latin America	16.7 (6.2)
● Asia Pacific	60.3 (37.9)
Total	451.1 (359.0)



Intangible assets and property, plant and equipment, largest single countries:

	2025	2024
Denmark	49%	50%
U.S.	22%	25%

§ Accounting policies

The operating segments are consistent with the internal reporting to the Executive Management and the Board of Directors. The Executive Management is considered the chief operating decision-maker.

Segment income and segment expenses are those items that, in the internal management reporting, are directly attributable to individual segments or can be indirectly allocated to individual segments on a reliable basis.



2.2 Net sales

EUR million	2025	2024
Food & Health Biosolutions		
Food & Beverages	1,372.5	1,238.2
Human Health	494.8	429.9
	1,867.3	1,668.1
Planetary Health Biosolutions		
Household Care	801.2	767.7
Agriculture, Energy & Tech	1,489.1	1,397.7
	2,290.3	2,165.4
Net sales	4,157.6	3,833.5
Developed markets*	2,641.0	2,484.4
Emerging markets	1,516.6	1,349.1
Net sales	4,157.6	3,833.5
Net sales to the five largest customers as a percentage of net sales	14%	16%

* Developed markets comprises North America, Central Western Europe, Australia, New Zealand, Japan and South Korea.
The rest of the world is classified as emerging markets.

Almost all of Novonesis' net sales are derived from the sale of goods to customers, with net sales being recognized when control of the goods is transferred to the customer, typically when the goods are delivered.

At January 1, 2025, contract liabilities amounted to EUR 128.1 million (2024: EUR 29.1 million), of which EUR 22.1 million was recognized as net sales in 2025 (2024: EUR 8.9 million). Contract liabilities include a large prepayment from a customer made in 2024, and the remaining part of this prepayment will be recognized as sales in 2026-2033. Contract liabilities are EUR 105.9 million at December 31, 2025.



Critical accounting estimates

Novonesis has entered into various sales agreements, including agreements where Novonesis manufactures and sells products to a partner who undertakes the sales to end customers, and where the profit on products sold to end customers is shared between the partner and Novonesis, based on predetermined profit-sharing mechanisms.

Recognition of net sales requires estimates by Management in connection with determining the appropriate revenue recognition and the timing of recognition.



2.2 Net sales (continued)

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§ Accounting policies

Novonosis produces a wide range of industrial enzymes, functional proteins and microorganisms. Net sales include the sale of goods and related services and royalties, and these are recognized at an amount that reflects the consideration to which Novonosis expects to be entitled. Net sales from the straightforward sale of goods to customers are recognized when control of the goods is transferred to the customer, typically when goods are delivered. Variable considerations are included in net sales to the extent that they are not subject to significant uncertainty.

The performance obligations in the contracts are to deliver products to customers, and each batch delivered is considered a separate performance obligation, as each batch is distinct.

Rebates

Products are sometimes sold with a rebate. A rebate agreement can be set up in various ways, but common to all agreements is that net sales are recognized based on the price

specified in the contract, net of the estimated rebate. Rebates are estimated based on experience, as well as information related to expected orders 3–12 months in advance. The estimated rebates are reassessed at the end of each reporting period.

Returns

A right of return is granted in a few of Novonosis' markets. No net sales are recognized for the goods expected to be returned, as a refund liability is recognized. Estimates of the expected level of returns are based on analysis of historical returns and knowledge of the relevant markets/products. These estimates are updated at the end of each reporting period. As the goods returned are usually scrapped, no inventory asset is recognized.

Profit split

Novonosis has entered into partnerships where Novonosis manufactures and sells products to a partner who undertakes the sale to end customers. The profit on products sold to end customers is shared between the partner and Novonosis, based on predetermined profit-sharing mechanisms.

Net sales from these arrangements consist of the sale of products to the partner and the shared profit, and are recognized in full when the goods are delivered to the partner. This is done by calculating the expected profit based on insights, experience and other input factors. The calculated profit is recognized as a contract asset or contract liability until an invoice is issued. The profit realized is settled periodically.

Sales via agents

Novonosis has entered into commission agreements where agents undertake sales to third parties in return for a commission on realized sales. Net sales from such agreements are recognized when the goods are delivered to the end customer, as the nature of the performance obligation is to provide the specified goods.

Other

Net sales collected on behalf of third parties are not recognized as net sales.

Novonosis' obligation to provide a refund for products that are not of the agreed quality or according to agreed specifications under the standard warranty terms is recognized as contract liabilities.

A trade receivable is recognized when the customer obtains control of the goods and an invoice is issued, as this is the point in time when the consideration becomes unconditional and only the passage of time is required before payment is due. Typical payment terms are around 60 days.

Contract liabilities consist of advance payments, deferred sales, and liabilities for refund goods. Contract liabilities are recognized as net sales, as the performance obligations under the contracts are fulfilled.

Almost all performance obligations in Novonosis have an expected term of one year or less, hence, the Group applies the practical expedient not to disclose unsatisfied performance obligations.



2.3 Employee expenses

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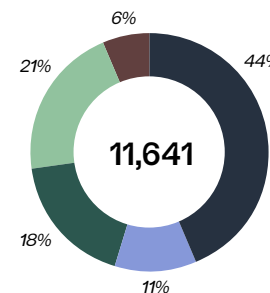
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EUR million	2025	2024
Wages and salaries	914.2	851.1
Pensions	84.0	74.0
Other social security costs	62.9	58.2
Other employee expenses	48.5	41.8
Share-based payment	20.4	28.8
Employee expenses	1,130.0	1,053.9
Recognized in the income statement under the following items:		
Cost of goods sold	415.6	408.3
Sales and distribution expenses	309.4	264.1
Research and development expenses	244.5	221.6
Administrative expenses	133.3	130.3
Special items	9.9	35.1
	1,112.7	1,059.4
Change in employee expenses recognized in Inventories	17.3	(5.5)
Employee expenses	1,130.0	1,053.9
Average number of employees in the Group	11,196	10,208
Average number of employees working with research and development	1,805	1,689

Number of employees at year-end 2025 (2024)

No. of employees

● Denmark	5,104 (4,645)
● Rest of Europe, Middle East & Africa	1,296 (1,236)
● North America	2,100 (1,991)
● Asia Pacific	2,411 (2,141)
● Latin America	730 (569)
Total	11,641 (10,582)

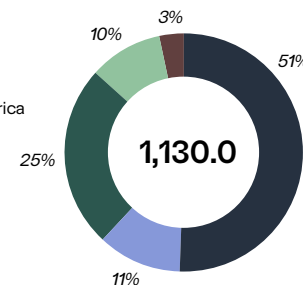


Employee expenses included severance pay, retention bonuses and other employee expenses of EUR 9.9 million (2024: EUR 35.1 million) related to the combination between Novozymes and Chr. Hansen, recognized in Special items. Reference is made to Note 2.4 for further details.

Employee expenses 2025 (2024)

EUR million

● Denmark	572.4 (546.3)
● Rest of Europe, Middle East & Africa	128.5 (113.3)
● North America	281.5 (263.3)
● Asia Pacific	111.6 (100.7)
● Latin America	36.0 (30.3)
Total	1,130.0 (1,053.9)





2.4 Special items

EUR million	Note	2025	2024
Transaction costs related to the combination with Chr. Hansen		-	(36.0)
Integration costs related to the combination with Chr. Hansen, net		(33.2)	(77.9)
Transaction and integration costs related to the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance		(28.3)	-
Implementation of a new global ERP system for the combined business		(3.3)	-
Impairment of intangible assets and other expenses due to discontinuation of the activities in Russia		(1.1)	(34.5)
Impairment of discontinued research and development projects		-	(22.3)
Gain on divestment of the lactase enzyme business, net	3.7	-	12.7
Special items		(65.9)	(158.0)

In 2025, integration costs related to the combination with Chr. Hansen, net, include a gain on the sale of the headquarters in Bagsvaerd of EUR 5.2 million.

Special items reconciliation by function in the income statement:	2025			2024		
	Reported income statement	Special items	Adjusted income statement	Reported income statement	Special items	Adjusted income statement
EUR million						
Net sales	4,157.6	-	4,157.6	3,833.5	-	3,833.5
Cost of goods sold	(1,916.1)	(3.4)	(1,919.5)	(2,024.0)	(9.5)	(2,033.5)
Gross profit	2,241.5	(3.4)	2,238.1	1,809.5	(9.5)	1,800.0
Sales and distribution expenses	(688.6)	(37.8)	(726.4)	(550.9)	(83.0)	(633.9)
Research and development expenses	(463.8)	(1.0)	(464.8)	(413.2)	(55.6)	(468.8)
Administrative expenses	(223.2)	(28.9)	(252.1)	(214.6)	(22.6)	(237.2)
Other operating income	16.7	5.2	21.9	28.2	12.7	40.9
Operating profit (EBIT) before special items	882.6	(65.9)	816.7	659.0	(158.0)	501.0
Special items	(65.9)	65.9	-	(158.0)	158.0	-
Operating profit (EBIT)	816.7	-	816.7	501.0	-	501.0



2.4 Special items (continued)



Critical accounting estimates

The use of special items entails Management judgment in the separation from other items in the income statement.

Management considers individual items in order to ensure that special items include significant non-recurring income or expenses not related to Novonesis' recurring operating profit.



Accounting policies

Special items are used in the presentation of the income statement and include significant non-recurring individual income and expenses. These items are classified separately in the income statement to provide transparency regarding the operating performance of Novonesis.

Special items include significant transaction and integration costs related to business acquisitions; restructuring expenses and related impairment losses; and expenses related to the implementation of a new global ERP system for the combined business, which are all considered significant non-recurring income or expenses not related to Novonesis' recurring operating profit.

2.5 Tax

Tax risks

In many markets, Novonesis operates through sales companies and distributors, whereas production is located in fewer countries. This leads to transactions between group companies. Novonesis follows the OECD principles in setting internal transfer prices for these transactions. This entails a tax risk, because the transactions are subject to judgment in each country. The tax controversy risk for Novonesis is significantly reduced through the use of bilateral advance pricing agreements (APAs).

Bilateral APAs

As stated in our tax policy, Novonesis proactively engages in bilateral APAs negotiated at competent authority level to increase predictability and to mitigate transfer pricing risks. Most of the intercompany transaction value within the Novonesis Group is covered by bilateral APAs.

An APA is an agreement between a taxpayer and the tax authorities determining the transfer pricing methodology for pricing the taxpayer's internal transactions for future years.

The methodology is applied for a certain period based on the fulfilment of certain terms and conditions (called critical assumptions). An APA can be unilateral or bilateral. Novonesis

only enters into bilateral APAs, meaning that they are negotiated between the competent tax authorities of the two countries involved in the transaction. An APA provides assurance with respect to the tax outcome of our internal transactions by determining arm's length pricing and the pricing methodology to be applied to the internal transactions in advance.

Novonesis has entered into bilateral APAs with the tax authorities in the countries where internal transactions are most significant. Included in APA-covered transactions are group internal transactions between Denmark and the U.S., China and India.

Joint taxation

Novozymes A/S and its Danish subsidiaries are jointly taxed with the Danish companies of the Novo Holdings A/S Group. Joint taxation also covers withholding taxes in the form of dividend tax, royalty tax and interest tax. The Danish companies are jointly and individually liable for the joint taxation liability. Any subsequent adjustments to income taxes and withholding taxes may increase the liability. Tax for the individual companies is allocated in full on the basis of the expected taxable income.



2.5 Tax (continued)

Tax in the income statement

In 2025, the effective tax rate was 21.5%, which was positively impacted by prior-year one-off adjustments. This compares with an effective tax rate of 26.7% in 2024, which was adversely impacted by significant non-deductible transaction and integration costs related to the combination with Chr. Hansen.

Global minimum tax

Novonesis is subject to the OECD Pillar Two legislation (global minimum tax), effective from January 1, 2024. There was no material impact from Pillar Two taxes in 2025 and 2024.

Other matters

As the Group operates across many different countries, the calculation of the Group's tax expense in the income statement inherently involves estimation.

Tax and transfer-pricing disputes with authorities in various countries may occur, and Management's assessment is applied to assess the possible outcome of such disputes.

The Group recognizes deferred tax assets, including the expected tax value of tax loss carryforwards, if Management assesses they can be offset against positive taxable income in the foreseeable future. This is based on budgets and business plans for the coming years, including planned commercial initiatives.

Payments in respect of tax liabilities for an accounting period result from payments on account and on the final resolution of open items. As a result, there may be substantial differences between the tax expense recognized in the consolidated income statement and the actual tax payments.

Tax in the income statement

EUR million	2025	2024
Tax payable on net profit	(263.1)	(252.8)
Change in deferred tax	87.3	137.9
Prior-year adjustments – current tax	11.1	3.6
Prior-year adjustments – deferred tax	4.9	-
Tax in the income statement	(159.8)	(111.3)
Calculation of effective tax rate:		
Corporate tax rate in Denmark	% (22.0)	(22.0)
Non-taxable income less non-deductible expenses	% (0.7)	(4.8)
Difference in foreign tax rates	% (0.2)	0.6
Other adjustments	% 1.4	(0.5)
Effective tax rate	% (21.5)	(26.7)



2.5 Tax (continued)

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Deferred tax EUR million	Deferred tax assets		Deferred tax liabilities	
	2025	2024	2025	2024
Intangible assets	51.7	82.5	(1,086.4)	(1,003.5)
Property, plant and equipment	3.3	11.7	(171.8)	(185.3)
Inventories	70.3	54.1	(20.8)	(17.6)
Tax loss carryforwards	0.6	1.6	-	-
Share-based payment	11.2	21.0	-	-
Accruals	63.6	68.1	(0.4)	(14.2)
Other	11.3	7.4	(6.5)	(6.7)
	212.0	246.4	(1,285.9)	(1,227.3)
Offsetting items	30.2	28.6	(30.2)	(28.6)
Deferred tax at December 31	242.2	275.0	(1,316.1)	(1,255.9)

EUR million	2025	2024
Deferred tax at January 1	(980.9)	(27.2)
Currency translation adjustments	7.5	(4.0)
Effect of business acquisitions	(179.5)	(1,088.3)
Tax related to the income statement	92.2	137.9
Tax on equity items	(13.2)	0.7
Deferred tax at December 31	(1,073.9)	(980.9)
Deferred tax assets	242.2	275.0
Deferred tax liabilities	(1,316.1)	(1,255.9)
Deferred tax at December 31	(1,073.9)	(980.9)

The increase in deferred tax liabilities relating to intangible assets primarily reflects the impact of business acquisitions. Reference is made to Note 3.6 for further details.

The tax value of the unrecognized share of tax loss carryforwards, tax credits, etc. that do not expire amounted to EUR 4.7 million (2024: EUR 4.9 million).

§ Accounting policies

Corporation tax, comprising the current tax liability, the change in deferred tax for the year, and possible adjustments relating to prior years, is recognized in the income statement, unless it relates to items recognized either in Other comprehensive income or directly in equity. Uncertain tax positions are assessed individually and recognized if it is probable that an amount will be paid or received. Deferred tax is measured using the balance sheet liability method, and comprises all temporary differences between the carrying amount and the tax base of assets and liabilities. No deferred tax is recognized for goodwill, unless amortization of goodwill for tax purposes is allowed. The tax value of tax loss

carryforwards is included in the calculation of deferred tax, to the extent that the tax losses are expected to be utilized in the future.

Deferred tax is measured according to current tax rules and at the tax rate expected to be in force on reversal of temporary differences. Changes in deferred tax due to tax rate changes are recognized in the income statement, unless they relate to items recognized either in Other comprehensive income or directly in equity.

Novonosis is applying the temporary relief from accounting for deferred taxes, arising from the implementation of the Pillar Two rules issued by the OECD.



2.6 Earnings per share

EUR million	2025	2024
Net profit for the year	583.6	305.8
Net profit attributable to the shareholders of Novozymes A/S	583.6	305.8
Average number of shares		
Weighted average number of shares in circulation	465,929,503	457,624,227
Average dilutive effect of outstanding share options and share awards	1,626,730	1,980,726
Average number of diluted shares	467,556,233	459,604,953
Earnings per share, EUR	1.25	0.67
Earnings per share, diluted, EUR	1.25	0.67

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3.1 Goodwill and other intangible assets

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EUR million	Goodwill	Technology and strain library	Customer relationship	Software and other intangibles	Total
Cost at January 1, 2025	5,605.0	3,611.4	1,085.0	556.1	10,857.5
Currency translation adjustments	(263.3)	(22.2)	(38.3)	(3.6)	(327.4)
Additions from business acquisitions	851.2	62.6	352.5	393.7	1,660.0
Additions during the year	-	-	-	61.0	61.0
Disposals during the year	-	-	-	(1.3)	(1.3)
Cost at December 31, 2025	6,192.9	3,651.8	1,399.2	1,005.9	12,249.8
Amortization and impairment losses at January 1, 2025		(566.1)	(114.4)	(152.8)	(833.3)
Currency translation adjustments		7.5	3.0	1.0	11.5
Amortization during the year		(196.5)	(63.0)	(58.7)	(318.2)
Impairment losses		(17.8)	(4.3)	-	(22.1)
Disposals during the year		-	-	0.7	0.7
Depreciation and impairment losses at December 31, 2025		(772.9)	(178.7)	(209.8)	(1,161.4)
Carrying amount at December 31, 2025	6,192.9	2,878.9	1,220.5	796.1	11,088.4

Additions from business acquisitions in 2025

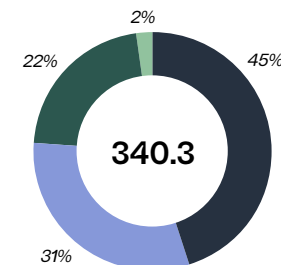
On June 2, 2025, Novonesis completed the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance. Additions from business acquisitions include goodwill of EUR

851.2 million and other intangible assets of EUR 808.8 million identified in connection with the purchase price allocation. Reference is made to Note 3.6 for further details.

Recognition of amortization and impairment losses by function 2025 (2024)

EUR million

- Cost of goods sold
153.4 (181.7)
- Sales and distribution
106.0 (68.4)
- Research and development
73.6 (49.5)
- Administration
7.3 (5.2)
- Special items
0.0 (53.3)
- Total
340.3 (358.1)





3.1 Goodwill and other intangible assets (continued)

EUR million	Goodwill	Technology and strain library	Customer relationships	Software and other intangibles	Total
Notes					
Cost at January 1, 2024	265.0	548.3	92.2	175.4	1,080.9
Currency translation adjustments	30.8	1.9	8.0	1.1	41.8
Additions from business acquisitions	5,309.2	3,061.0	984.8	358.3	9,713.3
Additions during the year	-	0.2	-	21.3	21.5
Cost at December 31, 2024	5,605.0	3,611.4	1,085.0	556.1	10,857.5
Invested capital					
Amortization and impairment losses at January 1, 2024		(342.3)	(19.1)	(111.5)	(472.9)
Currency translation adjustments		(1.7)	(0.4)	(0.2)	(2.3)
Amortization during the year		(199.8)	(63.9)	(41.1)	(304.8)
Impairment losses		(22.3)	(31.0)	-	(53.3)
Amortization and impairment losses at December 31, 2024		(566.1)	(114.4)	(152.8)	(833.3)
Carrying amount at December 31, 2024	5,605.0	3,045.3	970.6	403.3	10,024.2

Additions from business acquisitions in 2024

On January 29, 2024, the statutory merger between Novozymes A/S ('Novozymes') and Chr. Hansen Holding A/S ('Chr. Hansen') was successfully completed. Additions from

business acquisitions include goodwill of EUR 5,309.2 million and other intangible assets of EUR 4,404.1 million identified in connection with the Chr. Hansen purchase price allocation. Reference is made to Note 3.6 for further details.



3.1 Goodwill and other intangible assets (continued)

Research and development projects

Novonesis' research and development activities are related to the development of new products and to the ongoing optimization of production processes for existing products.

Due to the significant uncertainty associated with the development of new products, no significant research and development projects met the criteria for capitalization in 2025 or 2024.

On December 31, 2025, research and development projects with a carrying amount of EUR 179.3 million are not yet available for use (2024: EUR 210.1 million). The research and development projects were identified in connection with business acquisitions.

Other disclosures

Material assets were identified in connection with the purchase price allocation related to the acquisition of Chr. Hansen and the Feed Enzyme Alliance. The individually significant intangible assets are:

- Strain library, which comprises the acquired collection of around 50,000 microbial strains related to cultures and probiotics.
- Product technologies, which are technologies related to the specialized distinct

recipes and formulations for the large portfolio of commercialized cultures, enzymes and probiotics products.

- Process technologies, which comprise the microbial and fermentation technology related to the production of the portfolio of cultures, enzymes and probiotics.
- Customer relationships that are related to the strong and long-term partnerships with customers within the dairy industry globally.
- Customer relationships that are related to the strong and long-term partnerships with dsm-firmenich and other customers within the feed enzyme industry globally.
- Reacquired partnership agreement, which is the reacquired exclusivity right to sell and distribute certain Novonesis enzymes previously sold through the Feed Enzyme Alliance.

Additional intangible assets (customer relationships, research and development projects, product brands, etc.) were identified in connection with the purchase price allocations but are not individually considered material assets.

On December 31, 2025, Software and other intangible assets includes software and other IT projects of EUR 85.6 million not yet available for use (2024: EUR 44.3 million).

Individually significant intangible assets

EUR million	2025		2024	
	Carrying amount	Remaining useful life (years)	Carrying amount	Remaining useful life (years)
Technology and strain library				
Strain library	549.5	18	580.6	19
Product technology	1,432.5	13	1,567.1	14
Process technology	222.1	13	239.3	14
Customer relationships				
Customer relationships, dairy industry	586.0	23	627.1	24
Customer relationships, feed enzyme industry	337.0	19	-	-
Software and other intangible assets				
Reacquired partnership agreement	300.3	14	-	-

Impairment assessment

In 2025, an acquired research and development project within Planetary Health Biosolutions was discontinued and an impairment loss of EUR 15.3 million was recognized within Research and development expenses.

In 2025, Novonesis decided to discontinue a small production site in India and the related supply to Human Health customers in India. An impairment loss of EUR 6.8 million related to technology-related assets and customer

relationships was recognized, mainly within Sales and distribution expenses. The impairment loss was related to the Food & Health Biosolutions segment.

In 2024, impairment losses of EUR 53.3 million were recognized in Special items related to customer relationships in Russia, and research and development projects. Customer relationships in Russia were written down to zero, and an impairment loss of EUR 31.0 million was recognized in



3.1 Goodwill and other intangible assets (continued)

connection with the discontinuation of the acquired activities in Russia. The impairment loss was related to the Food & Health Biosolutions segment.

In 2024, a group of small, acquired research and development projects were discontinued and an impairment loss of EUR 22.3 million was recognized, of which EUR 12.6 million was related to the Food & Health Biosolutions segment and EUR 9.7 million to the Planetary Health Biosolutions segment.

Impairment test of goodwill

Goodwill is monitored for impairment at the operating segment level, which is the lowest level of cash-generating units (CGU) to which consolidated goodwill is allocated and monitored by Management. Novonesis' operating segments are Food & Health Biosolutions and Planetary Health Biosolutions.

On December 31, 2025, goodwill of EUR 3,949.7 million (2024: EUR 4,142.0 million) was allocated to Food & Health Biosolutions, and EUR 2,243.2 million (2024: EUR 1,463.0 million) was allocated to Planetary Health Biosolutions.

Goodwill related to the Feed Enzyme Alliance acquisition has been included within the Planetary Health Biosolutions segment.

In neither 2025 nor 2024 did the annual impairment test indicate any impairment need. Management believes that no reasonable changes in the key assumptions are likely to lead to an impairment in any of the cash-generating units.

Food & Health Biosolutions includes the largest share of goodwill and other intangible assets. This segment is more sensitive to changes in the key assumptions.

Key assumptions

The recoverable amount determined in the impairment test is based on a value-in-use calculation. To determine the value-in-use, Management is required to estimate the present value of future cash flows. Cash flow projections are based on budgets and long-term forecasts approved by Management. The forecast period is based on Management's budget for 2026 and four-year projections in line with the forecast period used by Management for the development of the long-term financial targets for 2030.

Significant parameters in the present value estimate are sales growth, adjusted EBITDA margin, discount rate, and growth expectations for the terminal period.

The applied post-tax discount rate for Food & Health Biosolutions and Planetary Health Biosolutions is 7.0% (2024: 7.2%), and the pre-tax discount rate is 8.7% (2024: 8.8%). The discount rate applied is the weighted average cost of capital (WACC) and reflects the latest market assumptions for the cost of equity and the cost of debt. The weighting of the cost of debt and the cost of equity is based on the capital structure for relevant peer groups.

The long-term growth rate for the terminal period is based on the expected growth in the world economy, and 2% (2024: 2%) is applied for both segments. The expected sales growth rate and the adjusted EBITDA margins in the forecast period are based on historical experience and Management's assumptions about expected market developments.

In making these assumptions, Management also considered the risk from macroeconomic uncertainties as described in note 1, including the potential effect on our key assumptions. Our strong global setup, including flexible regional production capabilities, creates a diversified and resilient business that supports us in navigating macroeconomic volatility.

The expected future cash flows are based on our climate strategy and our climate

commitments and ambitions. These assumptions and our climate strategy did not have a significant impact on the impairment test at December 31, 2025.

In August, our GROW strategy and the 2030 targets were announced. Novonesis aims to deliver 6–9% organic sales growth year-on-year, ~39% adjusted EBITDA margin, and ~16% adjusted ROIC (excluding goodwill) by the end of 2030.

Food & Health Biosolutions

Sales growth (CAGR) of high-single-digit percentage was assumed for the forecast period, which was supported by organic sales growth of 8% in 2025. Both Food & Beverages and Human Health are expected to contribute to sales growth from a continued focus on growing the core business in close collaboration with our customers, new product developments, and expansion into new markets.

Adjusted EBITDA margin is expected to improve gradually from 35.8% in 2025 towards the terminal period, from product optimization and economies of scale to strain optimization and anticipated improvements in commercial cost ratios.



3.1 Goodwill and other intangible assets (continued)

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Planetary Health Biosolutions

Sales growth (CAGR) of mid-to-high-single-digit percentage was assumed for the forecast period, which was supported by organic sales growth of 6% in 2025 in Planetary Health Biosolutions. Both Household Care and Agriculture, Energy & Tech are expected to contribute to sales growth, with a continued focus on growing the core business in close collaboration with our customers, new product developments, and expansion into new markets.

Adjusted EBITDA margin is expected to improve gradually from 38.2% in 2025 towards the terminal period, from production and strain optimizations, and through economies of scale.

Other assumptions include investments that reflect both maintenance and expectations for organic growth, as well as our climate commitments.

Sensitivity analysis

Sensitivity analysis covering key assumptions has been performed in connection with the impairment testing.

Food & Health Biosolutions includes the largest share of goodwill and other intangible assets. The segment is more sensitive to changes in the key assumptions. However, based on the sensitivity analysis of the key assumptions, there is no impairment, and the key assumptions are not sensitive to reasonable changes to an extent that will result in an impairment loss either individually or in combination.

For example, lowering of the terminal growth rate to around zero, or increasing the discount rate by one percentage point, will not lead to impairment. Similarly, a decrease in sales growth of four percentage points during the forecast period, or a decrease in the adjusted EBITDA margin of five percentage points, will not lead to impairment.

The discounted cash flow from the budget and forecast period for Planetary Health Biosolutions significantly exceeds the carrying amount of goodwill and other intangible assets.



Critical accounting estimates

Management assesses the risk of impairment of the Group's goodwill and intangible assets. This requires judgment in relation to the identification of impairment indicators and cash-generating units (CGUs), and the underlying assumptions applied in impairment testing.

Goodwill is allocated to our operating segments Food & Health Biosolutions and Planetary Health Biosolutions, based on the expected future cash flow from the assets acquired, as well as synergies identified.

Goodwill and intangibles not available for use are tested annually.

Impairment tests are based on Management's projections and the anticipated net present value of estimated future cash flows (value-in-use).

The calculation of value-in-use is based on the discounted cash flow method, using estimates of future cash flows from the continuing use. The key parameters used in determining value-in-use are sales growth, adjusted EBITDA margins, discount rate, and growth expectations for the terminal period.



3.1 Goodwill and other intangible assets (continued)

§ Accounting policies

Intangible assets are initially measured at cost and are subsequently measured at cost less accumulated amortization and impairment losses.

Intangible assets acquired in a business combination are recognized at fair value at the acquisition date. Goodwill is only arising from business combinations and is measured in the purchase price allocation.

Research expenses are recognized in the income statement in the period in which they are incurred. Development expenses are recognized in the income statement when incurred, unless the criteria for capitalization are met.

Costs associated with the development of substantial software projects are capitalized if the costs are related to the development of new and improved systems, and if the Group has control and meets the criteria for capitalization.

Amortization is based on the straight-line method over the estimated useful lives when the assets are available for use:

- Technology and strain library: 7–25 years. The useful lives of patents and trade-marks are normally identical to the patent period. Licenses are amortized over the contractual period
- Customer relationships: 7–25 years
- Software and IT projects: 3–10 years
- Product brands: 15–20 years
- Reacquired partnership agreement: 15 years
- Other intangible assets: 3–20 years

Estimated useful lives and amortization methods are reassessed annually.

Goodwill and intangible assets not available for use are not amortized but are subject to an annual impairment test, or when indicators of impairment are identified.

Goodwill is allocated to the cash-generating units as identified by Management, representing the smallest group of assets which together generate incoming cash flow from the continued use of the assets, and which are independent of cash flow from other assets or groups of assets.

The Group regularly reviews the carrying amounts of the intangible assets, subject to amortization, to determine whether there is an indication of impairment. An impairment loss is measured based on discounted projected cash flows and is recognized to the extent that the carrying amount of the assets exceeds its estimated recoverable amount. Impairments on intangible assets, other than goodwill, are reviewed at each reporting date for possible reversal.



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EUR million	Land and buildings	Plant and machinery	Other equipment	Assets under construction	Total
Cost at January 1, 2025	1,691.8	2,213.5	481.5	619.8	5,006.6
Currency translation adjustments	(85.9)	(124.2)	(21.7)	(21.6)	(253.4)
Additions during the year	45.3	64.5	36.1	293.3	439.2
Disposals during the year	(13.5)	(22.7)	(19.5)	-	(55.7)
Transfers to/(from) other items	39.8	102.0	25.7	(167.5)	-
Cost at December 31, 2025	1,677.5	2,233.1	502.1	724.0	5,136.7
Depreciation and impairment losses at January 1, 2025	(577.1)	(1,177.0)	(284.2)		(2,038.3)
Currency translation adjustments	31.6	64.0	14.7		110.3
Depreciation during the year	(76.7)	(132.1)	(47.8)		(256.6)
Disposals during the year	10.2	18.9	17.1		46.2
Transfer to/(from) other items	(0.6)	0.2	0.4		-
Depreciation and impairment losses at December 31, 2025	(612.6)	(1,226.0)	(299.8)		(2,138.4)
Carrying amount at December 31, 2025	1,064.9	1,007.1	202.3	724.0	2,998.3

Capitalized interest and pledges

Interest of EUR 5.6 million (2024: EUR 4.4 million) was capitalized under Additions during the year and recognized as Investing activities in the statement of cash flows.

Capitalization rate: 2.40% (2024: 1.85%).

Land and buildings with a carrying amount of EUR 233.8 million (2024: EUR 236.9 million) was pledged as security to credit institutions in respect of mortgage loans expiring in 2029 and 2039.

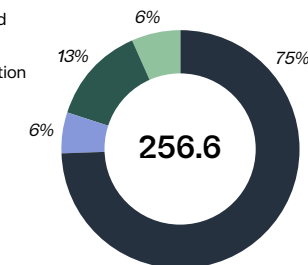
Impairment

No impairment loss was recognized in 2025 or 2024.

Recognition of depreciation by function 2025 (2024)

EUR million

- Cost of goods sold
191.3 (176.6)
- Sales and distribution
14.6 (11.5)
- Research and development
34.3 (30.3)
- Administration
16.4 (20.9)
- Total
256.6 (239.3)



Contractual obligations

Contractual obligations to third parties relating to investments in property, plant and equipment amounted to EUR 114.0 million (2024: EUR 133.3 million).



3.2 Property, plant and equipment (continued)

EUR million	Land and buildings	Plant and machinery	Other equipment	Assets under construction	Total
Cost at January 1, 2024	1,120.2	1,772.2	388.6	237.0	3,518.0
Currency translation adjustments	28.5	46.1	5.1	6.1	85.8
Additions from business acquisitions	476.5	344.3	64.2	277.7	1,162.7
Additions during the year	30.7	40.9	35.0	252.3	358.9
Disposals during the year	(9.3)	(81.7)	(27.8)	-	(118.8)
Transfers to/(from) other items	45.2	91.7	16.4	(153.3)	-
Cost at December 31, 2024	1,691.8	2,213.5	481.5	619.8	5,006.6
Depreciation and impairment losses at January 1, 2024	(501.1)	(1,107.6)	(255.5)		(1,864.2)
Currency translation adjustments	(11.9)	(24.6)	(4.6)		(41.1)
Depreciation during the year	(70.0)	(124.0)	(45.3)		(239.3)
Disposals during the year	5.9	79.2	21.2		106.3
Depreciation and impairment losses at December 31, 2024	(577.1)	(1,177.0)	(284.2)		(2,038.3)
Carrying amount at December 31, 2024	1,114.7	1,036.5	197.3	619.8	2,968.3



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3.2 Property, plant and equipment

(continued)

§ Accounting policies

Property, plant and equipment is measured at cost less accumulated depreciation and impairment losses. Borrowing costs in respect of construction of major assets are capitalized.

Assets under construction includes prepayments for property, plant and equipment, and assets under construction.

Depreciation is based on the straight-line method over the expected useful lives of the assets, as follows:

- Buildings: 12–50 years
- Plant and machinery: 5–25 years
- Other equipment: 3–18 years

The residual values and useful lives of the assets are reviewed on an annual basis and adjusted if necessary at each reporting date. The impact that climate-related matters, including both external factors and internal initiatives, may have on the useful lives of property, plant and equipment is considered as part of the review.

The Group regularly reviews the carrying amounts of its property, plant and equipment to determine whether there is any indication of impairment. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of any impairment loss. If the recoverable amount of an asset is estimated to be lower than its carrying amount, the carrying amount is reduced to the recoverable amount. Impairment losses are reversed only to the extent of changes in the assumptions and estimates underlying the impairment calculation.

3.3 Leases

EUR million	2025	2024
Land and buildings	169.6	177.4
Plant and machinery	10.4	11.3
Other equipment	15.3	13.6
Carrying amount of lease assets	195.3	202.3
Lease liabilities		
Less than 1 year	30.4	29.5
Between 1 and 5 years	60.1	62.6
More than 5 years	103.6	103.7
Undiscounted lease liabilities at December 31	194.1	195.8
Amounts recognized in the income statement:		
Interest on lease liabilities	7.3	6.8
Depreciation of lease assets per asset class:		
Land and buildings	21.3	20.8
Plant and machinery	0.9	1.0
Other equipment	8.4	7.8
Depreciation of lease assets	30.6	29.6
Amounts recognized in the statement of cash flows:		
Total cash outflow for leases	34.6	34.6



3.3 Leases (continued)

Leases of land and buildings include a lease relating to company offices in Hoersholm, Denmark. Management has assessed that the remaining lease term for this lease, including a five-year extension option, is 24 years.

Additions to the lease assets during 2025 amounted to EUR 29.4 million (2024: EUR 187.6 million), none of which is from business acquisitions (2024: EUR 160.0 million).

§ Accounting policies

Lease assets

Lease assets are 'right-of-use assets' from lease agreements. If, at inception, it is assessed that a contract contains a lease, a lease asset is recognized. Lease assets are initially measured at the present value of future lease payments, plus the cost of obligations to refurbish the asset. Payments include fixed payments, variable lease payments depending on an index or a rate, and the exercise price of purchase options that are reasonably certain to be exercised.

Lease assets are depreciated using the straight-line method over the shorter of the expected lease term and the useful life of the underlying asset. Lease assets are tested for impairment whenever there is an indication that the assets may be impaired.

Lease assets are depreciated as follows:

- Buildings: 1–25 years
- Land: 10–90 years
- Plant and machinery: 1–10 years
- Other equipment: 1–10 years

Short-term leases and leases of low value are recognized as expenses in the income statement on a straight-line basis over the lease term.

Novonesis' portfolio of leases covers leases of land, buildings, plant and machinery, and other equipment, such as cars and transportation containers.

Lease liabilities

Lease liabilities are initially recognized at the present value of future lease payments, including payments from extension or purchase options that are considered reasonably certain to be exercised.

The lease liability is measured using the implicit borrowing rate in the contracts or, where this is not available, the marginal borrowing rate in the countries in which Novonesis operates. Novonesis applies a single discount rate to portfolios of leases in the countries in which Novonesis operates, based on contract currency and loan periods.

If a lease contract is modified, the lease liability is remeasured. For building leases, lease terms are estimated, taking the size of the building and its strategic importance into consideration. Novonesis has entered into several open-ended building leases and building leases with extension options. Lease terms of such agreements are estimated based on the strategic importance of the buildings and the estimated time frame necessary to vacate the premises. The estimated lease term is reassessed at each reporting date. The estimated lease terms for such contracts do not exceed 25 years.



3.4 Inventories

EUR million	2025	2024
Raw materials and consumables	104.0	108.4
Work in progress	262.5	255.2
Finished goods	405.7	357.0
Inventories at December 31	772.2	720.6
Amount of inventories recognized in Cost of goods sold, incl. inventory step-up*	1,571.9	1,661.9
Indirect production costs capitalized in inventories at December 31	294.7	266.0
Write-downs expensed during the year	26.0	17.6
Reversal of write-downs during the year**	13.7	16.6

* From 2025, more costs are allocated directly at the product level. Comparative figures for 2024 have been restated to reflect the same methodology.

** Part of the reversal of write-downs is attributable to written-down inventory being reused in production.

§ Accounting policies

Inventories are measured at the lower of cost determined on a first-in first-out basis and net realizable value.

The cost of work in progress and finished goods comprises direct production costs such as raw materials and consumables; energy and labor directly attributable to production; and indirect production costs such as employee expenses, maintenance, and depreciation of plants, etc.

Indirect production costs are assessed on an ongoing basis to ensure reliable measurement of employee expenses, capacity utilization, cost drivers, and other relevant factors.

If the expected selling price, less any completion costs and expenses to execute the sale (net realizable value) of inventories, is lower than the carrying amount, inventories are written down to net realizable value.

Novonesis has entered into a few agreements where Novonesis supplies goods to a customer's premises but retains title to the inventory until the goods are consumed in the customer's production. As long as Novonesis retains title to the goods, they are recognized as inventory.



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3.5 Trade receivables

EUR million	2025	2024
Trade receivables, gross	734.2	686.7
Allowances	(17.7)	(21.1)
Trade receivables at December 31	716.5	665.6
Aging of trade receivables, gross:		
Up to 30 days	694.2	646.6
Between 30 and 90 days	19.9	18.6
More than 90 days	20.1	21.5
Trade receivables, gross, at December 31	734.2	686.7
Changes in allowances for trade receivables:		
At January 1	21.1	19.8
Additions from business acquisitions	-	3.1
Allowances during the year	3.8	3.5
Write-offs during the year	(1.4)	(1.4)
Reversed allowances	(5.8)	(3.9)
Allowances at December 31	17.7	21.1

Allowance for credit losses on trade receivables

The allowance for expected credit losses on trade receivables is based on historical credit loss experience, combined with forward-looking information on macroeconomic factors affecting the credit risk. The expected loss rates are updated at each reporting date.

§ Accounting policies

Trade receivables are measured at amortized cost less allowance for lifetime expected credit losses.

To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and days past due. Furthermore, an allowance for lifetime expected credit losses for trade receivables is recognized on initial recognition.

Trade receivables are written off when all possible options have been exhausted and there is no reasonable expectation of recovery.

The expense of allowances for expected credit losses and write-offs for trade receivables is recognized in Sales and distribution expenses.



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3.6 Business acquisitions

Acquisitions in 2025

On February 11, 2025, it was announced that Novonesis had reached an agreement with dsm-firmenich to dissolve the Feed Enzyme Alliance and take over its sales and distribution activities. On June 2, 2025, Novonesis obtained the final regulatory approvals and successfully completed the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance.

Novonesis and dsm-firmenich have worked together for over 25 years as partners on innovating and distributing enzymes for animals in the Feed Enzyme Alliance, where Novonesis has contributed extensive expertise in high-quality enzyme development and production, while dsm-firmenich has contributed a wide-reaching sales force with access to key industry customers. A strong relationship, business performance, and high level of trust have made the Feed Enzyme Alliance a sound business for both parties.

The acquisition was completed through the acquisition of all shares in Feed Enzymes AG. The total consideration for the shares amounts to EUR 1,587.0 million, of which EUR 1,519.8 million (net of cash) was paid in cash. The

acquisition has been included within our Planetary Health Biosolutions segment.

The acquisition is accounted for as a business combination using the acquisition method under IFRS 3, where Novozymes A/S is identified as the acquirer and Feed Enzymes AG is identified as the acquiree. The fair value and purchase price allocation to identifiable assets and liabilities of the Feed Enzyme Alliance is provisional pending completion of the operational handover and integration in 2026.

The purchase price has provisionally been allocated to identifiable assets and liabilities of the Feed Enzyme Alliance, primarily customer relationships of EUR 352 million, other intangible assets of EUR 394 million, and technology-related patents of EUR 63 million.

Other intangible assets include product brands and the reacquired partnership agreement, which is the reacquired exclusivity right to sell and distribute certain Novonesis enzymes previously sold through the Feed Enzyme Alliance.

Fair value recognized at the acquisition date June 2, 2025:

EUR million	Feed Enzyme Alliance
Assets	
Other intangible assets	808.8
Inventories	82.1
Cash and cash equivalents	30.2
Assets	921.1
Liabilities	
Deferred tax liabilities, net	(179.5)
Tax payables, net	(2.6)
Other liabilities	(3.2)
Liabilities	(185.3)
Acquired net assets	735.8
Purchase price	
Cash consideration	1,550.0
Deferred consideration	37.0
Purchase price	1,587.0
Goodwill	851.2



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3.6 Business acquisitions (continued)

Goodwill of EUR 851.2 million is provisionally recognized arising from the acquisition, which primarily relates to synergies from complementary product offerings.

The acquisition is aligned with Novonesis' growth strategy and expands its presence across the animal biosolutions value chain. Novonesis is vertically integrating the complete value chain of the Alliance, adding dsm-firmenich's sales and distribution activities to our existing product innovation and production capabilities. The fully integrated business will be better equipped to serve existing and new customers with strong insights into core markets, and product technologies enhancing R&D and unleashing further innovation.

In addition, the goodwill relates to the assembled workforce of the Feed Enzyme Alliance, which cannot be recognized separately from goodwill. The goodwill is not tax-deductible.

Deferred tax liabilities include the deferred tax related to the fair value step-ups on measuring the acquired net assets and liabilities (excluding goodwill) based on the tax rates applicable.

The acquisition contributed EUR 53.8 million to net sales, approximately EUR 31 million to adjusted EBITDA, and approximately EUR -80 million to net profit during the period from June 2 to December 31, 2025.

If the acquisition had occurred on January 1, 2025, Novonesis would pro forma have reported net sales of approximately EUR 4,196 million, adjusted EBITDA of approximately EUR 1,565 million, and net profit of approximately EUR 582 million. The negative net profit contribution is derived from PPA inventory adjustments and the additional amortization related to the fair value step-ups on the identified assets of the acquiree.

Transaction and integration costs of EUR 28.3 million are recognized in Special items in the income statement.

Acquisitions in 2024

On January 29, 2024, the final regulatory approvals were obtained and the final registration of the statutory merger between Novozymes A/S ('Novozymes') and Chr. Hansen Holding A/S ('Chr. Hansen') was successfully completed with the Danish Business Authority.

Fair value recognized at the acquisition date January 29, 2024:

EUR million	Chr. Hansen
Assets	
Other intangible assets	4,404.1
Property, plant and equipment	1,162.7
Financial assets	20.9
Inventories	393.4
Trade and other receivables	207.3
Cash and cash equivalents	38.1
Assets held for sale	84.1
Assets	6,310.6
Liabilities	
Deferred tax liabilities, net	(1,088.3)
Borrowings	(1,123.5)
Tax payables, net	(83.3)
Other liabilities	(244.9)
Liabilities	(2,540.0)
Acquired net assets	3,770.6
Purchase price	
Consideration in equity issuance	9,079.8
Purchase price	9,079.8
Goodwill	5,309.2



3.6 Business acquisitions (continued)

The statutory merger was effected through an exchange of all shares of Chr. Hansen with a total of 187,298,646 newly issued shares in Novozymes A/S. The total consideration for Chr. Hansen Holding A/S amounts to EUR 9.1 billion based on a price per share of EUR 48.5 (DKK 361.4), equal to the closing share price of Novozymes A/S on Nasdaq Copenhagen on the date of the registration of the merger.

Chr. Hansen was a global, differentiated bio-science company that develops natural ingredient solutions for the food, nutritional, pharmaceutical and agricultural industries. Chr. Hansen's microbial and fermentation technology platforms, including a broad and relevant collection of around 50,000 microbial strains, have game-changing potential. As the world's most sustainable food ingredients company, Chr. Hansen touches the lives of more than 1 billion people every day.

The merger was accounted for as a business combination using the acquisition method under IFRS 3, where Novozymes A/S was identified as the acquirer and Chr. Hansen Holding A/S was identified as the acquiree. The fair value and purchase price allocation to identifiable assets and liabilities of Chr. Hansen were finalized on December 31, 2024.

The purchase price allocation resulted in recognition of a goodwill amount of EUR 5,309.2 million, technology-related assets of EUR 3,061.0 million, customer relationships of EUR 984.8 million, and brands and other intangible assets of EUR 358.3 million.

The goodwill arising from the merger primarily relates to synergies from complementary product offerings. The combination of Novozymes and Chr. Hansen will create a leading global biosolutions partner with a broad biological toolbox and a diversified portfolio in attractive markets. The combination is an important step towards unlocking additional growth opportunities, as the combined scale, know-how, commercial strengths, and innovation excellence will drive value for the shareholders and customers. In addition, the goodwill relates to the Chr. Hansen assembled workforce, which cannot be recognized separately from goodwill. The goodwill is not tax-deductible.

Assets held for sale of EUR 84.1 million were related to the divested lactase enzyme business at the agreed sales price. The combined lactase enzyme business divestment was completed on November 26, 2024. Please refer to note 3.7 for further details.

Deferred tax liabilities include the deferred tax related to the fair value step-ups on measuring the acquired net assets and liabilities (excluding goodwill) based on the tax rates applicable.

Fair value of receivables and liabilities has been measured at the contractual amount expected to be received or paid. In addition, collectability has been taken into consideration on trade receivables.

The merger contributed EUR 1,257 million to net sales, approximately EUR 430 million to adjusted EBITDA, and approximately EUR -130 million to net profit during the period from January 29 to December 31, 2024.

If the merger had occurred on January 1, 2024, the contribution to net sales would have been approximately EUR 1,369 million, approximately EUR 465 million to adjusted EBITDA, and approximately EUR -160 million to net profit. The negative net profit contribution was impacted by special items, the inventory step-up of EUR 183.9 million, and additional depreciation and amortization of EUR 272.7 million related to the fair value step-ups on the identified assets of Chr. Hansen.

Transaction costs of EUR 36.0 million were recognized within Special items in the income statement, and transaction costs related to the issuance of shares of EUR 5.0 million were recognized within equity in 2024.



3.6 Business acquisitions (continued)

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Critical accounting estimates

Key accounting estimates are used in determining the fair value of assets acquired in business combinations and require Management judgments of whether intangible assets acquired in a business combination are separately identifiable. This involves assessing if the identified customer relationships, reacquired partnership agreement, patents and brands meet the separability criterion, which means they can be separated from the acquiree and sold, transferred, licensed, rented or exchanged independently.

The application of the acquisition method of accounting involves the use of significant estimates, because the identifiable net assets of the acquiree are recognized at their fair value, for which observable market prices are typically not available. This is particularly relevant for assets which require the use of valuation techniques typically based on estimates of present value of future uncertain cash flows.

The fair value is based on assumptions made by market participants, which in the business combination is assessed to be a company with similar needs and capacity to

acquire assets of the same nature and size as those of the acquired business.

The following valuation techniques have been applied in the fair value assessment of the significant intangible assets acquired:

- Reacquired partnership agreement: the Multi-period Excess Earnings Method (MEEM)
- Customer relationships: the Allowed Margin Method
- Product patents and brands: the Relief from Royalty (RfR) method

Inputs used in these valuation methods for assessing net present value of intangible assets include revenue and cash flow projections, valuation period, discount factor, as well as churn and royalty rates.

Useful life for the reacquired partnership agreement is 15 years, equivalent to the estimated useful life of the feed enzymes in the Alliance at the acquisition date.

Fair value of inventories is based on the expected selling price less costs to complete and a reasonable margin.

Management has engaged external experts to support the purchase price allocation and fair value assessment.

§ Accounting policies

Business combinations are accounted for using the acquisition method. The purchase price includes the consideration transferred, shares issued and fair value at the acquisition date of any contingent consideration arrangement.

The purchase price is allocated to the identifiable assets and liabilities, non-controlling interests in the acquiree and contingent liabilities assumed, which are measured at fair value at the date of acquisition by applying relevant valuation methods.

A reacquired right is recognized separately from goodwill. Contract terms that are favorable or unfavorable relative to current market transactions are accounted for as the settlement of a pre-existing relationship.

Goodwill is initially measured at cost, being the excess of the consideration transferred over the net identifiable assets acquired and liabilities assumed.

If, on the acquisition date, there are any uncertainties with respect to identifying or measuring the acquired net assets, the initial recognition will be made on the basis of estimated fair values. The estimated fair values may be adjusted or additional assets or liabilities may be recognized during the measurement period of up to 12 months, to reflect new information that becomes available about conditions prevailing on the acquisition date. Such adjustments are made to the initial purchase price allocation as a restatement of prior information, including to the amount of goodwill.

Acquisition-related costs are expensed as incurred, except if related to the issue of equity securities.



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3.7 Divestments

Divestments in 2025

No divestments were made in 2025.

Divestments in 2024

The combination of Novozymes and Chr. Hansen was approved by the European Commission under the condition of divesting a part of Novonosis' combined global lactase enzyme business. In 2023, a definitive agreement to sell the combined lactase enzyme business was entered into with Kerry Group plc ('Kerry') and approved by the European Commission on January 26, 2024.

On November 26, 2024, the agreed carve-out activities were completed and approved by the European Commission. The lactase enzyme business was transferred to Kerry and the total consideration of EUR 144.5 million (net of cash) was received.

The divested lactase enzyme business included net assets of EUR 128.0 million and liabilities of EUR 3 million. Net assets mainly included intangible assets identified in connection with the Chr. Hansen purchase price allocation of EUR 84.1 million and production facilities of EUR 38.0 million.

The gain on sale before tax of EUR 12.7 million was recognized within Special items. Tax on the divestment of EUR 4.6 million was recognized within Tax in the income statement.

The divested lactase enzyme business was related to the Food & Health Biosolutions segment.



4.1 Financial risk factors and risk management

Due to the international nature of Novonesis' operations, the Group's earnings and financial position are exposed to a number of financial risk factors. Financial risks are managed centrally for the entire Group. The Novonesis Treasury Policy is approved by the Board of Directors and sets the limits for the various financial risks and the derivatives used to hedge risk. The Treasury Policy is adjusted on an ongoing basis and adapted to the market situation. It contains rules for which derivatives can be used for hedging, which counterparties can be used, and the risk profile that is to be applied.

Currency risk

Currency risk arises due to imbalances between cash flows.

Novonesis hedges expected net exposure (cash flow exposure) if it is determined that a movement in a foreign exchange rate will have a material impact on expected earnings/cash flow.

Hedging of currency risk is carried out in the currencies in which Novonesis has the largest exposures. Hedging is managed by entering into derivatives such as forward contracts, currency options and swaps. Loans and deposits in foreign currencies are also utilized for hedging purposes.

Hedge effectiveness is assessed on a regular basis by comparing changes in the timing and value of the expected exposure in the relevant currencies with the timing and value changes for the designated cash flow hedging transaction.

Where deemed appropriate, currency risk related to net investments in foreign subsidiaries is hedged by taking out loans and entering into swaps. Currently, there are no open transactions used to hedge equity investments.

Foreign exchange sensitivity – 2025

The sensitivity analysis shows the impact on net profit and other comprehensive income of a 5% change in EUR versus the key currencies to which Novonesis was exposed to on December 31, 2025. The sensitivity analysis comprises effects from the Group's cash, trade receivables, trade payables, loans, current and non-current financial investments, lease liabilities, and derivatives. Anticipated currency transactions, investments in foreign subsidiaries, and non-current assets are not included.

The sensitivity analysis assumes that exchange rates change on December 31, 2025, while all other variables remain constant. The table shows the effect of an increase in exchange

Foreign exchange sensitivity analysis on financial instruments

EUR million	Increase in exchange rates	2025		2024	
		Change in net profit	Change in other comprehensive income	Change in net profit	Change in other comprehensive income
CNY	5.0%	0.3	-	0.1	-
INR	5.0%	0.2	-	0.2	-
USD	5.0%	0.4	(26.1)	0.5	(28.7)
Other	5.0%	2.5	-	1.4	-
Total at December 31		3.4	(26.1)	2.2	(28.7)

rates. A decrease in exchange rates would have the opposite effect.

Foreign exchange sensitivity – 2026 estimate

Adjusted EBITDA is exposed to exchange rate developments, as the effect of hedges is included in financial income/expenses. Adjusted EBITDA is mainly exposed to USD. A movement of 5% in the EUR/USD exchange rate would result in a change in the expected adjusted EBITDA for 2026 of around EUR 40–45 million (2025: 45–50 million). EBITDA is positively impacted by appreciation of the USD.

Of the expected USD cash flows for 2026, 72% has been hedged by forward contracts at an average rate of 1.15. As a result, the impact on net profit from changes in the EUR/USD exchange rate has been reduced significantly compared with the impact on adjusted EBITDA.

Interest rate risk

Interest rate risk arises in relation to interest-bearing assets and liabilities. In accordance with the Novonesis Treasury Policy, a minimum of 50% of loans must be at fixed interest rates. Hedging of the interest rate risk is managed by entering into fixed-rate loans and interest rate swaps.



4.1 Financial risk factors and risk management (continued)

At December 31, 2025, 32% (2024: 64%) of the loan portfolio carried fixed interest rates. The bridge loan obtained to finance the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance has temporarily reduced the portion of the loan portfolio with fixed interest rates below our policy minimum.

With the current hedging of interest rate risk, an increase of 1 percentage point in the average interest rate on Novonesis' net interest-bearing debt would have a negative effect on net profit of EUR 16.4 million (2024: negative effect of EUR 2.9 million).

Part of the Group's loan portfolio is subject to a customary financial covenant related to leverage, which is common for a company with the credit profile of Novonesis. The Group regularly monitors covenant compliance, which shows ample headroom.

Credit risk

Credit risk arises especially on cash and cash equivalents, derivatives, trade receivables, and contract assets. The credit risk on trade receivables is countered by thorough, regular analysis based on customer type, country and specific conditions. The credit risk on cash and cash equivalents and derivatives is

mitigated by the Treasury Policy, which limits exposure solely to counterparties that have an investment-grade credit rating. The credit risk is calculated on the basis of net market value and is governed by the Treasury Policy. Novonesis has entered into netting agreements with all the banks used for trading in financial instruments, which means that Novonesis' credit risk is limited to net assets. At December 31, 2025, the Group considered its maximum credit risk to be EUR 1,142.5 million (2024: EUR 1,073.6 million), which is the total of the Group's financial assets. At December 31, 2025, the maximum credit risk related to one counterparty was EUR 70.0 million (2024: EUR 70.6 million).

Liquidity risk

In connection with the Group's ongoing financing of operations, including refinancing, efforts are made to ensure adequate and flexible liquidity. This is guaranteed by using committed credit facilities and by placing free funds in deposits, government bonds, or ultra-liquid mortgage bonds in accordance with the Treasury Policy.

At December 31, 2025, Novonesis' financial resources amounted to EUR 1,146.7 million (2024: EUR 1,075.0 million), consisting of cash,

cash equivalents, and undrawn committed credit facilities of EUR 871.4 million, which expire in 2026–2030. In connection with the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance, a bridge loan of EUR 1,470 million, which expires in December 2026, was obtained. The loan will be refinanced in 2026.

With the exception of debt to credit institutions (see Note 4.3), the maturity dates are primarily within one year.

Novonesis has not arranged any supply-chain financing arrangements for the Group's suppliers.

Commodity price risk

Novonesis is exposed to price risk for electricity in the Group's main production sites. In Denmark, the exposure is hedged for up to 12 months using forward contracts or by entering into fixed price agreements with the suppliers. Of the expected electricity exposure in Denmark for 2026, 69% has been hedged.

Capital structure

Novonesis favors having a conservative balance sheet, which is reflected by a target for net interest-bearing debt of around 1.5x

EBITDA. At December 31, 2025, the ratio was 1.9x. The above-target leverage is caused by the debt-financed acquisition of dsm-firmenich's share of the Feed Enzyme Alliance. The capital structure is mainly managed using two instruments:

1) Dividend payments, through which Novonesis aims for a payout ratio in the range of 40%–60% of the adjusted net profit. For the financial year 2025, the dividends comprise an interim dividend of DKK 2.25 (EUR 0.30) and a proposed dividend of 4.25 (0.57 EUR), totalling an expected payout of EUR 405 million. The interim dividend of EUR 140.3 million was paid out in August 2025. For 2025, the payout ratio is expected to be 58.4%. For the financial year 2024, the dividends comprised an interim dividend of DKK 2.00 (EUR 0.27) paid out in 2024, and an ordinary dividend of 4.20 (0.56 EUR), which was approved and paid out in 2025. This resulted in a total payout of EUR 387.2 million.

2) Share buybacks, where a program of EUR 99.9 million was executed in 2025. The shares acquired under the program will be used to meet obligations arising from employee share-based incentive programs.



4.2 Financial income and financial expenses

EUR million	2025	2024
Interest income	21.0	26.9
Gains on cash flow hedges	14.4	-
Financial income	35.4	26.9
Interest expenses	(61.0)	(69.6)
Interest on lease liabilities	(7.3)	(6.8)
Losses on cash flow hedges	-	(7.5)
Losses on fair value hedges	(2.3)	(0.6)
Losses on joint venture and minority ownership investments	-	(5.1)
Other financial expenses	(12.3)	(12.0)
Other foreign exchange losses, net	(19.3)	(5.7)
Financial expenses	(102.2)	(107.3)
Financial income/(expenses), net	(66.8)	(80.4)

§ Accounting policies

Financial income and Financial expenses comprise interest income and interest expenses; realized and unrealized foreign exchange gains and losses; gains and losses on other financial assets; and fair value adjustments of cash-settled share-based incentive programs.

Interest income and Interest expenses are measured at amortized cost for financial assets and liabilities.

Financial income and Financial expenses also include fair value adjustments of derivatives used to hedge assets and liabilities, and income and expenses relating to cash flow hedges that are transferred from Other comprehensive income on realization of the hedged item.



4.3 Borrowings

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EUR million	2025	2024
Credit institutions	2,813.5	1,576.1
Lease liabilities	189.6	193.9
Derivatives	2.3	26.8
Borrowings at December 31	3,005.4	1,796.8
Recognized in the balance sheet as follows:		
Non-current	1,303.9	1,530.4
Current	1,701.5	266.4
Borrowings at December 31	3,005.4	1,796.8

EUR million	2025	2024
Contractual maturities incl. interest for credit institutions*		
Less than 1 year	1,733.0	245.2
Between 1 and 5 years	1,070.8	1,169.3
More than 5 years	154.8	276.8
Undiscounted credit institutions at December 31	2,958.6	1,691.3

* Includes effects from interest rate swaps.

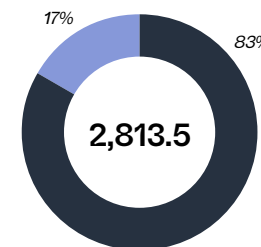
Reference is made to Note 3.3 for similar information regarding lease liabilities.

EUR million	2025			2024		
	Credit institutions	Lease liabilities	Total	Credit institutions	Lease liabilities	Total
Liabilities from financing activities at January 1	1,576.1	193.9	1,770.0	988.2	49.4	1,037.6
Additions from business acquisitions	-	-	-	963.5	160.0	1,123.5
Financing cash flow	1,239.2	(27.3)	1,211.9	(377.5)	(27.8)	(405.3)
Currency translation adjustments	(1.8)	(3.8)	(5.6)	1.9	(0.3)	1.6
Other changes*	-	26.8	26.8	-	12.6	12.6
Total liabilities from financing activities at December 31	2,813.5	189.6	3,003.1	1,576.1	193.9	1,770.0

* Other changes include changes in lease liabilities from new or terminated leases and accrued interest expenses, which will be presented as operating cash flow in the statement of cash flows when paid.

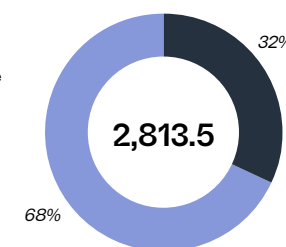
Credit institutions – currency 2025 (2024)

EUR million
• EUR 2,345.4 (999.0)
• DKK 468.1 (577.1)
Total 2,813.5 (1,576.1)



Credit institutions (incl. hedging) – fixed or floating interest rate 2025 (2024)

EUR million
• Fixed interest rate 904.5 (1,007.0)
• Floating interest rate 1,909.0 (569.1)
Total 2,813.5 (1,576.1)





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4.4 Derivatives – hedge accounting

EUR million	2025		2024	
	Contract amount based on agreed rates*	Fair value	Contract amount based on agreed rates*	Fair value
Forward exchange contracts				
BRL	48.1	1.4	8.0	0.3
CHF	(51.2)	0.1	(4.3)	-
CNH	(52.0)	0.5	(68.8)	1.1
USD	89.2	0.1	28.5	(0.3)
Other (purchase)	(8.1)	-	(16.7)	-
Other (sale)	65.0	0.4	43.5	(0.2)
Fair value hedges at December 31	91.0	2.5	(9.8)	0.9

* Positive contract amounts represent a sale of the respective currency, and negative amounts represent a purchase.

Fair value hedges

The table above shows the derivatives the Group has contracted to hedge currency exposure on financial assets and liabilities that give rise to currency adjustments in the income statement.

The forward exchange contracts mature in the period January 2026 to November 2026 (2024: January 2025 to November 2025).

There was no ineffectiveness in fair value hedges in 2025 or 2024.

EUR million	2025		2024	
	Contract amount based on agreed rates*	Fair value	Contract amount based on agreed rates*	Fair value
Forward exchange contracts				
USD	521.7	15.6	545.9	(22.9)
	521.7	15.6	545.9	(22.9)
Interest rate swaps				
DKK/DKK – floating to fixed rate	151.9	3.6	194.9	1.3
EUR/EUR – floating to fixed rate	457.5	6.1	496.1	10.0
	609.4	9.7	691.0	11.3
Forwards				
Electricity price agreements	7.5	-	3.6	(0.3)
	7.5	-	3.6	(0.3)
Cash flow hedges at December 31	1,138.6	25.3	1,240.5	(11.9)

* Positive contract amounts represent a sale of the respective currency, and negative amounts represent a purchase.

Cash flow hedges

The table above shows the derivatives the Group has contracted to hedge currency, interest rate and electricity price exposure in future cash flows.

The forward exchange contracts mature in the period January 2026 to December 2026 (2024: January 2025 to December 2025); the swaps mature in the period May 2026 to September 2034 (2024: June 2025 to September 2034);



4.4 Derivatives – hedge accounting (continued)

and the electricity price agreements relate to 2026 and have final maturity in December 2026 (2024: March 2025 to December 2025).

At the end of 2025, the Group had hedged 72% of expected future cash flows in USD for 2026, at an average rate of EUR 1.15 (2024: 77% of expected future cash flows in USD for 2025, at an average rate of EUR 1.10).

The electricity price agreements have an average payment of EUR 78.1/MWh for 2026 (2024: average payment of EUR 77.8/MWh for 2025).

§ Accounting policies

Hedge accounting consists of positive and negative fair values of derivatives, which are recognized in the balance sheet under Other financial assets and Borrowings, respectively. Derivatives are recognized at the transaction date.

Derivatives used for fair value hedges are measured at fair value at the reporting date, and value adjustments are recognized as Financial income or Financial expenses. Derivatives used for cash flow hedges and hedges of net investments in subsidiaries

are measured at fair value at the reporting date, and value adjustments are recognized in Other comprehensive income.

Income and expenses relating to cash flow hedges and hedges of net investments in subsidiaries are transferred from Other comprehensive income when the hedged transaction occurs. On realization, foreign exchange contracts and interest rate swaps are recognized as Financial income or Financial expenses, and electricity price agreements covering production-related electricity are recognized as part of Cost of goods sold.



4.5 Common shares and treasury shares

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	2025			2024		
	Nominal value DKK million	Number of shares	% of common shares	Nominal value DKK million	Number of shares	% of common shares
Common shares						
A common shares (nominally DKK 2)	107.5	53,743,600		107.5	53,743,600	
B common shares (nominally DKK 2)	829.1	414,555,046		829.1	414,555,046	
Common shares at December 31	936.6	468,298,646		936.6	468,298,646	
Treasury shares - B shares						
Treasury shares at January 1	4.3	2,162,857	0.5	7.4	3,682,554	1.3
Additions during the year	3.5	1,729,099	0.3	-	-	-
Disposals during the year	(3.0)	(1,507,324)	(0.3)	(3.1)	(1,519,697)	(0.3)
Dilution due to share issue	-	-	-	-	-	(0.5)
Treasury shares at December 31	4.8	2,384,632	0.5	4.3	2,162,857	0.5

	2025	2024
Common shares in circulation		
Shares at January 1	466,135,789	277,317,446
Share issue	-	187,298,646
Purchase of treasury shares	(1,729,099)	-
Sale of treasury shares	1,507,324	1,519,697
Shares at December 31	465,914,014	466,135,789

Each A share entitles the holder to 20 votes, while each B share entitles the holder to two votes.

Each year, the Board of Directors assesses whether the ownership structure comprising A and B common shares is optimal. The Board of Directors continues to believe that this is the best way to safeguard Novonosis' long-term development to the benefit of the company's shareholders and other stakeholders.

In 2025, the company completed share buy-backs of EUR 99.9 million. Treasury shares will be used to meet obligations arising from employee share-based incentive programs.

Share issue

No share issue was made in 2025. As a result of the statutory merger with Chr. Hansen Holding A/S in 2024, the share capital of Novozymes A/S was increased in 2024 by nominally DKK 374,597,292, from DKK 562,000,000 to DKK 936,597,292, through the issuance of a total of 187,298,646 new B common shares in the denomination of DKK 2 per share.



4.6 Financial assets and liabilities by category

EUR million	Note	2025	2024
Other financial assets		1.2	3.4
Trade receivables	3.5	716.5	665.6
Contract assets		35.9	23.6
Other receivables, excl. prepaid expenses		80.9	81.7
Cash and cash equivalents		275.3	280.0
Financial assets at amortized cost		1,109.8	1,054.3
Derivatives		2.8	2.8
Other financial assets		2.6	3.5
Fair value through profit and loss		5.4	6.3
Derivatives		27.3	13.0
Fair value through other comprehensive income		27.3	13.0
Financial assets		1,142.5	1,073.6

Fair value hierarchy

Novonosis has no financial instruments measured at fair value on the basis of quoted prices (level 1 input).

For financial assets and financial liabilities measured at amortized cost (level 2 input), the carrying amounts approximate fair value. Derivatives are measured at fair value based on observable data (level 2 input). The derivatives are not traded in an active market

EUR million	Note	2025	2024
Lease liabilities	4.3	189.6	193.9
Credit institutions	4.3	2,813.5	1,576.1
Trade payables		420.8	423.1
Other payables		202.8	126.6
Financial liabilities at amortized cost		3,626.7	2,319.7
Derivatives	4.3	0.3	1.9
Fair value through profit and loss		0.3	1.9
Derivatives	4.3	2.0	24.9
Fair value through other comprehensive income		2.0	24.9
Financial liabilities		3,629.0	2,346.5

based on quoted prices, but on individual contracts. The fair value of these assets and liabilities is determined using valuation techniques that utilize market-based data such as exchange rates, interest rates, credit risk, electricity prices, and volatilities.

Other financial assets are measured at fair value based on non-observable data (level 3 input).



5.1 Management remuneration

EUR million	2025				2024			
	Board of Directors	Executive Management	Other executive vice presidents	Total	Board of Directors	Executive Management	Other executive vice presidents	Total
Notes								
Salaries and other short-term benefits	1.7	2.7	5.2	9.6	1.8	2.6	5.2	9.6
Defined contribution plans		0.3	0.5	0.8		0.3	0.5	0.8
Cash bonus		3.3	4.8	8.1		4.5	5.7	10.2
Expensed share-based incentive programs		2.6	4.2	6.8		2.3	4.4	6.7
Remuneration	1.7	8.9	14.7	25.3	1.8	9.7	15.8	27.3
Sign-on bonus		-	1.9	1.9		0.4	0.1	0.5
Severance cost		-	2.4	2.4		-	-	-
Remuneration including additional payments	1.7	8.9	19.0	29.6	1.8	10.1	15.9	27.8
Number of members at December 31	12	2	6	20	13	2	7	22

Novonesis' Remuneration Policy sets the general guidelines for the remuneration of the Board of Directors and the Executive Management, and is approved at the Annual General Meeting.

Details on the policy and a summary of the Management remuneration can be found in the Governance section of the Annual Report.

Board of Directors

The remuneration of the Board of Directors comprises a fixed fee and is not incentive-based.

Executive Leadership Team

By the end of 2025, the Executive Leadership Team consisted of eight members, of which the CEO and CFO together comprise the Executive Management, appointed by the Board of Directors and registered with the Danish Business Authority. The Executive Leadership Team is categorized as key management personnel.

Members of the Executive Leadership Team receive fixed remuneration comprising a base salary, pension and benefits. Furthermore, significant proportions of their remuneration packages are variable and based on performance-related pay, through short- and

long-term incentives. The incentive programs are balanced to ensure focus on both short-term and long-term value creation. They are designed to incentivize performance against selected financial, environmental, social and operational key performance indicators and individual objectives, which are directly linked to Novonesis' strategy, and to incentivize long-term value creation and alignment with the long-term interests of shareholders, customers and other stakeholders.

In 2024 and 2025, the cash bonus includes one-off bonuses to the Executive Leadership Team related to the combination of Novozymes and Chr. Hansen.

Members of the Executive Leadership Team have contracts of employment containing standard conditions for executives of Danish listed companies, including the periods of notice that both parties are required to give, and non-competition clauses. If an executive officer's contract of employment is terminated by the company without any misconduct on the part of the executive officer, the executive officer has a notice period of 12 months. In addition to the notice period, the executive officer has a right to termination compensation of 12 months' base salary and pension contributions.



5.2 Share-based payment

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Novonesis has established share-based incentive programs for the Executive Management, executive vice presidents, vice presidents and directors. The purpose of these programs is to ensure an alignment of interests of the Management, employees and shareholders. Allocation of programs has been, and remains, dependent on profit, value creation and sustainability targets being achieved, and is made based on individual base salary. In order to receive the shares, the employees must still be employed at vesting date. This does not apply to persons who have retired, taken voluntary early retirement or been given notice.

New programs

The 2025 program for the Executive Management consists of 100% performance shares. The total number of shares achievable is divided into two categories: 'target shares' and 'extra shares'. The maximum allocation is 150% of the number of target shares.

The targets have 50% weight on organic sales growth, 20% weight on adjusted EBITDA margin, 10% weight on adjusted ROIC, and 20% weight on non-financial sustainability targets. The non-financial targets are measured in relation to climate and diversity. The performance targets are as protocolled in the minutes of the

board meeting approving the annual group financial statement for the year prior to the performance period.

- If Novonesis reaches the targets for 2025–2027, then the target shares will be granted.
- If Novonesis manages to overperform on one or more of the targets, up to 50% more shares may be granted.
- If Novonesis does not meet the targets, or if Novonesis is significantly below the targets, then none or only part of the target shares will be granted.

The total target-level fair value of the program at the date of grant was approximately EUR 2.7 million. The value of the shares will be expensed over the three-year vesting period (2025–2027) and will be awarded in 2028.

A new program was also established in 2025 for executive vice presidents, vice presidents and directors covering the performance period 2025–2027 (344 executive vice presidents, vice presidents and directors). The total target-level fair value at grant date was approximately EUR 12.3 million and was based on the same requirements and targets as for the Executive Management.

The program is 100% performance shares with a three-year vesting period.

Both programs contain a maximum-value clause, allowing the Board of Directors the option to reduce the number of shares if the value at the end of the performance period exceeds twice the maximum value at the time of the conditional grant.

As in previous years, a new small share-based program was established for selected employees. The aim of the program is for the Executive Management to be able to award shares to employees as a personal bonus for outstanding efforts or for retention purposes. Members of the Executive Management cannot be awarded incentives under this program. The program has a three-year vesting period. The program cannot exceed EUR 1.0 million.

Finally awarded programs

Awards in the programs covering the performance period 2023–2025 were finalized in 2025.

The targets for 2024 and 2025 in the program have been updated in 2024 to reflect the combined performance ambitions for

Novonesis, while the original targets for 2023 have been settled based on the performance of Novozymes in 2023. The targets covered organic sales growth, EBIT margin/adjusted EBITDA margin, ROIC, and sustainability parameters. The actual performance over the period exceeded targets, and in total the performance against the set targets resulted in 87% of the maximum allocation being awarded.

For the Executive Management, this means that a total of 20,605 shares will be released in February 2026. The number of share options granted over the three-year period is 74,701, reflecting the realized target achievement.

The program contains a maximum-value clause, allowing the Board of Directors to choose to limit the total allocation of shares and share options if the intrinsic value exceeds twice the annual conditional grant at the end of the program. There will be no limitation on the total allocation, as the intrinsic value is EUR 1.7 million.

The program for executive vice presidents, vice presidents and directors follows the same requirements and targets as the



5.2 Share-based payment (continued)

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program for the Executive Management. The final number of shares allocated under this program to be released in February 2026 is 156,251. The number of share options granted over the three-year period is 566,257, reflecting the realized target achievement of 87%.

Performance shares

The shares allocated under the programs are performance shares. In 2025, 258,906 performance shares with an aggregate grant date fair value of EUR 15.0 million were granted (2024: EUR 17.5 million), which will be expensed over a three-year period (2025-2027).

Fair value at grant date for performance shares is measured using the weighted average share price at grant date, which was DKK 432 for 2025 (2024: DKK 372).

The fair value of outstanding performance shares at December 31, 2025, was EUR 42.9 million (2024: EUR 48.2 million).

The number of outstanding performance shares has developed as follows:

	Performance shares		
	Executive Management	Executive vice presidents, vice presidents and directors	Total
Outstanding at January 1, 2025	77,796	804,120	881,916
Allocated	46,063	212,843	258,906
Allocation adjustment	5,212	61,578	66,790
Exercised	(12,120)	(382,836)	(394,956)
Forfeited	-	(27,852)	(27,852)
Outstanding at December 31, 2025	116,951	667,853	784,804
Outstanding at January 1, 2024	39,807	349,783	389,590
Outstanding shares from Chr. Hansen	-	559,101	559,101
Allocated	50,283	301,023	351,306
Allocation adjustment	2,629	25,946	28,575
Exercised	(14,923)	(414,427)	(429,350)
Forfeited	-	(17,306)	(17,306)
Outstanding at December 31, 2024	77,796	804,120	881,916



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	Number of options				DKK ¹	EUR	EUR million
	Executive Management	Executive vice presidents, vice presidents and directors	Other employees	Total	Average exercise price per option	Grant date fair value per option	Grant date fair value total
The number of outstanding share options (excl. performance shares) has developed as follows:							
Outstanding at January 1, 2025	280,086	4,214,349	2,059,179	6,553,614	351		
Allocation adjustment ²	18,890	143,268	(1,324)	160,834	355	13.1	2.1
Exercised ³	-	(860,527)	(274,438)	(1,134,965)	299		
Forfeited	-	(3,740)	(14,825)	(18,565)	410		
Expired	-	(10,593)	(47,975)	(58,568)	285		
Outstanding at December 31, 2025	298,976	3,482,757	1,720,617	5,502,350	362		
Outstanding at January 1, 2024	266,807	4,799,858	2,416,165	7,482,830	341		
Allocation adjustment	13,279	130,609	120,192	264,080	416	11.0	3.0
Exercised	-	(653,391)	(360,161)	(1,013,552)	292		
Forfeited	-	(58,693)	(60,759)	(119,452)	376		
Expired	-	(4,034)	(56,258)	(60,292)	307		
Outstanding at December 31, 2024	280,086	4,214,349	2,059,179	6,553,614	351		
Number of exercisable options at December 31, 2025 ⁴				3,647,543	345		
Number of exercisable options at December 31, 2024 ⁴				3,234,629	310		

1. The shares are listed on NASDAQ OMX Copenhagen in DKK.

2. The allocation of share options for 2023–2025 has been adjusted, based on the realized level of target achievement for the period (87%).

3. The weighted average share price for share options exercised during 2025 was DKK 438 (2024: DKK 407).

4. For share options outstanding at December 31, 2025, the range of exercise prices is DKK 249–486 per option (2024: DKK 249–486 per option), and the weighted average remaining term to maturity is four years (2024: four years).



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5.2 Share-based payment (continued)

During 2025, EUR 20.4 million arising from share-based payment was recognized in the income statement (2024: EUR 28.8 million); EUR 20.3 million was from equity-settled programs (2024: EUR 28.4 million); and EUR 0.1 million was from cash-settled programs (2024: EUR 0.4 million).

Most programs are equity-settled, and no liability is recognized for these. If allocations under the programs are made in countries where ownership of foreign shares is not permitted, the value of share options is settled in cash instead, and a liability of EUR 2.2 million was recognized for this in 2025 (2024: EUR 3.3 million). The intrinsic value of exercisable cash-settled programs in 2025 was EUR 1.0 million (2024: EUR 1.6 million).

§ Accounting policies

The Group has established share-based incentive programs, comprising equity-settled and cash-settled programs.

The fair value of the employee services received in exchange for the grant of share options and performance shares is measured with reference to the fair value of the share options and performance shares granted. The fair value of share options is measured using the Black-Scholes option-pricing model.

The fair value of share-based payment at the grant date is recognized as an employee expense over the period in which the share options and performance shares vest. In measuring the fair value of the

employee services, account is taken of the number of employees expected to gain entitlement to the options and performance shares, as well as the number of options and performance shares the employees are expected to gain. This estimate is adjusted at the end of each reporting period, such that only the number of options and performance shares to which employees are entitled or expected to be entitled is recognized.

The value of equity-settled programs is recognized in equity. The value of cash-settled programs, which are recognized as Other liabilities, is adjusted to fair value at the end of each reporting period, and the subsequent adjustment is recognized in the income statement under Financial income or Financial expenses.



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5.3 Contingent liabilities and pending litigations

Novonesis is engaged in certain legal cases, e.g., in relation to patent disputes and duties, which from time to time involve significant amounts of dispute. The Board of Directors and Management believe that settlement or continuation of these cases will not have a significant effect on the Group's financial position. A liability is recognized under Provisions when the risk of a loss on a legal case is considered more likely than not, but it is inherent that there is uncertainty in the outcome of legal cases.

In Management's opinion, the outcomes of these cases are not expected to give rise to any significant losses beyond the amounts provided for at December 31, 2025.

5.4 Related party transactions

Transactions

EUR million	2025	2024
Novo Holdings A/S		
Dividend paid to Novo Holdings A/S	103.2	62.0
The Novo Nordisk Group		
Sale of goods and services	37.5	15.4
Sale of assets	16.8	-
Purchase of goods and materials	(2.0)	(1.9)
Purchase of services	(3.6)	(4.4)
The NNIT Group		
Purchase of services	(1.1)	(0.7)
Microbiogen Pty. Ltd.*		
Purchase of services	(9.5)	(9.0)

* Associate of Novonesis



5.4 Related party transactions (continued)

Outstanding balances

EUR million	2025	2024
The Novo Nordisk Group		
Receivables	2.1	4.0
Payables	(9.2)	(10.2)
The NNIT Group		
Payables	(0.4)	(0.1)
Microbiogen Pty. Ltd.*		
Payables	(2.3)	(2.3)

* Associate of Novonesis

Novozymes A/S is controlled by Novo Holdings A/S, domiciled in Hellerup, Denmark, which holds 63.4% of the votes in Novozymes A/S. The remaining shares are widely held. The ultimate parent of the Group is the Novo Nordisk Foundation (incorporated in Denmark).

Related parties are considered to be Novo Holdings A/S and the Novo Nordisk Foundation, as well as the Board of Directors

and the Executive Management of these entities, together with their immediate families. Other related parties are considered to be the Novo Nordisk Foundation's subsidiaries and associates, such as the Novo Nordisk Group, and the NNIT Group, associates of Novonesis, as well as the Board of Directors and the Executive Management of Novozymes A/S, together with their immediate families. Related parties also include companies in which the above persons have control or joint control.

The majority of the agreements with related parties are renegotiated regularly.

Novonesis is expanding the wastewater and biomass treatment facility in Kalundborg, which is a joint operation with the Novo Nordisk Group. The expansion is fully financed by Novo Nordisk, and in 2025 Novonesis received EUR 133.7 million (2024: EUR 60.7 million) from Novo Nordisk to fund the investment. In addition to the outstanding balances in the table, Novonesis has the right to receive further funding from Novo Nordisk of EUR 11.6 million, related to 2025, as of December 31, 2025 (2024: EUR 9.3 million). The expansion is expected to be completed in 2027.

In connection with the relocation of the headquarters, Novonesis has sold land and buildings in Bagsvaerd, Denmark, with effect from January 1, 2025, to Novo Nordisk A/S for EUR 16.8 million. The sales price is based on external valuations. As of December 31, 2024, the carrying amount of assets held for sale was EUR 11.6 million.

As part of the combination with Chr. Hansen in 2024, Novo Holdings received Merger Consideration Shares at a ratio of 1.0227 for each Chr. Hansen Share held by Novo Holdings, with respect to Novo Holdings' holding of 28,983,112 Chr. Hansen Shares.

There were no transactions with related parties other than the transactions described and the normal remuneration of the Board of Directors and the Executive Management, which is presented in Note 5.1.

Guarantees, rental and other purchase commitments to related parties at December 31, 2025, amounted to EUR 2.3 million, compared with EUR 2.8 million at December 31, 2024.



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5.5 Fees to statutory auditors

EUR million	2025	2024
Statutory audit	1.9	1.9
Other assurance engagements	0.3	0.3
Tax assurance services	0.1	0.5
Other services	-	-
Fees to statutory auditors	2.3	2.7

Audit fee policy

Novonesis audit fee policy states that the annual fee for non-audit services provided by the statutory auditor should not exceed 70% of the annual fee for statutory audit services measured at Group level. The 70% may only be exceeded with the approval of the Audit Committee. No such approval was given in 2025 or 2024.

Certain restrictions apply regarding the non-audit services that the auditors elected for Novozymes A/S may perform, including a 70% cap. The fee for non-audit services performed for Novonesis by EY Godkendt Revisionspartnerselskab did not exceed the 70% cap.

Tax and other assurance services

Tax services comprise allowed tax compliance and transfer pricing services.

Other assurance services comprise mainly assurance regarding the sustainability statement and other assurance statements.

5.6 Cash flow

EUR million	Note	2025	2024
Accrued interest income and interest expenses		47.3	49.5
(Gain)/loss on financial assets, etc., net		(0.6)	5.7
Depreciation, amortization and impairment losses	3.1, 3.2	596.9	597.4
Realized loss and allowances for doubtful trade receivables		(3.2)	(0.5)
(Gain)/loss on sale and disposal of assets		(3.7)	0.4
Unrealized foreign exchange (gain)/loss		5.2	7.9
Tax	2.5	159.8	111.3
Share-based payment	5.2	20.4	28.8
Change in provisions		(15.4)	10.6
Profit/loss in associates		6.5	3.5
Gain on divestment of the lactase enzyme business		-	(20.4)
Non-cash items		813.2	794.2
(Increase)/decrease in receivables		(114.9)	(41.6)
(Increase)/decrease in inventories		6.2	153.8
Increase/(decrease) in payables, deferred income and contract liabilities		164.7	158.8
Change in working capital		56.0	271.0

Change in net working capital was positively impacted by a reduction of the PPA inventory adjustments (PPA inventory step-up and the temporary drag on the margin from inventory buy-back) of EUR 63.8 million (2024: EUR 183.9 million).



5.6 Cash flow (continued)

EUR million	Note	2025	2024
Feed Enzyme Alliance acquisition (net of cash)	3.6	(1,519.8)	-
Cash from the combination with Chr. Hansen	3.6	-	38.1
Loan to joint ventures		-	(12.9)
Contingent consideration paid		-	(10.0)
Purchase of other financial assets		-	(0.4)
Business acquisitions, etc.		(1,519.8)	14.8
Divestment of the lactase enzyme business, net of cash	3.7	-	144.5
Divestments		-	144.5
Additions of intangible assets	3.1	61.0	21.5
Purchase of intangible assets		61.0	21.5
Additions of property, plant and equipment	3.2	439.2	358.9
Less additions to lease assets		(29.4)	(20.6)
Purchase of property, plant and equipment		409.8	338.3
Purchase of shares in Synergia Life Science (40%)		-	(83.1)
Purchase of shares in Suzhou Hongda Enzyme Co. Ltd. (4%)		-	(2.8)
Purchase of non-controlling interests		-	(85.9)

Undrawn committed credit facilities amounted to EUR 871.4 million at December 31, 2025 (2024: EUR 795.0 million), which expire in 2026–2030.

In 2024, cash flow from business acquisitions, etc., was positively impacted by EUR 38.1 million from cash obtained from the merger with Chr. Hansen. Reference is made to note 3.6.

§ Accounting policies

The consolidated statement of cash flows, which is compiled using the indirect method, shows cash flows from operating, investing and financing activities, and the Group's cash and cash equivalents at the beginning and end of the year.

Cash flow from operating activities comprises net profit adjusted for non-cash items, paid financial items, corporate income tax paid, and change in working capital.

Cash flow from investing activities comprises payments relating to the acquisition and sale of companies and non-controlling interests, intangible assets, and property, plant and equipment.

Cash flow from financing activities comprises proceeds from borrowings, repayment of principal on interest-bearing debt, repayment of lease liabilities, payment of dividends, proceeds from share issues, and the sale of treasury shares and other securities.

Cash and cash equivalents comprise cash at bank and in hand.



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5.7 Events after the reporting date

No events of importance to the consolidated financial statements have occurred after the reporting date.

5.8 Group companies

- ☐ Production
☒ Sales and marketing
☒ Research and development
☐ Holding and other entities with limited or no activity

	Activity	Percentage of shares owned
Parent Company		
Novozymes A/S, Denmark	☐ ● ◆	
Subsidiaries		
Chr. Hansen Argentina S.A.I.C., Argentina	●	100
Novozymes BioAg S.A., Argentina	☐ ● ◆	100
Paprika S.A. ² , Argentina		70
Chr. Hansen Pty. Ltd. ¹ , Australia	●	100
Hale-Bopp Australia Pty. Ltd. ¹ , Australia		100
Novozymes Australia Pty. Ltd. ¹ , Australia	●	100
Novozymes Belgium BV ¹ , Belgium	●	100
Chr. Hansen Ind. e Com. Ltda. ¹ , Brazil	☐ ●	100

	Activity	Percentage of shares owned
Novozymes BioAg Produtos Para Agricultura Ltda., Brazil	☐ ●	100
Novozymes Latin America Ltda. ¹ , Brazil	☐ ●	100
Chr. Hansen Limited, Canada		100
Novozymes BioAg Limited, Canada	☐ ● ◆	100
Novozymes Canada Limited, Canada	☐ ●	100
Chr. Hansen Chile SpA. ¹ , Chile	●	100
Chr. Hansen (Beijing) Trading Co., Ltd., China	●	100
Novozymes (China) Biotechnology Co. Ltd., China	☐ ●	100
Novozymes (China) Investment Co. Ltd., China	● ◆	100
Novozymes OneHealth Biotechnology (Shanghai) Co. Ltd., China	●	100
Novozymes (Shenyang) Biologicals Co. Ltd., China	☐ ●	100
Novonesis (Suzhou) Biomanufacturing Co. Ltd., China	☐ ●	100
Chr. Hansen Colombia S.A.S., Colombia	●	100
Chr. Hansen Czech Republic S.r.o. ¹ , Czech Republic	☐ ●	100
Chr. Hansen A/S ¹ , Denmark	☐ ● ◆	100
Novonesis Plant Biosolutions A/S ¹ , Denmark		100
Novozymes Bioindustrial A/S ¹ , Denmark		100
Novozymes Bioindustrial China A/S ¹ , Denmark		100
Novozymes Biopharma DK A/S ¹ , Denmark		100
Novonesis EG SSC ¹ , Egypt	●	100
Chr. Hansen Finland Oy ¹ , Finland	●	100
Chr. Hansen France S.A.S., France	☐ ●	100
Novozymes France S.A.S. ¹ , France	●	100
Chr. Hansen GmbH, Germany	☐ ●	100



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	Activity	Percentage of shares owned
Chr. Hansen HMO GmbH, Germany	☐ ● ◆	100
Hansen Hellas ABEE, Greece	●	100
Novozymes Greece Single Member SA ¹ , Greece	●	100
Novonesis Hong Kong Ltd., Hong Kong	○	100
Chr. Hansen India Pvt. Ltd., India	●	99.6
Novozymes South Asia Pvt. Ltd., India	☐ ● ◆	100
Synergia Life Sciences Pvt. Ltd. ¹ , India	☐ ● ◆	100
UAS Life Sciences India Private Ltd., India	○	100
PT Novozymes Indonesia Biotechnology ¹ , Indonesia	●	100
Chr. Hansen Pars Co. Ltd ² , Iran	○	100
Chr. Hansen Ireland Ltd. ¹ , Ireland	●	100
PrecisionBiotics Group Ltd. ¹ , Ireland	● ◆	100
Chr. Hansen Italia S.p.A., Italy	●	100
Chr. Hansen Japan Co., Ltd. ¹ , Japan	●	100
Novozymes Japan Ltd. ¹ , Japan	● ◆	100
Novozymes Kenya Ltd. ¹ , Kenya	●	100
Chr. Hansen Malaysia SDN. Bhd., Malaysia	●	100
Novozymes Malaysia SDN. Bhd. ¹ , Malaysia	●	100
Chr. Hansen de Mexico S.A. de C.V., Mexico	●	100
Novozymes Mexicana, S.A. de C.V. ^{1,2} , Mexico	○	100
Novozymes Mexico, S.A. de C.V., Mexico	●	100
Novonesis Nederland B.V. ¹ , Netherlands	●	100
Chr. Hansen S.A., Peru	●	100
Chr. Hansen Poland Sp. z o.o. ¹ , Poland	●	100
Chr. Hansen SRL, Romania	●	100

	Activity	Percentage of shares owned
Chr. Hansen LLC ³ , Russia	○	100
Novozymes RUS LLC ^{1,2} , Russia	○	100
Novonesis Singapore Pte. Ltd. ¹ , Singapore	●	100
Chr. Hansen South Africa (Pty) Ltd. ¹ , South Africa	●	100
Novozymes South Africa (Pty) Ltd. ¹ , South Africa	●	100
Novozymes Korea Limited ¹ , South Korea	●	100
Chr. Hansen, S.L. ¹ , Spain	●	100
Novonesis Animal Biosolutions AG ¹ , Switzerland	●	100
Novozymes Switzerland AG ¹ , Switzerland	●	100
Novozymes (Thailand) Ltd. ¹ , Thailand	●	100
Chr. Hansen Gıda Sanayi ve Ticaret A.Ş., Republic of Türkiye	●	100
Novozymes Enzim Dis Ticaret Ltd. Sirketi ¹ , Republic of Türkiye	●	100
Chr. Hansen Middle East & Africa FZ-LLC, UAE	●	100
Chr. Hansen (UK) Limited ¹ , U.K.	●	100
Novozymes UK Ltd. ^{1,2} , U.K.	● ◆	100
Chr. Hansen Ukraine LLC, Ukraine	●	100
Chr. Hansen Inc. ¹ , U.S.	☐ ●	100
Novozymes, Inc., U.S.	◆	100
Novozymes BioAg, Inc., U.S.	☐ ●	100
Novozymes Biologicals, Inc., U.S.	☐ ● ◆	100
Novozymes Blair, Inc., U.S.	☐	100
Novozymes North America, Inc., U.S.	☐ ● ◆	100
Novozymes US, Inc. ¹ , U.S.	○	100
Physicians Exclusive LLC (d.b.a) Microbiome Labs, U.S.	● ◆	100
UAS Laboratories LLC, U.S.	○	100



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Activity	Percentage of shares owned
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Joint operations/associates

Bacthera AG ² , Switzerland	50
Bacthera Denmark A/S ² , Denmark	50
Grundejerforeningen Hallas Park ⁴ , Denmark	
Grundejerforeningen Smørmosen ⁴ , Denmark	
Microbiogen PTY Ltd. ¹ , Australia	23.1
Tecnol s.r.l. in liquidazione (formerly Beta Renewables S.p.A.) ¹ , Italy	10.0
21st.BIO A/S ¹ , Denmark	39.9

¹ Owned directly by Novozymes A/S.

² Under liquidation.

³ Sales discontinued in 2025.

⁴ Joint operation.



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Income statement

EUR million	Note	2025	2024
Net sales	2.1	1,634.7	1,481.2
Cost of goods sold	2.2, 2.5	(752.1)	(681.1)
Gross profit		882.6	800.1
Sales and distribution expenses	2.2, 2.5	(332.7)	(336.1)
Research and development expenses	2.2, 2.5	(239.4)	(221.6)
Administrative expenses	2.2, 2.5	(126.6)	(124.5)
Other operating income and expenses	2.3	236.2	196.4
Operating profit (EBIT)		420.1	314.3
Income from investments in subsidiaries	2.4	229.4	92.6
Share of result in associates	3.5	(6.5)	(3.5)
Financial income	4.1	25.0	36.8
Financial expenses	4.1	(90.8)	(100.4)
Profit before tax		577.2	339.8
Tax		(89.2)	(67.6)
Net profit		488.0	272.2
Proposed appropriation of net profit			
Proposed dividend to shareholders		266.4	263.7
Interim dividend paid to shareholders		140.3	124.9
Retained earnings		81.3	(116.4)
	4.4	488.0	272.2
Interim dividend per share, DKK		2.25	2.00
Proposed dividend per share, DKK		4.25	4.20

Management's Review

The activities of the parent company Novozymes A/S include production and sale of products within Food & Health Biosolutions and Planetary Health Biosolutions to both external customers and subsidiaries; related commercial, research and development, and administrative activities; holding of shares in Group enterprises; and the Group's treasury activities.

Sales for 2025 amounted to EUR 1,634.7 million (2024: EUR 1,481.2 million). Other operating income and expenses amounted to EUR 236.2 million (2024: EUR 196.4 million).

Dividends from Group enterprises to Novozymes A/S amounted to EUR 271.2 million (2024: EUR 148.4 million), while impairment losses related to subsidiaries amounted to EUR 41.8 million (2024: EUR 55.8 million).

Net financial expenses amounted to EUR 65.8 million (2024: EUR 63.6 million).

Net profit for the year amounted to EUR 488.0 million (2024: EUR 272.2 million).

Total assets at year end amounted to EUR 14,937.5 million (2024: EUR 13,199.3 million), and total equity amounted to EUR 10,833.9 million (2024: EUR 10,770.5 million).

Gender diversity at Board and other management levels

As of December 31, 2025, the Board of Directors comprised 12 members. Eight were elected by shareholders: three women (38%) and five men, and four were elected by employees in Denmark: one woman (25%) and three men. According to the methodology of the Gender Balance Act, gender balance was achieved in both groups.

Executive Management comprised two members, the CEO and the CFO, with one woman (50%) and one man (50%). The Executive Leadership Team (ExLT), which includes the Executive Management, consisted of two women (25%) and six men (75%). In 2025, the Board set a target of 30% female representation for "other management levels" at Novozymes A/S by June 30, 2026. "Other management levels" covers the ExLT and people managers reporting to them. To support this target, Novonesis has advanced inclusive hiring practices, reinforced shared leadership accountability for promotions, and addressed structural barriers such as flexibility, organizational design, and visible role models. As of December 31, 2025, the number of employees at other management levels was 42, of which 29 % were female.



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Assets

EUR million	Note	Dec. 31, 2025	Dec. 31, 2024
Intangible assets	3.1	329.2	375.8
Property, plant and equipment	3.2, 3.3	716.1	688.6
Investments in subsidiaries	3.4	12,717.4	11,227.2
Investments in associates	3.5	17.5	24.0
Other financial assets		11.7	14.3
Receivables from Group enterprises		32.7	44.1
Financial fixed assets		12,779.3	11,309.6
Fixed assets		13,824.6	12,374.0
Raw materials and consumables		33.6	32.3
Work in progress		105.4	85.7
Finished goods		161.9	137.0
Inventories		300.9	255.0
Trade receivables		226.4	178.6
Receivables from Group enterprises		363.9	165.4
Tax receivables		99.1	128.2
Other receivables		76.7	56.3
Receivables		766.1	528.5
Cash and cash equivalents		45.9	41.8
Current assets		1,112.9	825.3
Assets		14,937.5	13,199.3

Liabilities and equity

EUR million	Note	Dec. 31, 2025	Dec. 31, 2024
Common shares		125.5	125.6
Treasury shares		(444.0)	(388.6)
Reserve for development expenses		72.1	40.5
Cash flow hedges		8.2	(21.0)
Retained earnings		10,805.7	10,750.3
Proposed dividend		266.4	263.7
Total equity		10,833.9	10,770.5
Deferred tax liability	3.6	73.6	74.8
Other provisions		1.5	16.2
Provisions		75.1	91.0
Lease liabilities	3.3	13.2	14.3
Borrowings	4.2	1,080.5	1,300.7
Other liabilities		29.2	-
Non-current liabilities		1,122.9	1,315.0
Lease liabilities	3.3	3.6	3.8
Borrowings	4.2	1,677.6	244.2
Trade payables		133.8	132.3
Payables to Group enterprises		832.5	531.0
Other liabilities		258.1	111.5
Current liabilities		2,905.6	1,022.8
Liabilities		4,103.6	2,428.8
Liabilities and equity		14,937.5	13,199.3



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EUR million	Notes	2025						2024	
		Common shares	Treasury shares	Reserve for development expenses	Cash flow hedges	Retained earnings	Proposed dividend	Total	Total
Equity at January 1		125.6	(388.6)	40.5	(21.0)	10,750.3	263.7	10,770.5	1,642.7
Currency translation adjustments		(0.1)	0.5	(0.1)	-	(12.8)	-	(12.5)	(1.5)
Net profit for the year						488.0		488.0	272.2
Capital increase								-	9,076.8
Transaction costs of capital increase								-	(5.0)
Capitalized development expenses				31.7		(31.7)		-	-
Ordinary dividend paid	4.4						(262.4)	(262.4)	(124.9)
Interim dividend paid	4.4					(140.3)		(140.3)	(124.9)
Dividend paid relating to treasury shares	4.4					1.3	(1.3)	-	-
Proposed dividend	4.4					(266.4)	266.4	-	-
Purchase of treasury shares	5.3		(99.9)					(99.9)	-
Sale of treasury shares	5.3		44.0					44.0	37.8
Fair value adjustments					29.2			29.2	(29.8)
Other adjustments						17.3		17.3	27.1
Equity at December 31		125.5	(444.0)	72.1	8.2	10,805.7	266.4	10,833.9	10,770.5

As a result of the statutory merger with Chr. Hansen Holding A/S in 2024, the share capital of Novozymes A/S has been increased by 187,298,646 newly issued shares in Novozymes A/S (the Merger Consideration Shares). The total capital increase and

consideration for Chr. Hansen Holding A/S amounts to EUR 9.1 billion, based on a price per share of EUR 48.5 (DKK 361.4), equal to the closing share price of Novozymes A/S on Nasdaq Copenhagen on the date of the registration of the merger.



1.1 Accounting policies

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The financial statements of Novozymes A/S have been prepared in accordance with the Danish Financial Statements Act (reporting class D). Novozymes A/S applies the IFRS 9 expected credit loss model, IFRS 15 and IFRS 16 as interpretation.

The accounting policies are consistent with those applied for the consolidated financial statements, except as described below. For a description of the Group's accounting policies, please refer to the consolidated financial statements.

The presentation currency for the financial statements is EUR.

The accounting policies are unchanged from 2024.

No separate statement of cash flows has been prepared for Novozymes A/S. Please refer to the consolidated statement of cash flows.

The 2024 statutory merger between Novozymes A/S and Chr. Hansen Holding A/S was accounted for as a business combination using the acquisition method, where Novozymes A/S was identified as the acquirer and Chr. Hansen Holding A/S was identified as the acquiree.

Recognition and measurement in general

Income is recognized in the income statement as earned.

All expenses incurred in generating the year's net sales are also recognized in the income statement, including depreciation, amortization and impairment losses.

Value adjustments of financial assets and liabilities measured at fair value or amortized cost are recognized in the income statement.

Assets are recognized in the balance sheet when it is considered probable that future economic benefits will flow to the company, and the value of the asset can be measured reliably. Liabilities are recognized in the balance sheet when they are considered probable and can be measured reliably. On initial recognition, assets and liabilities are measured at cost. Assets and liabilities are subsequently measured as described below for each item.

Intangible assets

The accounting policies for intangible assets follow those of the Group, with the exception of goodwill. Goodwill is amortized over a period of 10 years using the straight-line method, which reflects the useful life of the underlying assets and activities generating the goodwill.

An amount equal to the total capitalized development expenses after tax is recognized under Equity in Reserve for development expenses.

Financial assets

Investments in subsidiaries are recognized initially at cost and subsequently measured using the cost method. Dividends from investments in subsidiaries are recognized in the income statement of the Parent Company in the financial year in which the dividend is declared. The carrying amount is tested for impairment when there is an indication of impairment. This includes where the carrying amount of an investment in a subsidiary exceeds the carrying amount of the net assets in the subsidiary's financial statements, or the dividend exceeds the total comprehensive income of the subsidiary in the period in which the dividend is declared.

Share-based payments granted to employees of the Company's subsidiaries are recognized as contributions to the investment in the respective subsidiaries.

Investments in associates are initially recognized at cost and subsequently measured using the equity method. If the equity of associates is negative, and Novozymes A/S has a legal or constructive obligation to cover their negative equity, a provision is recognized.

Dividend

The dividend proposed for the financial year is shown as a separate item under Equity.



2.1 Net sales

EUR million	2025	2024
Geographical distribution:		
Denmark	31.6	22.7
Rest of Europe, Middle East & Africa	882.2	833.7
North America	189.5	185.4
Latin America	227.2	176.0
Asia Pacific	304.2	263.4
Net sales	1,634.7	1,481.2

EUR million	2025	2024
Food & Health Biosolutions		
Food & Beverages	269.6	246.4
Human Health	43.0	26.6
	312.6	273.0
Planetary Health Biosolutions		
Household Care	401.9	380.1
Agriculture, Energy & Tech	920.2	828.1
	1,322.1	1,208.2
Net sales	1,634.7	1,481.2

2.2 Employee expenses

EUR million	2025	2024
Wages and salaries	338.7	304.2
Pensions	32.7	29.8
Other social security costs	3.8	3.1
Other employee expenses	25.6	26.5
Employee expenses	400.8	363.6
Average number of employees in Novozymes A/S	3,227	2,934

Employee expenses in 2025 included severance pay, retention bonuses and other employee expenses of EUR 5.1 million (2024: EUR 24.3 million) related to the combination of Novozymes and Chr. Hansen.

Reference is made to Note 5.1 to the consolidated financial statements, concerning remuneration of the Board of Directors and the Executive Management.



2.3 Other operating income and expenses

EUR million	2025	2024
Royalty income relating to subsidiaries	398.6	312.6
Gain on divestment of the lactase enzyme business	-	11.9
Gain on the sale of the headquarters in Bagsvaerd	5.2	-
Other operating income	4.6	8.7
Other operating income	408.4	333.2
Profit sharing relating to subsidiaries	(172.2)	(136.8)
Other operating expenses	(172.2)	(136.8)
Other operating income and expenses	236.2	196.4

Profit sharing relating to subsidiaries includes a research and development cost contribution agreement between Novozymes A/S and Chr. Hansen A/S of EUR 142.8 million

(2024: EUR 136.8 million) and a profit sharing agreement with Novonesis Animal Biosolutions AG of EUR 29.4 million (2024: EUR 0 million).

2.4 Income from investments in subsidiaries

EUR million	2025	2024
Dividends from subsidiaries	271.2	148.4
Impairment of subsidiaries	(41.8)	(55.8)
Income from investments in subsidiaries	229.4	92.6

Impairment of subsidiaries is recognized when the business plans and net assets of a specific subsidiary do not support the value recognized. Impairments in 2025 are mainly related to subsidiaries impacted by realised payments of dividends to Novozymes A/S. For 2024, the

impairments are partly due to the discontinuation of activities in Russia, and partly the result of payment of dividends to Novozymes A/S. Reference is made to Note 3.4 concerning investments in subsidiaries.

2.5 Expenses of a special nature

In 2025, expenses included an amount of EUR 59.2 million (2024: EUR 108.2 million) relating to expenses of a special nature not related to Novozymes A/S' recurring operating profit. Expenses of a special nature include significant transaction and integration costs related to business acquisitions; restructuring expenses and related impairment losses; and expenses related to the implementation of a new global ERP system for the combined business, which are all

considered significant non-recurring income or costs not related to Novozymes A/S' recurring operating profit. Of the total expenses, EUR 2.8 million (2024: EUR 7.1 million) is recognized in Cost of goods sold, EUR 36.7 million (2024: EUR 55.5 million) in Sales and distribution expenses, EUR 0.9 million (2024: EUR 24.3 million) in Research and development expenses, and EUR 18.8 million (2024: EUR 21.3 million) in Administrative expenses.



3.1 Intangible assets

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EUR million	2025			2024	
	Goodwill	Technology and strain library	Software and other intangibles	Total	Total
Cost at January 1	586.4	325.3	239.9	1,151.6	1,134.9
Currency translation adjustments	(0.7)	(0.3)	(0.3)	(1.3)	(1.3)
Additions from business acquisitions	-	-	-	-	0.5
Additions during the year	-	-	55.5	55.5	17.5
Cost at December 31	585.7	325.0	295.1	1,205.8	1,151.6
Amortization and impairment losses at January 1	(393.9)	(239.7)	(142.2)	(775.8)	(674.4)
Currency translation adjustments	0.5	0.3	0.2	1.0	0.8
Amortization during the year	(62.5)	(21.7)	(17.6)	(101.8)	(102.2)
Amortization and impairment losses at December 31	(455.9)	(261.1)	(159.6)	(876.6)	(775.8)
Carrying amount at December 31	129.8	63.9	135.5	329.2	375.8

Impairment

No impairment loss was recognized in 2025 or 2024.

On December 31, 2025, Software and other intangible assets includes software and other IT projects of EUR 66.8 million not yet available for use (2024: EUR 28.7 million).



3.2 Property, plant and equipment

EUR million	2025				2024	
	Land and buildings	Plant and machinery	Other equipment	Assets under construction	Total	Total
Cost at January 1	496.8	772.7	207.4	158.7	1,635.6	1,576.7
Currency translation adjustments	(0.6)	(0.9)	(0.1)	(0.2)	(1.8)	(1.4)
Additions during the year	11.0	24.5	10.7	54.1	100.3	105.7
Disposals during the year	(17.8)	(3.0)	(4.1)	-	(24.9)	(45.4)
Transfers to/(from) other items	6.7	14.5	4.9	(26.1)	-	-
Cost at December 31	496.1	807.8	218.8	186.5	1,709.2	1,635.6
Depreciation and impairment losses at January 1	(242.1)	(564.5)	(140.4)		(947.0)	(931.2)
Currency translation adjustments	0.3	0.6	0.1		1.0	1.0
Depreciation during the year	(15.9)	(29.2)	(15.1)		(60.2)	(56.5)
Disposals during the year	6.1	2.9	4.1		13.1	39.7
Depreciation and impairment losses at December 31	(251.6)	(590.2)	(151.3)		(993.1)	(947.0)
Carrying amount at December 31	244.5	217.6	67.5	186.5	716.1	688.6

Capitalized interest

Interest of EUR 1.4 million was capitalized under Additions during the year (2024: EUR 1.4 million). Capitalization rate in 2025: 2.4% (2024: 2.7%).

Land and buildings with an aggregate carrying amount of EUR 166.4 million (2024: EUR 168.2 million) were pledged as security to credit institutions in respect of mortgage loans expiring in 2029 and 2039.

Contractual obligations

Contractual obligations to third parties relating to property, plant and equipment amount to EUR 54.8 million (2024: EUR 30.6 million).

Impairment

No impairment loss was recognized in 2025 or 2024.



3.3 Leases

EUR million	2025	2024
Land and buildings	4.1	3.5
Plant and machinery	9.9	10.5
Other equipment	2.5	3.5
Carrying amount of lease assets	16.5	17.5

Additions to lease assets during 2025 amounted to EUR 3.1 million (2024: EUR 3.9 million).

Maturity analysis of the lease liabilities

EUR million	2025	2024
Less than 1 year	3.7	3.8
Between 1 and 5 years	6.2	6.5
More than 5 years	8.1	7.8
Undiscounted lease liabilities at December 31	18.0	18.1

EUR million	2025	2024
Amounts recognized in the income statement:		
Interest on lease liabilities	0.3	0.4
Depreciation of lease assets per asset class:		
Land and buildings	1.3	1.1
Plant and machinery	0.7	0.8
Other equipment	2.2	2.6
Depreciation of lease assets	4.2	4.5



3.4 Investments in subsidiaries

EUR million	2025	2024
Cost at January 1	11,538.6	1,637.6
Currency translation adjustments	(13.7)	(1.5)
Additions from business acquisitions	1,525.1	9,722.1
Additions during the year	21.7	180.4
Cost at December 31	13,071.7	11,538.6
Impairment losses at January 1	(311.4)	(255.9)
Currency translation adjustments	0.4	0.3
Impairment losses	(41.8)	(55.8)
Disposals during the year	(1.5)	-
Impairment losses at December 31	(354.3)	(311.4)
Carrying amount at December 31	12,717.4	11,227.2

Feed Enzyme Alliance acquisition

On June 2, 2025, the Feed Enzyme Alliance acquisition was completed with the acquisition of all shares in Feed Enzymes AG, Switzerland, as described in Note 3.6 to the consolidated financial statements.

Combination with Chr. Hansen

In 2024, the statutory merger between Novozymes A/S and Chr. Hansen Holding A/S was completed, as described in Note 3.6 to the

consolidated financial statements. Identified assets in the combination included Chr. Hansen subsidiaries recognized at a cost price of EUR 9.7 billion.

Investments

Reference is made to Note 5.8 to the consolidated financial statements concerning investments in subsidiaries, joint operations and associates.

3.5 Investments in associates

EUR million	2025	2024
Cost at January 1	44.1	44.1
Cost at December 31	44.1	44.1
Revaluation reserve at January 1	(20.1)	(16.6)
Share of result in associates	(6.5)	(3.5)
Revaluation reserve at December 31	(26.6)	(20.1)
Carrying amount at December 31	17.5	24.0



3.6 Deferred tax

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EUR million	Deferred tax assets		Deferred tax liabilities	
	2025	2024	2025	2024
Intangible assets	-	-	(31.8)	(38.1)
Property, plant and equipment	-	-	(32.5)	(34.5)
Inventories	-	-	(6.6)	(6.5)
Share-based payment	7.6	11.9	-	-
Other	-	-	(10.3)	(7.6)
	7.6	11.9	(81.2)	(86.7)
Offsetting items	(7.6)	(11.9)	7.6	11.9
Deferred tax at December 31	-	-	(73.6)	(74.8)

EUR million	2025	2024
Deferred tax at January 1	(74.8)	(81.7)
Prior-year adjustments	0.9	2.6
Tax related to the income statement	3.4	3.1
Tax on equity items	(3.1)	1.2
Deferred tax at December 31	(73.6)	(74.8)



4.1 Financial income and expenses

EUR million	2025	2024
Interest income relating to subsidiaries	5.0	15.2
Other financial income	20.0	21.6
Financial income	25.0	36.8
Interest expenses relating to subsidiaries	(14.0)	(13.8)
Other financial expenses	(76.8)	(86.6)
Financial expenses	(90.8)	(100.4)

4.2 Credit institutions

EUR million	2025	2024
Long-term debt to credit institutions falling due after 5 years	80.4	198.1

Undrawn committed credit facilities amounted to EUR 871.4 million at December 31, 2025 (2024: EUR 795.0 million), which expire in 2026–2030.

Reference is made to Note 4.1 to the consolidated financial statements concerning undrawn committed credit facilities and the

bridge loan of EUR 1,470 million obtained in connection with the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance, as the information applying to Novozymes A/S is identical to the information provided there.

4.3 Derivatives

Reference is made to Note 4.4 to the consolidated financial statements concerning derivatives, as the amounts and information applying to Novozymes A/S in all material aspects are identical to the information provided

there. The consolidated amounts include a small number of forward contracts with a fair value, amounting to less than EUR 0.1 million (2024: less than EUR 0.1 million) from other companies than Novozymes A/S.

4.4 Proposed appropriation of net profit

EUR million	2025	2024
Proposed appropriation of net profit		
Proposed dividend to shareholders	266.4	263.7
Interim dividend paid to shareholders	140.3	124.9
Retained earnings	81.3	(116.4)
Net profit	488.0	272.2



5.1 Related party transactions

Transactions

EUR million	2025	2024
Novo Holdings A/S		
Dividend paid to Novo Holdings A/S	103.2	62.0
The Novo Nordisk Group		
Sale of goods and services	37.5	15.4
Sale of assets	16.8	-
Purchase of goods and services	(5.5)	(5.9)
The NNIT Group		
Purchase of services	(1.1)	(0.7)
Microbiogen Pty. Ltd.*		
Purchase of services	(9.5)	(9.0)

Novozymes A/S is expanding the wastewater and biomass treatment facility in Kalundborg, which is a joint operation with the Novo Nordisk Group. The expansion is fully financed by Novo Nordisk, and in 2025 Novozymes A/S received EUR 133.7 million (2024: 60.7 million) from Novo Nordisk to fund the investment. In addition to the outstanding balances in the table, Novozymes A/S has the right to receive further funding related to 2025 from Novo Nordisk of EUR 11.6 million as of December 31, 2025 (2024: EUR 9.3 million). The expansion is expected to be completed in 2027.

In connection with the relocation of the headquarters in Bagsvaerd, Denmark, Novozymes A/S has sold land and buildings, with effect from January 1, 2025, to Novo Nordisk A/S for EUR 16.8 million. The sales price is based on external valuations.

As part of the combination with Chr. Hansen in 2024, Novo Holdings received Merger Consideration Shares at a ratio of 1.0227 for each Chr. Hansen Share held by Novo Holdings, with respect to Novo Holdings' holding of 28,983,112 Chr. Hansen Shares.

Outstanding balances

EUR million	2025	2024
The Novo Nordisk Group		
Receivables	2.1	4.0
Payables	(9.2)	(10.1)
The NNIT Group		
Payables	(0.4)	(0.1)
Microbiogen Pty. Ltd.*		
Payables	(2.3)	(2.3)

* Associate of Novozymes A/S

Apart from transactions with Group companies, there were no transactions with related parties other than the transactions described above, and the ordinary remuneration of the Board of Directors and the Executive Management, which is presented in Note 5.1 to the consolidated financial statements.

Novozymes A/S has commitments and guarantees to related parties in the amount of EUR 40.1 million (2024: EUR 46.4 million), which primarily relate to guarantees issued for subsidiaries.

Reference is made to Note 5.4 to the consolidated financial statements concerning identification of related parties.

Novozymes A/S is included in the consolidated financial statements of the Novo Nordisk Foundation.



5.2 Fees to statutory auditors

EUR million	2025	2024
Statutory audit	0.8	0.9
Other assurance engagements	0.3	0.3
Tax assurance services	0.1	0.2
Other services	-	-
Fees to statutory auditors	1.2	1.4

Reference is made to Note 5.5 to the consolidated financial statements concerning fees to statutory auditors.

5.3 Common shares and treasury shares

Reference is made to Note 4.5 to the consolidated financial statements concerning common shares and treasury shares.

In 2024, Novozymes A/S issued 187,298,646 common shares related to the combination with Chr. Hansen.

5.4 Contingent liabilities and pending litigations

Reference is made to Note 5.3 to the consolidated financial statements concerning pending litigations and arbitration.

Reference is made to Note 2.5 to the consolidated financial statements concerning joint taxation.

Novozymes A/S has entered into the usual executory contracts with counterparties and business partners during the normal course of business.

5.5 Events after the reporting date

Reference is made to Note 5.7 to the consolidated financial statements concerning events after the reporting date.



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Statement by the Board of Directors and the Executive Management

The Board of Directors and the Executive Management have today considered and approved the Annual Report of Novozymes A/S (Novonosis A/S) for the financial year January 1 – December 31, 2025.

The Consolidated Financial Statements have been prepared in accordance with IFRS Accounting Standards, as adopted by the EU, and additional disclosure requirements in the Danish Financial Statements Act. The Parent Company Financial Statements have been prepared in accordance with the Danish Financial Statements Act.

In our opinion, the accounting policies used are appropriate, and the Group's internal controls relevant to the preparation and presentation of the Annual Report are adequate. The Consolidated Financial Statements and the Parent Company Financial Statements give a true and fair view of the financial position of the Group and the Parent Company at December 31, 2025, and of the results of the Group and the Parent Company operations and consolidated cash flows for the financial year January 1 – December 31, 2025.

The sustainability statement is prepared in accordance with the European Sustainability Reporting Standards (ESRS), as required by the Danish Financial Statements Act section 99a, as well as article 8 in the EU Taxonomy regulation.

In our opinion, the Management's review includes a true and fair account of the development in the operations and financial circumstances of the Group and the Parent Company, of the results for the year, and of the financial position of the Group and the Parent Company, as well as a description of the most significant risks and elements of uncertainty facing the Group and the Parent Company.

In our opinion, the Annual Report of Novonosis A/S for the financial year January 1 – December 31, 2025, with the file name Novonosis-2025-12-31-en.zip, has been prepared, in all material respects, in accordance with the ESEF Regulation.

We recommend that the Annual Report be adopted at the Annual General Meeting.

Bagsvaerd, February 25, 2026

Executive Management

Ester Baiget
President & CEO

Rainer Lehmann
CFO

Board of Directors

Cornelis (Cees) de Jong
Chair

Heine Dalsgaard
Vice Chair

Robert Nøddeskov Jensen

Lise Kaae

Monila Kothari

Kasim Kutay

Lars Bo Køppler

Kevin Lane

Preben Nielsen

**Morten Otto
Alexander Sommer**

**Frederikke Rose
Spanner**

Kim Stratton



Independent Auditor's Report

To the shareholders of Novozymes A/S (Novonosis A/S)

Report on the audit of the consolidated financial statements and parent company financial statements

Opinion

We have audited the consolidated financial statements and the parent company financial statements of Novonosis A/S for the financial year January 1 – December 31, 2025, which comprise income statement, balance sheet, statement of changes in equity and notes, including material accounting policy information, for the Group and the Parent Company, and a consolidated statement of comprehensive income and a consolidated cash flow statement. The consolidated financial statements are prepared in accordance with IFRS Accounting Standards as adopted by the EU and additional requirements of the Danish Financial Statements Act, and the parent company financial statements are prepared in accordance with the Danish Financial Statements Act.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group at December 31, 2025 and of the results of the Group's operations and cash flows for the financial year January 1 – December 31, 2025 in accordance with IFRS Accounting Standards as adopted by the EU and additional requirements of the Danish Financial Statements Act.

Further, in our opinion the parent company financial statements give a true and fair view of the financial position of the Parent Company at December 31, 2025 and of the results of the Parent Company's operations for the financial year January 1 – December 31, 2025 in accordance with the Danish Financial Statements Act.

Our opinion is consistent with our long-form audit report to the Audit Committee and the Board of Directors.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) and additional requirements applicable in Denmark. Our responsibilities under those standards and requirements are further described in the 'Auditor's responsibilities for the audit of the consolidated financial statements and the parent company financial statements' (hereinafter collectively referred to as 'the financial statements') section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (IESBA Code), as applicable to audits of financial statements of public interest entities, and the additional ethical requirements applicable in Denmark to audits of financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

To the best of our knowledge, we have not provided any prohibited non-audit services as described in article 5(1) of Regulation (EU) no. 537/2014.

Appointment of auditor

We were initially appointed as auditor of Novonosis A/S at the annual general meeting on April 30, 2024 for the financial year 2024. We have been reappointed annually by resolution of the general meeting for a total consecutive period of two years up to and including the financial year 2025.



Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements for the financial year 2025. These matters were addressed during our audit of the financial statements as a whole and in forming

our opinion thereon. We do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled our responsibilities described in the 'Auditor's responsibilities for the audit of the financial statements' section, including in relation to the key audit matters below. Accordingly, our audit included the design and performance of procedures to respond to our assessment of the risks of

material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the financial statements.

Key audit matter	How our audit addressed the key audit matter
Acquisition of the sales and distribution activities from the Feed Enzyme Alliance (business combination) On June 2, 2025, the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance through the transfer of the sales and distribution activities for a total consideration of EUR 1.6 billion was completed. To account for the Feed Enzyme Alliance business combination, management prepared a purchase price allocation to recognise the fair value of the identifiable assets and liabilities acquired. Significant judgements and estimates have been exercised by management in preparing the purchase price allocation. These significant judgements and estimates mainly relate to identifying and assessing the fair value of acquired intangible assets, including customer relationships, reacquired partnership rights and trademarks, for which observable market prices are typically not available. Given the significance of the acquisition and the level of management judgements and estimates involved, we considered the accounting for the Feed Enzyme Alliance business combination to be a key audit matter for the consolidated financial statements. The accounting policies and critical accounting estimates and disclosures about the Feed Enzyme Alliance business combination are included in note 3.6 to the consolidated financial statements.	As part of our audit, we have assessed the appropriateness of the accounting policies for business combinations applied by management compared to applicable accounting standards. We involved our internal specialists in assessing the valuation methodologies and key assumptions used by management when assessing the fair value of the acquired assets including in particular intangible assets. We assessed the key assumptions applied by management by comparing these to available market data, underlying accounting records, supporting documentation, past performance of the acquired business and our experience from comparable transactions. We assessed the knowledge, skills, abilities, and objectivity of management's experts used in determining the fair value of the acquired assets and evaluated the work performed. We further considered the adequacy of disclosures provided by management in the financial statements compared to applicable accounting standards.



Key audit matter

Valuation of acquired intangible assets including goodwill (impairment tests)

The Group has recognized significant intangible assets amounting to EUR 11.1 billion at December 31, 2025, including goodwill, technology and strain library, customer relationships and software and other intangibles acquired in connection with the Chr. Hansen business combination in 2024 and the Feed Enzyme Alliance business combination in 2025.

The cash-generating units, to which the acquired intangible assets including goodwill are allocated, are impairment tested by management on an annual basis. The impairment tests are based on management's determination of value in use, which is based on the net present value of future cash flows applying estimates about key assumptions such as sales growth, adjusted EBITDA margins, discount rates and growth expectations. Due to the inherent uncertainty involved in determining the net present value of future cash flows, we considered the impairment tests used in the valuation of acquired intangible assets to be a key audit matter for the consolidated financial statements.

The accounting policies and critical accounting estimates and disclosures about valuation of acquired intangible assets are included in note 3.1 to the consolidated financial statements.

How our audit addressed the key audit matter

As part of our audit, we have tested the mathematical accuracy of the discounted cash flow models used in determining the value in use and compared forecasted profitability to management approved budgets and long-term forecasts. We evaluated the assumptions and methodologies used in the discounted cash flow model, including those in relation to the forecasted sales growth and adjusted EBITDA margins, including comparing with historical sales growth rates. We compared the assumptions applied to externally derived data as well as our own assessments in relation to key assumptions such as long-term growth rates and discount rates. Further, we evaluated the sensitivity analysis on the key assumptions applied. We further considered the adequacy of disclosures provided by management in the financial statements compared to applicable accounting standards.

Statement on the Management's review

Management is responsible for the Management's review.

Our opinion on the financial statements does not cover the Management's review, and we do not as part of our audit express any assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the

Management's review and, in doing so, consider whether the Management's review is materially inconsistent with the financial statements, or our knowledge obtained during the audit, or otherwise appears to be materially misstated.

Moreover, it is our responsibility to consider whether the Management's review provides the information required by relevant law and regulations. This does not include the requirements in paragraph 99a related to the

sustainability statement covered by the separate auditor's limited assurance report hereon.

Based on our procedures, we conclude that the Management's review is in accordance with the financial statements and has been prepared in accordance with the requirements of relevant law and regulations. We did not identify any material misstatement of the Management's review.

Management's responsibilities for the financial statements

Management is responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with IFRS Accounting Standards as adopted by the EU and additional requirements of the Danish Financial Statements Act and for the preparation of parent company financial statements that give a true and fair view in accordance with the Danish Financial Statements Act.



Moreover, Management is responsible for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting in preparing the financial statements unless Management either intends to liquidate the Group or the Parent Company or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs and additional requirements applicable in Denmark will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic

decisions of users taken on the basis of the financial statements.

As part of an audit conducted in accordance with ISAs and additional requirements applicable in Denmark, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Parent Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting in preparing the financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Parent Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and the Parent Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and contents of the financial statements, including the note disclosures, and whether the financial statements represent the underlying transactions and events in a manner that gives a true and fair view.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements and the parent

company financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements and the parent company financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.



Report on compliance with the ESEF Regulation

As part of our audit of the consolidated financial statements and parent company financial statements of Novonesis A/S, we performed procedures to express an opinion on whether the annual report of Novonesis A/S for the financial year January 1 – December 31, 2025 with the file name Novonesis-2025-12-31-en.zip is prepared, in all material respects, in compliance with the Commission Delegated Regulation (EU) 2019/815 on the European Single Electronic Format (ESEF Regulation) which includes requirements related to the preparation of the annual report in XHTML format and iXBRL tagging of the consolidated financial statements including notes.

Management is responsible for preparing an annual report that complies with the ESEF Regulation. This responsibility includes:

- The preparing of the annual report in XHTML format;
- The selection and application of appropriate iXBRL tags, including extensions to the ESEF taxonomy and the anchoring thereof to elements in the taxonomy, for all financial information required to be tagged using judgement where necessary;

- Ensuring consistency between iXBRL tagged data and the consolidated financial statements presented in human readable format; and
- For such internal control as Management determines necessary to enable the preparation of an annual report that is compliant with the ESEF Regulation.

Our responsibility is to obtain reasonable assurance on whether the annual report is prepared, in all material respects, in compliance with the ESEF Regulation based on the evidence we have obtained, and to issue a report that includes our opinion. The nature, timing and extent of procedures selected depend on the auditor's judgement, including the assessment of the risks of material departures from the requirements set out in the ESEF Regulation, whether due to fraud or error. The procedures include:

- Testing whether the annual report is prepared in XHTML format;
- Obtaining an understanding of the company's iXBRL tagging process and of internal control over the tagging process;
- Evaluating the completeness of the iXBRL tagging of the consolidated financial statements including notes;

- Evaluating the appropriateness of the company's use of iXBRL elements selected from the ESEF taxonomy and the creation of extension elements where no suitable element in the ESEF taxonomy has been identified;
- Evaluating the use of anchoring of extension elements to elements in the ESEF taxonomy; and
- Reconciling the iXBRL tagged data with the audited consolidated financial statements.

In our opinion, the annual report of Novonesis A/S for the financial year January 1 – December 31, 2025 with the file name Novonesis-2025-12-31-en.zip is prepared, in all material respects, in compliance with the ESEF Regulation.

Copenhagen, February 25, 2026

EY Godkendt Revisionspartnerselskab
CVR no. 30 70 02 28

Henrik Kronborg Iversen
State Authorised Public Accountant
mne24687

Jens Thordahl Nøhr
State Authorised Public Accountant
mne32212



Independent Auditor's limited assurance report on the Sustainability statement

To the shareholders of Novozymes A/S (Novonesis A/S)

Limited assurance conclusion

We have conducted a limited assurance engagement on the Sustainability statement of Novonesis A/S (the group) included in the Annual Report 2025, pages 53–117 (the sustainability statement), for the financial year January 1 – December 31, 2025 including disclosures incorporated by reference listed in the table 'Disclosure requirements and incorporation by reference' on pages 113–115.

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the sustainability statement is not prepared, in all material respects, in accordance with the Danish Financial Statements Act section 99a, including:

- compliance with the European Sustainability Reporting Standards (ESRS), including that the process carried out by management to identify the information reported in the sustainability statement (the process) is in accordance with the description set out in the chapters about

Double Materiality Assessment, within the 'General' section on pages 60–63 and

- compliance of the disclosures in the chapter 'EU Taxonomy', within the environmental section on page 89 and pages 110–112 of the sustainability statement with Article 8 of EU Regulation 2020/852 (the Taxonomy Regulation).

Basis for conclusion

We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance engagements other than audits or reviews of historical financial information (ISAE 3000 (Revised)) and the additional requirements applicable in Denmark.

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than

the assurance that would have been obtained had a reasonable assurance engagement been performed.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion. Our responsibilities under this standard are further described in the Auditor's responsibilities for the assurance engagement section of our report.

Our independence and quality management

We are independent of the group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (IESBA Code) and the additional ethical requirements applicable in Denmark. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

EY Godkendt Revisionspartnerselskab applies International Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Inherent limitations in preparing the Sustainability statement

In reporting forward-looking information in accordance with ESRS, management is required to prepare the forward-looking information on the basis of disclosed assumptions about events that may occur in the future and possible future actions by the group. Actual outcomes are likely to be different since anticipated events frequently do not occur as expected.



Management's responsibilities for the Sustainability statement

Management is responsible for designing and implementing a process to identify the information reported in the Sustainability statement in accordance with the ESRS and for disclosing this process in the chapters about Double Materiality Assessment, within the 'General' section on pages 60–63 of the Sustainability statement. This responsibility includes:

- understanding the context in which the group's activities and business relationships take place and developing an understanding of its affected stakeholders;
- the identification of the actual and potential impacts (both negative and positive) related to sustainability matters, as well as risks and opportunities that affect, or could reasonably be expected to affect, the group's financial position, financial performance, cash flows, access to finance or cost of capital over the short-, medium-, or long-term;
- the assessment of the materiality of the identified impacts, risks and opportunities related to sustainability matters by selecting and applying appropriate thresholds; and
- making assumptions that are reasonable in the circumstances.

Management is further responsible for the preparation of the Sustainability statement, in accordance with the Danish Financial Statements Act section 99a, including:

- compliance with the ESRS;
- preparing the disclosures in the chapter 'EU Taxonomy', within the environmental section on page 89 and pages 110–112 of the sustainability statement, in compliance with Article 8 of the Taxonomy Regulation;
- designing, implementing and maintaining such internal control that management determines is necessary to enable the preparation of the Sustainability statement that is free from material misstatement, whether due to fraud or error; and
- the selection and application of appropriate sustainability reporting methods and making assumptions and estimates that are reasonable in the circumstances.

Auditor's responsibilities for the assurance engagement

Our objectives are to plan and perform the assurance engagement to obtain limited assurance about whether the Sustainability statement is free from material misstatement, whether due to fraud or error, and to issue a limited assurance report that includes our conclusion. Misstatements can arise from

fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence decisions of users taken on the basis of the sustainability statement as a whole.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised) we exercise professional judgement and maintain professional scepticism throughout the engagement.

Our responsibilities in respect of the process include:

- Obtaining an understanding of the process but not for the purpose of providing a conclusion on the effectiveness of the process, including the outcome of the process;
- Considering whether the information identified addresses the applicable disclosure requirements of the ESRS, and
- Designing and performing procedures to evaluate whether the process is consistent with the group's description of its process, as disclosed in the chapters about Double Materiality Assessment, within the 'General requirements' section on pages 60–63.

Our other responsibilities in respect of the Sustainability statement include:

- Identifying disclosures where material misstatements are likely to arise, whether due to fraud or error; and
- Designing and performing procedures responsive to disclosures in the Sustainability statement where material misstatements are likely to arise. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Summary of the work performed

A limited assurance engagement involves performing procedures to obtain evidence about the Sustainability statement.

The nature, timing and extent of procedures selected depend on professional judgement, including the identification of disclosures where material misstatements are likely to arise, whether due to fraud or error, in the Sustainability statement.



In conducting our limited assurance engagement, with respect to the process, we:

- Obtained an understanding of the process by performing inquiries to understand the sources of the information used by management; and reviewing the group's internal documentation of its process; and
- Evaluated whether the evidence obtained from our procedures about the process implemented by the group's was consistent with the description of the process set out in the chapters about Double Materiality Assessment, within the 'General' section on pages 60–63.

In conducting our limited assurance engagement, with respect to the sustainability statement, we:

- Obtained an understanding of the Group's reporting processes relevant to the preparation of its Sustainability statement including the consolidation processes by obtaining an understanding of the Group's control environment, processes and information systems relevant to the preparation of the Sustainability statement, but not evaluating the design of particular control activities, obtaining evidence about their implementation or testing their operating effectiveness;

- Evaluated whether material information identified by the process is included in the Sustainability statement;
- Evaluated whether the structure and the presentation of the Sustainability statements is in accordance with the ESRS;
- Performed inquiries of relevant personnel and analytical procedures on selected information in the Sustainability statement;
- Performed substantive assurance procedures on selected information in the Sustainability statement;
- Evaluated methods, assumptions and data for developing material estimates and forward-looking information and how these methods were applied;
- Obtained an understanding of the process to identify EU taxonomy economic activities for turnover, CAPEX and OPEX and the corresponding disclosures in the Sustainability statement;
- Evaluated the presentation and use of EU taxonomy templates in accordance with relevant requirements; and

- Reconciled and ensured consistency between the reported EU taxonomy economic activities and the items reported in the primary financial statements including the disclosures provided in related notes.

Copenhagen, February 25, 2026

EY Godkendt Revisionspartnerselskab
CVR no. 30 70 02 28

Henrik Kronborg Iversen
State Authorised Public Accountant
mne24687

Lars Fermann
State Authorised Public Accountant
mne45879



Financial definitions and ratios (part of Management review – not audited)

Financial ratios have been prepared in accordance with the guidelines from the Danish Society of Financial Analysts, and supplemented by certain key ratios for Novonesis. Financial definitions and ratios are described below, and key metrics are reconciled in the section 'Non-IFRS financial measures'.

In connection with the 2030 GROW Strategy, the definition of organic sales growth has been slightly refined to better reflect sales growth from acquisitions. The change has an insignificant impact on the reported organic sales growth.

FINANCIAL DEFINITIONS

Accounting for acquisitions

Accounting for acquisitions mainly includes PPA depreciation and amortization, and PPA inventory adjustments related to the combination with Chr. Hansen on January 29, 2024, and subsequent business acquisitions.

Adjusted EBIT

Operating profit (EBIT) adjusted for special items and impacts from the accounting for acquisitions.

Adjusted EBITDA

Operating profit (EBIT) adjusted for amortization, depreciation, impairment losses, special items, and impacts from the accounting for acquisitions.

Adjusted gross profit

Gross profit adjusted for impacts from the accounting for acquisitions.

Adjusted net profit

Net profit (attributable to shareholders of Novonesis) adjusted for special items and impacts from the accounting for acquisitions, net of tax.

Adjusted net profit excluding PPA

Net profit for the period (attributable to shareholders of Novonesis) adjusted for special items and impacts from the accounting for acquisitions, including PPA depreciation and amortization, net of tax.

Adjusted NOPAT

Adjusted NOPAT is operating profit (EBIT) adjusted for special items, PPA inventory adjustments, exchange gains/losses, share of result in associates, net of tax using the effective tax rate.

EBITDA

Operating profit (EBIT) before depreciation, amortization and impairment losses.

Free cash flow

Cash flow from operating activities less cash flow from investing activities.

Free cash flow before acquisitions and divestments (FCF)

Free cash flow less cash flow from business acquisitions, etc. and divestments.

Invested capital

Total assets excluding interest-bearing assets and minority investments less total liabilities excluding interest-bearing liabilities (interest-bearing borrowings).

Net interest-bearing debt (NIBD)

Interest-bearing liabilities (interest-bearing borrowings) less cash and cash equivalents.

Operating expenses

Operating expenses consist of Sales and distribution expenses, Research and development expenses and Administrative expenses.

Operating profit (EBIT)

Net profit before interest and tax.

Operating profit (EBIT) before special items

Net profit before special items, interest and tax.

Organic sales growth (new definition)

Sales growth from the existing business excluding divestments in constant currencies and for IAS 29 defined hyperinflation countries with a cap of 26% on inflation-driven sales growth. For acquisitions, sales for the first 12 months of the ownership period are excluded in the calculation. However, for major acquisitions (e.g., the combination with Chr. Hansen in 2024), pro forma sales for the comparative period are included in the calculation. Constant currency values are calculated by translating both the current and the prior period local currency amounts using the same exchange rates into EUR.

PPA inventory adjustments

PPA inventory adjustments include Purchase Price Allocation (PPA) inventory step-up and the temporary drag on the margin from inventory buyback related to the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance.



Financial definitions and ratios (part of Management review – not audited) (continued)

Special items

To provide transparency regarding the operating performance of Novonesis, management presents significant non-recurring individual income and expenses as Special items. Special items include significant transaction and integration costs related to business acquisitions; restructuring expenses and related impairment losses; and expenses related to the implementation of a new global ERP system for the combined business, which are all considered significant non-recurring income or expenses not related to Novonesis' recurring operating profit.

Working capital

Current assets less current liabilities used in, or necessary for, the company's operations. The main components are inventories, trade receivables and trade payables.

KEY RATIOS

Adjusted earnings per share, diluted (Adjusted EPS, diluted)

Adjusted net profit divided by the weighted average number of shares in circulation (diluted).

Adjusted earnings per share excluding PPA, diluted (Adjusted EPS excluding PPA, diluted)

Adjusted net profit excluding PPA depreciation and amortization divided by the weighted average number of shares in circulation.

Adjusted EBIT margin

Adjusted EBIT as a percentage of net sales.

Adjusted EBITDA margin

Adjusted EBITDA as a percentage of net sales.

Adjusted gross margin

Adjusted gross profit as a percentage of net sales.

Adjusted ROIC (including goodwill)

Adjusted ROIC is adjusted NOPAT for the last 12 months as a percentage of average invested capital.

Adjusted ROIC (excluding goodwill)

Adjusted ROIC is adjusted NOPAT for the last 12 months as a percentage of average invested capital excluding goodwill.

Capex ratio (% of net sales)

Purchase of intangible assets and property, plant and equipment (Capex) as a percentage of net sales.

Earnings per share, diluted

Net profit attributable to the shareholders of Novozymes A/S divided by the weighted average number of shares in circulation (diluted).

Operating profit (EBIT) margin

Operating profit (EBIT) as a percentage of net sales.

Operating profit (EBIT) margin before special items

Operating profit (EBIT) before special items as a percentage of net sales.

Effective tax rate

Income tax expense as a percentage of profit before tax.

Gross margin

Gross profit as a percentage of net sales.

Net interest-bearing debt to EBITDA (NIBD/EBITDA)

Net interest-bearing debt as a percentage of the last 12 months' EBITDA.

R&D expenses (% of net sales)

Research and development expenses as a percentage of net sales.



Non-IFRS financial measures (part of Management review – not audited)

Novonesis uses certain financial measures that are not defined in IFRS to describe and explain the Group's financial performance, financial position and cash flows. These financial measures may therefore be defined and calculated differently from similar measures in other companies, and thus may not be comparable.

The Management believes that these adjusted financial measures offer a relevant alternative perspective on Novonesis' underlying operating performance by excluding items that are not considered part of the operating performance. The adjusted financial measures mainly exclude impacts from accounting for acquisitions and special items.

The following tables provide reconciliations of the non-IFRS financial measures to the nearest IFRS measures applied in the annual report:

EUR million	2025	2024	Q4 2025	Q4 2024
Gross profit	2,241.5	1,809.5	558.8	494.9
PPA depreciation and amortization	153.4	182.3	37.8	68.6
PPA inventory adjustments*	63.8	183.9	-	-
Adjusted gross profit	2,458.7	2,175.7	596.6	563.5
Adjusted gross profit margin %	59.1	56.8	59.9	57.4

EUR million	2025	2024	Q4 2025	Q4 2024
Operating profit (EBIT)	816.7	501.0	172.6	126.2
Amortization	318.2	304.8	84.8	100.5
Depreciation	256.6	239.3	69.8	65.9
Impairment losses	22.1	53.3	22.1	22.3
Special items excluding impairment losses	65.9	104.7	15.3	40.6
PPA inventory adjustments*	63.8	183.9	-	-
Adjusted EBITDA	1,543.3	1,387.0	364.6	355.5
Adjusted EBITDA margin %	37.1	36.2	36.6	36.2

* Includes PPA inventory step-up and the temporary drag on the margin from inventory buyback related to the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance.



Non-IFRS financial measures (part of Management review – not audited) (continued)

EUR million	2025	2024	Q4 2025	Q4 2024
Operating profit (EBIT)	816.7	501.0	172.6	126.2
Special items	65.9	158.0	15.3	62.9
PPA inventory adjustments*	63.8	183.9	-	-
Adjusted EBIT	946.4	842.9	187.9	189.1
Adjusted EBIT margin %	22.8	22.0	18.9	19.3

EUR million	2025	2024	Q4 2025	Q4 2024
Net profit attributable to the shareholders of Novozymes A/S	583.6	305.8	122.8	86.2
Special items	65.9	158.0	15.3	62.9
PPA inventory adjustments*	63.8	183.9	-	-
Tax impact	(18.9)	(64.8)	(1.7)	(12.8)
Adjusted net profit	694.4	582.9	136.4	136.3
PPA depreciation and amortization	302.7	272.7	92.7	93.6
Tax impact	(67.7)	(63.8)	(20.4)	(21.9)
Adjusted net profit excluding PPA	929.4	791.8	208.7	208.0
Average number of diluted shares, million	467.6	459.6	467.2	468.1
Adjusted earnings per share, diluted, EUR	1.49	1.27	0.30	0.29
Adjusted earnings per share excluding PPA, diluted, EUR	1.99	1.72	0.45	0.44

EUR million	2025	2024	Q4 2025	Q4 2024
Cash flow from operating activities	1,221.5	1,019.9	328.2	229.2
Cash flow from investing activities	(1,970.9)	(199.7)	(226.2)	(98.2)
Free cash flow	(749.4)	820.2	102.0	131.0
Cash flow from business acquisitions, etc.	1,519.8	(14.8)	-	-
Cash flow from divestments	-	(144.5)	-	(39.8)
Free cash flow before acquisitions and divestments	770.4	660.9	102.0	91.2

EUR million	2025	2024
Operating profit (EBIT)	816.7	501.0
Exchange gains/(losses)	(7.2)	(13.8)
Special items	65.9	158.0
PPA inventory adjustments*	63.8	183.9
Share of result in associates	(6.5)	(3.5)
Tax on adjusted operating profit	(201.9)	(221.4)
Adjusted NOPAT	730.8	604.2

* Includes PPA inventory step-up and the temporary drag on the margin from inventory buyback related to the acquisition of dsm-firmenich's share of the Feed Enzyme Alliance.



Non-IFRS financial measures (part of Management review – not audited) (continued)

EUR million	2025	2024
Total assets	16,349.1	15,195.6
Less		
Goodwill	(6,192.9)	(5,605.0)
Other financial assets, non-current*	(13.6)	(18.7)
Cash and cash equivalents	(275.3)	(280.0)
Assets included	9,867.3	9,291.9
Deferred tax liabilities	(1,316.1)	(1,255.9)
Provisions	(23.5)	(39.7)
Contract liabilities	(79.9)	(105.3)
Borrowings (non-interest-bearing)	(2.3)	(26.8)
Trade payables	(420.8)	(423.1)
Contract liabilities	(26.0)	(22.8)
Tax payables	(116.7)	(60.9)
Other liabilities	(505.5)	(315.1)
Liabilities offset	(2,490.8)	(2,249.6)
Invested capital excluding goodwill	7,376.5	7,042.3
Average invested capital excluding goodwill	7,209.4	4,830.5
Adjusted ROIC	10.1	12.5
Invested capital	13,569.4	12,647.3
Average invested capital	13,108.4	7,765.5
Adjusted ROIC (including goodwill)	5.6	7.8

* Related to minority investments

EUR million	2025	2024	Q4 2025	Q4 2024
PPA depreciation, amortization and impairment losses by function				
Cost of goods sold	(153.4)	(182.3)	(37.8)	(68.6)
Sales and distribution expenses	(91.3)	(55.5)	(28.3)	(14.3)
Research and development expenses	(58.0)	(34.9)	(26.6)	(10.7)
Special items	-	(53.3)	-	(22.3)
PPA depreciation, amortization and impairment losses	(302.7)	(326.0)	(92.7)	(115.9)



Pro forma financial information (part of Management review – not audited)

Pro forma figures

The 2024 pro forma figures presented for Novonesis are prepared and presented by Management in the Management Review as if the merger of Novozymes A/S and Chr. Hansen Holding A/S became effective from January 1, 2024 (instead of January 29, 2024), and with purchase price allocation adjustments included as of January 29, 2024.

The pro forma figures are not intended to revise past performance but to provide a comparative basis for the assessment of the current performance of the combined businesses. The pro forma figures are illustrative and do not represent what the actual result of Novonesis would have been had the merger with Chr. Hansen Holding A/S been effective from January 1, 2024.

The pro forma figures are prepared in accordance with Novonesis' accounting policies and financial definitions and key ratios.

Pro forma adjusted ROIC (excluding goodwill) was introduced in connection with the 2030 GROW Strategy. Pro forma adjusted ROIC (excluding goodwill) for 2024 of 8.3% is pro forma adjusted NOPAT as a percentage of average invested capital excluding goodwill. Invested capital on March 31, 2024, has been used as beginning of period in the calculation of pro forma average invested capital.

The table includes the income statement for 2025 and pro forma 2024 for comparability, and the bridge between IFRS and pro forma numbers in 2024 for selected figures:

Income statement EUR million	2025	2024	Chr. Hansen	Pro forma
			Jan. 1 - Jan. 29	2024
Net sales	4,157.6	3,833.5	112.0	3,945.5
Cost of goods sold	(1,916.1)	(2,024.0)	(51.0)	(2,075.0)
Gross profit	2,241.5	1,809.5	61.0	1,870.5
Sales and distribution expenses	(688.6)	(550.9)	(16.0)	(566.9)
Research and development expenses	(463.8)	(413.2)	(9.7)	(422.9)
Administrative expenses	(223.2)	(214.6)	(8.9)	(223.5)
Other operating income	16.7	28.2	-	28.2
Operating profit (EBIT) before special items	882.6	659.0	26.4	685.4
Special items	(65.9)	(158.0)	(41.0)	(199.0)
Operating profit (EBIT)	816.7	501.0	(14.6)	486.4
Share of result in associates	(6.5)	(3.5)	(2.7)	(6.2)
Financial items, net	(66.8)	(80.4)	(3.8)	(84.2)
Profit before tax	743.4	417.1	(21.1)	396.0
Tax	(159.8)	(111.3)	(8.1)	(119.4)
Net profit	583.6	305.8	(29.2)	276.6
Adjusted gross profit	2,458.7	2,175.7	61.0	2,236.7
Adjusted EBITDA	1,543.3	1,387.0	36.4	1,423.4
Adjusted EBIT	946.4	842.9	26.4	869.3
Adjusted net profit	694.4	582.9	11.8	594.7
Adjusted net profit excluding PPA	929.4	791.8	11.8	803.6
Free cash flow before acquisitions	770.4	660.9	6.6	667.5



About the Report

Contact

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Reporting and audits

The Novonosis Annual Report consists of a Management review (pp. 2–117 and 176), including the Sustainability statement, and the financial statements for the Novonosis Group and the parent company, Novozymes A/S. The Sustainability statement of Novonosis has been subject to limited assurance procedures performed by EY Godkendt Revisionspartnerselskab in accordance with requirements in the Corporate Sustainability Reporting Directive (CSRD).

The consolidated financial statements and parent company financial statements have been audited by EY Godkendt Revisionspartnerselskab. Please see the reports from EY Godkendt Revisionspartnerselskab in the Statements and additional information section of this Report.

The consolidated financial statements have been prepared in accordance with IFRS Accounting Standards, as adopted by the EU, additional requirements of the Danish Financial Statements Act (reporting class D) and additional requirements of Nasdaq Copenhagen A/S for the presentation of financial statements by listed companies. The financial statements of Novozymes A/S have been prepared in accordance with the Danish Financial Statements Act. The Novonosis website contains links to a PDF version of the Annual Report as well as the XHTML version submitted to the Danish Financial Supervisory Authority.

Forward-looking statements

The Novonosis Annual Report includes forward-looking statements, including statements relating to the operating, financial and sustainability performance and results of the group and/or the industry in which it operates. Forward-looking statements include, without limitation, any statement that may predict, forecast, indicate or imply future results, performance or achievements, and may contain words such as “aim”, “anticipate”, “assess”, “assume”, “believe”, “continue”, “could”, “estimate”, “expect”, “goal”, “hope”, “intend”, “may”,

“objective”, “plan”, “position”, “potential”, “predict”, “project”, “risk”, “seek”, “should”, “target”, “will”, “would”, or any variations of such words or other words with similar meanings. Any such statements are subject to risks and uncertainties that could cause the group's actual results to differ materially from the results discussed in such forward-looking statements. Prospective information is based on management's then current expectations or forecasts. Such information is subject to the risk that such expectations or forecasts, or the assumptions underlying such expectations or forecasts, may change. Unless as required by applicable laws, the group assumes no obligation to update any such forward-looking statements to reflect actual results, changes in assumptions or changes in other factors affecting such forward-looking statements.

Factors that could cause the group's actual results to differ materially from those expressed in its forward-looking statements include, but are not limited to: i) unexpected developments in the ability to develop and market new products; ii) fluctuations in the demand for the group's products, market-driven price decreases, industry consolidation, and launches of competing products or

disruptive technologies in the group's core business areas; iii) changes in the ability to protect and enforce the company's intellectual property rights; iv) significant litigation or breaches of contract; v) the materialization of the company's growth platforms; vi) political conditions, such as acceptance of enzymes produced by genetically modified organisms; vii) global economic and capital market conditions, including, but not limited to, currency exchange rates (USD/DKK and EUR/DKK in particular, but not exclusively), interest rates, and inflation; viii) significant price decreases for input and other materials that compete with the group's solutions; and ix) changes in laws or interpretations thereof, including those related to reimbursement, intellectual property protection, marketing, and taxation (including tariffs and duties). New risk factors can arise, and it may not be possible for management to predict all such risk factors, nor to assess the impact of all such risk factors on the group's business or the extent to which any individual risk factor, or combination of factors, may cause results to differ materially from those contained in any forward-looking statement. Accordingly, forward-looking statements should not be relied upon as predictions of actual future events or otherwise.

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